COMPANY ACCOUNTS (YOUTUBE REVISION NOTES)
UNIT 1: INTRODUCTION TO COMPANY ACCOUNTS

SCHEDULE III : PART I - FORM OF BALANCE SHEET

Name of the Company……..
Balance sheet as at ……

(Rs. in ……..)

Particulars	Notes No.	Figures as at the end of current reporting period	Figures as at the end of previous reporting period
EQUITY AND LIABILITIES			
1. Shareholders' funds			
a. Share capital (Refer notes)			
b. Reserves and Surplus (SP, CR, CRR, P/L Credit balance)			
c. Money received against share warrants			
2. Share application money pending allotment			
3. Non-current liabilities			
a. Long-term borrowings (Secured/Unsecured) (Ex. Debenture)			
b. Deferred tax liabilities (Net)			
c. Other long term liabilities			
d. Long-term provisions			
4. Current liabilities			
a. Short-term borrowings			
b. Trade Payables			
c. Other current liabilities (Call in advance, Declared Div, Intt. accrued & due, Intt. accrued but not due, Unclaimed Div)			
d. Short-term provisions (Proposed Div)			
Total			
ASSETS			
1. Non-current assets			
a. Fixed assets			
i Tangible assets			
ii In-tangible assets			
iii Capital Work-in-progress			
iv Intangible assets under development			
b. Non-current investments			
c. Deferred tax assets (Net)			
d. Long-term loans and advances			
e. Other non-current assets (Loss on issue of Sh/Deb) Deb. Sus. A/c			
2. Current assets			
a. Current investments			
b. Inventories			
c. Trade receivables			
d. Cash and cash equivalents			
e. Short-term loans and advances			
f. Other current assets (Loss on issue of Sh/Deb. to be w/off upto 1year)			
Total			

Notes:

1. **Share Capital – Presentation:** Disclose Authorised, Issued, Subscribed Capital separately.

Called up capital	XX
(-) CIA (Excluding SP)	XX
Paid up Capital	XX
+ Forfeited shares	XX
	XX

Note: If SP is not received on forfeited sharers and included in CIA Account then it will be deducted from SP Account. (Not from called up capital.)

SCHEDULE III : PART II - FORM OF STATEMENT OF PROFIT AND LOSS

Name of the Company.....
Profit and loss statement for the year ended.....

Particulars		Notes No.	Figures for the reporting period		Figures for the previous reporting period	
I.	Revenue from operations			xxx		xxx
II.	Other income			xxx		xxx
III	Total Revenue (I + II)			xxx		xxx
IV	Expenses:					
	Cost of materials consumed		xxx		xxx	
	Purchases of Stock-in-Trade		xxx		xxx	
	Changes in inventories of finished goods		xxx		xxx	
	work-in-progress and Stock-in-Trade		xxx		xxx	
	Employee benefits expense		xxx		xxx	
	Finance costs		xxx		xxx	
	Depreciation and amortization expense		xxx		xxx	
	Other expenses		xxx		xxx	
	Total expenses			xxx		xxx
V.	Profit before exceptional and Extraordinary items and tax (III-IV)			xxx		xxx
VI.	Exceptional items			xxx		xxx
VII.	Profit before extraordinary items and tax (V-VI)			xxx		xxx
VIII.	Extraordinary Items			xxx		xxx
IX.	Profit before tax (VII- VIII)			xxx		xxx
X.	Tax expense:					
	(1) Current tax		xxx		xxx	
	(2) Deferred tax		xxx	xxx	xxx	xxx
XI.	Profit (Loss) for the period from continuing operations (IX- X)			xxx		xxx
XII.	Profit /(Loss) from discontinuing operations			xxx		xxx
XIII.	Tax expense of discontinuing operations			xxx		xxx
XIV.	Profit/ (Loss) from Discontinuing operations(after tax) (XII-XIII)			xxx		xxx
XV.	Profit (Loss) for the period (XI + XIV)			xxx		xxx
XVI.	Earnings per equity share:					
	(1) Basic			xxx		xxx
	(2) Diluted			xxx		xxx

UNIT 2: ISSUE, FORFEITURE AND REISSUE OF SHARES

1. ACCOUNTING PROCEDURE FOR RECORDING ISSUE OF SHARES FOR CASH:

Step 1: Record receipt of application money.

Bank A/c Dr.
To Share Application A/c

Step 2: Transfer Application money to share capital Account.

Share Application A/c Dr.
To Share Capital A/c

Step 3: Allotment money due.

Share Allotment A/c Dr.
To Share Capital A/c

Step 4: Allotment money received.

Bank A/c Dr.
To Share Allotment A/c

Step 5: First call money due.

Share First Call A/c Dr.
To Share Capital A/c

Step 6: First Call money received.

Bank A/c Dr.
To Share First Call A/c

Step 7: Second call money due.

Share Second Call A/c Dr.
To Share Capital A/c

Step 8: Second Call money received.

Bank A/c Dr.
To Share Second Call A/c

2. SECURITIES ISSUED AT A PREMIUM: ACCOUNTING TREATMENT

1. **Presentation in B/S:** Balance of Security premium Account is shown on the liabilities side of the company's Balance sheet under the heading "Reserves and Surplus".
Premium amount can be collected at any of the stage i.e. application or allotment or call. When share are issued at a premium, the journal entries are as follows:

a) Premium amount called with Application money

i) Bank A/c Dr. [Total Application money + Premium Amount]
To Share Application A/c [Amount received]
(Money received on applications for ------- shares @ Rs. ------- per shares including pre.)

ii) Share Application A/c Dr. [No. of shares applied for x appl. amt per share]
To Securities premium A/c [No. of shares allot. x pre. amount per share]
To Share Capital a/c [No. of shares allotted x per share for capital]

b) Premium amount called with Allotment money

i) Share allotment A/c Dr. [No. of shares allot. x allot. and pre. money per share]
To Share Capital A/c [No. of shares allot. x allot. amount per share]
To Securities premium A/c [No. of share allotted x pre. amount per share]
(Amount due on allotment of shares @ Rs.___ per share including premium)

ii) Bank a/c Dr.
To Share Allotment A/c
(Money received including premium consequent upon allotment.)

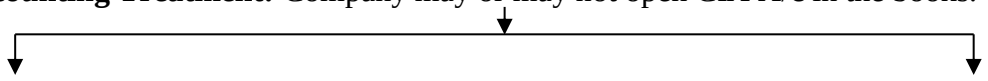
c) Premium amount called with Call money

i) Share Call A/c Dr. [No. of shares allotted x (Allot.+ Prem. money per share]
To Share Capital A/c [No. of shares allot. x allot. amount per share]
To Securities premium A/c [No. of share allotted x pre. amount per share]
(Amount due on call of shares @ Rs.___ per share including premium)

ii) Bank a/c Dr.
To Share Call A/c
(Money received including premium consequent upon Call.)

3. CALLS-IN-ARREARS:

1. **Accounting Treatment:** Company may or may not open CIA A/c in the books.



If CIA A/C is not separately opened	If CIA A/C is separately opened
NO Entry.	Bank A/c Dr. CIA A/c Dr. (shown in B/S) To Share allotment / calls

2. Accounting entry for interest on CIA:

i) Shareholder's A/c Dr.
To Intt. On CIA
(Interest due)

ii) Bank A/c Dr.
To shareholder's A/c
(Intt. Received)

4. CALLS-IN-ADVANCE

1. **Accounting Entries**: Entry of call-in-advance is always done along with cash received.
   i) At the time of receiving Calls-in-Advance account, following entry is recorded.
   Bank A/c Dr.
   To Calls-in-Advance A/c
   ii) When calls become actually due, calls-in-advance account is adjusted at the time of the call. For this the following journal entry in recorded.
   Calls-in-Advance A/c Dr.
   To Particular Call A/c

2. **Presentation in B/S:** The balance in Calls-in-Advance account is shown as a separate item on the liabilities side of the company's balance sheet under the heading **'Share Capital'** but is **not added** to the amount of paid-up capital.

3. **Interest on calls-in-advance – Accounting Entries**:

(i) Interest Due

Interest on Calls-in-Advance A/c Dr. [Amt. of interest due for payment]
To Shareholder's A/c

(ii) Payment of Interest

Shareholder's A/c Dr. [Amt. of interest paid]
To Bank A/c
(Interest paid on calls-in-advance)

5. ISSUE OF SHARES FOR CONSIDERATION OTHER THAN CASH

ASSET PURCHASE	BUSINESS PURCHASE	TO UNDERWRITERS	TO PROMOTERS
1. Asset A/c Dr. To Vendor A/c (with actual purchase price of assets) 2. Vendor A/c Dr. (PC) To Share Capital A/c (NV) To SP A/c (Prem.) (If shares issued at prem.) 3. Vendor's A/c Dr. (PC) Dis. On issue of sh. Dr. To Share capital (NV) (If shares issued at dis.)	1. Asset A/c Dr. To Liabilities To Vendor (Difference in the above entry is Goodwill (debited) or Capital Reserve (credited) 2. Vendor A/c Dr. To Share Capital A/c (Difference in the above entry is SP or Discount)	U/W Commission A/c Dr. To Share Capital A/c (Shares purchased by U/W) Note 1. : U/W is a person who gives guarantee to company that if shares will not be taken by public then he will purchase those shares. For that he get commission from company. 2. U/W's commission cannot exceed **@ 5% of IP or Rate given in AOA, whichever is lower.**	Goodwill A/c Dr. To Share Capital A/c (Shares issued to promoter for his services) Note: Promoter is a person who formed company. After formation of co., he may be given remuneration by way of issue of shares by co.

1. FORFEITURE OF SHARES

I. FORFEITURE OF SHARES WHICH WERE ISSUED "AT PAR"

A. If CIA A/c has not been opened in the books:

Share Capital A/c Dr. No. of shares X called-up value per share i.e. Called up amount]
To Forfeiture Shares A/c [Amount already received on Forfeiture shares]
To Share Allotment A/c [If amount due, but not paid]
To Share First Call A/c [If amount due, but not paid]
To Share Final A/c [If amount due, but not paid] **OR**

B. If CIA A/c has been opened in the books:

Share Capital A/c Dr. [No. of shares X called-up value per share]
To Calls-in-Arrear A/c [Total amount due, but not paid]
To Forfeiture Shares A/c [Amount received]

II. FORFEITURE OF SHARES WHICH WERE ISSUED "AT A PREMIUM"

(i) If Premium amount has not been paid:

S/C A/c Dr. (Called up amount)
SP A/c Dr. (Prem. not received)
To Allotment A/c (If amount due but not paid) (including SP, if any)
To Calls (If amount due but not paid) (including SP, if any)
To FS A/c (Amount received)

(ii) If Premium amount has been paid:
S/C A/c Dr. (Called up amount)
To Allotment A/c (If amount due but not paid)
To Calls (If amount due but not paid)
To FS A/c (Amount received)

2. RE-ISSUE OF FOREFIETED SHARES

Accounting Entries:

I. If Re-issue is "AT PAR":

i) Bank A/c Dr.
To Share Capital A/c
(Amt. recd. On re-issue)

ii) FS A/c Dr.
To Capital Reserve A/c
(Balance of SF A/c after re-issue is transferred to C/R A/c)

II. If Re-issue is "AT PREMIUM":

i) Bank A/c Dr.
To Share Capital A/c
To SP A/c
(Amt. recd. On re-issue)

ii) FSA/c Dr.
To Capital Reserve A/c
(Balance of SF A/c after re-issue is transferred to C/R A/c)

III. If Re-issue is "AT DISCOUNT" :

If **originally** shares were issued **"At Par or At Premium"**

i) Bank A/c Dr.
FS A/c Dr. (With discount amount or loss on re-issue)
To Share Capital A/c
(Amt. recd. On re-issue)

ii) Forfeited Shares A/c Dr.
To Capital Reserve A/c
(Being the profit on re-issue, transferred to capital reserved)

CHAPTER 11 :- COMPANY ACCOUNTS
UNIT 1 :- INTRODUCTION TO COMPANY ACCOUNTS

I. **Defination :** Company means a company formed and registered under this Act or an existing company. (i.e. a company registered under any of the earlier Companies Act. Ex. Companies Act 1913/1882)

II. **How to form a company?**

Answer :

- The person initiating to form a company is called **PROMOTER.**
- He prepares certain important documents like Memorandum of Association **(MOA)**and Articles of Association **(AOA)** etc. and file it to Registrar of Companies **(ROC).**
- If ROC satisfied that these documents are as per law then he will register these documents and issue a Certificate of Incorporation **(COI)**.
- As soon as COI is received, the company comes into **existence.**

III. **CHARACTERISTICS OF COMPANY**

1. **Incorporated Association :** It must necessarily be incorporated or registered under the Companies Act.Without registration no company can come into existence.

2. **Separate Legal Entity :** It has an independent corporate existence from its members, directors etc.

3. **Liability :**
   i) **Limited Liab. Co**. - Those co. whose members liab. is upto the unpaid amt. on shares.
   ii) **Unltd. Liab. Co**. - The co. whose members liab. is unltd. i.e. they shall be personally liable.

4. **Perpetual Succession :**
   (i) The life of company does not depend upon the death, insolvency or retirement of any or all shareholder/s or director/s.
   (ii) Law creates it and law alone can dissolve it.
   (iii) During the war all the members of one private company, while in general meeting, were killed by a bomb. But the company survived, not even a hydrogen bomb could destroyed it.

5. **Common Seal :**
   - A company being an artificial person has no body similar to a natural person and as such it cannot sign documents for itself.
   - It acts through natural persons who are called its directors.
   - But having a legal personality, it can be bound by only those documents which bear its signature. Therefore, the law has provided for the use of a common seal, with the name of the company imprinted on it, as a substitute for its signature.
   - The common seal acts as the official signature of the company.

6. **Transferability of Shares** :
   - The shares of a public company are freely transferable.
   - But in case of private company some restriction must be imposed through its articles.

7. **Artificial legal person** :
   - A company has no body so, it is an artificial legal person.
   - It is invisible and immortal and exists only in the eyes of law.
   - Because of these physical disabilities a company is called an artificial person.

8. **Capacity to sue** : A company can sue and be sued in its corporate name.

9. **Distinction between ownership and management** : Shareholders are the owners of the company whereas the company is being managed by the directors (Appointed by shareholders)

10. **Not a Citizen** : Only a natural person can become citizen. Co. is an artificial person therefore, it can't become citizen.

11. **Audit – Compulsory** : A company must get the accounts audited by a C.A. every year.

IV. TYPES OF COMPANIES :

1. **Statutory Companies:**
   - Companies created by Special Act of State Legislature or Parliament.
   - They are formed for some special purpose.
   - Ex. Reserve Bank of India, State Bank of India, Unit Trust of India, The Industrial Finance Corporation, Life Insurance Corporation.
   - Its accounts are audited by Comproller and Auditor General of India (CAG).

2. **Government Companies – Sec. 2(45)**
   A Government Company is a Company in which not less than 51% of the paid up share capital of the Company is held by
   - ✓ Central Government
   - ✓ State Government
   - ✓ Partly by the Central Government and partly by one or more State Government.

   The Subsidiary of a Government Company is also a Government Companies.

3. **Foreign Companies :**Section 2(42) - "Foreign company" means any company or body corporate incorporated outside India which –
   (a) has a place of business in India whether by itself or through an agent physically or through electronic mode; and
   (b) conducts any business activity in India in any other manner.

4. **HOLDING AND SUBSIDIARY COMPANY :**
   i) Holding Company : "Holding company", in relation to one or more other companies, means a company of which such companies are subsidiary companies.
   ii) "Subsidiary company" means a company in which the holding company:
   (iii) controls the composition of the Board of Directors; or
   (iv) exercises or controls more than one-half of the total voting power either at its own or together with one or more of its subsidiary companies:

   A company shall be deemed to be a subsidiary company of the holding company even if there is indirect control through the subsidiary company(ies).
   The control over the composition of a subsidiary company's Board of Directors means exercise of some power to appoint or remove all or a majority of the directors of the subsidiary company.

5. **Registered Company :** Companies which are registered under the Companies Act is called as Registered Company.

6. **Limited liability company –** It can further be divided into following 2 types :
   - **i) Companies Limited by Shares –**"Company limited by shares" means a company having the liability of its members limited by the memorandum to the amount, if any, unpaid on the shares respectively held by them.
   - **ii) Companies Limited by Guarantee –**"company limited by guarantee" means a company having the liability of its members limited by the memorandum to such amount as the members may undertake to contribute to the assets of the company in the event of its being wound up.

7. **Unlimited Company –** Unlimited company means a company not having any limit on the liability of its members.

8. **PRIVATE COMPANY:**
Section 2(68) - 'Private company' means a company having a minimum paid-up share capital, as may be prescribed, and which by its articles—
(i) restricts the right to transfer its shares;
(ii) except in case of One Person Company, limits the number of its members to two hundred:
Where two or more persons hold shares in a company jointly, they shallbe treated as a single member:
Following persons shall not be counted -
(A) persons who are in the employment of the company; and
(B) persons were formerly in the employment of the company, were members of the company while in that employment and have continued to be members after the employment ceased, and
(iii) prohibits any invitation to the public to subscribe for any securities of the company.
Note : Shares of a Private Company are not listed on Stock Exchange.

9. **Public company :** Section 2(71) - Public Company means a company which—
(a) is not a private company;
(b) has a minimum paid-up share capital, as may be prescribed.
A private company which is a subsidiary of a public company shall be deemed to be public company.

Difference between Public company and Private Company :

Basis of difference	Public company	Private company
Minimum no. of members	7	2
Max. no. of members	unlimited	200
Min. no. of directors	3	2
Word to use after name	"Limited"	" Private Limited"

A Public company may be listed company or unlisted company -

- **i) Listed Company :** A Public co. which has listed its securities in any of the Recognised Stock Exchange is called Listed Co.
- **ii) Unlisted Company :** A Public co. which **has not** listed its securities in any of the Recognised Stock Exchange is called Unlisted Co.

10. **ONE PERSON COMPANY :** Section 2(62) - "One Person Company" is a company which has only one person as a member;

11. **Small company [Section 2(85)]**: It means a company, **other than a public company**,—
    (i) **paid-up share capital** of which does **not exceed 50 lakh rupees** or such higher amount as may be prescribed which shall **not be more than 10 crore rupees**; **and**
    (ii) **turnover** of which as per **profit and loss account for the immediately preceding financial year does not exceed 2 crore rupees** or such higher amount as may be prescribed which shall **not be more than 100 crore rupees**.

Note : As per The Companies (Specification of Defination Details) Rules, 2014
For the purposes of section 2(85), paid up capital and turnover of the small company shall not exceed rupees 4 crores and rupees 40 crores respectively. (w.e.f. 15/09/2022)

Note : Since CG has prescribed higher limit of paid up capital and turnover limit in rules, therefore, limit of 50 lacs and 2 crore given in Act **becomes irrelevant**.

Exceptions: This section shall not apply to :
(A) a holding company or a subsidiary company;
(B) a company registered under section 8; or
(C) a company or body corporate governed by any special Act

12. **Investment Company:** A Company whose principal business is the acquisition of shares, stock, debentures or other securities.

13. **ASSOCIATION NOT FOR PROFIT: SEC. 8 :**The company which is not formed for the purpose to earn profit, is called S-8 company.

V. BOOKS OF ACCOUNTS:

i) Every company shall prepare and keep at its **registered office** books of account and other relevant books and papers and financial statement for every financial year which give a **true and fair view** of the state of the affairs of the company, including that of its branch office or offices, if any.
ii) Company must keep its books of accounts as per
- Accrual System of Accounting, and
- Double entry stystem.
iii) The company may keep such books of account or other relevant papers in **electronic mode** in prescribed manner.

VI. PREPARATION OF FINANCIAL STATEMENT

The Financial Statements shall :
- Give a **true and fair view** of the state of affairs of the company or companies,
- Comply with the notified **accounting standards** and
- Include **Balance sheet**in the form prescribed in Schedule III Part Iand **Statement of Profit and Loss** as per Part II of Schedule III.
- The Board of Directors of the company shall lay financial statements at every **annual general meeting** of a company.

Financial Statements include –
(i) a **balance sheet**;
(ii) a **profit and loss account**, or an **income and expenditure account** for the financial year;
(iii) **cash flow statement** for the financial year;
(iv) a statement of **changes in equity**, if applicable; and

Following company may not include the cash flow statement in the financial statement :
- One Person Company
- Small company and
- Dormant company.

☞ SCHEDULE III : PART I - FORM OF BALANCE SHEET

Name of the Company. ……
Balance sheet as at ……

(Rs. in ……..)

Particulars	Notes No.	Figures as at the end of current reporting period	Figures as at the end of previous reporting period
EQUITY AND LIABILITIES			
1. Shareholders' funds			
a Share capital (Refer notes)			
b Reserves and Surplus (SP, CR, CRR, P/L Credit balance)			
c Money received against share warrants			
2. Share application money pending allotment			
3. Non-current liabilities			
a Long-term borrowings (Secured/Unsecured) (Ex. Debenture)			
b Deferred tax liabilities (Net)			
c Other long term liabilities			
d Long-term provisions			
4. Current liabilities			
a Short-term borrowings			
b Trade Payables			
c Other current liabilities (Call in advance, Declared Div, Intt. accrued & due, Intt. accrued but not due, Unclaimed Div)			
d Short-term provisions (Proposed Div)			
Total			
ASSETS			
1. Non-current assets			
a Fixed assets			
i Tangible assets			
ii In-tangible assets			
iii Capital Work-in-progress			
iv Intangible assets under development			
b Non-current investments			
c Deferred tax assets (Net)			
d Long-term loans and advances			
e Other non-current assets (Loss on issue of Sh/Deb) Deb. Sus. A/c			
2. Current assets			
a Current investments			
b Inventories			
c Trade receivables			
d Cash and cash equivalents			
e Short-term loans and advances			
f Other current assets (Loss on issue of Sh/Deb. to be w/off upto 1year)			
Total			

Notes :

1. **Share Capital – Presentation:** Disclose Authorised, Issued, Subscribed Capital separately.

Called up capital	XX
(-) CIA (Excluding SP)	XX
Paid up Capital	XX
+ Forfeited shares	XX
	XX

Note : If SP is not received on forfeited sharers and included in CIA Account then it will be deducted from SP Account. (Not from called up capital.)

☞ SCHEDULE III : PART II - FORM OF STATEMENT OF PROFIT AND LOSS

Name of the Company. .....
Profit and loss statement for the year ended .....

Particulars		Notes No.	Figures for the reporting period		Figures for the previous reporting period	
I.	Revenue from operations			xxx		xxx
II.	Other income			xxx		xxx
III	Total Revenue (I + II)			xxx		xxx
IV	Expenses:					
	Cost of materials consumed		xxx		xxx	
	Purchases of Stock-in-Trade		xxx		xxx	
	Changes in inventories of finished goods		xxx		xxx	
	work-in-progress and Stock-in-Trade		xxx		xxx	
	Employee benefits expense		xxx		xxx	
	Finance costs		xxx		xxx	
	Depreciation and amortization expense		xxx		xxx	
	Other expenses		xxx		xxx	
	Total expenses			xxx		xxx
V.	Profit before exceptional and Extraordinary items and tax (III-IV)			xxx		xxx
VI.	Exceptional items			xxx		xxx
VII.	Profit before extraordinary items and tax (V-VI)			xxx		xxx
VIII.	Extraordinary Items			xxx		xxx
IX.	Profit before tax (VII- VIII)			xxx		xxx
X.	Tax expense:					
	(1) Current tax		xxx		xxx	
	(2) Deferred tax		xxx	xxx	xxx	xxx
XI.	Profit (Loss) for the period from continuing operations (IX- X)			xxx		xxx
XII.	Profit /(Loss) from discontinuing operations			xxx		xxx
XIII.	Tax expense of discontinuing operations			xxx		xxx
XIV.	Profit/ (Loss) from Discontinuing operations(after tax) (XII-XIII)			xxx		xxx
XV.	Profit (Loss) for the period (XI + XIV)			xxx		xxx
XVI.	Earnings per equity share:					
	(1) Basic			xxx		xxx
	(2) Diluted			xxx		xxx

TEST YOUR KNOWLEDGE

TRUE AND FALSE (SM)

1. Every public company is a listed company.
2. Shares of a private company are not listed on stock exchange.
3. It is not mandatory to incorporate a company under the companies act.
4. Company is an artificial, legal person created by law.
5. Death, insolvency or change of members affects the existence of a company.
6. If the shares are fully paid-up by the shareholder, he is subject to no further liability.
7. Public limited company has restrictions on transferability of shares.
8. Financial statements of company show the financial position of the business.
9. Schedule I gives proforma of Balance Sheet.

ANSWERS:

1. **False:** Listed companies are those which are listed on the stock exchange. Shares of listed companies are open to general public. Every listed company is a public company but every public company is not a listed company.
2. **True:** Only the shares of public company are listed on stock exchange. Every listed company is a public company.
3. **False:** It is mandatory to incorporate a company under the Companies Act. Without such incorporation, a company cannot come into existence.
4. **True:** Company comes into existence through the operation of law. It is a separate entity distinct from it's members.
5. **False:** Company is a separate legal entity created by law. Death, insolvency or change of member does not affect it's existence.
6. **True:** Liability of shareholders is limited to the extent of the unpaid share capital. So, if shares are fully paid-up, he is subject to no further liability.
7. **False:** Shares of public company are freely transferable. Transferability of shares is restricted in a private limited company.
8. **True:** Financial statements give a true & fair view of the state of affairs of the company. Financial statements include profit and loss account, balance sheet, etc.
9. **False:** Schedule III Part I explains form of Balance Sheet.

MULTIPLE CHOICE QUESTIONS (SM)

1. Which of the following statement is not a feature of a Company?
   (a) Separate legal entity
   (b) Perpetual Existence
   (c) Members have unlimited liability

2. In a Government Company, the holding of the Central Government in paid-up capital should not be less than
   (a) 25% (b) 50 % (c) 51%

3. Which of the following statement is true in case of a Foreign Company?
   (a) A Company incorporated in India and has place of business outside India.
   (b) A Company incorporated outside India and has a place of business in India.
   (c) A Company incorporated in India and has a place of business in India.

4. Which of the following statements is not a feature of a private company?
   (a) Restricts the rights of members to transfer its shares.
   (b) Does not restrict on the number of its members to any limit.
   (c) Does not involve participation of public in general.

MCQs Answer:

1.	**C**	**2.**	**C**	**3.**	**B**	**4.**	**B**

THEORETICAL QUESTIONS

1. **Explain salient features of a company in brief.**

Ans. Following are the salient features of a company:

1. **Incorporated Association:** A company comes into existence through the operation of law. Therefore, incorporation of company under the Companies Act is must. Without such registration, no company can come into existence. Being created by law, it is regarded as an artificial legal person.
2. **Separate Legal Entity:** A company has a separate legal entity and is not affected by changes in its membership. Therefore, being a separate business entity, a company can contract, sue and be sued in its incorporated name and capacity.
3. **Perpetual Existence:** Since company has existence independent of its members, it continues to be in existence despite the death, insolvency or change of members.
4. **Common Seal:** Company is not a natural person; therefore, it cannot sign the documents in the manner as a natural person would do. In order to enable the company to sign its documents, it is provided with a legal tool called 'Common Seal'. The common seal is affixed on all documents by the person authorised to do so who in turn puts his signature for and on behalf of the company. Companies Act, 2013 required common seal to be affixed on certain documents (such as bill of exchange, share certificates, etc.) Now, the use of common seal has been made optional. All such documents which required affixing the common seal may now instead be signed by two directors or one director and a company secretary of the company.
5. **Limited Liability:** The liability of every shareholder of a company is limited to the amount he has agreed to pay to the company on the shares allotted to him. If such shares are fully paid-up, he is subject to no further liability.
6. **Distinction between Ownership and Management:** Since the number of shareholders is very large and may be distributed at different geographical locations, it becomes difficult for them to carry on the operational management of the company on a day-to-day basis. This gives rise to the need of separation of the management and ownership.
7. **Not a citizen:** A company is not a citizen in the same sense as a natural person is, though it is created by the process of law. It has a legal existence but does not enjoy the citizenship rights and duties as are enjoyed by the natural citizens.
8. **Transferability of Shares***:* The capital is contributed by the shareholders through the subscription of shares. Such shares are transferable by its members except in case of a private limited company, which may have certain restrictions on such transferability.
9. **Maintenance of Books:** A limited company is required by law to keep a prescribed set of account books and any failure in this regard attracts penalties.
10. **Periodic Audit:** A company has to get its accounts periodically audited through the chartered accountants appointed for the purpose by the shareholders on the recommendation of board of directors.
11. **Right of Access to Information:** The right of the shareholders of a company to inspect its books of account, with the exception of books open for inspection under the Statute, is governed by the Articles of Association. The shareholders have a right to seek information from the directors by participating in the meetings of the company and through the periodic reports.

2. **Write short note on:**
   (i) **Foreign company.**
   (ii) **Small company.**
   (iii) **Company limited by guarantee.**

Ans. (i) Foreign Company

According to Section 2 (42) of the Companies Act, 2103, "Foreign company" means any company or body corporate incorporated outside India which –

(a) Has a place of business in India whether by itself or through an agent physically or through electronic mode; and

(b) Conducts any business activity in India in any other manner.

(ii) Small company [Section 2(85)]: It means a company, **other than a public company**,—

(i) **paid-up share capital** of which does **not exceed 50 lakh rupees** or such higher amount as may be prescribed which shall **not be more than 10 crore rupees**; **and**

(ii) **turnover** of which as per **profit and loss account for the immediately preceding financial year does not exceed 2 crore rupees** or such higher amount as may be prescribed which shall **not be more than 100 crore rupees**.

Note : As per The Companies (Specification of Defination Details) Rules, 2014

For the purposes of section 2 (85), paid up capital and turnover of the small company shall not exceed rupees 4 crores and rupees 40 crores respectively. (w.e.f. 15/09/2022)

Note : Since CG has prescribed higher limit of paid up capital and turnover limit in rules, therefore, limit of 50 lacs and 2 crore given in Act **becomes irrelevant**.

Exceptions: This section shall not apply to :

(A) a holding company or a subsidiary company;

(B) a company registered under section 8; or

(C) a company or body corporate governed by any special Act

(iii) Company limited by Guarantee

As per Section 2(21) of the Companies Act, 2013, "company limited by guarantee" means a company having the liability of its members limited by the memorandum to such amount as the members may respectively undertake to contribute to the assets of the company in the event of its being wound up.

THEORY QUESTION VIDEO QR CODE

TOPIC	QR CODE
Introduction to Company Accounts	

Space for Personal Notes:-

CHAPTER 11 :- COMPANY ACCOUNTS
UNIT 2 :- ISSUE, FORFEITURE AND REISSUE OF SHARES

1. Defination : A share means " a share in the share capital of a company and it includes stock".

2. What are the different kinds of shares available under the companies act?

Kinds of shares : The share capital shall be of two kinds only –

(a) Equity share capital –
  (i) with voting rights, or
  (ii) with differential rights as to dividend, voting or otherwise.

(b) Preference share capital

3. What is meant by Equity capital?

Answer : Equity Share Capital - It means all Share capital which is not preference share capital. It is also called as Ordinary capital.

Characteristics of Equity shares :

1. **Voting Right & Management Control :** Equity share carry **voting rights** at the GM of the company and have the right to control the management of the company.They are real owners of the company.
2. **Dividend and Bonus :** After paying dividend to preference shareholders at fixed rate, ESH have right to share in the profits of the company in the form of distribution of dividend and bonus shares.
3. **Winding Up :** In the event of winding up of the company, equity share capital is repayable only after repayment of amount due to creditors and preference share capital.

4. What is meant by Preference share and what are the different types of preference share ?

Answer : Preference shares : It is one, which fulfills both the following conditions :

a) It carries preferential right to receive dividend either at fixed amount or at a fixed rate.
b) On winding up they are entitled to receive repayment of capital before ESH.

5. Share Capital :

Definition: Share capital means the capital raised by a company by the issue of shares.

i) Authorised or Nominal Capital or Registered Capital :

- This is the **nominal value of the shares** which a company is authorized to issue **by its Memorandum of Association (Capital Clause)**.
- It is the maximum capital of company.
- It is shown in MOA as under :
- 100000 equity shares of Rs. 10 each = 10 lakhs.

ii) Issued capital :

- Issued capital is the nominal value of the shares which are offered to the public for subscription.
- It includes the shares allotted for consideration other than cash.
- It is always calculated on face value.
- The issued capital can never exceed the authorized capital.

iii) Subscribed Capital :

- Sometimes, all the shares which are offered to the public for subscription may not be taken up.
- In such a case, that part of the issued capital which is taken up by the public is called the subscribed capital.
- It is also calculated on nominal value.
- It Can't exceed issued capital.

iv) Called up capital: That part of the subscribed capital which has been called -up on the shares allotted is called Called up Capital.

v) Uncalled capital :

- The amount which has not called up from shareholder is uncalled capital.
- The company may call this amount any time but this is subject to the terms of issue of shares and the provisions of the Articles.

vi) Paid Up Capital :

- This is that part of the issued capital which has been paid up by the shareholders.
- This amount can be calculated as "Called up capital – Calls in arrears"

Example : A company is registered with a capital of Rs. 1,00,000 divided into 10,000 shares of Rs. 10 each. The authorized capital of the company in such a case is Rs. 1,00,000. The company offers 8,000 shares to the public which takes them up. The issued capital of the company is Rs. 80,000. The public applied for 7,500 Shares. The subscribed capital will be Rs. 75,000. The company calls up only Rs. 6 per share. The clled up capital will be Rs. 45,000. Rs. 5,000 could not be recovered. In such a case, the paid up capital will be Rs. 40,000.

vii) Reserve Capital :

- A company may by passing resolution decide.
- a portion of the uncalled capital of a company can be **called only in the event of its winding up**.
- That portion of uncalled capital is called Reserve capital.

Types of Resolution : In general meeting following 2 types of resolution can be passed :

(i) Ordinary Resolution (OR) : If vote cast in favour is more than vote cast against the resolution.

(ii) Special Resolution (SR) : If vote cast in favour is at least 3 times the vote cast against the resolution.

Issue of shares

1. **At Par**
2. **At Premium**

6. SECURITIES ISSUED AT A PREMIUM :

(1) When securities are issued at a value which is more than its nominal value, the excess is called security premium. (SP = Issue Price – Face Value)

(2) Where a company issues securities at a premium, the amount of premiums shall be transferred to **"The Securities Premium Account". (**Because it is not a part of capital. It is a gain of capital nature**).**

(3) The securities premium account may be **utilized** by the company for following purpose :-

(a) in issuing un-issued shares of company to members as **fully paid bonus securities;**

(b) in writing off the **preliminary expenses** of the company;

(c) in writing off the **expenses, or commission** paid **or discount** allowed on, any issue of shares or debentures; or

(d) in providing for the **premium payable** on redemption of any Redeemable Preference Share/Deb.

(e) for the purchase of own shares or other securities.

Note :

1. There is no maximum limit for collecting premium amount.
2. If may be noted that certain class of Companies whose financial statements comply with the accounting standards as prescribed under Section 133 of the Companies Act, 2013, can't apply the securities premium account for the purposes (b) and (d) mentioned above.

7. Qu : Can Security Premium be collected for consideration other than cash ?

Ans : Yes. Security premium can be collected for consideration other than cash. For example, if company purchased a building for Rs. 50 lack and issued shared for the face value of Rs. 40 lacks. In this case co. has collected premium of Rs. 10 lacks.

Thus it is clear that a company can issue securities at a premium also for a consideration other than cash.

ACCOUNTING TREATMENT

1. Balance of Security premium Account is shown on the liabilities side of the company's Balance sheet under the heading "Reserves and Surplus".
2. Premium amount can be collected at any of the stage i.e. application or allotment or call. When share are issued at a premium, the journal entries are as follows :

a) Premium amount called with Application money

i) Bank A/c Dr. [Total Application money + Premium Amount]
To Share Application A/c [Amount received]
(Money received on applications for ------- shares @ Rs. ------- per shares including pre.)

ii) Share Application A/c Dr. [No. of shares applied for x appl. amt per share]
To Securities premium A/c [No. of shares allot. x pre. amount per share]
To Share Capital a/c [No. of shares allotted x per share for capital]

b) premium amount called with Allotment money

i) Share allotment A/c Dr. [No. of shares allot. x allot. and pre. money per share]
To Share Capital A/c [No. of shares allot. x allot. amount per share]
To Securities premium A/c [No. of share allotted x pre. amount per share]
(Amount due on allotment of shares @ Rs.___ per share including premium)

ii) Bank a/c Dr.
To Share Allotment A/c
(Money received including premium consequent upon allotment.)

c) premium amount called with Call money

i) Share Call A/c Dr. [No. of shares allotted x (Allot.+Prem. money per share]
To Share Capital A/c [No. of shares allot. x allot. amount per share]
To Securities premium A/c [No. of share allotted x pre. amount per share]
(Amount due on call of shares @ Rs.___ per share including premium)

ii) Bank a/c Dr.
To Share Call A/c
(Money received including premium consequent upon Call.)

8. POWER TO ISSUE SHARES AT A DISCOUNT (S-53) :

- A company **cannot** issue shares at a discount. If shares are issued at discount, it shall be **VOID**.
- **Exception** : Only sweat equity shares (issue to employee and directors) can be issued at discount.

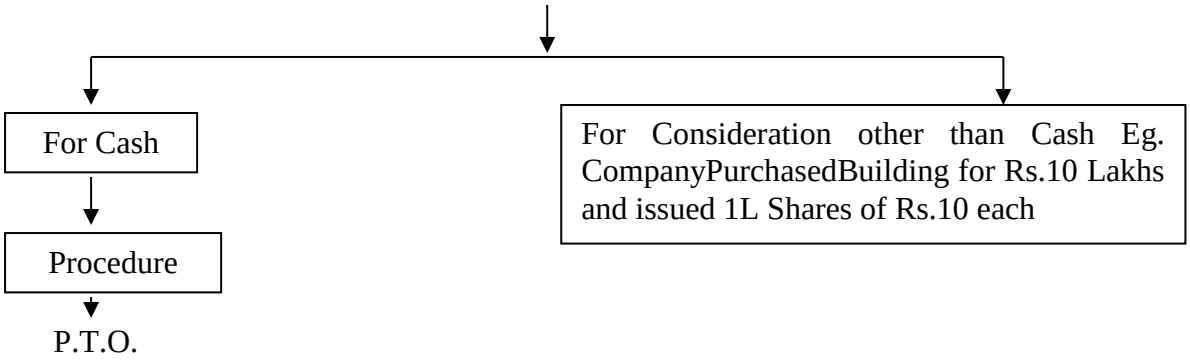
9. ISSUE OF SWEAT EQUITY SHARES (S-79A) :

Meaning of Sweat Equity shares : It means equity shares issued by the company to employees or directors at a discount or for consideration other than cash for providing :

i) Know-how; or
ii) Making available rights in the nature of intellectual property rights; or
iii) Value additions.

ISSUE, FORFEITURE & REISSUE – Concepts based on Practical Problems

1. Issue of Shares



- Company issue Prospectus to Public (Invitation to offer)
- Public makes Application to Company (Offer)
- Company makes Allotment (Acceptance)
- Now it becomes Contract between Company & Shareholder.

2. Meaning of Prospectus : When a Public company wants to raise capital by issuing shares to public, it has to issue a document containing certain details about company and its management etc. This document is called prospectus.

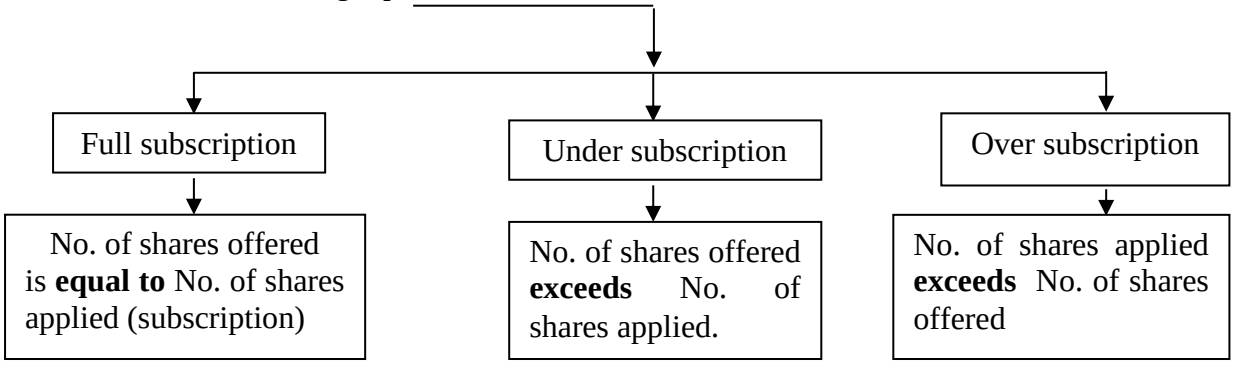
3. Listing : If company wants to make public issue, it must get its shares listed in one or more stock exchanges.

4. What do you mean by Issue price and Nominal or Face value ?
Answer:

- **Nominal or Face value** : Every share has its fixed value which is given in MOA. It is called nominal value. Each company can decide its own nominal value. For ex. Rs. 1, 2, 5, 10, 20, 50, 100 etc.
- **Issue Price** : The price at which shares are issued to public is called Issue price. It may be equals to or exceed than nominal value.
- Shares can be issued at par or at premium.
  - **At PAR** = If issue price is equal to nominal value
  - **At Premium** = If issue price is more than nominal value

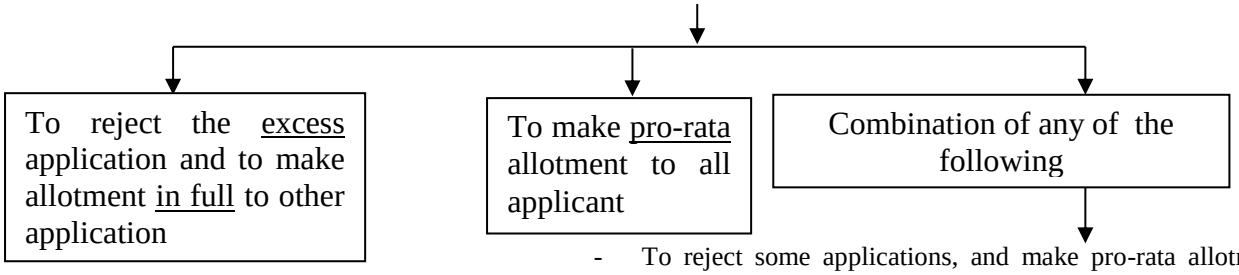
5. Subscription of Shares

1. **Meaning** :- No. of Shares applied by Public is called Subscription.
2. **Accounting** :- Accounting of issue of shares depends upon the subscription of shares. There are following 3 possibilities :-



i) Over Subscription

Following 3 alternatives are available to deal with the situation of over subscription :



- To reject some applications, and make pro-rata allotment tore maining applicants.
- To make allotment in full to some applicants, and make pro-rata to some applicants.
- To reject some (+) allotment in full to some (+) make pro-rata to some applicants.

ii) Under subscription :

1. In case of under subscription, full allotment shall be made.
2. But if even a minimum subscription could not be received then entire application money must be refunded.

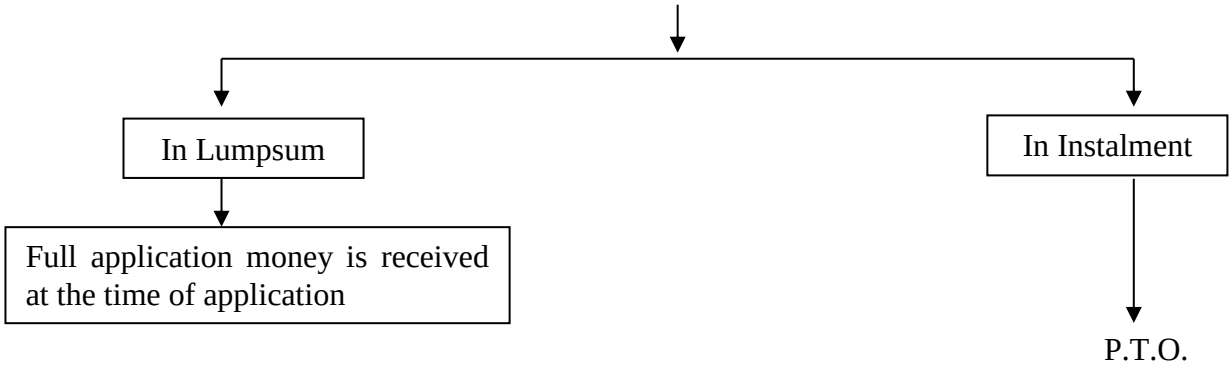
Note :-

1. **Types of Letter** : After making allotment, following 2 types of letters are sent to Investor :
   - Letter ofAllotment (आबंटन पत्र) :– The person to whom shares are allotted.
   - Letter of Regret (खेद पत्र) :- The person whose applicant form is rejected.

2. **Minimum subscription** : A public company can not make allotment of shares unless the amount of minimum subscription given in prospectus has been subscribed and the amount payable as application money has been paid and received by the company.

   As per **SEBI guidelines**, a company must receive a **minimum of 90% subscription** (applicable for public and right offer) before making allotment. If minimum subscription is not received, the entire subscription money shall be refunded to the applicants within 15 days from the date of closure of issue in case of non-underwritten issue and 70 days after the date of closure of issue in case of underwritten issue.If mninum subscription including development obligations paid by underwriter is not received within 60 days of the closure of issue.

6. How the amount is collected from Shareholder / Member



Generally , amount is received in following 4 instalments :

1. **Application Money** – It is received along with application.
2. **Allotment Money :** If share are allotted to a person, allotment money is received.
3. **Call Money** :- After receiving allotment money, if further instalments are called, it is called "Call Money".
   Company generally receives call money in **2 instalments** :-
   (i) First call (ii) Second call

7. ISSUE OF SHARES AT LUMPSUM

AT PAR	AT PREMIUM
Bank A/c Dr. To Share Capital A/c	Bank A/c Dr. To Share Capital A/c To Security Premium

Question 8:
State its rules relating to share application money.
Answer :
Share application money – Rules :

- It must be **atleast 5 % of the nominal value** of shares. (As per Companies Act)
- As per SEBI guidelines, it must be **at least 25% of the issue price.**
- It must be kept deposited in a **scheduled bank** until minimum subscription is received.
- At the time of receiving share application money, **Share Application Account** is opened. It is basically a **PERSONAL ACCOUNT**.

Question 9:
State the meaning & rule of share allotment money.
Answer :
Share allotment money – Meaning & Rules :

- Allotment means the appropriation of unappropriated capital of company.
- On allotment, the shares comes into existence.
- Company can't allot shares, until minimum subscription money is received.
- At the time of receiving share allotment money, **Share Allotment Account** is opened. It is basically a **PERSONAL ACCOUNT**.

Question 10:
State the meaning & rule of share call money.
Answer :
Share Call money – Meaning & Rules :

- It is basically a demand made by company of part of the issue price which has not been paid upto allotment.
- Company may call amount in one or more installment which is called first & second call.
- Call must be made by BOD.
- It must be made on uniform basis.
- Call must not exceed 25% of nominal value of shares. (Table F)
- There must be gap of at least 1 month between 2 calls. (Table F)
- As per SEBI guidelines, if the issue size is upto 500 crores, entire subscription money (i.e. shares must be fully paid up) must be received within 12 months from the date of allotment.
- At the time of receiving share call money, **Share Call Account** is opened. It is basically a **PERSONAL ACCOUNT**.

11. ISSUE OF SHARES FOR CONSIDERATION OTHER THAN CASH

ASSET PURCHASE	BUSINESS PURCHASE	TO UNDERWRITERS	TO PROMOTERS
1. Asset A/c Dr. To Vendor A/c (with actual purchase price of assets) 2. Vendor A/c Dr. (PC) To Share Capital A/c (NV) To SP A/c (Prem) (If shares issued at prem.) 3. Vendor's A/c Dr. (PC) Dis. On issue of sh. Dr. To Share capital (NV) (If shares issued at dis.)	1. Asset A/c Dr. To Liabilities To Vendor (Difference in the above entry is Goodwill (debited) or Capital Reserve (credited) 2. Vendor A/c Dr. To Share Capital A/c (Difference in the above entry is SP or Discount)	U/W Commission A/c Dr To Share Capital A/c (Shares purchased by U/W) Note 1. : U/W is a person who gives guarantee to company that if shares will not be taken by public then he will purchase those shares. For that he get commission from company. 2. U/W's commission cannot exceed **@ 5% of IP or Rate given in AOA, whichever is lower.**	Goodwill A/c Dr. To Share Capital A/c (Shares issued to promoter for his services) Note : Promoter is a person who formed company. After formation of co., he may be given remuneration by way of issue of shares by co.

12. ACCOUNTING PROCEDURE FOR RECORDING ISSUE OF SHARES FOR CASH :

Step 1 : Record receipt of application money.

Bank A/c Dr.
To Share Application A/c

Step 2 : Transfer Application money to share capital Account.

Share Application A/c Dr.
To Share Capital A/c

Step 3 : Allotment money due.

Share Allotment A/c Dr.
To Share Capital A/c

Step 4 : Allotment money received.

Bank A/c Dr.
To Share Allotment A/c

Step 5 : First call money due.

Share First Call A/c Dr.
To Share Capital A/c

Step 6 : First Call money received.

Bank A/c Dr.
To Share First Call A/c

Step 7 : Second call money due.

Share Second Call A/c Dr.
To Share Capital A/c

Step 8 : Second Call money received.

Bank A/c Dr.
To Share Second Call A/c

13. CALLS-IN-ADVANCE

1. **Meaning** : Some shareholders may sometimes pay a part, or whole, of the amount not yet called up, such amount is known as Calls-in-advance. Company can accept calls-in-advance only if it is permitted by AOA.

2. **Interest :** According to Table F, interest at the rate not exceeding 12 % p.a. is to be paid on such advance call money. Interest is calculated from the date on which amount is received till the date on which amount is actually becomes due.

3. **Accounting Entries** : Entry of call-in-advance is always done alongwith cash received.
   i) At the time of receiving Calls-in-Advance account, following entry is recorded.
   Bank A/c Dr.
   To Calls-in-Advance A/c
   ii) When calls become actually due, calls-in-advance account is adjusted at the time of the call. For this the following journal entry in recorded.
   Calls-in-Advance A/c Dr.
   To Particular Call A/c

4. **Presentation in B/S :** The balance in Calls-in-Advance account is shown as a separate item on the liabilities side of the company's balance sheet under the heading **'Share Capital'** but is **not added** to the amount of paid-up capital.

5. **Interest on calls-in-advance – Accounting Entries** :

(i) Interest Due

Interest on Calls-in-Advance A/c Dr. [Amt of interest due for payment]
To Shareholder's A/c

(ii) Payment of Interest

Shareholder's A/c Dr. [Amt of interest paid]
To Bank A/c
(Interest paid on calls-in-advance)

6. **Dividend** : Dividend can't be paid on calls-in-advance.

14. CALLS-IN-ARREARS :

1. **Meaning** : Sometimes, shareholders fails to pay the allotment or call money. The amount unpaid is called "calls-in-arrears".

2. **Interest** :
   - As per Table F, interest is payable @ 10% p.a. Intt or such lower rate, if any, as may be decided by BOD.
   - It is payable from the due date of payment till the date of actual payment.
   - However, the directors have the authority to waive the interest wholly or partially.

3. **B/S – Presentation** : It is shown by way of deduction from called up capital.

4. **Accounting Treatment** : Company may or may not open CIA A/c in the books.

If CIA A/C is not separately opened	If CIA A/C is separately opened
NO Entry.	Bank A/c Dr. CIA A/c Dr. (shown in B/S) To Share allotment / calls

5. Accounting entry for interest on CIA :

i) Shareholder's A/c Dr.
To Intt. On CIA
(interest due)

ii) Bank A/c Dr.
To shareholder's A/c
(Intt. Received)

15. FORFEITURE OF SHARES

1. **Meaning :** The term 'forfeit' actually means taking away of property on breach of a condition. If one or more shareholders fail to pay their allotment and/ or calls on the due dates, the company may forfeit their shares.
2. **Proper Notice :** Befoere forfeiture company must serve proper notice to the defaulting shareholder(s).
3. **Membership – Ceases :** When shares are forfeited, such shareholder cease to become member but the amount paid by him is not refunded to him.
4. **AOA :** Forfeiture must be made **by BOD** according to Articles of Association and it should be ***bonafide*** in the interests of the company.

Accounting Entries :

At the time of passing entry for forfeiture of shares, you must be careful about the following matters:

(i) **Amount called-up** (i.e., amount credited to capital) in respect of forfeited shares.
(ii) **Amount already received** in respect of those shares.
(iii) **Amount due but has not been received** in respect of those shares.

Shares can be issued at par or at a discount or at a premium. Accounting entries for forfeiture will vary according to situations.

I. FORFEITURE OF SHARES WHICH WERE ISSUED "AT PAR"

A. If CIA A/c has not been opened in the books :

Share Capital A/c	Dr.	[No. of shares X called-up value per share i.e. Called up amount]
To Forfeiture Shares A/c		[Amount already received on Forfeiture shares]
To Share Allotment A/c		[If amount due, but not paid]
To Share First Call A/c		[If amount due, but not paid]
To Share Final A/c		[If amount due, but not paid] **OR**

B. If CIA A/c has been opened in the books :

Share Capital A/c	Dr.	[No. of shares X called-up value per share]
To Calls-in-Arrear A/c		[Total amount due, but not paid]
To Forfeiture Shares A/c		[Amount received]

II. FORFEITURE OF SHARES WHICH WERE ISSUED "AT A PREMIUM"

(i) If Premium amount has not been paid :

S/C A/c Dr. (Called up amount)
SP A/c Dr. (Prem. not received)
To Allotment A/c (If amount due but not paid) (including SP, if any)
To Calls (If amount due but not paid) (including SP, if any)
To FS A/c (Amount received)

(ii) If Premium amount has been paid :

S/C A/c Dr. (Called up amount)
To Allotment A/c (If amount due but not paid)
To Calls (If amount due but not paid)
To FS A/c (Amount received)

16. RE-ISSUE OF FOREFIETED SHARES

1. **Meaning :** A Forfeited share may be **sold by BOD**. It is called Re-issue of shares.
2. Reissue of forfeited share is **not allotment** of shares but it is a **sale**.
3. These shares can be re-issued **at any price** (i.e. at par or at premium or at discount) so long so long as the **total amount received** (from the original allottee and the second purchaser) for those share **is not less than the face value of shares**; or
4. **Max. Discount on Reissue** = Amt. forfeited on shares.
5. After re-issue, balance of forfeiture account is transferred to **"Capital Reserve A/c".**It is a Capital Profit.

Accounting Entries :

I. If Re-issue is "AT PAR" :

i) Bank A/c Dr.
To Share Capital A/c
(Amt. recd. On re-issue)

ii) FS A/c Dr.
To Capital Reserve A/c
(Balance of SF A/c after re-issue is transferred to C/R A/c)

II. If Re-issue is "AT PREMIUM" :

i) Bank A/c Dr.
To Share Capital A/c
To SP A/c
(Amt. recd. On re-issue)

ii) FS A/c Dr.
To Capital Reserve A/c
(Balance of SF A/c after re-issue is transferred to C/R A/c)

III. <u>If Re-issue is "AT DISCOUNT" :</u>

If **originally** shares were issued **"At Par or At Premium"**

i) Bank A/c Dr.
FS A/c Dr. (With discount amount or loss on re-issue)
To Share Capital A/c
(Amt. recd. On re-issue)

ii) Forfeited Shares A/c Dr.
To Capital Reserve A/c
(Being the profit on re-issue, transferred to capital reserved)

17. <u>POINTS FOR CONSIDERATION</u>

In connection with re-issue, the following points are important :

1. **Max. loss on re-issue :** Loss on re-issue should not exceed the forfeited amount.
2. **Capital Reserve :** If the Loss on re-issue (discount) is less than the amount forfeited, the surplus should be transferred to Capital Reserve.
3. **Balance of FS A/c – Presentation in B/S :** The forfeited amount on shares not yet re-issued should be shown in the Balance Sheet under the head "Share Capital" as an **"addition to the share capital"**.
4. **Reissue – Part shares :** When only a portion of the forfeited shares are re-issued, then the **profit made on re-issue of such shares** must be transferred to Capital Reserve.
5. When the shares are re-issued at a loss, such loss is to be debited to **"Forfeited Shares Account".**
6. **SP = Re-issue price - Face value :** If the shares are re-issued at a price which is more than the face value of the shares, the excess amount will be credited to **"Securities Premium Account"**.
7. When shares, originally issued at a discount, are re-issued at a loss, the loss to the extent of original discount is debited to Discount on Issue of Shares Account and the balance loss is debited to Forfeited Shares Account.

18. SOME OTHER CONCEPTS :

1. **Right shares :** As per the provisions of Companies Act, whenever the company makes further issue of shares, first it has to offer to its EXISTING EQUITY SHAREHOLDERS. If they don't purchase then it can be sold to outsiders.
2. **DIVIDEND :** Following are some important rules relating to dividend :
   a. It is an appropriation of profit. It means dividend can be given only when there is a profit.
   b. Dividend to preference shareholder is FIXED. But it is VARIED in case of equity shares.
   c. Dividend is proposed by BOD and approved or declared or finalized by Shareholders.
   d. It is always calculated on PAID UP VALUE.
   e. Propoed dividend is shown in Liability side under the head "PROVISION" whereas Declared dividend becomes actual liability, therefore shown in Liability side under the head "CURRENT LIABILITY"
3. **SURRENDER OF SHARES** : If a shareholdervoluntary surrender his shares to the company, it is called surrender of shares.If shares are surrenderd, his name is struck off (removed) from the Register of Member maintained by company.
4. Matters relating to issue and registration of securities is administered by SEBI.
5. Company decides about allotment in consultation with SEBI & Stock Exchange.

CLASS WORK QUESTIONS

Question 1: (B/S)

A Company had registered capital of Rs. 1,00,000 divided into 10,000 equity shares of Rs. 10 each. It decided to issue 6,000 shares for subscription and received applications for 7,000 shares. It allotted 6,000 shares and rejected remaining applications. Upto 31-12-2017, it has demanded or called Rs. 9 per share. All shareholders have duly paid the amount called, except one shareholder, holding 500 shares who paid only Rs. 7 per share.

Prepare a balance sheet assuming there are no other details.

Personal Note:- **Register No. _____** **Page No. _____**

Question 2: (Basic)

A company invited applications for 10,000 equity shares of Rs. 50 each payable on application Rs. 15, on Allotment Rs. 20, on first and final call Rs. 15. Applications are received for 10,000 shares and all the applicants are allotted the number of shares they have applied for and installment money was duly received by the company. Show Journal entries in the books of the company.

Personal Note:- **Register No. _____** **Page No. _____**

Question 3: (Undersubscription) **[RTP Nov-18,19,21]**

On 1st April, 2018, A Ltd. issued 43,000 shares of Rs. 100 each payable as follows:
Rs. 20 on application;
Rs. 30 on allotment;
Rs. 25 on 1st October, 2018; and
Rs. 25 on 1st February, 2019.
By 20th May, 40,000 shares were applied for and all applications were accepted. Allotment was made on 1st June. All sums due on allotment were received on 15th July; those on 1st call were received on 20th October. Jounralise the transactions when accounts were closed on 31st March, 2019.

Refer HW Q. 46

Personal Note:- **Register No. _____** **Page No. _____**

Question 4: (At Premium)

Pioneer Equipment Limited received on October 1, 2018 applications for 25,000 Equity Shares of Rs. 100 each to be issued at a premium of 25 percent payable at thus:

On Application	Rs. 25
On Allotment	Rs. 75 (including premium)
Balance Amount on Shares	As and when required

The shares were allotted by the Company on October 20, 2018 and the allotment money was duly received on October 31, 2018.

Record journal entries in the books of the company to record the transactions in connection with the received the issue of shares.

Personal Note:- **Register No. _____** **Page No. _____**

Question 5: (Call in Advance)

X Ltd. invited applications for 10,000 shares of Rs. 100 each payable as follows:

	Rs.
On Application (On 1st April, 2018)	**20**
On Allotment (on 1st May, 2018)	**30**
First Call (on 1st Oct., 2018)	**30**
Final Call (on 1st Feb., 2019)	**20**

All the shares were applied for and allotted. A shareholder holding 200 shares paid the whole of the amount due along with allotment. Journalise the transactions, assuming all sums due were received. Interest was paid to the shareholder concerned on 1st February, 2019.

Personal Note:- **Register No. _____** **Page No. _____**

Question 6: (Call in Arrears)

Rashmi Limited issued at par 10,000 Equity shares of Rs. 10 each payable Rs. 2.50 on application; Rs.3 on allotment; and balance on the final call. All the shares were fully subscribed and paid except a shareholder having 100 shares could not pay the final call. Give journal entries to record these transactions.

Refer HW Q. 25

Personal Note:- **Register No. _____** **Page No. _____**

Question 7: (Issue of both Eq. and Pre. Share)

The Delhi Artware Ltd. issued 50,000 equity shares of ***Rs***.100 each and 1,00,000 preference shares of Rs.100 each. The Share Capital was to be collected as under:

	Equity Shares Rs.	Preference Shares Rs.
On Application	25	20
On Allotment	20	30
First Call	30	20
Final Call	25	30

All these shares were subscribed. Final call was received on 42,000 equity shares and 88,000 preference shares. Prepare the cash book and journalise the remaining transactions in the books of the company. (Assuming CIA Account not opened)

Personal Note:- **Register No. _____** **Page No. _____**

Question 8: (Call in Advance & Call in Arrears) **[PEQ-JAN.25-15 Marks]**

Rashmi Limited issued at par 1,00,000 Equity shares of Rs. 10 each payable Rs. 2.50 on application; Rs. 3 on allotment; Rs. 2 on first call and balance on the final call. All the shares were fully subscribed. Mr. Nair who held 10,000 shares paid full remaining amount on first call itself. The final call which was made after 3 months from first call was fully paid except a shareholder having 1000 shares who paid his due amount after 2 months along with interest on calls in arrears. Company also paid interest on calls in advance to Mr. Nair. Give journal entries to record these transactions.

[MTP JAN. 25, 15 Marks][PEQ-JAN.25, 15Marks][RTP May-18,21,22(15Marks)]

Refer HW Q. 23, 24, 49

Personal Note:- **Register No. _____** **Page No. _____**

Question 9: (Consideration other then Cash & B/S)

X Co. Ltd. was incorporated with an authorized share capital of 1,00,000 equity shares of Rs. 10 each. The company purchased land and buildings from Y Co. Ltd for Rs. 4,00,000 payable in fully paid-up shares of the company. The balances of the shares were issued to the public, which were fully subscribed and paid for.

You are required to pass Journal Entries and to prepare the Balance Sheet.

Personal Note:- **Register No. _____** **Page No. _____**

Question 10: (Oversubscription and Pro-rata Allotment)

DM Limited issued 25,000 Equity Shares of Rs. 20 each, at par, payable as follows:

On Application	Rs. 5 per share
On Allotment	Rs. 6 per share
On First Call	Rs. 9 per share

Applications were received for 37,500 shares and the Directors made pro-rata allotment to the applicant for 30,000 shares.

Record journal entries for above transactions in the books of the Company.

Personal Note:- **Register No. _____** **Page No. _____**

Question 11: (Oversubscription and Reject Excess App.)

Pant Ltd. invited applications for 50,000 equity shares at Rs. 50 each, which are payable as on application Rs.20, on allotment Rs.10 and on first and final call Rs. 20. The company received applications for 60,000 shares. The directors accepted application for 50,000 shares and rejected the rest. Show Journal entries if company refunded the application money to rejected applicants and allotment money was received for 45,000 shares.

Personal Note:- **Register No. _____** **Page No. _____**

Question 12: (Forfeiture of Share)

A Ltd forfeited 300 equity share of Rs. 10 fully called-up, held by Mr. X for non-payment of final call @ Rs. 4 each. However, he paid application money @ Rs. 2 per share and allotment money @ Rs. 4 per share. These shares were originally issued at par. Give Journal Entry for the forfeiture. (Give Both entries without CIA, with CIA)

Personal Note:- **Register No. _____** **Page No. _____**

Question 13: (Forfeiture of Share)

X Ltd forfeited 200 equity share of Rs. 10 each, Rs. 8 called-up for non-payment of first call money @ Rs. 2 each. Application money @ Rs. 2 per share and allotment money @ Rs. 4 per share have already been received by the company. Give Journal Entry for the forfeiture (assume that all money due is transferred to Calls – in – Arrears Account).

Personal Note:- **Register No. _____** **Page No. _____**

Question 14: (Forfeiture of Share)

X Ltd. forfeited 500 equity shares of Rs. 10 each fully called-up which were issued at a premium of 20%. Amount payable on shares were: on application Rs. 2; on allotment Rs. 5 (including premium) on First and Final call Rs. 5. Only application money was paid by the shareholders in respect of these shares. Pass Journal Entries for the forfeiture.

Refer HW Q. 29

Personal Note:- **Register No. _____** **Page No. _____**

Question 15: (Forfeiture & Reissue) **[RTP- May-18,19 & Nov- 18,19]**

Mr. Long who was the holder of 200 preference shares of Rs. 100 each, on which Rs. 75 per share has been called up could not pay his dues on Allotment and First call each at Rs. 25 per share. The Directors forfeited the above shares and reissued 150 of such shares to Mr. Short at Rs. 65 per share paid-up as Rs. 75 per share.

Give Journal Entries to record the above forfeiture and re-issue in the books of the company.

Refer HW Q. 28, 42, 44

Personal Note :- **Register No. _____** **Page No. _____**

Question 16: (At Premium Forfeiture and Partly Reissue)

[PEQ-Jan.26-10M] [Nov-19 (15 Marks)]

Beautiful Co. Ltd issued 3,000 equity shares of Rs. 10 each payable as Rs. 3 per share on Application, Rs. 5 per share (including Rs. 2 as premium) on Allotment and Rs. 4 per share on Call. All the shares were subscribed. Money due on all shares was fully received excepting Ram, holding 50 shares, failed to pay the Allotment and Call money and Shyam, holding 100 shares, failed to pay the Call Money. All those 150 shares were forfeited. Of the shares forfeited, 125 shares (including whole of Ram's shares) were subsequently re-issued to Jadu as fully paid up at a discount of Rs. 2 per share.

Pass the necessary entries in the journal of company to record the forfeiture and reissue of shares. Also prepare the Balance Sheet of company.

Refer HW Q. 34, 47, 48

Personal Note:- **Register No. _____** **Page No. _____**

Question 17: (Forfeiture & Reissue) [MTP SEP 24 – 5 Marks, Q. 17 (i)][Nov. 18 – 10 Marks]

Give necessary journal entries for the forfeiture and re-issue of shares:

(i) X Ltd. forfeited 300 shares of ₹ 10 each fully called up, held by Ramesh for non-payment of allotment money of ₹ 3 per share and final call of ₹ 4 per share. He paid the application money of ₹ 3 per share. These shares were re-issued to Suresh for ₹ 8 per share.

(ii) X Ltd. forfeited 200 shares of ₹ 10 each (₹ 7 called up) on which Naresh had paid application and allotment money of ₹ 5 per share. Out of these, 150 shares were re-issued to Mahesh as fully paid up for ₹ 6 per share.

(iii) X Ltd. forfeited 100 shares of ₹ 10 each (₹ 6 called up) issued at a discount of 10% to Dimple on which she paid ₹ 2 per share. Out of these, 80 shares were re-issued to Simple at ₹ 8 per share and called up for ₹ 6 per share.

Personal Note:- **Register No. _____** **Page No. _____**

Question 18: (Consideration other then Cash)

Pass necessary Journal entries for the following transactions in the books of Gopal Ltd.: [Grewal]

(i) Purchased furniture for Rs. 2,50,000 from M/s. Furniture Mart. The payment to M/s. Furniture Mart was made by issuing equity shares of Rs. 10 each at a premium of 25%.

(ii) Purchased a running business from Aman Ltd. for a sum of Rs. 15,00,000. The payment of Rs. 12,00,000 was made by issue of fully paid equity shares of Rs. 10 each and balance by a bank draft. The assets and liabilities consisted of the following:
Plant Rs. 3,50,000; Stock Rs. 4,50,000; Land and Building Rs. 6,00,000; Sundry Creditors Rs. 1,00,000.

Personal Note:- **Register No. _____** **Page No. _____**

Question 19: (Pro-rata Allotment & Forfeiture)

Mr. Shami has applied for 1,000 shares of Company XYZ Ltd. paying application money @ Rs. 2 per share but has been allotted only 600 shares. The shares have a face value of Rs. 10 and a premium of Rs. 2 per share, which are payable as: on Allotment- Rs. 5 (including premium) and on final call Rs. 5. Now in case Mr. Shami doesn't pay allotment money and final call and his shares are forfeited, Pass the entry forfeiture.

Refer HW Q. 35, 36

Personal Note:- **Register No. _____** **Page No. _____**

Question 20: (Complete Question) [May-18 (10 Marks), Jan-21 (15 Marks) & RTP-May-20]

Piyush Ltd is a company with an authorized share capital of ₹ 2,00,00,000 in equity shares of ₹ 10 each, of which 15,00,000 shares had been issued and fully paid on 30th June, 2017. The company proposed to make a further issue of 1,30,000 shares of ₹ 10 each at a price of ₹ 12 each, the arrangements for payment being:

(i) ₹ 2 per share payable on application, to be received by 1st July, 2017:

(ii) Allotment to be made on 10th July, 2017 and a further ₹ 5 per share (including the premium) to be payable;

(iii) The final call for the balance to be made, and the money received by 30th April, 2018.

Application were received for 4,20,000 shares and were dealt with as follows:

1. Applicants for 20,000 shares received allotment in full;
2. Applicants for 1,00,000 shares received an allotment of one share for every two applied for; no money was returned to these applicants, the surplus on application being used to reduce the amount due on allotment;
3. Applicants for 3,00,000 shares received an allotment of one share for every five shares applied for; the money due on allotment was retained by company, the excess being returned to the applicants; and
4. The money due on final call was received on the due date.

You are required to record these transactions (including cash items) in the journal of Piyush Ltd.

Refer HW Q. 27

Personal Note:- **Register No. _____** **Page No. _____**

Question 21: (Complete Question) [PEQ-SEP.25-15 Marks]

SK Ltd. invited applications for issuing 3,20,000 equity shares of Rs. 10 each at a premium of Rs. 5 per share. The amount was payable as follows:

On application – Rs. 3 per share (including premium Rs. 1 per share),
On allotment – Rs. 5 per share (including premium Rs. 2 per share),
On First and Final Call – Balance.

Applications for 4,00,000 shares were received. Applications for 40,000 shares were rejected and application money refunded. Shares were allotted on pro rata basis to the remaining applicants. Excess money received with applications was adjusted towards sums due on allotment. Jeevan holding 800 shares failed to pay the allotment money and his shares were immediately forfeited. Afterwards, final call was made. Ganesh who had applied for 2,700 shares failed to pay the final call. His shares were also forfeited. Out of the forfeited shares, 1,500 shares were reissued at Rs. 8 per share fully paid-up. The reissued shares included all the forfeited shares of Jeevan.

Pass necessary Journal entries for the above transactions in the books of the company.

Refer HW Q. 31, 32, 33, 37, 39, 41, 45

Personal Note:- **Register No. _____** **Page No. _____**

Question 22: (Reissue at Different Prices)

National Heavy Chemicals Ltd. forfeited 500 Equity Shares of Rs. 100 each issued at 10% premium (to be paid at the time of allotment) on which first call of Rs. 30 per Equity Share was not received, the second and final call of Rs. 20 per Equity Share was not yet called.

Give Journal entries regarding forfeiture and reissue of shares in each of the following alternative cases:

Case 1. If 200 of these shares were reissued as Rs. 80 paid-up for Rs. 90 per share.
Case 2. If 200 of these shares were reissued as Rs. 80 paid-up for Rs. 80 per share.
Case 3. If 200 of these shares were reissued as Rs. 80 paid-up for Rs. 70 per share.
Case 4. It 200 of these shares were reissued as Rs. 80 paid-up for Rs. 30 per share.
Case 5. If 200 of these shares were reissued as Rs. 80 paid-up for Rs. 50 per share.

Personal Note:- **Register No. _____** **Page No. _____**

HOME WORK QUESTIONS

Question 23: (Call in Arrears & Advance) **[RTP Nov. 20]**

A limited Company, with an authorized capital of Rs. 20,00,000 divided into shares of Rs. 100 each, issued for subscription 10,000 shares payable at Rs. 25 per share on application, Rs. 30 per share on allotment, Rs. 20 per share on first call three months after allotment and the balance as and when required.

The subscription list closed on January 31, 2019 when application money on 10,000 shares was duly received and allotment was made on March 1, 2019.

The allotment amount was received in full but, when the first call was made, one shareholder failed to pay the amount on 1,000 shares held by him and another shareholder with 500 shares paid the entire amount on his shares.

Give journal entries in the books of the Company to record these share capital transactions assuming that all amounts due were received within one month of the date they were called.

Personal Note:- **Register No. _____** **Page No. _____**

Question 24: (Call in Arrears & Advance) **[RTP Nov. 20]**

Taken Kerala Coir Mills Ltd., with a registered capital of 5,00,000 Equity Shares of Rs. 10 each, issued 2,00,000 Equity Shares, payable Rs. 3 on application, Rs. 2 on allotment, Rs. 3 on first call and Rs. 2 on second and final call.

The amount due on allotment was duly received. On the first call being made, one shareholder holding 6,000 Equity Shares paid second and final call along with the first call while five shareholders with a total holding of 10,000 Equity Shares failed to pay the first call on their Equity Shares. Company did not demand the final call.

Pass Journal entries to record the transactions and draw up the company's Balance Sheet.

Personal Note:- **Register No. _____** **Page No. _____**

Question 25: (Call in Arrears & B/S)

Shreyas Ltd. did not receive the first call on 10,000 equity shares @ Rs. 3 per share which was due on 1.7.2020. This amount was received on 1.4.2021.

Open Calls in arrears account and journalise the entries in the books of the company on 1.7.2020 and 1.4.2021. Also show an extract of Balance Sheet on 31.3.2021.

Personal Note:- **Register No. _____** **Page No. _____**

Question 26: (Interest on Call in Arrears, Call in Advance & Sweat Equity Shares)

X Ltd. issued 30,000 shares of ₹ 10 each, payable as under:
₹ 3.00 on Application, payable on 1st April, 2005
₹ 2.00 on Allotment, payable on 1st June, 2005
₹ 2.50 on First Call, payable on 1st Sept., 2005
₹ 2.50 on Final Call, payable on 1st Feb., 2006

Applications were received for 50,000 shares and the allotments were made as under:

To applicants for 24,000 shares …….. Full
To applicants for 18,000 shares …….. 6,000
To applicants for 8,000 shares …….. Nil

Excess money received on application was utilised towards allotment and subsequent calls. Interest on calls in advance was paid @ 6% per annum.

On 15th February 2006, the company also allotted 800 shares of ₹ 10 each at the rate of ₹ 9 per share as sweat equity shares to the employees of the company.

Journalise the transactions, assuming all sums due were received and company closes its books every year on 31st March.

Personal Note:- **Register No. _____** **Page No. _____**

Question 27: (Pro-rata Allotment)

JHP Limited is a company with an authorised share capital of Rs. 1,00,00,000 in equity shares of Rs. 10 each, of which 6,00,000 shares had been issued and fully paid on 30th June, 2016. The company proposed to make a further issue of 1,00,000 of these Rs. 10 shares at a price of Rs. 14 each, the arrangements for payment being:

(a) Rs. 2 per share payable on application, to be received by 1st July, 2016;
(b) Allotment to be made on 10th July, 2016 and a further Rs. 5 per share (including the premium) to be payable;
(c) The final call for the balance to be made, and the money received by 30th April, 2017. Applications were received for 3,55,000 shares and were dealt with as follows:
  (i) Applicants for 5,000 shares received allotment in full;
  (ii) Applicants for 30,000 shares received an allotment of one share for every two applied for; no money was returned to these applicants, the surplus on application being used to reduce the amount due on allotment;
  (iii) Applicants for 3,20,000 shares received an allotment of one share for every four applied for; the money due on allotment was retained by the company, the excess being returned to the applicants; and
  (iv) the money due on final call was received on the due date.

You are required to record these transactions (including cash items) in the Journal of JHP Limited.

Personal Note:- **Register No. _____** **Page No. _____**

Question 28: (Forfeiture & Reissue)

A holds 2000 shares of Rs. 10 each on which he has paid Rs. 2 as application money. B holds 4000 shares of Rs. 10 each on which he has paid Rs. 2 per share as application money and Rs. 3 per share as allotment money. C holds 3000 shares of Rs. 10 each and has paid Rs. 2 on application, Rs. 3 on allotment and Rs. 3 for the first call. They all fail to pay their arrears on the second and final call of Rs. 2 pe share and the directors, therefore, forfeited their shares. The shares are re-issued subsequently for Rs. 12 per share fully paid-up. Journalise the transactions relating to the forfeiture and re-issue.

Personal Note:- **Register No. _____** **Page No. _____**

Question 29: (Excess Application & Forfeiture) **[PEQ-DEC.23-15 Marks]**

B Ltd. issued 20,000 equity shares of Rs. 100 each at a premium of Rs. 20 per share payable as follows: on application Rs. 50; on allotment Rs. 50 (including premium); on final call Rs. 20. Applications were receive for 24,000 shares. Letters of regret were issued to applicants for 4,000 shares and were allotted to all the other applicants. Mr. A, the holder of 150 shares, failed to pay the Allotment and call money, the shares were forfeited. Show the Journal Entries and Cash Book in the books of B Ltd.

Personal Note:- **Register No. _____** **Page No. _____**

Question 30: (Consideration other then Cash, Issue & Forfeiture)

A Ltd. was registered with an authorised capital of Rs. 2,00,000 in Rs. 10 per equity share, of these 6,000 Equity Shares issued as fully paid to the vendor for purchase of building, 8,000 Equity Shares were issued for subscription and during the first year Rs. 5 per Equity Shares were called-up, payable Rs. 2 on application, Rs. 1 on allotment, Rs. 1 on first call and Rs. 1 on second call. The amounts received in respect of these shares were:

On 6,000 Equity Shares the full amount was received,
On 1,250 shares Rs. 4 per Equity Shares,
On 500 shares Rs. 3 per Equity Share,
On 250 shares Rs. 2 per Equity Share.

The company forfeited 750 Equity Shares on which less than Rs. 4 per Equity Share had been paid. Pass Journal entries in the books of the company and also show share capital in the Balance Sheet.

Personal Note:- **Register No. _____** **Page No. _____**

Question 31: (Oversubscription & Pro-rata Allotment)

Z Ltd. offered 80,000 shares to public for subscription. Applications were received for 1,30,000 shares and pro rata allotment was made to the applicants. X applied for 52,000 shares and Y was allotted 16,000 shares.

On the basis of above information, calculate:

(i) How many Applications have been rejected?

(ii) What is the pro rata ratio?

(iii) How many shares were allotted to X?

(iv) How many shares were applied by Y?

Personal Note:- **Register No. _____** **Page No. _____**

Question 32: (Complete Question, Cash book & B/S)

On 1st April, 2015, X Ltd. issued 30,000 Equity Shares of Rs. 10 each at a premium of Rs. 4 per share, payable as follows:

Rs. 6 on application (including Rs. 1 premium),

Rs. 2 on allotment (including Rs. 1 premium),

Rs. 3 on first call (including Rs. 1 premium), and

Rs. 3 on second and final call (including Rs. 1 premium).

Applications were received for 45,000 shares, of which applications for 9,000 shares were rejected and their money was refunded. Rest of the applicants were issued shares on pro rata basis and their excess money was adjusted towards allotment.

Hari, to whom 600 shares were allotted, failed to pay the allotment money and his shares were forfeited after allotment. Mohan, who applied for 1,080 shares failed to pay the two calls and on his such failure, his shares were forfeited.

1,200 forfeited shares were reissued as fully paid-up on receipt of Rs. 9 per share, the whole of Mohan's shares being included.

Prepare Cash Book and pass necessary Journal entries. Also, give the Balance Sheet of the company.

Personal Note:- **Register No. _____** **Page No. _____**

Question 33: (Complete Question and Cash Book)

Sudershan Ltd. invited applications for 1,00,000 Equity Shares of Rs. 10 each. The shares were issued at a premium of Rs. 5 per share. The amount was payable as follows:

On application and allotment Rs. 8 per share (including premium Rs. 3),

The balance including premium on the first and the final call.

Applications for 1,50,000 shares were received. Applications for 10,000 shares were rejected and pro rata allotment was made to the remaining applications on the following basis:

(i) Applicants for 80,000 shares were allotted 60,000 shares and
(ii) Applicants for 60,000 shares were allotted 40,000 shares.

Excess amount received on application and allotment is to be adjusted against amount due on call.

X, who belonged to the first category and was allotted 300 shares, failed to pay the first call money. Y who belonged to the second category and was allotted 200 shares also failed to pay the first call money. Their shares were forfeited. The forfeited shares were reissued @ Rs. 12 per share as fully paid-up.

Prepare Cash Book and pass necessary Journal entries.

Personal Note:- **Register No. _____** **Page No. _____**

Question 34: (Forfeiture & Reissue and B/S) **[PEQ-NOV.22-15 Marks]**

X Ltd. issued 10,000 Equity Shares of Rs. 100 each at a premium of Rs. 20 per share payable as Rs. 30 per share on application, Rs. 50 per share on allotment including premium and Rs. 40 per share on first and final call.

All the shares were subscribed, money due on all shares was received except from Asha, holding 100 shares who failed to pay allotment and call money and Neeru holding 200 shares failed to pay the first and final call money. These 300 shares were forfeited. Out of the Shares forfeited, 150 shares (Including all shares of Asha) were reissued to Raja @ Rs. 80 per share as fully paid-up. Pass Journal entries in the books of the company to record the forfeited and reissue only. Also, show Shareholder's Funds in the Balance Sheet before and after forfeiture and reissue.

Personal Note:- **Register No. _____** **Page No. _____**

Question 35: (Pro-rata Allotment & Forfeiture)

Shagoon India Ltd. issued for subscription 40,000 Equity Shares of Rs. 10 each, at a premium of Rs. 2 per share payable as under:

On application Rs. 2 per share, on allotment Rs. 5 per share (including premium), on first call Rs. 2 per share and on second and final call Rs. 3 per share.

Application were received for 60,000 shares. Allotment was made on pro rata basis to the applicants for 48,000 shares, remaining applications being refused. Money overpaid on application was applied towards amount due on allotment.

A, to whom 1,600 shares were allotted, failed to pay the allotment money and B, to whom 2,000 shares were allotted, failed to pay two calls. These were subsequently forfeited after the second and final call.

Pass Journal entries in the books of Shagoon India Ltd. to record the above transactions including the bank entries.

Personal Note:- **Register No. _____** **Page No. _____**

Question 36: (Pro-rata Allotment & Forfeiture)

Sangita Limited invited applications for issuing 60,000 shares of ₹ 10 each at par. The amount was payable as follows:

On Application	₹ 2 per share
On Allotment	₹ 3 per share
On First and Final Call	₹ 5 per share

Applications were received for 92,000 shares. Allotment was made on the following basis:

(i) To applicants for 40,000 shares — Full
(ii) To applicants for 50,000 shares — 40%
(iii) To applicants for 2,000 shares — Nil

₹ 1,08,000 was realised on account of allotment (excluding the amount carried from application money) and ₹ 2, 50,000 on account of call.

The directors decided to forfeit shares of those applicants to whom full allotment was made and on which allotment money was overdue.

Pass journal entries in the books of Sangita Limited to record the above transactions.

Personal Note:- **Register No. _____** **Page No. _____**

Question 37: (Complete Question & B/S)

X Ltd. issued 60,000 shares of ₹ 10 each at a premium of 20% payable as follows: On Application ₹ 5 (including premium); On Allotment ₹ 3; and On First and Final Call ₹ 4.

The company received applications for 75,000 shares and allotment was made as follows:

List I Applicants for 40,000 shares were allotted in full.
List II Applicants for 25,000 shares were allotted 20,000 shares.
List III Applicants for 10,000 shares were allotted NIL shares.

A shareholder to whom 200 shares were allotted under List I paid full amount due on shares along with allotment money. Another shareholder holding 600 shares failed to pay the amount due on call. His shares were forfeited and 500 of these shares were subsequently re-issued as fully paid @ ₹ 11 per share.

Expenses of issue came to ₹ 20,000 which were fully written off against securities premium A/c.

Pass journal entries in the books of the company. Prepare Balance Sheet also.

Personal Note:- **Register No. _____** **Page No. _____**

Question 38: (Pro-rata Allotment Interest on Call in Advance)

S Ltd. offers 1,00,000 equity shares of ₹ 10 each payable ₹ 3 on application, ₹ 3 on allotment (including premium ₹ 2), ₹ 4 on first call three months after allotment and ₹ 2 on final call three months after first call. Applications were received for 1, 58,500 shares and allotment was made as under:

	Shares allotted
Allotment in full	19,000
(Mr. D) paid in full on allotment in respect of 4,000 shares)	
Allotment of 2/3 of shares applied for	80,000
Allotment of 1/2 of shares applied for	1,000

Application money of ₹ 52,500 in respect of 17,500 shares upon which no allotment was made was returned to applicants. All amounts were received except final call on 100 shares which were forfeited and re-issued later on @ ₹ 9 each. Interest on calls in advance is paid @ 12% p.a.

Give necessary journal entries.

Personal Note:- **Register No. _____** **Page No. _____**

Question 39: (Complete Question)

Alfa Limited invited applications for 4,00,000 of its equity shares of ₹ 10 each on the following terms:

Payable on application	₹ 5 per share
Payable on allotment	₹ 3 per share
Payable on first and final call	₹ 2 per share

Applications for 5,00,000 shares were received. It was decided:

(a) to refuse allotment to the applicants for 20,000 shares;
(b) to allot in full to applicants for 80,000 shares;
(c) to allot the balance of the available shares pro-rata among the other applicants; and
(d) to utilise excess application money in part as payment of allotment money.

One applicant whom shares had been allotted on pro-rata basis, did not pay the amount due on allotment and on the call, and his 400 shares were forfeited. The shares were reissued @ ₹ 9 per share. Show the journal and cash book entries necessary to record the foregoing data.

Personal Note:- **Register No. _____** **Page No. _____**

Question 40: (Complete Question) **[Dec. 23, 5 Marks]**

The Delhi Cloth Mills Ltd. invited applications for 10,000 Shares of ₹ 100 each at a premium of ₹ 10 each payable as below:
₹ 50 on Application;
₹ 35 on Allotment (including premium), and
₹ 25 on Call.

Applications for 15,000 shares were received. Applicants for 2,500 shares did not get any allotment and their money returned. Allotment was made pro-rata to the remaining applicants.

Mr. A was allotted 400 shares. He failed to pay the amount due on allotment and call money. The company forfeited his shares and subsequently re-issued at ₹ 105 per share.
Show the journal and Cash Book entries in the books of the company. Prepare Balance Sheet also.

Personal Note:- **Register No. _____** **Page No. _____**

Question 41: (Complete Question, Party Reissue)

A limited company issued a prospectus inviting applications for 2,00,000 shares of ₹ 10 each at a premium of ₹ 2 per share payable as follows: On Application ₹ 3; On Allotment ₹ 4 (including premium): On First Call ₹ 3 and On Second Call ₹ 2.

Applications were received for 3,00,000 shares and allotment was made on pro-rata basis. Money overpaid on applications was employed on account of sums due on allotment.

R, to whom 400 shares were allotted failed to pay the allotment money' and on his subsequent failure to pay the First Call his shares were forfeited. M, the holder of 600 shares failed to pay the two calls and his shares were forfeited after the Second Call. Of the shares forfeited, 800 shares were sold to K as fully paid, K paying ₹ 9 per share, the whole of R's share being included.

Give journal entries, prepare Bank Account and show how the Share Capital will be shown in the Company's Balance Sheet.

Personal Note:- **Register No. _____** **Page No. _____**

Question 42: (Complete Question) **[RTP JAN. 25][Dec-21 (15 Marks)]**

Fashion Garments Ltd invited applications for issuing 10,000 Equity Shares of Rs. 10 each. The amount was payable as follows:

(i)	On Application	Rs. 1 per share
(ii)	On Allotment	Rs. 2 per share
(iii)	On First Call	Rs. 3 per share

(iv) On Second and Final Call Rs. 4 per share

The issue was fully subscribed. Ram to whom 100 shares were allotted, failed to pay the allotment money and his shares were forfeited immediately after the allotment. Shyam to whom 150 shares were allotted, failed to pay the first call. His shares were also forfeited after the first call. Afterwards the second and final call was made. Mohan to whom 50 shares were allotted failed to pay the second and final call. His shares were also forfeited. All the forfeited shares were re-issued at Rs. 9 per share fully paid-up.

Pass necessary Journal entries in the books of Fashion Garments Ltd.

Personal Note:- **Register No. _____** **Page No. _____**

Question 43: (Complete Question)

[SM ILL-17][JULY-21, PEQ-MAY 25, MTP SEP.- 24, 15 Marks]

X Limited invited applications for issuing 75,000 equity shares of Rs. 10 each at a premium of Rs. 5 per share. The total amount was payable as follows:

- Rs. 9 per share (including premium) on application and allotment
- Balance on the First and Final Call

Applications for 3,00,000 equity shares were received. Applications for 2,00,000 equity shares were rejected and money refunded. Shares were allotted on pro-rata basis to the remaining applicants. The first and final call was made. The amount was duly received except on 1,500 shares applied by Mr. Raj. His shares were forfeited. The forfeited shares were re-issued at a discount of Rs. 4/- per share.

Pass necessary journal entries- for the above transactions in the books of X Limited.

Personal Note:- **Register No. _____** **Page No. _____**

Question 44: (Complete Question) **[Nov-20 (10 Marks)]**

ABC Limited issued 20,000 equity shares of Rs. 10 each payable as:

Rs. 2 per share on application

Rs. 3 per share on allotment

Rs. 4 per share on first call

Rs. 1 per share on final call

All the shares were subscribed. Money due on all shares was fully received except for Mr. Bird, holding 300 shares, who failed to pay first call and final call money. All these 300 shares were forfeited. The forfeited shares of Mr. Bird were subsequently re-issued to Mr. John.as fully paid up at a discount of Rs. 2 per share.

Pass the necessary Journal Entries to record the above transactions in the books of ABC Limited.

Personal Note:- **Register No. _____** **Page No. _____**

Question 45: (Partly Reissue) **[Sep. – 24, 15 Marks][May-29, 10 Marks)]**

Bhagwati Ltd. invited applications for issuing 2,00,000 equity shares of Rs. 10 each.
The amounts were payable as follows:

On application	-	Rs. 3 per share
On allotment	-	Rs. 5 Per share
On first and final call	-	Rs. 2 per share

Applications were received for 3,00,000 shares and pro-rata allotment was made to all the applicants. Money overpaid on application was adjusted towards allotment money. B, who was allotted 3,000 shares, failed to pay the first and final call money. His shares were forfeited. Out of the forfeited shares, 2,500 shares were reissued as fully paid-up @ Rs. 6 per share.

Pass necessary Journal entries to record the above transactions in the books of Bhagwati Ltd.

Personal Note:- **Register No. _____** **Page No. _____**

Question 46: (Undersubscription) **[RTP- MAY 22]**

On 1st June, 2020, Suraj Ltd. issued 43,000 shares of Rs. 100 each payable as follows:
Rs. 20 on application;
Rs. 20 on allotment;
First call of Rs. 30 on 1st Dec, 2020; and
Second and final call of Rs. 30 on 1st March, 2021.
By 20th July, 40,000 shares were applied for and all applications were accepted. Allotment was made on 1st Aug. All sums due on allotment were received on 15th Sept; those on 1st call were received on 20th Dec.
You are required to journalise the transactions when accounts were closed on 31st March, 2021

Personal Note:- **Register No. _____** **Page No. _____**

Question 47: (Forfeiture & Party Reissue) **[RTP-MAY 22]**

Delta Ltd. forfeited 600 shares of Rs. 10 each issued at a premium of 10% to W for nonpayment of first and final call money of Rs. 3 (including Rs. 1 premium). At different intervals of time out of these 400 shares were re-issued to Z, credited as fully paid for Rs. 9 per share and 100 shares were re-issued to X as Rs. 10 paid up for Rs. 11 per share. Record the journal entries for forfeiture and reissue of shares.

Personal Note:- **Register No. _____** **Page No. _____**

Question 48: (Forfeiture & Party Reissue) **[MTP SEP 24 – 10 Marks][RTP-NOV.22]**

Mr. Samphat who was the holder of 12,000 preference shares of Rs. 100 each, on which Rs. 60 per share has been called up could not pay his dues on Allotment and First call each at Rs. 20 per share. The Directors forfeited the above shares and reissued 10,000 of such shares to Mr. Sushil at Rs. 50 per share paid-up as Rs.60 per share.

You are required to prepare journal entries to record the above forfeiture and re-issue in the books of the company.

Personal Note:- **Register No. _____** **Page No. _____**

Question 49: (Call inArrears & Advance) **[RTP-MAY 19, SEP. 24]**

Konica Limited registered with an authorised equity capital of Rs. 2,00,000 divided into 2,000 shares of Rs. 100 each, issued for subscription of 1,000 shares payable at Rs. 25 per share on application, Rs. 30 per share on allotment, Rs. 20 per share on first call and the balance as and when required. Application money on 1,000 shares was duly received and allotment was made to them. The allotment amount was received in full, but when the first call was made, one shareholder failed to pay the amount on 100 shares held by him and another shareholder with 50 shares, paid the entire amount on his shares. The company did not make any other call. Give the necessary journal entries in the books of the company to record these transactions.

Personal Note:- **Register No. _____** **Page No. _____**

Question : 50 **[MTP JAN. 25, 15 Marks](June 23 PEQ) [15 Marks]**

BP Limited issued a prospectus inviting applications for 1,20,000 equity shares of ₹ 10 each at a premium of ₹ 2 per share payable as follows:

On Application	-	₹ 3 per share
On Allotment	-	₹ 5 per share (including premium)
On First and Final Call	-	₹ 4 per share

Applications were received for 3,60,000 equity shares. Applications for 80,000 shares were rejected and the money refunded. Shares allotted to remaining applications as follows:

Category	No. of shares Applied	No. of shares Allotted
I	1,60,000	80,000
II	1,20,000	40,000

Excess money received with applications was adjusted towards sums due on Allotment and the balance amount returned to the applicants. All calls were made duly received except the final call by a shareholder belonging to Category I who has applied for 680 shares. His shares were forfeited. The forfeited shares were reissued at ₹ 13 per share fully paid-up.

Pass necessary journal entries for the above transactions in the books of BP Ltd, Open call in arrears account whenever required.

Personal Note:- **Register No. _____** **Page No. _____**

SOLUTION OF HOME WORK QUESTIONS

Solution 23:

Journal Entries in the Books of the Company

Date	Particulars	L.F.	Debit Amount (Rs.)	Credit Amount (Rs.)
Jan 31	Bank A/c Dr. To equity Share Application A/c (Money received on application for 10,000 shares @ Rs. 25 per share)		2,50,000	2,50,000
March 1	Equity Share Application A/c Dr. To Equity Share Capital A/c (Transfer of application money on 10,000 shares to share capital)		2,50,000	2,50,000
March 1	Equity Share Allotment A/c Dr. To Equity Share Capital A/c (Amount due to the Allotment of 10,000 shares @ Rs. 30 per share)		3,00,000	3,00,000
	Bank A/c Dr. To Equity Share Allotment A/c (Allotment money received)		3,00,000	3,00,000
	Equity Share first Call a/c Dr. To Equity Share Capital A/c (First call money due on 10,000 Shares @ Rs. 20 per Share)		2,00,000	2,00,000
	Bank A/c Dr. Calls-in-Arrears A/c Dr. To Equity Share First Call A/c To Call-in-Advance A/c (First call money received on 9000 shares and call-in advance on 500 shares @ Rs. 25 per shares)		1,92,500 20,000	 2,00,000 12,500

Solution 24:

In the Books of Kerala Coir Mills Ltd.
JOURNAL

Date	Particulars	L.F.	Dr. (Rs.)	Cr. (Rs.)
	Bank A/c …Dr. To Equity Shares Application A/c (Being the application money on 2,00,000 shares @ Rs. 3 per share received)		6,00,000	6,00,000
	Equity Shares Application A/c …Dr. To Equity Shares Capital A/c (Being the application money transferred to Equity Share Capital Account)		6,00,000	6,00,000

	Equity Shares Allotment A/c …Dr. To Equity Share Capital A/c (Being the amount due on allotment on 2,00,000 shares @ Rs. 2 per share)		4,00,000	 4,00,000
	Bank A/c …Dr. To Equity Shares Allotment A/c (Being the allotment money received)		4,00,000	 4,00,000
	Equity Shares First Call A/c …Dr. To Equity Share Capital A/c (Being the first call money due on 2,00,000 shares @ Rs. 3 per share)		6,00,000	 6,00,000
	Bank A/c …Dr. To Equity Shares First Call A/c To Calls-in-advance A/c (Being the first call money received on 1,90,000 shares @ Rs. 3 per share and Rs. 2 per share on 6,000 shares received in advance)		5,82,000	 5,70,000 12,000

BALANCE SHEET OF KERALA COIR MILLS LTD. as at…

Particulars	Note No.	Rs.
I. EQUITY AND LIABILITIES		
1. Shareholder's Funds		
Share Capital	1	15,70,000
2. Current Liabilities		
Other Current Liabilities	2	12,000
Total		**15,82,000**
II. ASSETS		
Current Assets		
Cash and Cash Equivalents	3	15,82,000
Total		**15,82,000**

Notes to Accounts

		Rs.
1. Share Capital		
Authorised Capital		
5,00,000 Equity Shares of Rs. 10 each		50,00,000
Issued Capital		
2,00,000 Equity Shares of 10 each		20,00,000
Subscribed Capital		
Subscribed but not fully paid-up		
2,00,000 Equity Shares of Rs. 10 each; Rs. 8 called-up	16,00,000	
Less: Calls-in-Arrears (10,000 × Rs. 3)	30,000	15,70,000
2. Other Current Liabilities		
Calls-in-Advance		12,000
3. Cash and Cash Equivalents		
Cash at Bank		15,82,000

Solution 25:

Shreyas Ltd.
Journal

Date	Particulars	L.F.	Amount Dr.	Amount Cr.
01.07.2020	Calls in Arrears Dr. To Equity Share First Call A/c (Being amount due on first call on 10,000 shares at ₹ 3 per share transferred to calls in arrears account)		30,000	 30,000
01.04.2021	Bank A/c Dr. To Calls in Arrears A/c (Being calls in arrears received)		30,000	 30,000

Solution 26:

JOURNAL

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
2005				
April 1	Bank A/c Dr.		1,50,000	
	To Share Application A/c			1,50,000
June 1	Share Application A/c Dr.		1,50,000	
	To Share Capital A/c			
	To Share Allotment A/c			90,000
	To Call in Advance A/c (1)			12,000
	To Bank A/c			24,000
June 1	Share Allotment A/c Dr.			24,000
	To Share Capital A/c		60,000	
June 1	Bank A/c Dr.			60,000
	To Share Allotment A/c		48,000	
Sept. 1	Share First Call A/c Dr.			48,000
	To Share Capital A/c		75,000	
Sept. 1	Bank A/c Dr.			75,000
	Calls in Advance A/c Dr.		60,000	
	To Share First Call A/c		15,000	
				75,000
2006				
Feb. 1	Share Final Call A/c Dr.		75,000	
	To Share Capital A/c			75,000
Feb. 1	Bank A/c Dr.		66,000	
	Calls in Advance A/c Dr.		9,000	
	To Share Final Call A/c			75,000
Feb. 1	Interest on Calls in Advance A/c(2) Dr.		585	
	To Bank A/c			585
Feb. 15	Bank A/c Dr.		7,200	
	Share Discount A/c Dr.		800	
	To Share Capital A/c			8,000
Mar. 31	Profit and Loss A/c Dr.		585	
	To Interest on Calls in Advance A/c			585

Working Notes:

(1) Applicants for 18,000 shares have been allotted 6,000 shares. Hence, excess application money received.

On 12,000 shares @ ₹ 3 per share = ₹ 36,000
Less: Amount adjusted on Allotment on 6,000 shares @ ₹ 2 per share = ₹ 12,000
Balance = ₹ 24,000

This amount of ₹ 24,000 will be transferred to Calls in Advance A/c, as it will be adjusted on future calls.
Less: Amount adjusted on 1st Call on 6,000 shares @ ₹ 2.50 per share = ₹ 15,000
Balance = ₹ 9,000
This amount of ₹ 9,000 will be adjusted on Second Call.

(2) Interest will be allowed only on 24,000, as interest is allowed only on that amount which is transferred to 'Calls in Advance A/c
Out of this amount:
Interest on ₹ 15,000 will be allowed from Allotment to First Call, i.e., for 3 months.
Interest on ₹ 9,000 will be allowed from Allotment to Second Call, i.e., for 8 months.

$15{,}000 \times \frac{6}{100} \times \frac{3}{12}$ = ₹ 225

$9{,}000 \times \frac{6}{100} \times \frac{8}{12}$ = ₹ 360

Total Interest = ₹ 585

Solution 27:

Journal of JHP Limited

Date 2016	Particulars	₹	₹
July 1	Bank A/c (Note 1 – Column 3) Dr. To Equity Share Application A/c (Being application money received on 3,55,000 shares @ ₹ 2 per share)	7,10,000	 7,10,000
July 10	Equity Share Application A/c Dr. To Equity Share Capital A/c To Equity Share Allotment A/c (Note 1 Column 5) To Bank A/c (Note 1 – Column 6) (Being application money on 1,00,000 shares transferred to Equity Share Capital Account; on 2,15,000 shares adjusted with allotment and on 40,000 shares refunded as per Board's Resolution No…..dated…)	7,10,000	 2,00,000 4,30,000 80,000
	Equity Share Allotment A/c Dr. To Equity Share Capital A/c To Securities Premium A/c (Being allotment money due on 1,00,000 shares @ ₹ 5 each including premium at ₹ 4 each as per Board's Resolution No…. dated….)	5,00,000	 1,00,000 4,00,000
	Bank A/c (Note 1 – Column 8) Dr. To Equity Share Allotment A/c (Being balance allotment money received)	70,000	 70,000

	Equity Share Final Call A/c Dr. To Equity Share Capital A/c (Being final call money due on 1,00,000 shares @ ₹ 7 per share as per Board's Resolution No…..dated….)	7,00,000	7,00,000
2017 April	Bank A/c Dr. To Equity Share Final Call A/c (Being final call money on 1,00,000 shares @ ₹ 7 each received)	7,00,000	7,00,000

Working Notes:

(1) Calculation for Adjustment and Refund

Category	No. of Shares Applied for (1)	No. of Shares Allotted (2)	Amount Received on Application (3)	Amount Required on Application (4)	Amount adjusted on Allotment (5)	Refund [3 - 4 + 5] (6)	Amount due on Allotment (7)	Amount received on Allotment (8)
(i)	5,000	5,000	10,000	10,000	Nil	Nil	25,000	25,000
(ii)	30,000	15,000	60,000	30,000	30,000	Nil	75,000	45,000
(iii)	3,20,000	80,000	6,40,000	1,60,000	4,00,000	80,000	4,00,000	Nil
TOTAL	**3,55,000**	**1,00,000**	**7,10,000**	**2,00,000**	**4,30,000**	**80,000**	**5,00,000**	**70,000**

Also,

(i) Amount Received on Application (3) = No. of shares applied for (1) x ₹ 2

(ii) Amount Required on Application (4) = No. of shares allotted (2) x ₹ 2

(iii) Amount adjusted on allotment (5) is maximum of following:

Excess received on application i.e. (3 - 4)

Or

Amount due on allotment (7) i.e. ₹ 5 x No. of shares allotted (2)

Solution 28:

Journal

Date	Particulars	Rs.	Rs.
	Share Capital A/c (9,000 x Rs. 10) Dr.	90,000	
	To Share Allotment A/c (2,000 x Rs. 3)		6,000
	To Share First Call A/c (6,000 x Rs. 3)		18,000
	To Share Final Call A/c (9,000 x Rs. 2)		18,000
	To Forfeited Shares A/c		48,000
	(Being forfeiture of 9,000 shares of Rs. 10 each for non-payment of allotment, first and final call money as per Board's Resolution No….. dated….)		
	Bank A/c (9,000 x Rs. 12) Dr.	1,08,000	
	To Share Capital A/c		90,000
	To Securities Premium A/c		18,000
	(Being there- issue of 9,000 shares of Rs. 10 each @ Rs. 12 as per Board's Resolution No…..dated…)		
	Forfeited Shares A/c Dr.	48,000	
	To Capital Reserve A/c		48,000
	(Being profit on re-issue transferred to Capital Reserve).		

Working Note:

	Money Received				Money Not Received On		
	Application	**Allotment**	**First Call**	**FinalCall**	**Allotment**	**First Call**	**FinalCall**
A	2,000	-	-	-	2,000	2,000	2,000
B	4,000	4,000	-	-	-	4,000	4,000
C	3,000	3,000	3,000	-	-	-	3,000
Total	9,000	7,000	3,000	-	2,00	6,000	9,000
Money Receivable	Rs. 2	Rs. 3	Rs. 3	Rs. 2	Rs. 3	Rs. 3	Rs. 2
	Rs. 18,000	Rs. 21,000	Rs. 9,000	-	Rs. 6,000	Rs. 18,000	Rs. 18,000

Solution 29:

In the Books of B Ltd.
Cash Book (Bank column only)

Date	Particulars	Rs.	Date	Particulars	Rs.
	To Equity share Application A/c (Being application money received on 24,000 shares @ Rs. 50 each)	12,00,000		By Equity Share Application A/c (Being excess money refunded on 4,000 Shares @ Rs. 50 each as per Board's resolution No…. dated….)	2,00,000
	To Equity Share Allotment A/c (Being allotment money received on 19,850 shares @ Rs. 50 each)	9,92,500		By Balance c/d	23,89,500
	To Equity Share Final Call A/c (Being final call money received on 19,850 Share @ Rs. 20 each)	3,97,000			
		25,89,500			**25,89,500**

Journal Entries

Date	Particulars		Rs.	Rs.
	Equity Share Application A/c	Dr.	10,00,000	
	To Equity Share Capital A/c			10,00,000
	(Being application money on 20,000 shares @ Rs. 50 each transferred to Equity Share Capital Account as per Board's resolution No …dated….)			
	Equity Share Allotment A/c	Dr.	10,00,000	
	To Equity Share Capital A/c			6,00,000
	To securities premium A/c			4,00,000
	(being allotment money @ Rs. 50 per Share including premium of Rs. 20 per Share being made due as per board's resolution no ….dated…….)			
	Equity Share 1st Call	Dr.	4,00,000	
	To Equity Share Capital (20,000 x 20)			4,00,000
	Equity Share Capital A/c (150 × Rs. 100)	Dr.	15,000	
	Securities premium A/c (150 × Rs. 20)	Dr.	3,000	
	To Equity Share Allotment A/c			7,500
	To Equity Share Final Call A/c			3,000
	To Forfeited Share A/c			7,500

	(Being forfeiture of 150 Share for Non-payment of allotment money and final call money as per board's resolution No……dated….)		

Note: Here, securities premium on forfeited shares has not been realised, so Securities Premium Account will be debited at the time of forfeiture of these shares.
Also, Alternatively Call in arrears A/c could have been used in which case following entries would have been passed:

On no-receipt of allotment money

Calls in Arrears A/c	Dr.	7,500	
To Equity Share Allotment A/c			7,500

(Being allotment money on 150 shares @ Rs. 50 not received transferred to calls in arrears.)

On non-receiptof call money

Calls in Arrears A/c	Dr.	3,000	
To Equity share Final Call A/c			3,000

(Being final call on 150 shares @ Rs. 20 not received transferred to calls in arrears)

On Forfeiture:

Share Capital A/c (150 x Rs. 100)	15,000	
Securities Premium A/c (150 x Rs. 20)	3,000	
To Calls in Arrears A/c		10,500
To Share Forfeiture A/c		7,500

(Being forfeiture of 150 shares for non-payment of allotment money and final call money as per Board's Resolution No….dated…)

Solution 30:

JOURNAL

Date	Particulars	L.F.	Dr. (Rs.)	Cr. (Rs.)
	Building A/c …Dr. To Vendor's A/c (Being the building purchased)		60,000	 60,000
	Vendor's A/c …Dr. To Equity Shares Capital A/c (Being the issue of 6,000 Equity Shares of Rs. 10 each as fully paid in consideration of building purchased)		60,000	 60,000
	Bank A/c …Dr. To Equity Shares Application A/c (Being the application money received on 8,000 Equity Shares @ Rs. 2 per share)		16,000	 16,000
	Equity Shares Application A/c …Dr. To Equity Share Capital A/c (Being the transfer of application money to Equity Share Capital Account)		16,000	 16,000
	Equity Shares Allotment A/c …Dr. To Equity Share Capital A/c (Being the amount due on allotment of 8,000 Equity Shares @ Rs. 1 per share)		8,000	 8,000

	Bank A/c …Dr. To Equity Shares Allotment A/c (Note 1) (Being the amount received on the allotment of 7,750 Equity Shares @ Rs. 1 per share)		7,750	 7,750
	Equity Shares First Call A/c …Dr. To Equity Share Capital A/c (Being the amount due on first call of 8,000 Equity Shares @ Rs. 1 per share)		8,000	 8,000
	Bank A/c …Dr. To Equity Shares First Call A/c (Note 2) (Being the amount received on the first call on 7,250 Equity Shares @ Rs. 1 per share)		7,250	 7,250
	Equity Shares Second Call A/c …Dr. To Equity Share Capital A/c (Being the amount due on second call on 8,000 Equity Shares @ Rs. 1 per share)		8,000	 8,000
	Bank A/c …Dr. To Equity Shares Second Call A/c (Note 3) (Being the amount received on the second call on 6,000 Equity Shares @ Rs. 1 per share)		6,000	 6,000
	Equity Share Capital A/c (750 x 5) …Dr. To Forfeited Shares A/c (1500 + 500) To Equity Shares Allotment A/c (250 x 1) To Equity Shares First Call A/c (750 x 1) To Equity Shares Second Call A/c (750 x 1) (Being 750 shares forfeited for non-payment of allotment and calls money) (Note 4)		3,750	 2,000 250 750 750

Notes:

1. A holder of 250 Equity Shares paid only application money. He has not paid allotment money and call money. Therefore, allotment money has been received on 7,750 (i.e., 8,000 – 250) shares @ Rs. 1 each, i.e., Rs. 7,750.
2. First call money has not been paid by the holders of 250 Equity Shares and the holders of 500 Equity Shares. In total, first call money has not been received on 750 Equity Shares.
3. Second call money has not been paid by the holders of 250 Equity Shares and the holders of 500 Equity Shares and holders of 1,250 Equity Shares. In total, second call money has not been received on 2,000 Equity Shares.

STATEMENT SHOWING MONEY RECEIVED AND NOT RECEIVED

Shares	Application Rs. 2	Allotment Rs. 1	First Call Rs. 1	Second Call Rs. 1
6,000	✓	✓	✓	✓
1,250	✓	✓	✓	×
500	✓	✓	×	×
250	✓	×	×	×
Money Received	8,000 × Rs. 2 = Rs. 16,000	7,750 × Rs. 1 = Rs. 7,750	7,250 × Rs. 1 = Rs. 7,250	6,000 × Rs. 1 = Rs. 6,000
Money Not Received	…	250 × Rs. 1 = Rs. 250	750 × Rs. 1 = Rs. 750	2,000 × Rs. 1 = Rs. 2,000

✓ – Money Received, X – Money Not Received.

4. Amount Forfeited :

	Rs.
(a) For 250 Equity Shares, application money @ Rs. 2 per Equity Share	500
(b) For 500 Equity Shares, application money @ Rs. 2 per Equity Share and allotment money @ Rs. 1 per Equity Share	1,500
	2,000

BALANCE SHEET as at…

Particulars	Note No.	Rs.
I. EQUITY AND LIABILITIES		
Shareholder's Funds		
Share Capital	1	97,000

Note to Accounts

			Rs.
1.	**Share Capital**		
	Authorised Capital		
	20,000 Equity Shares of Rs. 10 each		2,00,000
	Issued Capital		
	14,000 Equity Shares of Rs. 10 each		1,40,000
	Subscribed Capital		
	Subscribed and fully paid-up		
	6,000 Equity Shares of Rs. 10 each		60,000
	(above shares have been issued pursuant to a contract for consideration other than cash)		
	Subscribed but not fully paid-up		
	7,250 Equity Shares of Rs. 10 each; Rs. 5 called-up	36,250	
	Less: Calles-in-Arrears (1,250 × Rs. 1) (Amt. not recd. on sh. not forfeited)	1,250	35,000
	Add: Forfeited Shares A/c		2,000
			97,000

Note: Unless forfeited shares are reissued, balance in the Forfeited Shares Account is shown as a separate item in Balance Sheet under the head 'Share Capital'.

Solution 31:

(i) No application was rejected altogether since pro rata allotment was made to all the applicants.

(ii) Pro rata ratio = No. of shares allotted: No. of shares applied
= 80,000:1,30,000 or 8:13
It means that 8 shares are allotted to an applicant who has applied for 13 shares.

(iii) No. of shares allotted to X = $\frac{80,000}{1,30,000}$ x 52,000 or $\frac{8}{13}$ x 52,000 = 32,000 shares.

(iv) No. of shares applied by Y = $\frac{1,30,000}{80,000}$ x 16,000 or $\frac{13}{8}$ x 16,000 = 26,000 shares.

Solution 32:

In the Books of X Ltd.

Dr. CASH BOOK Cr.

Particulars	Rs.	Particulars	Rs.
To Equity Shares Application A/c (45,000 × Rs. 6)	2,70,000	By Equity Shares Applications A/c (9,000 shares × Rs. 6)	54,000
To Equity Shares Allotment A/c (WN 1)	23,520		
To Equity Shares First Call A/c (WN 2) (28,500 shares × Rs. 3)	85,500	By Balance c/d	4,21,320

To Equity Shares Second and Final Call A/c (WN 2) (28,500 shares × Rs. 3)	85,500		
To Equity Share Capital A/c (1,200 shares × Rs. 9)	10,800		
	4,75,320		**4,75,320**

JOURNAL

Date	Particulars	L.F.	Dr. (Rs.)	Cr. (Rs.)
	Equity Shares Application A/c …Dr.		2,16,000	
	To Equity Share Capital A/c (30,000 × Rs. 5)			1,50,000
	To Securities Premium A/c (30,000 × Rs. 1)			30,000
	To Equity Shares Allotment A/c (6,000 × Rs. 6)			36,000
	(Being the application money adjusted)			
	Equity Shares Allotment A/c (30,000 × Rs. 2) …Dr.		60,000	
	To Equity Share Capital A/c (30,000 × Rs. 1)			30,000
	To Securities Premium A/c (30,000 × Rs. 1)			30,000
	(Being The allotment money due on 30,000 shares)			
	Equity Share Capital A/c (600 × Rs. 6) …Dr.		3,600	
	Securities Premium A/c (WN 5) …Dr.		480	
	To Equity Shares Allotment A/c [WN 1 (b)]			480
	To Forfeited Shares A/c			3,600
	(Being 600 shares of Hari forfeited for non-payment of allotment money)			
	Equity Shares First Call A/c (29,400 × Rs. 3) …Dr.		88,200	
	To Equity Share Capital A/c (29,400 × Rs. 2)			58,800
	To Securities Premium A/c (29,400 × Rs. 1)			29,400
	(Being the first call money due on 29,400 shares)			
	Equity Shares Second and Final Call A/c (29,400 × Rs. 3) …Dr.		88,200	
	To Equity Share Capital A/c (29,400 × Rs. 2)			58,800
	To Securities Premium A/c (29,400 × Rs. 1)			29,400
	(Being the Second and final call due on 29,400 shares)			
	Equity Share Capital A/c (900 × Rs. 10) …Dr.		9,000	
	Securities Premium A/c (900 × Rs. 2) …Dr.		1,800	
	To Equity Shares First Call A/c (900 × Rs. 3)			2,700
	To Equity Shares Second and Final Call A/c (900 × Rs. 3)			2,700
	To Forfeited Shares A/c			5,400
	(Being 9,000 shares of Mohan forfeited for non-payment of calls)			
	Forfeited Shares A/c (1,200 × Rs. 1) …Dr.		1,200	
	To Equity Share Capital A/c			1,200
	(Being the discount on reissue adjusted against the credit balance of Forfeited Shares Account)			
	Forfeited Shares A/c …Dr.		6,000	
	To Capital Reserve A/c (WN 3)			6,000
	(Being the gain (profit) on reissue transferred to Capital Reserve)			

BALANCE SHEET OF X LTD. as at 1st April, 2015

Particulars	Note. No.	Rs.
I. EQUITY AND LIABILITIES		
Shareholders' Funds		
(a) Share Capital	1	2,98,800
(b) Reserves and Surplus	2	1,22,520
Total		4,21,320

II. ASSETS		
Current Assets		
Cash and Cash Equivalents	3	4,21,320
TOTAL		**4,21,320**

Notes to Accounts

1. Share Capital		**Rs.**
Authorised Capital		
… Equity Shares of Rs. 10 each		…
Issued Capital		
30,000 Equity Shares of Rs. 10 each		3,00,000
Subscribed Capital		
Subscribed and fully paid-up		
29,700 Equity Shares of Rs. 10 each	2,97,000	
Add: Forfeited Shares A/c	1,800	2,98,800
		2,98,800
2. Reserves and Surplus		
Capital Reserve		6,000
Securities Premium (Rs. 30,000 + Rs. 30,000 – Rs. 480 + Rs. 29,400 + Rs. 29,400 – Rs. 1,800)		1,16,520
		1,22,520
3. Cash and Cash Equivalents		
Cash at Bank		4,21,320

Working Notes:

1. (a) Excess amount received from Hari on application:
600 shares were allotted to Hari
Therefore, he must have applied for $\frac{36,000}{30,000} \times 600 = 720$ shares.
Excess application money received from Hari:
(720 shares – 600 shares) × Rs. 6 = 120 shares × Rs. 6 = Rs. 720.

(b) Money due from Hari on allotment:

	Rs.
600 shares × Rs. 2	1,200
Less: Excess application money adjusted on allotment [Rs. 600 as a part of Share Capital (600 × Rs. 1) and balance Rs. 120 as a part of Securities Premium]	720
Money not paid by Hari	480

(c) Money received on allotment:

Total amount due on allotment (30,000 × Rs. 2)	60,000
Less: Excess application money adjusted (6,000 × Rs. 6)	36,000
	24,000
Less: Money not paid by Hari [WN 1(b)]	480
Net amount received on allotment	23,520

2. Mohan applied for 1,080 shares.

   Therefore, he must have been allotted $\frac{30,000}{36,000} \times 1,080 = 900$ shares.

   He has not paid first and second and final call money, as such

   (a) First call money will be received on 29,400 shares – 900 shares of Mohan = 28,500 shares.

   (b) Second and final call money will be received on 29,400 shares – 900 shares of Mohan = 28,500 shares

3. Amount Transferred to Capital Reserve:

   1,200 shares have been reissued which include 900 shares of Mohan and the balance 300 of Hai.

	Rs.
(a) Amount forfeited in respect of Mohan's shares	5,400
(b) Amount forfeited in respect of Hari's shares = $\left(\text{Rs. } 3,600 \times \frac{300}{600}\right)$	1,800
	7,200
Less: Loss on reissue of 1,200 shares @ Rs. 1 each	1,200
Gain on reissue to be transferred to Capital Reserve	6,000

4. Balance in Forfeited Shares Account:

   Profit on 600 shares of Hari 3,600

   Therefore, the balance of Forfeited Shares A/c on 300 unissued shares = $\left(\frac{\text{Rs. } 3,600}{600} \times 300\right)$ 1,800

   It should be noted that forfeited amount of shares not yet reissued will be shown in the Balance Sheet as a part of Capital.

5. Securities premium related to allotment of 600 shares to Hari = 600 × Rs. 1 = Rs. 600, out of this Rs. 120 is already received as surplus application money. Balance of Rs. 480 has not been received by the company. Therefore, at the time of forfeiture, Securities Premium Account will be debited by Rs. 480 to cancel it, because securities Premium Reserve Account was credited at the time of allotment. This should also be considered at the time of forfeiture of Mohan's shares.

Solution 33:

In the Books of Sudershan Ltd.

Dr. CASH BOOK Cr.

Particulars	Rs.	Particulars	Rs.
To Shares Application and Allotment A/c (Application and allotment money on 1,50,000 shares)	12,00,000	By Shares Application and Allotment A/c (Refund of application Money on 10,000 shares @ Rs. 8 per share)	80,000
To Shares First and Final Call A/c (WN 3)	3,78,100		
To Share Capital A/c (Reissue of 500 Shares)	5,000	By Balance c/d	15,04,100
To Securities Premium A/c	1,000		
	15,84,100		**15,84,100**
To Balance b/d	15,04,100		

JOURNAL

Date	Particulars	L.F.	Dr. (Rs.)	Cr. (Rs.)
	Shares Application and Allotment A/c …Dr.		11,20,000	
	To Share Capital A/c (1,00,000 × Rs. 5)			5,00,000
	To Securities Premium A/c (1,00,000 × Rs.3)			3,00,000
	To Calls-in-Advance A/c (40,000 × Rs. 8)			3,20,000

	(Being the transfer of application and allotment money to Share Capital Account and surplus transferred to Calls-in-Advance Account)			
	Shares First and Final Call A/c …Dr. To Share Capital A/c To Securities Premium A/c (Being the first and final call due on 1,00,000 shares)		7,00,000	 5,00,000 2,00,000
	Calls-in-Advance A/c …Dr. To Shares First and Final Call A/c (Being the call-in-Advance adjusted to Shares First and Final Call Account)		3,20,000	 3,20,000
	Share Capital A/c (500 × Rs. 10) …Dr. Securities Premium A/c (500 × Rs. 2) (not recd.) …Dr. To Forfeited Shares A/c (not recd.) To Shares First and Final Call A/c (Being the forfeiture of 300 shares of X and 200 shares of Y for non-payment of calls money)		5,000 1,000	 4,100 1,900
	Forfeited Shares A/c …Dr. To Capital Reserve A/c (WN 4) (Being the balance of Forfeited Shares Account transferred to Capital Reserve)		4,100	 4,100

Working Notes:

1. No. of shares applied by X = 80,000/60,000 × 300 = 400 Shares.
   No. of shares applied by Y = 60,000/40,000 × 200 = 300 Shares.
2. The surplus application and allotment money paid by X (100 Sh.) and Y (100 Sh.) which is adjusted on the first and the final call = 200 Sh. × Rs. 8 = Rs. 1,600.
3. Calculation of first and final call money received:

	Rs.
Amount due on first and final call (1,00,000 × Rs. 7)	7,00,000
Less: Calls-in-Advance	3,20,000
	3,80,000
Less: Not paid by X and Y (500 × Rs. 7 – Rs. 1,600)	1,900
	3,78,100

4. Calculation of amount forfeited on 500 shares:

	Rs.	Rs.
X applied for 400 shares and paid @ Rs. 8	3,200	
Less: Transferred to Securities Premium on 300 Shares @ Rs. 3	900	2,300
Y applied for 300 shares and paid @ Rs. 8	2,400	
Less: Transferred to Securities Premium on 200 Shares allotted to him @ Rs. 3	600	1,800
Amount to be forfeited		4,100

Solution 34:

JOURNAL OF X LTD.

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	Equity Share Capital A/c (300 x ₹ 100) ...Dr. Securities Premium A/c (100 x ₹ 20) ...Dr. To Calls-in-Arrears A/c (WN1) To Forfeited Shares A/c (WN2) (Being the forfeiture of 300 shares for non-payment of allotment and first and final call money on 100 shares and first and final call money on 200 shares)		30,000 2,000	 17,000 15,000

	Bank A/c (150 x ₹ 80) ...Dr. Forfeited Shares A/c (150 x ₹ 20) ...Dr. To Equity Share Capital A/c (Being the reissue of 150 forfeited shares @ ₹ 80 each as fully paid-up)		12,000 3,000	 15,000
	Forfeited Shares A/c ...Dr. To Capital Reserve A/c (WN 3) (Being the gain on reissue transferred to Capital Reserve)		3,000	3,000

BALANCE SHEET (EXTRACT) (BEFORE FORFEITURE OF SHARES)

Particulars		Note No.	₹
I.	**Equity and Liabilities**		
	Shareholders' Funds		
	(a) Share Capital	1	9,85,000
	(b) Reserves and Surplus	2	1,98,000
	Total		11,83,000

Notes to Accounts

1.	**Share Capital**		₹
	Authorised Capital		
	...Equity Shares of ₹ 100 each		...
	Issued Capital		
	10,000 Equity Shares of ₹ 100 each.		10,00,000
	Subscribed capital		
	Subscribed and fully paid-up		
	9,700 Equity Shares of ₹ 100 each		9,70,000
	Subscribed but not fully paid-up		
	300 Equity Shares of ₹ 100 each	30,000	
	Less: Calls-in-Arrears (Excl. SP)	15,000	15,000
			9,85,000
2.	**Reserves and Surplus**		
	Securities Premium (₹ 2,00,000 - ₹ 2,000)		1,98,000

BALANCE SHEET (EXTRACT) (AFTER FORFEITURE OF SHARES)

Particulars		Note No.	₹
I.	**Equity and Liabilities**		
	Shareholders' Funds		
	(a) Share Capital	1	9,85,000
	(b) Reserves and Surplus	2	1,98,000
	Total		**11,83,000**

Notes to Accounts

1.	**Share Capital**		₹
	Authorised Capital		
	...Equity Shares of ₹ 100 each		...
	Issued Capital		
	10,000 Equity Shares of ₹ 100 each.		10,00,000
	Subscribed capital		

	Subscribed and fully paid-up	
	9,700 Equity Shares of ₹ 100 each	
	Add: Forfeited Shares A/c	9,70,000
		15,000
		9,85,000
2.	**Reserves and Surplus**	
	Securities Premium	1,98,000

BALANCE SHEET (EXTRACT) (AFTER REISSUE OF FORFEITED SHARES)

Particulars		Note No.	₹
I.	**Equity and Liabilities**		
	Shareholders' Funds		
	(a) Share Capital	1	9,94,000
	(b) Reserves and Surplus	2	2,01,000
	Total		**11,95,000**

Notes to Accounts

1.	**Share Capital**	₹
	Authorised Capital	
	...Equity Shares of ₹ 100 each	...
	Issued Capital	
	10,000 Equity Shares of ₹ 100 each.	10,00,000
	Subscribed capital	
	Subscribed and fully paid-up	
	9,850 Equity Shares of ₹ 100 each	9,85,000
	Add: Forfeited Shares A/c	9,000
		9,94,000
	*[₹ 15,000 (Amount Forfeited) - ₹ 3,000 (Reissued Discount)- ₹ 3,000 (Transferred to Capital Reserve)]	
2.	**Reserves and Surplus**	
	(a) Capital Reserve	3,000
	(b) Securities Premium	1,98,000

Working Notes:

1. Calculation of Calls-in-Arrears:

		₹
Asha:	Allotment money not paid (100 x 50)	5,000
	Call Money not paid (100 x 40)	4,000
Neeru:	Call money not paid (200 x ₹ 40)	8,000
		17,000

2. Calculation of Amount Forfeited

		₹
Asha:	Application money paid (100 x ₹ 30)	3,000
Neeru:	Application money paid (200 x ₹ 30)	6,000
	Allotment money paid (200 x ₹ 30) (Excluding Premium)	6,000
		15,000

3. Calculation of Amount Transferred to Capital Reserve (Gain on Reissue):
Capital Reserve = No. of Shares Reissued x (Amount Forfeited per share – Discount allowed on reissue per share)
On Asha's Shares = 100 x (₹ 30 - ₹ 20) = ₹ 1,000
On Neeru's Share = 50 x (₹ 60 - ₹ 20) = ₹ 2,000
Amount transferred to capital Reserve ₹ 3,000

Solution 35:

In the Books of Shagoon India Ltd.
JOURNAL

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	Bank A/c ...Dr.		1,20,000	
	To Equity Shares Application A/c			1,20,000
	(Being the application money received on 60,000 shares)			
	Equity Shares Application A/c ...Dr.		1,20,000	
	To Equity Share Capital A/c			80,000
	To Bank A/c			24,000
	To Equity Shares Allotment A/c			16,000
	(Being the application money adjusted and surplus refunded)			
	Equity Shares Allotment A/c ...Dr.		2,00,000	
	To Equity Share Capital A/c			1,20,000
	To Securities Premium A/c			80,000
	(Being the allotment money due)			
	Bank A/c ...Dr.		1,76,640	
	To Equity Shares Allotment A/c			1,76,640
	(Being the remaining allotment money received on 38,400 shares) (WN2)			
	Equity Shares First Call A/c ...Dr.		80,000	
	To Equity Share Capital A/c			80,000
	(Being the first call money due)			
	Bank A/c ...Dr.		72,800	
	To Equity Shares First Call A/c			72,800
	(Being the first call money received on 36,400 shares @ ₹ 2 per share)			
	Equity Shares Second and Final Call A/c ...Dr.		1,20,000	
	To Equity Share Capital A/c			1,20,000
	(Being the second and final call due)			
	Bank A/c ...Dr.		1,09,200	
	To Equity Shares Second and Final Call A/c			1,09,200
	(Being the second and final call money received on 36,400 Shares)			
	Equity Share Capital A/c ...Dr.		36,000	
	Securities Premium A/c ...Dr.		3,200	
	To Equity Shares Allotment A/c (WN-1)			7,360
	To Equity Shares First call A/c			7,200
	To Equity Shares Second and Final Call A/c			10,800
	To Forfeited Shares A/c (WN-3)			13,840
	(Being 1,600 shares forfeited for non-payment of full allotment money and the calls money and 2,000 shares for non-payment of two calls money) (WN1)			

Working Notes:

1. Calculation of the amount due but not paid on allotment in case of A: ₹

(a)	Total number of shares applied by A= 1,600 x 48,000/40,000 = 1,920 Shares	
(b)	Total money sent on application by A (1,920 x ₹ 2)	3,840
(c)	Excess application money [₹ 3,840 – (1,600 x ₹ 2)]	640
(d)	Total amount due on allotment (1,600 x ₹ 5)	8,000
(e)	Amount due but not paid on allotment [₹ 8,000 - ₹ 640(WN1(c)]	7,360

2. Calculation of allotment money received later on:

(a)	total allotment money due (40,000 x ₹ 5)		2,00,000
(b)	Less: (i) Already received	16,000	
	(ii) Not Received (WN1)	7,360	23,360
	Allotment Money received		**1,76,640**

3. Amount received from A on 1600 Shares = 3,840
Amount received from B on 2000 Shares
(Excluding SP)
2000 x 5 = 10,000
13,840

Solution 36:

Books of Sangita Ltd.

JOURNAL

Date	Particulars		L.F.	Dr. (₹)	Cr. (₹)
	Bank A/c	Dr.		1,84,000	
	To Share Application A/c				1,84,000
	Share Application A/c	Dr.		1,84,000	
	To Share Capital A/c				1,20,000
	To Share Allotment A/c (30,000 shares × ₹ 2)				60,000
	To Bank A/c (2,000 Shares × ₹ 2)				4,000
	Share Allotment A/c	Dr.		1,80,000	
	To Share Capital A/c				1,80,000
	Bank A/c	Dr.		1,08,000	
	To Share Allotment A/c				1,08,000
	Share First and Final Call A/c	Dr.		3,00,000	
	To Share Capital A/c				3,00,000
	Bank A/c	Dr.		2,50,000	
	To Share First and Final Call A/c				2,50,000
	Share Capital A/c	Dr.		40,000	
	To Share Allotment A/c				12,000
	To Share First and Final A/c				20,000
	To Share Forfeiture A/c				8,000

Working Note (i)

Calculation of number of Shares on which allotment money is not received:

		₹
Total amount due on allotment: 60,000 Shares × ₹ 3	=	1, 80,000
Less: Excess received on application		
(50,000 shares – 40% i.e., 20,000 shares) × ₹ 2		(60,000)
		1, 20,000
Less: Allotment money received		(1, 08,000)
Amount not received on allotment		12,000

Hence, Number of Shares on which allotment is not received = $\frac{12,000}{3}$ = 4,000 shares

Note : Shares must have been forfeited of Cat. I. In Cat. II due to oversubscription, full amount of allotment has already been received with application money. So, no default on cat. II.

Solution 37:

Date	Particulars		L.F.	Dr. (₹)	Cr. (₹)
	Bank A/c	Dr.		3,75,000	
	To Share application A/c				3,75,000
	Share Application A/c	Dr.		3,75,000	
	To Share Capital A/c (60,000 X 3)				1,80,000
	To Securities Premium A/c (60,000 X 2)				1,20,000
	To Share Allotment A/c (5,000 X 5)				25,000
	To Bank A/c (10,000 X 5)				50,000
	Share Allotment A/c	Dr.		1,80,000	
	To Share Capital A/c				1,80,000
	Bank A/c	Dr.		1,55,800	
	To Share Allotment A/c				1,55,000
	To Calls is Advance A/c				800
	(Receipt of allotment money :				
	60,000 shares @ ₹ 3	1,80,000			
	Less : Already received				
	Along with Application	(25,000)			
		1,55,000			
	Add: Received in advance				
	on 200 shares @ ₹ 4	800			
		1,55,800)			
	Share First & Final Call A/c	Dr.		2,40,000	
	To Share Capital A/c				2,40,000
	Bank A/c	Dr.		2,36,800	
	Calls in Advance A/c	Dr.		800	
	To Share First & Final Call A/c				2,37,600
	Share Capital A/c	Dr.		6,000	
	To Share First & Final Call A/c				2,400
	To Share Forfeiture A/c				3,600
	Bank A/c	Dr.		5,500	
	To Share Capital				5,000
	To Securities Premium				500
	Share Forfeiture A/c[4]	Dr.		3,000	
	To Capital Reserve A/c				3,000
	Share Issue Expenses A/c	Dr.		20,000	
	To Bank A/c				20,000
	Securities Premium A/c	Dr.		20,000	
	To Share Issue Expenses A/c				20,000

BALANCE SHEET OF *X* LTD. as at ……

Particulars	Note No.	Current Year	Previous year
I. EQUITY AND LIABILITIES:			
Shareholder's Funds:		₹	₹
(a) Share Capital	1	5,99,600	
(b) Reserve and Surplus	2	1,03,500	
		7,03,100	
II. ASSETS:			
Current Assets:			
Cash and Cash Equivalents[6]	3	7,03,100	

Notes to Accounts:

Particulars		₹	₹
(1) Share Capital:			
Authorised			
		_____	
		_____	
Issued:			
60,000 Shares of ₹ 10 each fully paid		6,00,000	
Subscribed and Fully Paid Capital:			
59,900 shares of ₹ 10 each fully paid	5,99,000		
Add: Share Forfeiture A/c	600[5]	5,99,600	
(2) Reserves and Surplus:			
Capital Reserve A/c		3,000	
Securities Premium A/c		1,00,500	
		1,03,500	
(3) Cash and Cash Equivalents:			
Cash at Bank			
		7,03,100	

Note (4) Profit on 600 shares = ₹ 3,600

Hence, profit on 500 shares = ₹ $\frac{3,600}{600} \times 500$ = ₹ 3,000

Note (5) Profit on the forfeiture of 600 shares is ₹ 3,600. Out of this amount, profit on the re-issue of 500 shares ₹ 3,000 has been transferred to capital reserve. The balance of ₹ 600 will be shown on the equity and liabilities side of the balance sheet under the head 'Share Capital'.

Solution 38:

JOURNAL

Date	Particulars		L.F.	Dr. (₹)	Cr. (₹)
	Bank A/c	Dr.		4,75,500	
	To Equity Share Application A/c				4,75,500
				4,75,500	
	To Equity Share Capital A/c				3,00,000
	To Equity Share Allotment A/c[1]				1,23,000
	To Bank A/c				52,500
	Equity Share Allotment A/c	Dr.		3,00,000	
	To Equity Share Capital A/c				1,00,000
	To Securities Premium A/c				2,00,000
	Bank A/c	Dr.		2,01,000	
	To Equity Share Allotment A/c				1,77,000
	To Calls in Advance A/c[2]				24,000
	(Allotment money Due :	3,00,000			
	Less : Already received along with Application	1,23,000			
		1,77,000			
	Add; Received in advance	24,000			
		2,01,000			

	Equity Share First Call A/c	Dr.		4,00,000	
	To Equity Share Capital A/c				4,00,000
	Bank A/c	Dr.		3,84,000	
	Calls in Advance A/c	Dr.		16,000	
	To Equity Share First Call A/c				4,00,000
	Equity Share Final Call A/c	Dr.		2,00,000	
	To Equity Share Capital				2,00,000
	Bank A/c	Dr.		1,91,800	
	Calls in Advance A/c	Dr.		8,000	
	To Equity Share Final Call A/c				1,99,800
	Equity Share Capital A/c	Dr.		1,000	
	To Equity Share Final Call A/c				200
	To Share Forfeiture A/c				800
	Bank A/c	Dr.		900	
	Share Forfeiture A/c	Dr.		100	
	To Equity Share Capital A/c				1,000
	Share Forfeiture A/c[(1)]	Dr.		700	
	To Capital Reserve A/c				700
	Interest A/c[(3)]	Dr.		960	
	To Bank A/c				960

Working Note:

(1) Allotment was made as follows:

			Shares Allotted
To the Applicants of	19,000	Shares	19,000
To the Applicants of	1,20,000	Shares	80,000
To the Applicants of	2,000	Shares	1,000
To the Applicants of	17,500	Shares	Nil
	1,58,500		1,00,000

Total Amount Adjusted on Allotment:

	₹
Applicants for 1, 20,000 shares have been allotted 80,000 shares. Hence, excess application money received from them on 40,000 shares @ ₹ 3 per share	1, 20,000
Applicants for 2,000 shares have been allotted 1,000 shares. Hence, excess application money received from them on 1,000 shares @ ₹ 3 per share = ₹ 3,000. Whole of this amount will be adjusted on Allotment because the amount due on allotment on these 1,000 Shares @ ₹3 per share also amounts to ₹ 3,000	3,000
	1, 23,000

(2) Calls in Advance paid by Mr. D on his 4,000 shares:

	₹
For 1st Call @ ₹ 4 per share on 4,000 shares	16,000
For 2nd Call @ ₹ 2 per share on 4,000 shares	8,000
	24,000

(3) Interest on Calls in Advance:

		₹
On ₹ 16,000 for 3 months = $16,000 \times \frac{12}{100} \times \frac{3}{12}$	=	480
On ₹ 8,000 for 6 months = $8,000 \times \frac{12}{100} \times \frac{6}{12}$	=	480
		960

Solution 39:

Particulars	₹	Particular	₹
To Share Application A/c	25,00,000	By Share Application A/c	
To Share Allotment A/c	7,99,300	(20,000 Shares × ₹ 5)	1,00,000
To Share First And Final Call A/c		By Balance c/d	40,02,100
(₹ 8,00,000-400 shares × ₹ 2)	7,99,200		
To Share Capital A/c			
(400 Shares × ₹ 9)	3,600		
	41,02,100		**41,02,100**

JOURNAL

Date	Particulars		L.F.	Dr. (₹)	Cr. (₹)
	Share Application A/c	Dr.		24,00,000	
	To Share Capital A/c				20,00,000
	To Share Allotment A/c				4,00,000
	Share Allotment A/c	Dr.		12,00,000	
	To Share Capital A/c				12,00,000
	Share First and Final Call A/c	Dr.		8,00,000	
	To Share Capital A/c				8,00,000
	Share Capital A/c	Dr.		4,000	
	To Share Allotment A/c				700
	To Share First and Final Call A/c				800
	To Share Forfeiture A/c				2,500
	Share Forfeiture A/c	Dr.		400	
	To Share Capital A/c				400
	Share Forfeiture A/c	Dr.		2,100	
	To Capital Reserve A/c				2,100

Working Note:

Scheme of Allotment:

	Applied for			Allotted	
	20,000	Shares		Nil	
	80,000	Shares		80,000	Shares
Balance	4, 00,000	Shares	Balance	3,20,000	Shares
Total	5, 00,000	Shares	Total	4,00,000	Shares

(i) Excess amount received from the holder of 400 shares on application:

The shareholder who has been allotted 400 shares must have applied for more shares.

If shares allotted were 3, 20,000, shares applied for were = 4,00,000

If shares allotted were 400, shares applied for were = $\frac{4,00,000}{3,20,000} \times 400 = 500$ Shares

Excess application money received from him:

500 shares - 400 shares = 100 shares x ₹ 5 = ₹ 500

			₹
(ii)	Amount due on allotment on these shares = 400 shares x ₹ 3	=	1,200
	Less: Excess received on these shares on application	=	500
	Amount not received on allotment		700

(iii) Amount received on allotment:

Total amount due on allotment = 4, 00,000 shares x ₹ 3	=	12,00,000
Less: Excess received on application	=	4, 00,000
		8, 00,000
Less: Amount not received on allotment		700
Net amount received on allotment in cash		7, 99,300

Solution 40:

CASH BOOK (Bank Column Only)

Particulars	₹	Particular	₹
To Share Application A/c	7,50,000	By Share Application A/c	1,25,000
To Share Allotment A/c	2,16,000	By Balance A/c	11,23,000
To Share First and Final Call A/c	2,40,000		
To Share Capital A/c	40,000		
To Securities Premium	2,000		
Total	**12,48,000**	**Total**	**12,48,000**

JOURNAL

Date	Particulars		L.F.	Dr. (₹)	Cr. (₹)
	Share Application A/c	Dr.		6,25,000	
	To Share Capital A/c (10,000 x 50)				5,00,000
	To Share Allotment A/c (2,500 x 50)				1,25,000
	Share Allotment A/c	Dr.		3,50,000	
	To Share Capital A/c				2,50,000
	To Securities Premium Reserve A/c				1,00,000
	Share First and Final Calls A/c	Dr.		2,50,000	
	To Share Capital A/c				2,50,000
	Share Capital A/c	Dr.		40,000	
	Securities Premium A/c(2)	Dr.		4,000	
	To Share Allotment A/c				9,000
	To Share First and Final Call A/c				10,000
	To Share Forfeiture A/c				25,000
	Share Forfeiture A/c	Dr.		25,000	
	To Capital Reserve A/c				25,000

(1) (A) Excess amount received from A on application:
A has been allotted 400 shares. He must have applied for more shares.
If shares allotted were 10,000 shares applied for were = 12,500
∴ If shares allotted were 400, shares applied for were = $\frac{12,500}{10,000} \times 400$ = 500 shares
Excess application money received from A:
500 Shares – 400 Shares = 100 Shares × ₹ 50 = ₹ 5,000

(B) Amount due from A on allotment:

400 Shares × ₹ 35	= ₹ 14,000
Less: Excess received from A on application	= ₹ (5,000)
Net amount due from a on allotment, which has Not been received	= ₹ 9,000

(C)	Total amount due on allotment 10,000 shares × ₹ 35	= ₹ 3,50,000
	Less: Excess amount received on applications	= ₹ (1,25,000)
	Balance Due	= ₹ 2,25,000
	Less: Amount not received from A on allotment	= ₹ (9,000)
	Net amount received on allotment in Cash	= ₹ 2,16,000

(2) Since the question is silent as to the utilisation of excess application money of ₹ 5,000 (received from A) between share capital and securities premium, it has been assumed that the entire excess ₹ 5,000 is exclusively for share Capital and hence 'Securities Premium Account' has been debited in the entry for forfeiture.

BALANCE SHEET OF DELHI CLOTH MILLS LTD.

Particulars	Note No.	Current Year	Previous year
I. EQUITY AND LIABILITIES:			
Shareholder's Funds:		₹	₹
(a) Share Capital	1	10,00,000	
(b) Reserve and Surplus	2	1,23,000	
		11,23,000	
II. ASSETS:			
Current Assets:			
Cash and Cash Equivalents	3	11,23,000	

Notes to Accounts:

Particulars	₹	₹
(i) Share Capital:		
Authorised Share Capital:		
…….. Shares of ₹ 100 each	……..	
Issued, Subscribed and Fully Paid Capital:		
10,000 Shares of ₹ 100 each	10,00,000	
(ii) Reserve and Surplus:		
Securities Premium A/c	98,000	
Capital Reserve A/c	25,000	
	1,23,000	
(iii) Cash and Cash Equivalents:		
Cash at Bank	11,23,000	

Solution 41:

JOURNAL

Date	Particulars		L.F.	Dr. (₹)	Cr. (₹)
	Bank A/c	Dr.		9,00,000	
	To Share Application A/c				9,00,000
	Shares Application A/c	Dr.		9,00,000	
	To Share Capital A/c				6,00,000
	To Share Allotment A/c				3,00,000
	Share Allotment A/c	Dr.		8,00,000	
	To Share Capital A/c				4,00,000
	To Securities Premium A/c				4,00,000
	Bank A/c(2)	Dr.		4,99,000	
	Share Allotment A/c				4,99,000
	Share First Call A/c	Dr.		6,00,000	
	To Share Capital A/c				6,00,000
	Bank A/c	Dr.		5,97,000	
	To Share First Call A/c				5,97,000
	Share Capital A/c	Dr.		3,200	
	Securities Premium A/c(3)	Dr.		800	
	To Share Allotment A/c				1,000
	To Share First Call A/c				1,200
	To Share Forfeiture A/c				1,800
	Share Second Call A/c	Dr.		3,99,200	
	To Share Capital A/c				3,99,200
	Bank A/c	Dr.		3,98,000	
	To Share Second Call A/c				3,98,000
	Share Capital A/c (4)	Dr.		6,000	
	To Share First Call A/c				1,800
	To Share Second Call A/c				1,200
	To Share Forfeiture A/c				3,000
	Bank A/c	Dr.		7,200	
	Share Forfeiture A/c	Dr.		800	
	To Share Capital A/c				8,000
	Share Forfeiture A/c(6)	Dr.		3,000	
	To Capital Reserve A/c				3,000

Bank Account

Particulars	₹	Particular	₹
To Share application A/c	9,00,000	By Balance c/d	24,01,200
To Share Allotment A/c	4,99,000		
To Share First Call A/c	5,97,000		
To Share Second Call A/c	3,98,000		
To Share Capital A/c	7,200		
	24,01,200		24,01,200

Note: In the above question a Cash Book is not required. However, if a Cash Book is asked, the Bank A/c as prepared above will become a Cash Book and Cash transactions will not be recorded in journal.

EXTRACT OF BALANCE SHEET as at ……

Particulars	Note No.	Current Year	Previous year
1. EQUITY AND LIABILITIES :			
Shareholder's Funds:		₹	₹
(a) Share Capital	1	19,99,000	

Notes to Accounts:

Particulars		₹	₹
(i) Share Capital:			
Authorised:		……..	
Issued :			
2,00,000 shares of ₹ 10 each fully paid		20,00,000	
Subscribed & fully paid capital:			
1,99,800 Shares of ₹ 10 each	19,98,000		
Add: Share Forfeiture A/c	1,000(6)	19,99,000	

(2) **(A) :** Excess amount received from R on application:

R has been allotted 400 shares. He must have applied for more shares.

If shares allotted were 2, 00,000, shares applied for were = 3, 00,000

$\therefore$ If shares allotted were 400, shares applied for were $= \frac{3,00,000}{2,00,000} \times 400$

= 600 shares

Excess application money received from R

= 600 shares – 400 shares = 200 shares × ₹ 3 = ₹ 600

			₹
(B)	Amount due from R on allotment: 400 shares × ₹ 4	=	1,600
	Less: Excess received from R on application	=	600
	Net amount due from R on allotment, which has not been received		1,000
(C)	Total amount due on allotment 2, 00,000 shares × ₹ 4	=	8,00,000
	Less: Excess amount received on application (1, 00,000 shares × ₹ 3)	=	3,00,000
	Balance Due	=	5,00,000
	Less: amount not received from R on allotment	=	1,000
	Net amount received on allotment.	=	4,99,000

(3) Person is due with allotment. R has not paid the amount of allotment. Therefore, Securities premium A/c will be debited by 400 shares × ₹ 2 = ₹ 800.

(4) M has paid the amount of allotment. Therefore, he has paid premium also. Premium once collected cannot be cancelled. As such 'Securities Premium Reserve A/c' will not be debited when his shares are forfeited.

(5) Only 800 shares are re-issued. Therefore, the profit on 800 shares will only be transferred to Capital Reserve:

Profit on 400 shares of R	= ₹ 1,800
Profit on 400 shares of M = $\frac{3,000}{600 \text{ shares}} \times 400$ shares	= ₹ 2,000
	= ₹ 3,800
Less: Loss on re-issued of 800 shares @ ₹ 1 each	₹ 800
	₹ 3,000

(6) Profit on 600 shares of M was ₹ 3,000, out of which 400 shares have been re-issued. Therefore, the balance of profit remaining in Share Forfeiture A/c for 200 shares = $\frac{3,000}{600} \times 200$ = ₹ 1,000 will be shown on the liabilities side of the balance sheet under the Head 'Share Capital'.

Solution 42:

In the books of Fashion Garments Ltd.
Journal Entries

Particulars		L.F.	Debit Amount (Rs.)	Credit Amount (Rs.)
Bank A/c	Dr.		10,000	
To Equity Share Application A/c				10,000
(Money received on applications for 10,000 shares @ Rs. 1 per share)				
Equity Share Application A/c	Dr.		10,000	
To Equity Share Capital A/c				10,000
(Transfer of application money on 10,000 shares to share capital)				
Equity share Allotment A/c	Dr.		20,000	
To Equity Share Capital A/c				20,000
(Amount due on the allotment of 10,000 shares @ Rs. 2 per share)				
Bank A/c	Dr.		19,800	
To Equity Share Allotment A/c				19,800
(Allotment money received on 9,900 shares)				
OR				
Bank A/c	Dr.		19,800	
Calls in arrears A/c	Dr.		200	
To Equity Share Allotment A/c				20,000
(Allotment Amount received except 100 shares)				
Equity Share Capital A/c	Dr.		300	
To Share Forfeiture A/c				100
To Equity Shares Allotment A/c				200
(100 Shares of Ram forfeited)				
OR				
Equity Share Capital A/c	Dr.		300	
To Shares Forfeiture A/c				100
To Calls in arrears A/c				200
(100 shares forfeited due to non-payment of allotment money)				
Equity Share First Call A/c	Dr.		29,700	
To Equity Share Capital A/c				29,700
(First call made due on 9,900 shares at Rs. 3 per share)				
Bank A/c	Dr.		29,250	
To Equity Share First Call A/c				29,250
(First call money received on 9,750 shares at Rs. 3 per share)				
OR				
Bank A/c	Dr.		29,250	
Calls in arrears A/c	Dr.		450	
To Equity Share First Call A/c				29,700
(First Call money received except 150 shares)				

Equity Share Capital A/c	Dr.		900	
To Share Forfeiture A/c				450
To Equity Share First Call A/c				450
(150 Shares of Shyam forfeited)				
OR				
Equity Share Capital A/c	Dr.		900	
To Share Forfeiture A/c				450
To Calls in arrears A/c				450
(150 shares forfeited due to non-payment of First call money)				
Equity Share Second and Final Call A/c	Dr.		39,000	
To Equity Share Capital A/c				39,000
(Second and Final Call made due on 9,750 shares at Rs. 4 per share)				
Bank A/c	Dr.		38,800	
To Equity Share Second and Final Call A/c				38,800
(Second and Final call money received on 9,700 shares at Rs. 4 per share)				
OR				
Bank A/c	Dr.		38,800	
Calls in arrears	Dr.		200	
To Equity Shares Second and Final Call A/c				39,000
(Second and Final call money received except 50 shares)				
Equity Share Capital A/c	Dr.		500	
To Share Forfeiture A/c				300
To Equity Share Second and Final Call A/c				200
(50 Shares of Mohan forfeited)				
OR				
Equity Share Capital A/c	Dr.		500	
To Shares Forfeiture A/c				300
To Calls in arrears A/c				200
(50 shares forfeited due to non-payment of Second and final call money)				
Bank A/c	Dr.		2,700	
Share Forfeiture A/c	Dr.		300	
To Equity Share Capital A/c				3,000
(300 shares reissued at Rs. 9 per share)				
Share Forfeiture A/c	Dr.		550	
To Capital Reserve A/c (W.N.1)				550
(Profit on re-issue transferred to Capital Reserve)				

Working Note-1:

Calculation of amount to be transferred to Capital Reserve:

Surplus out of 100 shares of Ram forfeited	Rs. 100
Surplus out of 150 shares of Shyam forfeited	Rs. 450
Surplus out of 50 shares of Mohan forfeited	Rs. 300
	Rs. 850
Less: Loss on re-issue of shares	Rs. 300
Transferred to Capital Reserve	Rs. 550

Solution 43:

	Particulars		Dr.	Cr.
1	Bank Account	Dr.	27,00,000	
	To Share Application & Allotment A/c			27,00,000
	(Being Application money on 3,00,000 shares at Rs. 9 per share received.)			
2	Share Application & Allotment A/c	Dr.	27,00,000	
	To Share Capital A/c (75,000 x Rs. 4)			3,00,000
	To Securities premium A/c (75,000 x Rs. 5)			3,75,000
	To Bank A/c (2,00,000 x Rs. 9)			18,00,000
	To Share First & Final Call A/c			2,25,000
	(Being application money transferred)			
3	Share First & Final Call A/c (75,000 x 6)	Dr.	4,50,000	
	To Share Capital Account			4,50,000
	(Amount First & Final Call A/c due from members as per Directors, resolution no…….dated……)			
4	Bank Account A/c	Dr.	2,21,625	
	Calls in arrear A/c	Dr.	3,375	
	To Share First & Final Call Account			2,25,000
	(Being Receipt of the amounts due on first call.)			
5	Equity share capital A/c	Dr.	11,250	
	To Share forfeiture A/c			7,875
	To Calls in arrear A/c			3,375
	(Being 1,125 shares forfeited for non-payment of final call.)			
6	Bank Account A/c (1,125 x Rs. 6)	Dr.	6,750	
	Share forfeiture A/c (1,125 x Rs. 4)		4,500	
	To Share Capital Account (1,125 x Rs. 10)			11,250
	(Being forfeited shares reissued at Rs. 4 discount)			
7	Share forfeiture A/c	Dr.	3,375	
	To Capital reserve A/c			3,375
	(Being share forfeiture transferred to capital reserve*)			

Working notes:

1.

Shares Applied	Shares Allotted	Money Received on Application @ Rs.9/-	Money Transferred to Share Capital @ Rs. 4/-	Money Transferred to Security Premium @ Rs. 5/-	Excess Application Money	Share First and Final Call @ Rs. 6/-	Amount received from Share First and Final Call after adjusting excess appl. Money	Money Refunded
2,00000	-	18,00,000	-	-	-	-	-	18,00,000
1,00,000	75,000	9,00,000	3,00,000	3,75,000	2,25,000	4,50,000	4,25,000	-
3,00,000	75,000	27,00,000	3,00,000	3,75,000	2,25,000	4,50,000	4,46,625*	18,00,000

* Rs. 4,50,000 less Rs. 3,375.

2. Number of shares allotted to Mr. Raj = 1,500 x 75,000/1,00,000 = 1,125 shares

3. Calculation of calls in arrear

Application money received from Raj	(1,500 x 9)	13,500
Less: actual application money	1,125 x 9	10,125
Excess Application & Allotment Money Adjusted with first and final call		3,375
Final call due from Raj		6,750
Less: Adjusted with final call		(3,375)
Calls in arrear		3,375

Solution 44:

Date	Particulars	Dr. (Rs.)	Cr. (Rs.)
1.	Bank A/c Dr. To Equity Share Application A/c (Being the application money received for 20,000 shares at Rs. 2 per share)	40,000	40,000
2.	Equity Share Application A/c Dr. To Equity Share Capital A/c (being share allotment made for 20,000 shares at Rs. 2 per share)	40,000	40,000
3.	Equity Share Allotment A/c Dr. To Equity Share Capital A/c (being allotment amount due on 20,000 equity shares at Rs. 3 per share as per Directors' resolution no….date…)	60,000	60,000
4.	Bank A/c Dr. To Equity Share Allotment A/c (Being allotment money received for 20,000 equity shares at Rs. 3 per share)	60,000	60,000
5.	Equity Share First Call Account Dr. To Equity Share Capital A/c (Being first call money due on 20,000 equity shares @ Rs. 4 per share)	80,000	80,000
6.	Bank A/c Dr. To Equity Share First Call Account (Being full amount of first call money received except on 300 shares) **OR** Bank Account Dr. Calls in Arrear A/c Dr. To Equity Share First Call Account (Being full amount of first call money received except on 300 shares)	78,800 78,800 1,200	78,800 80,000
7.	Equity Share Final Call Account Dr. To Equity Share Capital A/c (Being first call and final call money due)	20,000	20,000
8.	Bank Account Dr. To Equity Share Final Call Account (Being full amount of final call money received except on 300 shares) **OR**	19,700	19,700

	Bank Account Dr. Calls in Arrear A/c Dr. To Equity Share Final Call Account (Being full amount of final call money received except on 300 shares)	19,700 300	 20,000
9.	Equity Share Capital A/c (300 x Rs. 10) Dr. To Equity Share first Call Account To Equity Share Final Call Account To Forfeited Shares A/c (Being forfeiture of 300 equity shares for non-payment of call money as per Board's Resolution No…. dated…) **OR** Equity Share Capital A/c Dr. To Forfeited Shares A/c To Calls in Arrears (Being 300 shares forfeited on which first call and final call money was unpaid.)	3,000 3,000	 1,200 300 1,500 1,500 1,500
10.	Bank A/c (300 x Rs. 8) Dr. Forfeited Shares A/c Dr. To Equity Share Capital A/c (Being re-issue of 300 shares @ Rs. 8 each as per Board's Resolution No….dated…)	2,400 600	 3,000
11.	Forfeited Share A/c Dr. To Capital Reserve A/c (Being profit on re-issue transferred to Capital Reserve)	900	 900

Solution 45:

In the books of Bhagwati Ltd.
Journal Entries

Particulars	Dr.	Cr.
Bank A/c Dr. To Equity Share Application A/c (Being the application money received for 3,00,000 shares at Rs. 3 per share)	9,00,000	 9,00,000
Equity Share Application A/c Dr. To Equity Share Capital A/c (2,00,000 x Rs. 3) To Share allotment A/c (Being share allotment made for 2,00,000 shares and excess adjusted towards allotment)	9,00,000	 6,00,000 3,00,000
Equity Share Allotment A/c Dr. To Equity Share Capital A/c (Being allotment amount due on 2,00,000 equity shares at Rs. 5 per share as per Directors' resolution no... dated...)	10,00,000	 10,00,000
Bank A/c Dr. To Equity Share Allotment A/c (Being balance allotment money received for 2,00,000 shares at Rs. 5 per share.)	7,00,000	 7,00,000
Equity Share first and final call A/c Dr. To Equity Share Capital A/c (Being first and final call amount due on 2,00,000 equity shares at Rs. 2 per share as per Directors' resolution no... dated...)	4,00,000	 4,00,000

Bank A/c Calls in arrears A/c To Equity Share first and final call A/c (Being final call received on 1,97,000 shares)	Dr.	3,94,000 6,000	 4,00,000
Share capital A/c (3,000 x Rs. 10) To Forfeited share A/c (3,000 x Rs. 8) To Calls in arrears A/c (3,000 x Rs. 2) (Being forfeiture of 3,000 shares of Rs. 10 each fully called- up for non payment of first and final call @ Rs. 2 as per Directors' resolution no... dated..)	Dr.	30,000	 24,000 6,000
Bank A/c (2,500 x Rs. 6) . Forfeited share A/c (2,500 x Rs. 4) To Equity Share Capital A/c (2,500 x Rs. 10) (Being re-issue of 2,500 shares @ 6)	Dr.	15,000 10,000	 25,000
Forfeited share A/c (2,500 x Rs. 4) To capital reserve A/c (2,500 x Rs. 4) (Being profit on re-issue transferred to capital reserve)		10,000	 10,000

Solution 46:

In the books of Suraj Ltd.
Journal Entries

2020	Particulars		Dr.	Cr.
July 20	Bank Account To Share Application A/c (Application money on 40,000 shares at Rs. 20 per share received.)	Dr.	8,00,000	 8,00,000
Aug 1	Share Application A/c To Share Capital A/c (The amount transferred to Capital Account on 40,000 shares Rs. 20 on application. Directors' resolution no……..dated….)	Dr.	8,00,000	 8,00,000
	Share Allotment A/c To Share Capital A/c (Being share allotment made due at Rs. 20 per share. Directors' resolution no……..dated…)	Dr.	8,00,000	 8,00,000
Sept 15	Bank Account To Share Allotment A/c (The sums due on allotment received.)	Dr.	8,00,000	 8,00,000
Dec. 1	Share First Call Account To Share Capital Account (Amount due from members in respect of first call-on 80,000 shares at Rs. 30 as per Directors, resolution no... dated...)	Dr.	12,00,000	 12,00,000
Dec. 20	Bank Account To Share First Call Account (Receipt of the amounts due on first call.)	Dr.	12,00,000	 12,00,000
2021 March 1	Share Second and Final Call A/c To Share Capital A/c (Amount due on 40,000 share at Rs. 30 per share on second and final call, as per Directors resolution no... dated...)	Dr.	12,00,000	 12,00,000
March 31	Bank Account To Share Second & Final Call A/c (Amount received against the final call on 40,000 shares at Rs. 30 per share.)	Dr.	12,00,000	 12,00,000

Solution 47:

In the Books of Delta Ltd.
Journal Entries

Date	Particulars		L.F.	Dr.	Cr.
1.	Share Capital A/c (600 x Rs. 10)	Dr.		6,000	
	Securities Premium A/c (600 x Rs. 1)	Dr.		600	
	To Calls-in-arrears A/c (600 x Rs. 3)				1,800
	To forfeited Shares A/c (600 x Rs. 8)				4,800
	(Being 600 shares forfeited for non-payment of call money)				
2.	Bank A/c (400 x Rs. 9)	Dr.		3,600	
	Forfeited Shares A/c (400 x Rs. 1)	Dr.		400	
	To Share Capital A/c (400 x Rs. 10)				4,000
	(Being 400 shares re-issued as fully paid-up for Rs. 9 per share)				
3.	Forfeited Shares A/c	Dr.		2,800	
	To Capital Reserve A/c				2,800
	(Being the transfer of profit on re-issue of 400 shares to Z)				
4.	Bank A/c (100 x Rs. 11)	Dr.		1,100	
	To Share Capital A/c (100 x Rs. 10)				1,100
	To Securities Premium A/c (100 x Rs. 1)				100
	(Being 100 shares re-issued to X as fully paid-up for Rs. 11 per share)				
5.	Forfeited Shares A/c (Rs. 4,800 x 100/600)	Dr.		800	
	To Capital Reserve A/c				800
	(Being the transfer of profit on re-issue of 100 shares to X)				

Solution 48:

In the books of Company
Journal

Particulars		Dr. (Rs.)	Cr. (Rs.)
Preference Share Capital A/c (12,000 x Rs. 60)	Dr.	7,20,000	
To Preference Share Allotment A/c			2,40,000
To Preference Share First Call A/c			2,40,000
To Forfeited Share A/c			2,40,000
(Being the forfeiture of 12,000 preference shares Rs.60 each being called up for non-payment of allotment and first call money as per Board's Resolution No……. dated……)			
Bank A/c (10,000 x Rs. 50)	Dr.	5,00,000	
Forfeited Shares A/c (10,000 x Rs. 10)	Dr.	1,00,000	
To Preference Share Capital A/c			6,00,000
(Being re-issue of 10,000 shares at Rs. 60 per share paid-up as Rs. 70 as per Board's Resolution No…..dated….)			
Forfeited Shares A/c	Dr.	1,00,000	
To Capital Reserve A/c (Note 1)			1,00,000
(Being profit on re-issue transferred to Capital Reserve)			

Working Note:

Calculation of amount to be transferred to Capital Reserve

Forfeited amount per share = Rs. 2,40,000/1,20,000	=	Rs.20
Loss on re-issue = Rs. 60 – Rs. 50	=	Rs.10
Surplus per share re-issued		Rs.10

Transferred to capital Reserve Rs.10 x 10,000 = Rs. 1,00,000

Solution 49:

Bank A/c To Equity Share Application A/c (Money received on application for 1,000 shares @ Rs. 25 per share)	Dr.	25,000	 25,000
Equity Share Application A/c To Equity Share Capital A/c (Transfer of application money on 1,000 shares to share capital)	Dr.	25,000	 25,000
Equity Share Allotment A/c To Equity Share Capital A/c (Amount due on the allotment of 1,000 shares @ Rs. 30 per share)	Dr.	30,000	 30,000
Bank A/c To Equity Share Allotment A/c (Allotment money received)	Dr.	30,000	 3000
Equity share First Call A/c To Equity Share Capital A/c (First call money due on 1,000 shares @ Rs. 20 per share)	Dr.	20,000	 20,000
Bank A/c Calls-in-Arrears A/c To Quity Share First Call A/c To Calls-in-Advance A/c (First call money received on 900 shares and calls-in-advance on 50 shares @ Rs. 25 per share)	Dr. Dr.	19,250 2,000	 20,000 1,250

Solution : 50

(a) Journal of BP Limited

Particulars		Dr. (₹)	Cr. (₹)
Bank A/c (Note 1 – Column 3) To Equity Share Application A/c (Being application money received on 3,60,000 shares @ ₹ 3 per share)	Dr.	10,80,000	 10,80,000
Equity Share Application A/c To Equity Share Capital A/c To Equity Share Allotment A/c (Note 1 Column 5) To Bank A/c (Note 1 – Column 6) (Being application money on 2,80,000 shares transferred to Equity Share Capital Account; on 1,60,000 shares adjusted with allotment and on 80,000 shares refunded as per Board's Resolution No…..dated…)	Dr.	10,80,000	 3,60,000 4,40,000 2,80,000
Equity Share Allotment A/c To Equity Share Capital A/c To Securities Premium a/c (Being allotment money due on 1,20,000 shares @ ₹ 5 each including premium at ₹ 4 each as per Board's Resolution No….dated….)	Dr.	6,00,000	 3,60,000 2,40,000
Bank A/c (Note 1 – Column 8) To Equity Share Allotment A/c (Being balance allotment money received)	Dr.	1,60,000	 1,60,000

Equity Share First and Final Call A/c To Equity Share Capital A/c (Being final call money due on 1,20,000 shares @ ₹ 4 per share as per Board's Resolution No…..dated….)	Dr.	4,80,000	 4,80,000
Bank A/c Calls in Arrears A/c To Equity Share First and Final Call A/c (Being final call money on 1,19,660 shares @ ₹ 4 each received)	Dr. Dr.	4,78,640 1,360	 4,80,000
Equity Share Capital A/c To Calls in Arrears A/c To Forfeited Shares A/c Being forfeiture of 340 equity shares for non- payment of call money as per Board's Resolution No…..dated ….)	Dr.	3,400	 1,360 2,040
Bank A/c To Equity Shares Capital A/c To Securities Premium A/c Being re-issue of 340 shares @ ₹ 13 each as per Board's Resolution No…..dated….)	Dr.	4,420	 3,400 1,020
Forfeited Shares A/c To Capital Reserve A/c (Being profit on re-issue transferred to Capital Reserve)	Dr.	2,040	 2,040

Working Note:

Calculation for Adjustment and Refund

Category	No. of Shares Applied for	No. of Shares Allotted	Amount Received on Application	Amount Required on Application	Amount adjusted on Allotment	Refund [3 - 4 + 5]	Amount due on Allotment	Amount received on Allotment
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
Rejected	80,000	Nil	2,40,000	Nil	Nil	2,40,000	Nil	Nil
(i)	1,60,000	80,000	4,80,000	2,40,000	2,40,000	Nil	4,00,000	1,60,000
(ii)	1,20,000	40,000	3,60,000	1,20,000	2,00,000	40,000	2,00,000	Nil
TOTAL	3,60,000	1,20,000	10,80,000	3,60,000	4,40,000	2,80,000	6,00,000	1,60,000

Also,

(i) Amount Received on Application (3) = No. of shares applied for (1) x ₹ 3

(ii) Amount Required on Application (4) = No. of shares allotted (2) x ₹ 3

TEST YOUR KNOWLEDGE

TRUE AND FALSE (SM)

1. Liability of a holder of shares is limited to the face value of shares acquired by them.
2. Authorised capital appears in the balance sheet at face value.
3. The rate of dividend on preference shares may vary From year to year.
4. A company may issue shares at a discount to the public in general.
5. Sweat equity shares are those which are issued to employees & directors at a discount.
6. As per table F, rate of interest on calls in arrears is 12%.
7. As per Table F, rate of interest on calls in advance is 10%.
8. Non-participating preference shareholders enjoy voting rights.
9. A forfeited shares is available to the company for the purpose of resale.
10. Loss on reissue should exceed the forfeited amount.

Answer:

1. **False:** Liability of the holder of shares is limited to the issue price of shares acquired by them.
2. **True:** Authorised capital is the amount of capital mentioned in 'capital clause' of the 'Memorandum of Association'. Authorised capital is considered only as presentation and not considered in total of balance sheet.
3. **False:** Rate of preference dividend is always fixed.
4. **False:** According to Section 53 of the Companies Act, 2013, a Company cannot issue shares at a discount except in the case of issue of sweat equity shares (issued to employees and directors). Thus any issue of shares at discount shall be void.
5. **True:** According to Section 54 of the Companies Act, 2013, a Company can issue sweat equity shares to employees and directors at a discount.
6. **False:** As per table F, rate of interest on calls in arrears is 10%.
7. **False:** As per Table F, rate of interest on calls in advance is 12%.
8. **False:** A share on which only a fixed rate of dividend is paid every year, without any accompanying additional rights in profits and in the surplus on winding-up, is called 'Non-participating Preference Shares. Non-participating preference shareholders do not enjoy voting rights.
9. **True:** Reissue of forfeited shares is not allotment of shares but only a sale.
10. **False:** Loss on re-issue should not exceed the forfeited amount.

ADDITIONAL TRUE OR FALSE FOR SELF PRACTICE

State with reason whether the following statements are true or false (No Marks shall be awarded without valid reason):

1. Maximum number of members in case of private company is 50 .
2. Maximum paid up capital for Public Company is ₹ 5 lakhs and for Private Company is ₹ 1 lakh.
3. Equity Share Capital with differential rights as to voting or dividend cannot be issued.
4. Securities Premium can be applied to issue partly paid bonus shares.
5. Under the Capital Clause of Memorandum of Association, the amount of Issued Capital and its division into shares of fixed amount is required to be stated.
6. Issued Capital refers to paid up value of all shares allotted.
7. Reserve Capital and Capital Reserve carry the same meaning.
8. As per Table F, the Minimum rate of interest that can be charged on Calls-in-Arrear and that can be allowed on calls-in-advance are 10% p.m. and 12% p.m. respectively.
9. While passing an entry for Forfeiture, Share Capital A/c is debited with the amount Paid-up (excluding Securities Premium) till the stage of forfeiture.

10. While passing an entry for Forfeiture, Securities Premium is debited only with the amount of total Securities premium.
11. While passing an entry for Forfeiture Forfeited Shares A/c is credited with the total amount already received (whether on application or allotment or call).
12. While passing an entry for re-issue Share Capital is credited with the amount called up.
13. While passing an entry for re-issue, Securities Premium is credited with excess of re-issue price over the face value.
14. Share Application Account, Share Allotment Account, Share Call Account and Share Capital Account are Real Accounts.
15. Forfeited Shares Account, Securities Premium Account, Calls- in -arrears Account and Calls -in advance Account are Nominal Accounts.

Answer:

1. **False:** Maximum number of members in case of private company is 200.
2. **False:** There is no maximum limit on paid-up capital of companies.
3. **False:** Equity Share Capital with differential rights as to voting or dividend may be issued.
4. **False:** Securities Premium can be applied to issue fully paid bonus shares.
5. **False:** Under the Capital Clause of Memorandum of Association, the amount of Authorized Capital and its division into shares of fixed amount is required to be stated.
6. **False:** Issued Capital refers to nominal value of all shares allotted.
7. **False:** Reserve Capital refers to that portion of uncalled up share capital which can be called up only in the event of wound up. Capital Reserve refers to those amounts which are not regarded as free for distribution by way of dividend.
8. **False:** As per Table F, the maximum rate of interest that can be charged on Calls-in-Arrear and that can be allowed on calls-in-advance are 10%p.a. and 12%p.a. respectively.
9. **False:** While passing an entry for Forfeiture,. Share Capital A/c is debited with the amount called up (excluding Securities Premium) till the stage of forfeiture.
10. **False:** While passing an entry for Forfeiture, Securities Premium is debited only with the amount of Securities premium due but not received.
11. **False:** While passing an entry for Forfeiture Forfeited Shares A/c is credited with the amount already received (excluding Securities Premium) (whether on application or allotment or call).
12. **False:** While passing an entry for re-issue Share Capital is credited with the amount of Paid-up Value.
13. **False:** While passing an entry for re-issue, Securities Premium is credited with excess of re-issue price over the paid up value.
14. **False:** Share Application Account, Share Allotment Account, Share Calf Account and Share Capital Account are Personal Accounts.
15. **False:** Forfeited Shares Account, Securities Premium Account are Nominal Accounts but Calls-in-arrears Account and Calls - in advance Account are Personal Accounts.

MULTIPLE CHOICE QUESTIONS (SM)

1. The excess price received over the par value of shares, should be credited to _____.
   (a) Calls-in-advance account
   (b) Share capital account
   (c) Securities premium account

2. The Securities Premium amount may be utilized by a company for _____.
   (a) Writing off any loss on sale of fixed asset
   (b) Writing off any loss of revenue nature
   (c) Writing off the expenses/discount on the issue of debentures

3. When shares are forfeited, the share capital account is debited with _____ and the share forfeiture account is credited with _____.
   (a) Paid-up capital of shares forfeited; Called up capital of shares forfeited
   (b) Called up capital of shares forfeited; Calls in arrear of shares forfeited
   (c) Called up capital of shares forfeited; Amount received on shares forfeited

4. T Ltd. proposed to issue 6,000 equity shares of ₹100 each at a premium of 40%. The minimum amount of application money to be collected per share as per the Companies Act, 2013
   (a) ₹ 5.00 (b) ₹ 6.00 (c) ₹ 7.00

5. Dividends are usually paid as a percentage of _____.
   (a) Authorized share capital (b) Net profit (c) Paid-up capital

6. As per the SEBI guidelines, on issue of shares, the application money should not be less than
   (a) 2.5% of the nominal value of shares
   (b) 2.5% of the issue price of shares
   (c) 25.0% of the issue price of shares

7. G Ltd. acquired assets worth ₹ 7,50,000 from H Ltd. by issue of shares of ₹100 at a premium of 25%. The number of shares to be issued by G Ltd. to settle the purchase consideration = ?
   (a) 6,000 shares (b) 7,500 shares (c) 9,375 shares

MCQs Answer:

1	**C**	**2**	**C**	**3**	**C**	**4**	**A**	**5**	**C**	**6**	**C**	**7**	**A**

THEORETICAL QUESTIONS:

1. Write short notes on:

(i) Utilization of securities premium account

(ii) Re-issue of forfeited shares

Ans. (i) When a company issues its securities at a price more than the face value, it is said to be an issue at a premium. Premium is the excess of issue price over face value of the security. It is quite common for the financially strong, and well-managed companies to issue their shares at a premium, i.e. at an amount more than the nominal or par value of shares. Thus, where a share of the nominal value of ₹100 is issued at ₹105, it is said to have been issued at a premium of 5 per cent.

When the issue is at a premium, the amount of premium may technically be called at any stage of share capital transactions. However, premium is generally called with the amount due on allotment, sometimes with the application of money and rarely with the call money.

(ii) A forfeited share is merely a share available to the company for sale and remains vested in the company for that purpose only. Reissue of forfeited shares is not allotment of shares but only a sale. The share, after forfeiture, in the hands of the company is subject to an obligation to dispose it off. In practice, forfeited shares are disposed off by auction. These shares can be re-issued at any price so long as the total amount received (from the original allottee and the second purchaser) for those shares is not less than the amount in arrears on those shares.

2. Distinguish between:

(i) Calls-in-Arrears and Calls-in-advance

(ii) Issue of shares for cash and Issue of Shares for Consideration other than Cash.

Ans. (i) Calls-in-Arrears: Sometimes shareholders fail to pay the amount due on allotment or calls. The total unpaid amount on one or more instalments is known as Calls-in-Arrears or Unpaid Calls. Such amount represents the uncollected amount of capital from the shareholders; hence, it is shown by way of deduction from 'called-up capital' to arrive at paid-up value of the share capital.

Calls-in-advance: Some shareholders may sometimes pay a part, or whole, of the amount not yet called up, such amount is known as Calls-in-advance.

(ii) The shares can be issued by a company either for cash or for consideration other than cash. Public limited companies, generally, issue their shares for cash and use such cash to buy the various types of assets needed in the business. Sometimes, however, a company may issue shares in a direct exchange for land, buildings or other assets. Shares may also be issued in payment for services rendered by promoters, lawyers in the formation of the company.

3. Can a company issue shares at discount?

Ans. According to Section 53 of the Companies Act, 2013, a Company cannot issue shares at a discount except in the case of issue of sweat equity shares (issued to employees and directors). Thus any issue of shares at discount shall be void.

THEORY QUESTION VIDEO QR CODE

TOPIC	QR CODE
Issue, Forfeiture And Reissue of Shares	

Space for Personal Notes:-

CHAPTER 11 :- COMPANY ACCOUNTS
UNIT 3 :- ISSUE OF DEBENTURES

I. Debenture – Meaning : Debenture is one of the most commonly used debt instrument issued by the company to raise funds for business. Debenture may either be simple or naked carrying no charge on debts or mortgage debentures carrying either a fixed or a floatin;g charge on some or all of the assets of the company.

II. Characteristics :

i. This is evidance of loan made to company.

ii. It is a fixed interest bearing security so inerest is payable at a predetermined fixed rate regardless of the level of P/L.

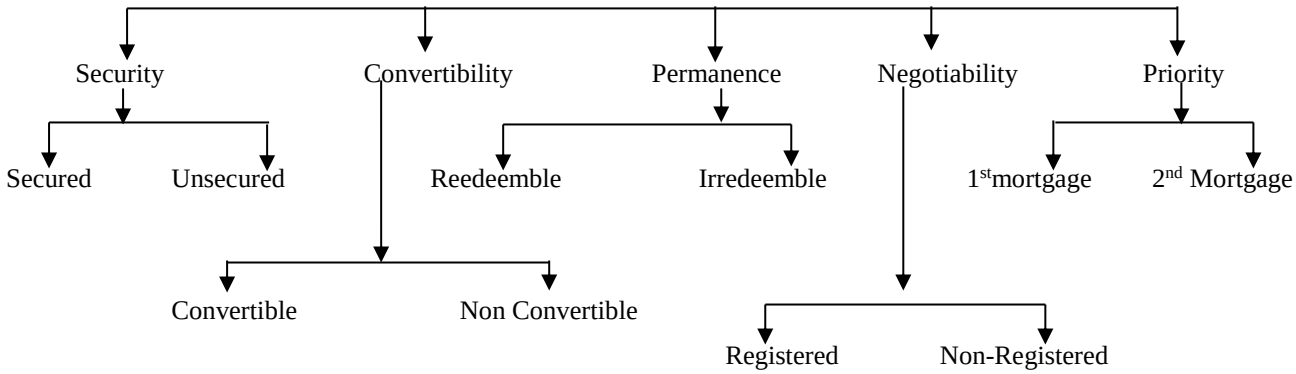
iii. The original sum is repaid at a specified future date or it is converted into shares.

iv. It may or may not create a charge on the assets.

III. Difference between debentures and shares :

Debentures	Shares
1. Debenture holders are the Creditors of the company.	1. Sharesholders are the Owner of company.
2. Debenture holders have no voting right hence not get control on company.	2. Sharesholders have voting rights hence control on company.
3. Deb. interest is paid at predetermined fixed rate whether company have profit or loss.	3. Dividend on equity shares is paid at a variable rate which is affacted by the P/L of company.
4. Interest on debenture are charge against P/L.	4. Dividend are appropriation of profit.
5. There are different kind of deb. like sucured/ unsecured, redeemble/ irredeemable, Registered / bearer, Convertible/Non Convertible.	5. There are only two kinds of shares Equity shares and Preference shares.
6. Debentures are shown in balance sheet under the head “Non-current / Current liability”	6. Shares are shown in balance sheet under the head “Share capital”
7. Debenture can be converted into shares.	7. Shares can't be converted into debentures.
8. Debenture can't be forfeited for non payment.	8. Shares can be forfeited for non payment.
9. At maturity debentureholders get back their money as per the terms and conditions.	9. Equity shareholder can't get back their money before liquidation.
10. At the time of liquidation debentureholders are paid off before the Shareholders.	10. At the time of liquidation Shareholders are paid at last.
11. No maximum limit is prescribed for discount of issue of debentures	11. Shares can not be issued at a discount.

IV. Types of debentures



1. **Secured debentures :-** These debentures are secured by a charge (either fixed or floating) upon assets of the company.
2. **Unsecured or naked debentures :-** These debentures are not secured by any charge upon any assets.
3. **Convertibledebentures:-** Debentures will be converted (fully or partly) into equity shares/(either at par or premium or discount) after a certain period of time.
4. **Non-convertibledebentures:-** Debentures which can't be converted into shares in future.
5. **Reedeembledebentures:-** These debentures are repayable as per the terms of issue.
6. **Irredeemble or Perpetual debentures :-** These debentures are not repayable during the life time of company.
7. **Registered debentures :-** These debentures are payable to registered holder whose name, address and particulars of holding recorded in the register of denenture holders. They are not easily transferable.
8. **Bearer debentures :-** These debentures are transferable by delivery. No kind of record is kept by the company in respect of the holder of such debentures.
9. **First mortgage debenture :-** These debenture are payable first out of the property charged.
10. **Second mortgage debentures :-** These debentures are payable after satisfying the first mortgage debentures.

Theory based on some important practical issues :

I. DEBENTURE ISSUED AT A DISCOUNT :

- Company can issue debentures at discount also. There is no maximum limit for discount on issue of debentures.
- The company issues Debenture at discount when the market rate of interest is higher than Debenture interest rate.
- The amount of discount is debited to "Discount on Issue of Debenture Account" or "Loss on issue of debentures"
- The amount of discount is written off by charging it to Security Premium account or Profit and Loss account proportionately over the period of redemption.

How much amount will be written off every year?

It will be written off in the following manner depending upton the terms of redemption –

a) If the debentures are **redeemable after certain period** of time, the total amount should be written off **equally** through out its life (applying straight line method).

b) If the debentures are **redeemable at different dates**, the total amount of discount should be written off **in the ratio of benefit derived** from Debenture in any particular year (applying sum of the year's digit method).

c) If Debenture are **irredeemable**, the discount should be written off **gradually over a long period**.

II. INTERST ON DEBENTURES :

- Interest on debenture is payble periodically generally for every 6 months.
- It is always calculated on nominal or face value of Debenture.
- It is charge against the profits.
- The company has to deduct tax at source (TDS) before paying interest. Therefore, net amount is payable to debentureholders.
- The amount of TDS has to be deposited to Income Tax Authorities.

III. DEBENTURE ISSUED AS COLLATERAL SECURITY :

- Collateral security means secondary or supporting security.
- If loan is taken then the company may issue Debenture as a collateral security. The holder of such debentures will be entitled to interest on loan amount only but no interest is payable on debentures.
- On due date if loan is repaid then these Debenture will be released.
- But if company cannot repay its loan and interest thereon, the lender becomes the debentureholder. Now he will enjoy all the rights of debenture holders.

NOTE :

1. **Underwriting commission** on debentures can be paid @ 2.5 % of issue price or the rate prescribed in Articles, whichever is lower. (ie.- Loss on issue of debenture)
2. **Premium payable on redemption on debenture** will be written off in same manner as the "Discount on issue of debenture is written off". It is a "Capital Loss".
3. **Total Loss on issue of debenture** = Discount on issue of debenture + Premium payable on redemption of debenture.
4. In Balance sheet **loss on issue of Debenture** (ie. Discount and premium payable on redemption) are shown as 'Non CA/CA' depending upon the period for which it has to be W/off.

CLASS WORK QUESTIONS

Question 1: (Basic)

Country Crafts Ltd. Issued 20,00,000, 8% debentures of Rs.100 each at par payable as Rs. 40 on application and Rs. 60 allotment, redeemable at par after 5 years from the date of issue of debenture. Record necessary entries in the books of Country Crafts Ltd.

Personal Note:- **Register No. _____** **Page No. _____**

Question 2: (Oversubscription)

Nav Lakshmi Ltd. invited applications for 3,000; 12% Debentures of Rs. 100 each at a premium of Rs. 50 per debenture. Full amount was payable on application. Applications was received for 4,000 debentures. Applications for 1,000 debentures were rejected and application money was refunded. Debentures were allotted to the remaining applicants.

Pass necessary Journal entries for the above transactions in the books of Nav Lakshmi Ltd.

Personal Note:- **Register No. _____** **Page No. _____**

Question 3: (At Discount) **[RTP Nov. 19 & May.21]**

Atul Ltd. issued 1,00,00,000, 8% debenture of Rs. 100 each at a discount of 10% redeemable at par at the end of 10th year. Money was payable as follows:

Rs. 30 on application

Rs. 60 on allotment

Record necessary journal entries regarding issue of debenture.

Personal Note:- **Register No. _____** **Page No. _____**

Question 4: (At Premium)

Koinal Chemicals Ltd. issued 15,00,000, 10% debenture of Rs. 50 each at premium of 10%, payable as Rs. 20 on application and balance on allotment. Debentures are redeemable at par after 6 years. All the money due on allotment was called up and received. Record necessary entries when premium money is included in application money.

Personal Note:- **Register No. _____** **Page No. _____**

Question 5: (Issued at per Redeem at Premium)

Modern Equipments Ltd. issued 2,00,000. 12% debenture of Rs. 1,000 payable as follows:

On application Rs. 300
On allotment Rs. 700

The debenture were fully subscribed and all the money was duly received. As per terms of issue, the debenture are redeemable at Rs. 1,100 per debenture. Record necessary entries regarding issue of debenture.

Personal Note:- **Register No. _____** **Page No. _____**

Question 6: (Issued at Discount Redeem at Premium)

Agrotech Ltd. issued 1,40,00,000, 9% debentures of Rs. 100 each at a discount of 6%, redeemable at a premium of 5% after 3 years payable as : Rs. 50 on application and Rs. 44 on allotment. Record necessary journal entries for issue of debentures.

Personal Note:- **Register No. _____** **Page No. _____**

Question 7: (Colletral Security)

X Ltd. obtains a loan from IDBI of Rs. 10,00,000, giving as collateral security of Rs. 15,00,000, 14%, First Mortgage Debentures. Pass necessary entries. Also state how it will be shown in the Balance Sheet.

Personal Note:- **Register No. _____** **Page No. _____**

Question 8: (Consideration other then Cash) **[RTP May-19, Nov-21 & Dec.21]**

A company purchased assets of Rs. 9,90,000 from another firm. It was agreed that the purchase consideration will be paid by issuing 11% Debentures of Rs. 100 each. Pass Journal entries when debentures have been issued: (i) at par, (ii) at a premium of 10% and (iii) at a discount of 10%.

Personal Note:- **Register No. _____** **Page No. _____**

Question 9: (Consideration other then Cash)

Z Ltd. purchased building for Rs. 22,00,000. Half the payment was made by cheque and the balance half by issue of 9% Debentures of Rs. 100 each at a premium of 10%. Pass necessary Journal entries.

Personal Note:- **Register No. _____** **Page No. _____**

Question 10: (Mix) **[RTP May-18 & Nov.20 (5 Marks)]**

X Company Limited issued 14% Debentures of the nominal value of Rs. 10,00,000 as follows:

(a) To sundry persons for cash at 90% Rs. 5,00,000 nominal.

(b) To a vendor for Rs. 2,00,000 for purchase of fixed assets – Rs. 2,50,000 nominal.

(c) To the banker as collateral security for a loan of Rs.1,00,000 – Rs. 2,50,000 nominal.

Pass necessary Journal Entries.

Personal Note:- **Register No. _____** **Page No. _____**

Question 11: (Loss to be Written Off)

HDC ltd. issues 10,000. 12% debentures of Rs. 100 each at Rs. 94 on1st January, 2013. Under the terms of issue, the debentures are redeemable at the end of 8 years from the date of the issue. Calculate the amount of discount to be written – off in each of the 8 years.

Personal Note:- **Register No. _____** **Page No. _____**

Question 12: (Loss to be Written Off.)

HDC ltd. issues 10,000. 12% debentures of Rs. 100 each at Rs. 94 on1st January, 2008. Under the terms of issue, $1/5^{th}$ of the debentures are annually redeemable by drawings, the first redemption occurring on31st December, 2008. Calculate the amount of discount to be written – off in 2008 to 2012.

Personal Note:- **Register No. _____** **Page No. _____**

Question 13: (Loss to be Written Off.) **[May 19 – 5 Marks]**

A company issued 12% debentures of the face value of Rs. 2,00,000 at 10% discount on 1-1-2022. Debenture interest after deducting tax at source @ 10% was payable on 30th June and 31st of December every year. All the debentures were to be redeemed after the expiry of five year period at 5% premium. Pass journal entries for the accounting year 2022.

Personal Note:- **Register No. _____** **Page No. _____**

HOME WORK QUESTIONS

Question 14: (Basic)

Amol Ltd. Issued 40,00,000, 9% debenture of Rs. 50 each, payable on application as per term mentioned in the prospectus and redeemable at par any time after 3 years from the date of issue. Record necessary entries for issue of debenture in the books of Amol Ltd.

Personal Note:- **Register No. _____** **Page No. _____**

Question 15: (At Premium)

Koinal Chemicals Ltd. issued 15,00,000, 10% debenture of Rs. 50 each at premium of 10%, payable as Rs. 20 on application and balance on allotment. Debentures are redeemable at par after 6 years. All the money due on allotment was called up and received. Record necessary entries when premium money is included in allotment money.

Personal Note:- **Register No. _____** **Page No. _____**

Question 16: (Oversubscription) **[RTP SEP. 24]**

Simmons Ltd. issued 1,00,000 12% Debenture of Rs. 100 each at par payable in full on application by 1st April, Application were received for 1,10,000 Debentures. Debentures were allotted on 7th April. Excess money refunded on the same date.

You are required to pass necessary Journal Entries (including cash transactions) in the books of the company.

Personal Note:- **Register No. _____** **Page No. _____**

Question 17: (At Premium)

Kapil Ltd. issued 50,000, 12% Debentures of Rs. 100 each at a premium of 10% payable in full on application by 1st March, 2013. The issue was fully subscribed and debentures were allotted on 9th March, 2013.

Pass necessary Journal Entries (including cash transactions).

Personal Note:- **Register No. _____** **Page No. _____**

Question 18: (At Discount)

X Ltd. issued 1,00,000 12% Debentures of Rs. 100 each at a discount of 10% payable in full on application by 31st March, 2013. Applications were received for 1,20,000 debentures. Debentures were allotted on 9th June, 2013. Excess monies were refunded on the same date. Pass necessary Journal Entries. Prepare ledger accounts.

Personal Note:- **Register No. _____** **Page No. _____**

Question 19: (Consideration other then Cash)

Lemon Tree Ltd. purchased a piece of land from JSS Ltd. and paid the consideration as follows:

(i) Issued a cheque for Rs. 10,00,000;
(ii) Issued a Bill of Exchange for 3 months for Rs. 5,00,000;
(iii) Issued 5,000; 9% Debentures of Rs. 100 each at per redeemable at 10% premium after 5 years.

Pass the Journal entry.

Personal Note:- **Register No. _____** **Page No. _____**

Question 20: (Various Points of Redeemption)

KTR Ltd., issued 365, 9% Debentures of Rs. 1,000 each on 4th March, 2016. Pass necessary Journal entries for the issue of debentures in the following situations:

(i) When debentures were issued at par, redeemable at a premium of 10%.
(ii) When debentures were issued at 6% discount, redeemable at 5% premium.

Personal Note:- **Register No. _____** **Page No. _____**

Question 21: (Various Points of Redeemption)

Pass Journal entries for issue of debentures in each of the following alternative cases:

(i) 10% Debenture of Rs. 100 each issued at Rs. 100, repayable at Rs. 100.
(ii) 10% Debenture of Rs. 100 each issued at Rs. 95, repayable at Rs. 100.
(iii) 10% Debenture of Rs. 100 each issued at Rs. 105, repayable at Rs. 100.
(iv) 10% Debenture of Rs. 100 each issued at Rs. 100, repayable at Rs. 105.
(v) 10% Debenture of Rs. 100 each issued at Rs. 95, repayable at Rs. 105.
(vi) 10% Debenture of Rs. 100 each issued at Rs. 105, repayable at Rs. 110.

Personal Note:- **Register No. _____** **Page No. _____**

Question 22: (Various Points of Redeemption)

Pass Journal entries to record the following transactions:

(i) B Ltd. issues 30,000; 10% Debentures of Rs. 100 each at a discount of 5% to be repaid at par at the end of 5 years.

(ii) C Ltd. issues 10% Debentures of Rs. 100 each for the total nominal (face) value of Rs. 40,00,000 at a premium of 5% to be redeemable at par at the end of 5 years.

(iii) D Ltd. issues Rs. 50,00,000; 12% Debentures of Rs. 100 each at par but redeemable at the end of 10 years at 105%.

(iv) E Ltd. issues Rs. 60,00,000; 12% Debentures of Rs. 100 each at a discount of 5% repayable at a premium of 10% at the end of 5 years.

(v) F Ltd. issues Rs. 70,00,000; 12% Debentures of Rs. 100 each at a premium of 5% redeemable at 110% at the end of 10 years.

Personal Note:- **Register No. _____** **Page No. _____**

Question 23: (Interest on Debenture and Loss on issue of Debenture)

On 1st April 2017 Sheru Ltd. issued 1,00,000 12% debentures of Rs.100 each at a discount of 5%, redeemable on 31 March 2022. Issue was oversubscribed by 1,20,000 debentures, who were refunded their money. Interest is paid annually on 31 March. You are required to prepare:

i) Journal Entries at the time of issue of debentures.

ii) Discount on issue of Debenture Account

iii) Interest account and Debenture holder Account assuming TDS is deducted @ 10%.

Personal Note:- **Register No. _____** **Page No. _____**

Question 24: (Loss on issue of Debenture) **[RTP-May-20, Nov 18- 5 Marks]**

Pure Ltd. issues 1,00,000 12% Debentures of ₹ 10 each at ₹ 9.40 on 1st January, 2018. Under the terms of issue, the Debentures are redeemable at the end of 5 years from the date of issue.

Calculate the amount of discount to be written-off in each of the 5 years.

Personal Note:- **Register No. _____** **Page No. _____**

Question 25: (Interest on Debenture)

On 1st April, 2015, K.K. Ltd. issued 500, 9% Debentures of Rs. 500 each at a discount of 4%, redeemable at a premium of 5% after three years.

Pass necessary Journal entries for the issue of debentures and debenture interest for the year ended 31st March, 2016 assuming that interest is payable on 30th September and 31st March and the rate of tax deducted at source is 10%. The company closes its books on 31st March every year.

Personal Note:- **Register No. _____** **Page No. _____**

Question 26: (Interest on Debenture)

BG Ltd. issued 2,000, 12% Debentures of Rs. 100 each on 1st April, 2012. The issue was fully ubscribed. According to the terms of issue, interest on the debentures is payable half-yearly on 30th September and 31st March and the tax deducted at source is 10%.

Pass necessary Journal entries related to the debenture interest for the half-yearly ending 31st March, 2013 and transfer of interest on debentures of the year to the Statement of Profit and Loss.

Personal Note:- **Register No. _____** **Page No. _____**

Question 27: (Various Accounts)

On 1st April, 2017, Infosys Ltd. issued Rs. 10,00,000, 10% Debentures of Rs. 100 each at 8% discount payable:
Rs. 40 on application, and
The balance on allotment.

These debentures were to be redeemed at a premium of 5% after five years. All the debentures were subscribed. Interest on debentures was to be paid half-yearly which was duly paid by the company.

You are required to:

(i) Pass Journal entries in the first year of debenture issue (including entries for debenture interest).
(ii) Prepare 10% Debentures Account for the year ending 31st March, 2018.
(iii) Prepare Loss on Issue of Debentures Account for the year ended 31st March, 2018.
(iv) Prepare the Extract of Balance Sheet as at 31st March, 2018 showing Loss on Issue of Debentures.

Personal Note:- **Register No. _____** **Page No. _____**

Question 28: (Writing off Loss in Current year Only) **[RTP- MAY-22]**

On 1st April 2020, XY Ltd. took over assets of Rs. 4,50,000 and liabilities of 60,000 of Himalayan Ltd. for the purchase consideration of Rs. 4,40,000. It paid the purchase consideration by issuing 8% debenture of Rs. 100 each at 10% premium on same date.

XY Ltd. issued another 3000, 8% debenture of Rs. 100 at discount of 10% redeemable at premium of 5% after 5years. According to the terms of the issue Rs. 30 is payable on application and the balance on the allotment on debentures. It has been decided to write off the entire loss on issue of discount in the current year itself.

You are required to pass the journal entries in the books of XY Ltd. for the financial year 2020-21.

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Question 29: **[RTP- JAN. 25]**

On 1st April 2023, Globex Ltd. took over assets of Rs. 9,00,000 and liabilities of 1,20,000 of Himalayan Ltd. for the purchase consideration of Rs. 8,80,000. It paid the purchase consideration by issuing 8% debenture of Rs. 100 each at 10% premium on same date. XY Ltd. issued another 6000, 8% debenture of Rs. 100 at discount of 10% redeemable at premium of 5% after 5 years. According to the terms of the issue Rs. 30 is payable on application and the balance on the allotment on debentures. It has been decided to write off the entire loss on issue of discount in the current year itself.

You are required to pass the journal entries in the books of XY Ltd. for the financial year 2023-24

Personal Note:- **Register No. _____** **Page No. _____**

SOLUTION OF HOME WORK QUESTIONS

Solution 14:

Books of Amol Ltd.

Journal

Date	Particulars	L.F.	Debit Amount (Rs.)	Credit Amount (Rs.)
	Bank A/c Dr. To Debenture Application A/c (Debenture application money received)		20,00,00,000	20,00,00,000
	Debenture Application A/c Dr. To 9% Debentures A/c (Application money transferred to 9% debentures account consequent upon allotment)		20,00,00,000	20,00,00,000

Solution 15:

Books of Koinal Chemicals Ltd.

Journal

Date	Particulars	L.F.	Debit Amount (Rs.)	Credit Amount (Rs.)
	Bank A/c Dr. To Debenture Application A/c (Debenture application money received)		3,00,00,000	3,00,00,000
	Debentures Application A/c Dr. To 10% Debentures A/c (Application money transferred to 10% debentures account and securities premium account consequent upon allotment)		3,00,00,000	3,00,00,000
	Debenture Allotment A/c Dr. To 10% Debentures A/c To Security Premium A/c (Call made consequent upon allotment)		5,25,00,000	4,50,00,000 75,00,000
	Bank A/c Dr. To Debenture Allotment A/c (Call made consequent upon allotment money received)		5,25,00,000	5,25,00,000

Solution 16:

In the books of Simmons Limited

Date	Particulars		Rs.	Rs.
April 1	Bank A/c To 12% Debentures Application A/c (Being money received on 1,10,000 debentures)	Dr.	1,10,00,000	1,10,00,000
April 7	12% Debentures Application A/c To Bank A/c (Being money on 10,000 debentures refunded as per Board's Resolution No…..dated…)	Dr.	10,00,000	10,00,000
April 7	12% Debentures Application A/c To 12% Debentures A/c (Being the allotment of 1,00,000 debentures of Rs. 100 each at par, as per Board's Resolution No….dated…)	Dr.	1,00,00,000	1,00,00,000

Solution 17:

Journal Entries in the books of Kapil Limited

Date	Particulars	₹	₹
2017 March 1	Bank A/c Dr. To 12% Debentures Application A/c (Being the money received on 50,000 debentures @ ₹ 110 each including premium of ₹ 10 each)	55,00,000	 55,00,000
March 9	12% Debentures Application A/c Dr. To 12% Debentures A/c To Securities Premium A/c (Being the allotment of 50,000 debentures of ₹ 100 each, premium @ ₹ 10 each transferred to Securities Premium Account as per Board's Resolution No….dated….)	55,00,000	 50,00,000 5,00,000

Solution 18:

In the books of X Limited Journal Entries

Date 2017	Particulars	Rs.'000	Rs.'000
May 31	Bank A/c Dr. To 12% Debentures Application A/c (Being money received for 1,20,000 debentures @ Rs. 90 each)	10,800	 10,800
June 9	12% Debentures Application A/c Dr. To Bank A/c (Being excess money on 20,000 debentures @ Rs. 90 refunded as per Board's Resolution No….dated….)	1,800	 1,800
June 9	12% Debentures Application A/c Dr. Discount on Issue of Debentures A/c Dr. To 12% Debentures A/c (Being the allotment of 1,00,000 debentures of Rs. 100 each at a discount of Rs.10 per debenture as per Board's Resolution No….. dated…)	9,000 1,000	 10,000

Bank Account

Date	Particulars	Rs.	Date	Particulars	Rs.
31.5.2017	To 12% Debentures Application A/c	10,800	9.6.2017	By 12% Debentures Application A/c	1,800
			9.6.2017	By Balance c/d	9,000
		10,800			**10,800**

12% Debentures Account

Date	Particulars	Rs.	Date	Particulars	Rs.
30.6.2017	To Balance c/d	10,000	9.6.2017	By 12% Debentures Application A/c	9,000
			9.6.2017	By Discount on Issue of Debentures A/c	1,000
		10,000			**10,000**

12% Debentures Application Account

Date	Particulars	Rs.	Date	Particulars	Rs.
9.6.2017	To Bank A/c	1,800	31.5.2017	By Bank A/c	10,800
9.6.2017	To 12% Debentures A/c	9,000			
		10,800			**10,800**

Discount on Issue of Debentures Account

Date	Particulars	Rs.	Date	Particulars	Rs.
9.6.2017	To 12% Debentures A/c	1,000	30.6.2017	By Balance c/d	1,000
		1,000			**1,000**

Solution 19:

JOURNAL OF LEMON TREE LTD.

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	Land A/c ...Dr.		20,00,000	
	Loss on Issue of Debentures A/c ...Dr.		50,000	
	To Bank A/c			10,00,000
	To Bills Payable A/c			5,00,000
	To 9% Debentures A/c			5,00,000
	To Premium on Redemption of Debentures A/c			50,000
	(Being the land purchased and consideration paid)			

Solution 20:

(i) **JOURNAL**

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
2016 March 4	Bank A/c ...Dr.		3,65,000	
	To Debentures Application and Allotment A/c			3,65,000
	(Being the application and allotment money received on 365.9% Debentures @ ₹ 1,000 each)			
March 4	Debentures Application and Allotment A/c ...Dr.		3,65,000	
	Loss on Issue of Debentures A/c ...Dr.		36,500	
	To 9% Debentures A/c			3,65,000
	To Premium on Redemption of Debentures A/c			36,500
	(Being 365; 9% Debentures allotted and premium payable on redemption @ 10% provided)			

(ii) **JOURNAL**

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
2016 March 4	Bank A/c ...Dr.		3,43,100	
	To Debentures Application and Allotment A/c			3,43,100
	(Being the application and allotment money received on 365; 9% Debentures @ 1,000 per debenture less 6% Discount)			
March 4	Debentures Application and Allotment A/c ...Dr.		3,43,100	
	Loss on Issue of Debentures A/c ...Dr.		40,150	
	To 9% Debentures A/c			3,65,000
	To Premium on Redemption of Debentures A/c			18,250
	(Being 365; 9% Debentures allotted at 6% Discount and premium payable on redemption of debentures @ 5% provided)			

Solution 21:

JOURNAL

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
(i)	Bank A/c ...Dr.		100	
	To Debentures Application A/c			100
	(Being the receipt of debentures application money)			
	Debentures Application A/c ...Dr.		100	
	To 10% Debentures A/c			100
	(Being the issue of debentures at par)			
(ii)	Bank A/c ...Dr.		95	
	To Debentures Application A/c			95
	(Being the receipt of debentures application money)			
	Debentures Application A/c ...Dr.		95	
	Discount on Issue of Debentures A/c ...Dr.		5	
	To 10% Debentures A/c			100
	(Being the issue of debentures at 5% discount)			
(iii)	Bank A/c ...Dr.		105	
	To Debentures Application A/c			105
	(Being the receipt of debentures application money)			
	Debentures Application A/c ...Dr.		105	
	To 10% Debentures A/c			100
	To Securities Premium A/c			5
	(Being the issue of debentures at 5% premium)			
(iv)	Bank A/c ...Dr.		100	
	To Debentures Application A/c			100
	(Being the receipt of debentures application money)			
	Debentures Application A/c ...Dr.		100	
	Loss on Issue of Debentures A/c ...Dr.		5	
	To 10% Debentures A/c			100
	To Premium on Redemption of Debentures A/c			5
	(Being the issue of debentures at par and redeemable at 5% premium)			
(v)	Bank A/c ...Dr.		95	
	To Debentures Application A/c			95
	(Being the receipt of debentures application money)			
	Debentures Application A/c ...Dr.		95	
	Loss on Issue of Debentures A/c ...Dr.		10	
	To 10% Debentures A/c			100
	To Premium on Redemption of Debentures A/c			5
	(Being the issue of debentures at 5% discount and redeemable at 5% premium)			
(vi)	Bank A/c ...Dr.		105	
	To Debentures Application A/c			105
	(Being the receipt of debentures application money)			
	Debentures Application A/c ...Dr.		105	
	Loss on Issue of Debentures A/c ...Dr.		10	
	To 10% Debentures A/c			100
	To Securities Premium A/c			5
	To Premium on Redemption of Debentures A/c			10
	(Being the issue of debentures at 5% premium and redeemable at 10% premium)			

Solution 22:

(i) Journal of B LTD.

Date	Particulars		L.F.	Dr. (₹)	Cr. (₹)
	Bank A/c	Dr.		28,50,000	
	To Debentures Application and Allotment A/c				28,50,000
	(Being the debentures application money received)				
	Debentures Application and Allotment A/c	Dr.		28,50,000	
	Discount on Issue of Debentures A/c	Dr.		1,50,000	
	To 10% Debentures A/c				30,00,000
	(Being the issue of 30,000; 10% Debentures of ₹ 100 each at a discount of 5%)				

(ii) Journal of C LTD.

Date	Particulars		L.F.	Dr. (₹)	Cr. (₹)
	Bank A/c	Dr.		42,00,000	
	To Debentures Application and Allotment A/c				42,00,000
	(Being the debentures application money received)				
	Debentures Application and Allotment A/c	Dr.		42,00,000	
	To 10% Debentures A/c				40,00,000
	To Securities Premium A/c				2,00,000
	(Being the issue of 40,000; 10% Debentures of ₹ 100 each at a premium of 5%)				

(iii) Journal of D LTD.

Date	Particulars		L.F.	Dr. (₹)	Cr. (₹)
	Bank A/c	Dr.		50,00,000	
	To Debentures Application and Allotment A/c				50,00,000
	(Being the debentures application money received)				
	Debentures Application and Allotment A/c	Dr.		50,00,000	
	Loss on Issue of Debentures A/c	Dr.		2,50,000	
	To 12% Debentures A/c				50,00,000
	To Premium on Redemption of Debentures A/c				2,50,000
	(Being the issue of 50,000; 12% Debentures of ₹ 100 each at par redeemable at 105%)				

(iv) I of E LTD.

Date	Particulars		L.F.	Dr. (₹)	Cr. (₹)
	Bank A/c	Dr.		57,00,000	
	To Debentures Application and Allotment A/c				57,00,000
	(Being the debentures application money received)				
	Debentures Application and Allotment A/c	Dr.		57,00,000	
	Loss on Issue of Debentures A/c	Dr.		9,00,000	
	To 12% Debentures A/c				60,00,000
	To Premium on Redemption of Debentures A/c				6,00,000
	(Being the issue of 60,000; 12% Debentures of ₹ 100 each at a discount of 5% and repayable at a premium of 10%)				

(v) **Journal of F LTD.**

Date	Particulars		L.F.	Dr. (₹)	Cr. (₹)
	Bank A/c (₹ 70,00,000 + 5% of ₹ 70,00,000)	Dr.		73,50,000	
	To Debentures Application and Allotment A/c				73,50,000
	(Being the debentures application money received)				
	Debentures Application and Allotment A/c	Dr.		73,50,000	
	Loss on Issue of Debentures A/c	Dr.		7,00,000	
	To 12% Debentures A/c				70,00,000
	To Securities Premium A/c				3,50,000
	To Premium on Redemption of Debentures A/c				7,00,000
	(Being the issue of 70,000; 12% Debentures of ₹ 100 each at a premium of 5% and redeemable at a premium of 10%)				

Solution 23:

(i) **Journal in the Books of Sheru Ltd.**

Date	Particulars		Rs.	Rs.
2017				
Apr. 1	Bank A/c	Dr.	1,14,00,000	
	To Debenture Application A/c			1,14,00,000
	(Being debenture application money received for 1,20,000 debentures)			
	Debenture Application A/c	Dr.	1,14,00,000	
	Discount on Issue of Debenture A/c	Dr.	5,00,000	
	To 12% Debenture A/c			1,00,00,000
	To Bank A/c			19,00,000
	(Being application money transferred to debenture account and excess refunded)			
March 31	Debenture interest	Dr.	12,00,000	
	To Debenture Holder			10,80,000
	To TDS			1,20,000

(ii) **Discount on Issue of Debenture A/c**

Date	Particulars	Rs.	Date	Particulars	Rs.
1.4.17	To 12% Debentures A/c	5,00,000	31.3.18	By Profit & Loss A/c	1,00,000
			31.3.18	By Balance c/d	4,00,000
		5,00,000			5,00,000
1.4.18	To Balance b/d	4,00,000	31.3.19	By Profit & Loss A/c	1,00,000
			31.3.19	By Balance c/d	3,00,000
		4,00,000			4,00,000
1.4.19	To Balance b/d	3,00,000	31.3.20	By Profit & Loss A/c	1,00,000
			31.3.20	By Balance c/d	2,00,000
		3,00,000			3,00,000
1.4.20	To Balance b/d	2,00,000	31.3.21	By Profit & Loss A/c	1,00,000
			31.3.21	By Balance c/d	1,00,000
		2,00,000			2,00,000
1.4.21	To Balance b/d	1,00,000	31.3.21	By Profit & Loss A/c	1,00,000
		1,00,000			1,00,000

(iii) Interest A/c

Date	Particulars	Rs.	Date	Particulars	Rs.
31.3.18	To Debenture holder A/c	10,80,000	31.3.18	By Profit & Loss A/c	12,00,000
	To TDS	1,20,000			
		12,00,000			12,00,000
31.3.19	To Debenture holder A/c	10,80,000	31.3.19	By Profit & Loss A/c	12,00,000
	To TDS	1,20,000			
		12,00,000			12,00,000
31.3.20	To Debenture holder A/c	10,80,000	31.3.20	By Profit & Loss A/c	12,00,000
	To TDS	1,20,000			
		12,00,000			12,00,000
31.3.21	To Debentureholder A/c	10,80,000	31.3.21	By Profit & Loss A/c	12,00,000
	To TDS	1,20,000			
		12,00,000			12,00,000
31.3.22	To Debentureholder A/c	10,80,000	31.3.22	By Profit & Loss A/c	12,00,000
	To TDS	1,20,000			
		12,00,000			**12,00,000**

Debenture holder A/c

Date	Particulars	Rs.	Date	Particulars	Rs.
31.3.18	To Bank A/c	10,80,000	31.3.18	By Interest A/c	10,80,000
		10,80,000			10,80,000
31.3.19	To Bank A/c	10,80,000	31.3.19	By Interest A/c	10,80,000
		10,80,000			10,80,000
31.3.20	To Bank A/c	10,80,000	31.3.20	By Interest A/c	10,80,000
		10,80,000			10,80,000
31.3.21	To Bank A/c	10,80,000	31.3.21	By Interest A/c	10,80,000
		10,80,000			10,80,000
31.3.22	To Bank A/c	10,80,000	31.3.22	By Interest A/c	10,80,000
		10,80,000			10,80,000

Solution 24:

Total amount of discount comes to ₹ 60,000 (₹ 0.60 X 1,00,000). The amount of discount to be written - off in each year is calculated as under :

60,000 x 1/5 = 12,000/-

Solution 25:

JOURNAL OF K.K. LTD.

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
2015				
April 1	Bank A/c (500 x ₹ 480) Dr.		2,40,000	
	To Debentures Application and Allotment A/c			2,40,000
	(Being the application money received for 500 debentures @ ₹ 480 each)			
	Debentures Application and Allotment A/c Dr.		2,40,000	
	Loss on Issue of Debentures A/c Dr.		22,500	
	To 9% Debentures A/c			2,50,000
	To Premium on Redemption of Debentures A/c			12,500
	(Being the issue of 500, 9% Debentures of ₹ 500 each at 4% discount and redeemable at 5% premium)			
Sept. 30	Debentures' Interest A/c (₹ 2,50,000 x 9/100 x 6/12) Dr.		11,250	
	To Debenture holders' A/c			10,125
	To TDS Payable A/c (10% of ₹ 11,250)			1,125
	(Being the interest payable on 9% Debentures for 6 months and			

	TDS @ 10%)			
Sept. 30	Debenture holders' A/c Dr. TDS Payable A/c Dr. To Bank A/c (Being the interest paid to debenture holders and TDS deposited)		10,125 1,125	 11,250
2016 March 31	Debentures' Interest A/c Dr. To Debenture holders' A/c To TDS Payable A/c (Being the interest payable on 9% Debentures for 6 months and tax deducted at source @ 10%)		11,250	 10,125 1,125
March 31	Debenture holders' A/c Dr. TDS Payable A/c Dr. To Bank A/c (Being the interest paid to debenture holders and TDS deposited)		10,125 1,125	 11,250
March 31	P/L A/c Dr. To Debentures' Interest A/c (Being the interest on debentures transferred to P/L A/c)		22,500	 22,500

Solution 26:

JOURNAL OF BG LTD.

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
2012 Sept. 30	Debentures' Interest A/c Dr. To Debenture holders' A/c To TDS Payable A/c (Being the interest due for 6 months and TDS deducted @ 10%)		12,000	 10,800 1,200
	Debenture holders' A/c Dr. TDS Payable A/c Dr. To Bank A/c (Being the interest paid to debenture holders and TDS deposited in Government Account)		10,800 1,200	 12,000
2013 March 31	Debentures' Interest A/c Dr. To Debenture holders' A/c To TDS Payable A/c (Being the interest due on debentures for the half-year ended 31st March, 2013, TDS deducted @ 10%)		12,000	 10,800 1,200
	Debenture holders' A/c Dr. TDS Payable A/c Dr. To Bank A/c (Being the interest paid and TDS deposited in the Government Account)		10,800 1,200	 12,000
	P/L A/c Dr. To Debenture's Interest A/c (Being the interest transferred to P/L A/c)		24,000	 24,000

Solution 27:

(i) **JOURNAL OF INFOSYS LTD.**

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
2017 April 1	Bank A/c Dr. To Debentures Application A/c (Being the application money received for 10,000, 10% Debentures @ ₹ 40 per debenture)		4,00,000	 4,00,000
	Debentures Application A/c Dr. To 10% Debentures A/c (Being 10,000, 10% Debentures allotted)		4,00,000	 4,00,000
	Debentures Allotment A/c Dr. Loss on Issue of Debentures A/c Dr. To 10% Debentures A/c To Premium on Redemption of Debentures A/c (Being the allotment money due on 10,000, 10% Debentures issued at 8% discount and redeemable at 5% premium)		5,20,000 1,30,000	 6,00,000 50,000
	Bank A/c Dr. To Debentures Allotment A/c (Being the allotment money received)		5,20,000	 5,20,000
Sept. 30	Debentures' Interest A/c Dr. To Debenture holders' A/c (Being the interest payable @ 10% p.a. on debentures for 6 months)		50,000	 50,000
	Debenture holders' A/c Dr. To Bank A/c (Being the interest paid)		50,000	 50,000
2018 March 31	Debentures' Interest A/c Dr. To Debenture holders' A/c (Being the interest payable @ 10% p.a. for 6 months)		50,000	 50,000
	Debenture holders' A/c Dr. To Bank A/c (Being the interest paid)		50,000	 50,000
	P/L A/c (Finance Cost) Dr. To Loss on Issue of Debentures A/c (Being 1/5th of Loss on Issue of Debentures written off i.e. 130000/5)		26,000	 26,000
	P/L A/c (Finance Cost) Dr. To Debentures' Interest A/c (Being the transfer of Debentures' Interest to P/L A/c)		1,00,000	 1,00,000

(ii)

Dr. **10% DEBENTURES ACCOUNT** **Cr.**

Date	Particulars	₹	Date	Particulars	₹
2018 March 31	To Balance c/d	10,00,000	2017 April 1	By Debentures Application A/c By Debentures Allotment A/c By Loss on Issue of Debenture A/c	4,00,000 5,20,000 80,000
		10,00,000			**10,00,000**
			2018 April 1	By Balance b/d	10,00,000

(iii)

Dr. LOSS ON ISSUE OF DEBENTURES ACCOUNT Cr.

	Particulars	₹	Date	Particulars	₹
2017			2018		
April 1	To 15% Debentures A/c	80,000	March 31	By P/L A/c	26,000
	To Premium on Redemption of Debentures A/c	50,000		By Balance c/d	1,04,000
		1,30,000			**1,30,000**
2018					
April 1	To Balance b/d	1,04,000			

(iv)

Infosys Ltd.

BALANCE SHEET AS AT 31ST MARCH, 2018

	Particulars	Note No.	₹
II.	ASSETS		
	1. Non-Current Assets		
	Other Non-current Assets	1	78,000
	2. Current Assets		
	Other Current Assets	2	26,000

Notes to Accounts

1.	Other Non-current Assets		₹
	Loss on Issue of Debentures	1,04,000	
	Less: Shown as Other Current Assets	26,000	78,000
	(To be written off after 12 months from 31st March, 2018)		
2.	Other Current Assets		
	Loss on Issue of Debentures		26,000
	(To be written off within 12 months from 31st March, 2018)		

Solution 28:

Journal Entries

Date	Particulars		L.F.	Dr. (₹)	Cr. (₹)
2020 April	Sundry Assets A/c	Dr.		4,50,000	
	Goodwill A/c (Bal.fig)	Dr.		50,000	
	To Himalayan Ltd. A/c				4,40,000
	To Sundry Liabilities A/c				60,000
	(Being Assets and liabilities taken over for a net consideration of Rs. 4,40,000)				
	Himalyan Ltd. A/c	Dr.		4,40,000	
	To 8% Debentures A/c				4,00,000
	To Securities Premium A/c				40,000
	(Being 4000; 8% Debenture of Rs. 100 each issued at a premium of 10%)				
	Bank A/c	Dr.		90,000	
	To Debenture Application A/c				90,000
	(Being the application money received for 3,000, 8% Debenture)				

	Debenture Application A/c To 8% Debenture A/c (Being 3000; 8% Debenture allotted)	Dr.		90,000	 90,000
	Debentures allotment A/c Loss on issue of debenture A/c To 8% Debentures A/c To Premium on redemption of debentures A/c (Being allotment money due on 3000; 8% Debentures at 10% discount and redeemable at 5% premium)	Dr. Dr.		1,80,000 45,000	 2,10,000 15,000
	Bank A/c To Debentures Allotment A/c (Being the allotment money received)	Dr.		1,80,000	 1,80,000
2021 Mar, 31	 Profit and Loss A/c To Loss on issue of Debenture A/c (Being the Loss on issue of debenture written off)	 Dr.		 45,000	 45,000

Solution: 29

In the books of XY Ltd.

Journal Entries

Date	Particular		L.F.	Dr.	Cr.
2023	Sundry Assets A/c	Dr.		9,00,000	
April	Goodwill A/c (Bal. fig)	Dr.		1,00,000	
	To Himalayan Ltd. A/c				8,80,000
	To Sundry Liabilities A/c				1,20,000
	(Assets and liabilities taken over for a net consideration of Rs. 8,80,000)				
	Himalyan Ltd. A/c	Dr.		8,80,000	
	To 8% Debentures A/c				8,00,000
	To Securities Premium A/c				80,000
	(8000; 8% Debenture of Rs. 100 each issued at a premium of 10%				
	Bank A/c	Dr.		1,80,000	
	To Debenture Application A/c				1,80,000
	(Application money received for 6000, 8% Debenture)				
	Debenture Application A/c	Dr.		1,80,000	
	To 8% Debenture A/c				1,80,000
	(6000; 8% Debenture allotted)				
	Debentures allotment A/c	Dr.		3,60,000	
	Loss on issue of debenture A/c	Dr.		90,000	
	To 8% Debentures A/c				4,20,000
	To Premium on redemption of debentures A/c				30,000
	(Allotment money due on 6000; 8% Debentures at 10% discount and redeemable at 5% premium)				
	Bank A/c	Dr.		3,60,000	
	To Debentures Allotment A/c				3,60,000
	(Allotment money received)				
2024					
Mar, 31	Profit and Loss A/c	Dr.		90,000	
	To Loss on issue of Debenture A/c				
	(Loss on issue of debenture written off)				

TEST YOUR KNOWLEDGE

TRUE AND FALSE (SM)

1. Debenture holder are the owners of the company.
2. Perpetual debentures are payable at the time of liquidation of the company.
3. Registered debentures are transferable by delivery.
4. When companies issue their own debentures as collateral security for a loan, the holder of such debenture is entitled to interest only on the amount of loan and not on the debentures
5. Debentures suspense account appears on liability side of balance sheet.
6. If a company incurs loss, then it does not pay interest to the debenture holders.
7. At the time of liquidation, debenture holders are paid off after the shareholders.
8. Convertible debentures can be converted into equity shares.
9. Redeemable debentures are not payable during the life time of the company.
10. Debentures can be issued for a consideration other than for cash, such as for purchasing land, machinery etc.

Answer:

1. **False:** Debenture holder are the creditors of the company.
2. **True:** Perpetual debentures, also known as irredeemable debentures are not repayable during the life time of the company.
3. **False:** Registered debentures are not easily transferable by delivery. Bearer debentures are transferrable by delivery.
4. **True:** In case the company cannot repay its loan & the interest thereon on the due date, the lender becomes debenture holder & then only he is entitled to interest on debentures.
5. **False:** Debentures suspense account appears on asset side of balance sheet under non-current asset.
6. **False:** Even if the company incurs or earns profit, it has to pay the interest on debentures.
7. **False:** At the time of liquidation, debenture holders are paid off before shareholders on priority basis.
8. **True:** Convertible debentures means those debentures which can be converted into equity shares.
9. **False:** These debentures are repayable as per the terms of issue, for example, after 8 years from the date of issue.
10. **True:** Debentures can be issued for a consideration other than for cash, such as for purchasing land, machinery etc.

ADDITIONAL TRUE OR FALSE FOR SELF PRACTICE

State with reason whether the following statements are true or false (No Marks shall be awarded without valid reason):

1. Now Debentures can be issued at par /Premium but not at discount.
2. Like Shares a company can issue debentures with voting rights.
3. Debenture interest is calculated on issue price and is payable when there are profits after the payment of any dividend on shares.
4. Debenture Redemption Premium Account and Discount on issue of debentures Account are Nominal Accounts.

Answer:

1. **False:** Debentures can be issued at par /Premium/ discount since there are no restrictions on issue of debentures at discount.
2. **False:** Like Shares a company cannot issue debentures with voting rights.
3. **False:** Debenture interest is calculated on face value and not on issue price and is payable irrespective of fact whether there are profits or not before the payment of any dividend on shares.
4. **False:** Debenture Redemption Premium Account is a Personal Account but Discount on Issue of Debentures Account is a Nominal Account.

MULTIPLE CHOICE QUESTIONS (SM)

1. Premium on redemption of debentures account appearing in the balance sheet is _____.
   (a) A nominal account - expenditure
   (b) A nominal account - income
   (c) A personal account _____.

2. Debenture interest
   (a) Is payable before the payment of any dividend on shares
   (b) Accumulates in case of losses or inadequate profits
   (c) Is payable after the payment of preference dividend but before the payment of equity dividend ___.

3. F Ltd. purchased Machinery from G Company for a book value of ₹ 4,00,000. The consideration was paid by issue of 10% debentures of ₹ 100 each at a premium of 25%. The debenture account was credited with _____.
   (a) ₹ 4,00,000
   (b) ₹ 5,00,000
   (c) ₹ 3,20,000

4. Which of the following is not a characteristic of Bearer Debentures?
   (a) They are treated as negotiable instruments
   (b) Their transfer requires a deed of transfer
   (c) They are transferable by mere delivery

5. When debentures are issued as collateral security, the final entry for recording the collateral debentures in the books is _____.
   (a) Credit Debentures A/c and debit Cash A/c.
   (b) Debit Debenture suspense A/c and credit Cash A/c.
   (c) Debit Debenture suspense A/c and credit Debentures A/c.

6. When debentures are redeemable at different dates, the total amount of discount on issue of debentures should be written off
   (a) Every year by applying the sum of the year's digit method
   (b) Every year by applying the straight line method
   (c) To profit and loss account in full in the year of final or last redemption

7. Debentures are issued at discount when
   (a) Market interest rate is higher than debenture interest rate
   (b) Market interest rate is lower than debenture interest rate
   (c) Martket interest rate is equal debenture interest rate

8. Interest payable on debentures attract
   (a) Tax deducted at source
   (b) Goods and Service tax
   (c) Fringe benefit tax

MCQs

1	C	2	A	3	C	4	B	5	C	6	A	7.	A	8.	A

THEORETICAL QUESTIONS

1. Distinguish between debentures and shares.

Ans.

Debentures	Shares
1. Debenture holders are the creditors of the company.	1. Shareholders are the owners of the company.
2. Debenture holders have no voting rights and consequently do not pose any threat to the existing control of the company.	2. Shareholders have voting rights and consequently control the total affairs of the company.
3. Debenture interest is paid at a pre-determined fixed rate. It is payable, whether there is any profit or not. Debentures rank ahead of all types of shares for payment of the interest due on them.	3. Dividend on equity shares is paid at a variable rate which is vastly affected by the profits of the company (however, dividend on preference shares is paid at a fixed rate).
4. Interest on debentures are the charges gainst profits and they are deductible as an expense in determining taxable profit of the company.	4. Dividends are appropriation of profits and these are not deductible in determining taxable profit of the company.
5. There are different kinds of debentures, such as Secured/Unsecured; Redeemable/ Irredeemable;Registered/Bearer; Convertible /Non-convertible, etc.	5. There are only two kinds of shares–Equity Shares and Preference Shares.
6. In the Company's Balance Sheet, Debentures are shown under "Long Term Borrowings".	6. In the Company's Balance Sheet, shares are shown under "Shareholder's Fund" detailed in 'Share Capital' of Notes to Accounts.
7. Debentures can be converted into debentures shares as per the terms of issue of debentures.	7. Shares cannot be converted into in any circumstances.
8. Debentures cannot be forfeited for non-payment of call moneys.	8. Shares can be forfeited for non-payment of allotment and call moneys.
9. At maturity, debenture holders get back their money as per the terms and conditions of redemption.	9. Equity shareholders cannot get back their money before the liquidation of the company (however, preference shareholders can get back their money before liquidation).
10. At the time of liquidation, debenture holders are paid-off before the shareholders.	10. At the time of liquidation shareholders are paid at last, after paying debenture holders, Trade payable, etc.

2. Explain the purpose for raising of debenture by the company. Also give the main features of debentures.

Ans. Debenture is one of the most commonly used debt instrument issued by the company to raise funds for the business. The most common method of supplementing the capital available to a company is to issue debentures which may either be simple or naked carrying no charge on assets, or mortgage debentures carrying either a fixed or a floating charge on some or all of the assets of the company.

FEATURES OF DEBENTURES

1. It is a document which evidences a loan made to a company.
2. It is a fixed interest-bearing security where interest falls due on specific dates.
3. Interest is payable at a predetermined fixed rate, regardless of the level of profit.
4. The original sum is repaid at a specified future date or it is converted into shares or other debentures.
5. It may or may not create a charge on the assets of a company as security.
6. It can generally be bought or sold through the stock exchange at a price above or below its face value.

THEORY QUESTION VIDEO QR CODE

TOPIC	QR CODE
Issue of Debenture	

Space for Personal Notes:-

CHAPTER 6 :- BILLS OF EXCHANGE AND PROMISSORY NOTES

1. Meaning of Negotiable Instrument:

General Meaning :
A negotiable instrument is a ***piece of paper*** which entitles a person to a sum of money and which is ***transferable*** from person to person by mere delivery or by endorsement and delivery.

A person to whom it is so transferred becomes entitled to the money and also to the right to further transfer it.

Defination – Negotiable Instrument is regulated by "The Negotiable Instrument Act, 1881". According to this Act,

Negotiable Instrument means -
- Cheque.
- Bills of Exchange (B/E)
- Promissory Note (PN).

Which is payable :
- Either to the order, Or
- To the bearer.

2. Promissory Note

I. Legal definition of promissory note (S-4) :

A promissory note is :
- ➔ An instrument in **writing.**
- ➔ **Not being a bank note or currency note**
- ➔ Containing an **unconditional undertaking.**
- ➔ **Signed** by the maker.
- ➔ To pay a certain sum of money :
  - (a) To a certain person, or
  - (b) To the order of certain person, or
  - (c) Or to the bearer of the instrument.

Parties to a Promissory Note : There are **2 parties** to a promissory note :

i) **Maker** :- Who signs the note (the debtor) and agrees to pay the amount on the due date; and

ii) **Payee** :- To whom the amount is payable (the creditor).

Note :
A Party who **receives PN/ Draw Bills** of Exchange will treat it as a **ASSET** under the name of "**Bills Receivable"** and Party which **issued PN or accepts Bill** of Exchange will treat it as **LIABILITY** under the head "**Bills Payable"**.

II. Essentials of a promissory note :

(1) **Writing** : It means promise must not be oral. It may be written in pencil or ink or by typing or other printings.

(2) **Promise to pay :** However the use of the word promise is not essential. But the language used must clearly show that the maker is bound to pay the sum.
Ex.1 : I acknowledge myself indebted to B 1000/- to be paid on demand, for value received. It is a valid Promissory Note.
Ex. 2 : A mere acknowledgement of debt is not a promissory note. For ex. I have to pay Mr. B 5000/-.

(3) **Unconditional Promise** : If any condition is attached with the promise it is not a valid PN. For example : Payment after marriage is not valid PN.

As per Section 5, if the payment depends upon an event which is certain to occur although the time of its occurrence is not certain, then it will be deemed to be a valid PN e.g. Death.

(4) **Money only and a certain sum of money:**

- Amount promised must be in terms of **money only** (i.e. in Rupees). Therefore a Promissory Note payable in foreign exchange is not a valid Promissory Note. For ex. I promise to pay 1000 $, is not a valid Promissory Note.
- If the instrument contains a promise to pay **something other than money** or something **in addition to money**, (i.e. in kind) it will not be a promissory note.

(5) **The instrument must be signed by Maker** : The signature must be in the instrument. Maker cannot sign on a slip of paper.

(6) **The person to whom promise is made must be a definite person** : The payee must be a certain person and where the name of the payee is not mentioned as a party, the instrument becomes invalid.

(7) **S- 31 of RBI Act** : A PN cannot be made payable to a bearer, although Section 4 still specifies that it can be payable to bearer. But, as per RBI Act, 1934, only CG or RBI can issue a PN which is payable to bearer and it overrides Section 4 of NI Act.

(1) **Stamping :** A Promissory Note must be properly stamped in accordance with the provisions of the Indian Stamp Act.

(2) **Debtor :** Promissory Note is always drawn by Debtor.

(3) **No Acceptance :** Promissory Note does not require any Acceptance.

(4) **2 Parties :** Maker and Payee.

3. BILLS OF EXCHANGE

1. **Definition of Bills of Exchange** :- A bill of exchange is an **instrument in writing** containing an **unconditional order**, **signed** by the maker, **directing** a person to pay a **certain sum of money** only to, or to the **order** of, a certain person, or to the **bearer** of the instrument.

2. **Parties to a Bill of Exchange** :- There are **3 parties** to a Bills of Exchange :
   - **i)** **Drawer** :- The **Maker** of Bills of Exchange is known as drawer, The signature of the drawer is necessary to complete the instrument.
   - **ii)** **Drawee** :- The Person **on whom** the bill is drawn and is thereby directed to pay is known as the drawee.
   - **iii)** **Payee** :- The Person named in the instrument to whom or to whose order the amount of the instrument is directed to be paid is known as payee (i.e. **Receiver** of amount). If till maturity date Drawer kept bill with himself then **Drawer and payee will be same person.**

3. Essentials of B/E :

(1) Writing
(2) **Order** : There must be an order to pay. But the word Order need not be used.
(3) Unconditional
(4) **Sign** : The B/E must be signed by the drawer.
(5) **No. of Parties – 3 Parties** : Drawer, Drawee and Payee. However Drawer and Payee may be the same person.
(6) Certain Amount
(7) Money
(8) Stamping
(9) **S-31 of RBI Act** : A BOE can not be made **Payable to Bearer on Demand.**
(10) **Acceptance :** After drawing the bill, it must be presented to drawee for acceptance. Bill must be accepted before the maturity date.
(11) **Creditor** : It is always drawn by Creditor.

Q.4 : Explain the term Negotiation ? State the ways in which instrument can be negotiated?

Answer :

I. Meaning of Negotiation [Section 14]

When a NI is transferred to any person, so as to constitute that person the holder thereof, the instrument is said to be negotiated.

II. Ways of negotiation : There are two ways of negotiation :

(1) **By delivery [Section 47]** : A NI which is payable to bearer is negotiable by delivery thereof.
(2) **By endorsement and delivery [Section 48]** : A NI which is payable to the order, is transferable by endorsement and delivery.

Q.5 : What do mean by endorsement ?

Ans. : **Meaning of Endorsement [Section 15]** : When the maker or holder of NI **signs** the same for **purpose of negotiation**, on the back or face, or on a slip of paper annexed thereto, he is said to endorse the same and is called the **endorser**. The party to whom NI is transferred is called as **endorsee.**

Q.6 : What do you mean by Inland and Foreign Instrument ?

Ans.

I. Inland Instrument - An instrument will be deemed to be Inland Instrument if following conditions are satisfied
(1) If it is made/drawn in India, **and**
(2) made payable in India **or** it is drawn upon a person resident in India.

II. Foreign Instrument – Any instrument which is not an Inland Instrument shall be deemed to be a foreign instrument.
Thus the foreign bills are:
a] Bills drawn outside India and made payable in or drawn upon any person resident in any country outside India.
b] Bills drawn outside India and made payable in India, or drawn upon any person resident in India.
c] Bills drawn in India upon persons resident outside India and made payable outside India.

7. **Types of Bills :** Basically bills are classified into two categories :-
(A) Trade/Commercial Bills.
(B) Accommodation Bills.

(A) **Trade/ Commercial Bills** :- This bill is drawn by the seller and accepted by the buyer **for a certain sum of money**. It is essentially a trade related instrument.

(B) **Accommodation Bills** :- Accommodation bill is that which drawn and accepted **without any consideration**. It is drawn for the purpose of arranging temporary finance.

8. **Renewals of a Bills** :- Sometimes the Acceptor is **unable to pay** the amount of Bill on maturity date and he come to drawer for **extension of time**. The Drawer may give extension. In such case **new bill will be drawn** and the **old bill will be cancelled**.
In the above case first entry of cancellation will be done in same way as discussed in dishonour then one more entry will be passed for receipt of new bill.

9. **Accommodation Bill** :- Sometimes Bills are drawn accepted and endorsed for purpose of arranging **temporary financial assistance without consideration**. Such bills are called Accommodation Bill or kite bill. Since no consideration is involved the bill is not enforceable at law. The Drawing Party gets the **Bills discounted from Bank** and receives cash to meet its financial needs. The amount so received may be used wholly by the drawer or by both the parties Drawer & Drawee.
Before the maturity date the required money is remitted to the acceptor so that he can honour the bill.
The amount of discount is borne by both the parties **in the ratio of utilisation of money**.

10. **Noting Charges** :- These charges are charged by Notary Public from Holder of Bill.
The Holder will recover it from the party which is responsible for dishonour (i.e. drawee).

11. **Rebate or Retiring of bill :**- Sometimes Drawee makes payment before maturity date.This is called Retiring of a Bill. In this case Drawer allows him some Discount. This discount is called rebate.

12. **Insolvency of Drawee :-** Insolvency of a person means that he is unable to pay his Liabilities. This means that bills accepted by him will be dishonoured.

13. **Bills for Collection :-** If the bills is sent to the bank with instruction that the bill should be retained till maturity and should be realised on due date it is known as "Bill sent for collection. It does not mean discounting of Bill. Entries-

i) Bills for collection Account Dr.
To Bill receivable A/c
(Bill given to bank for collection)

ii) Bank A/c Dr.
To Bills for Collection A/c
(The Amount of Bill realized)

iii) Party Account Dr.
To Bills for Collection
(If the Bill is dishonoured)

14. **Type of Instrument :** Instrument can be of following 2 types :

i) **Demand Bill** – Which is payable on demand or the time is not specified in the instrument. Eg. A bill is payable on demand or on presentment or at sight.

ii) **Time Bill –** Which is payable after certain number of days or months.
Ex. 1: A bill is payable after 25 days or 3 months.
Ex. 2 : A bill is payable 2 months after sight or presentment or acceptance.

15. **Due Date or Maturity date of a Instrument :-**

a. The concept of maturity date is not applicable for Demand Bill.
b. It is applicable only for time bill.
c. In case of time bill for calculating maturity date 3 grace days are allowed. It means grace days are not available for demand bill.

While calculating the due date of a bill, the following points should be noted:

1. If the bill is payable after certain number of days then at the time of calculating due date, the date on which the instrument is drawn will be excluded.
Ex. Bill drawn on 5th Jan, payable after 15 days. Calculate MD.

2. If the bill is payable after certain number of months then at the time of calculating due date following rule shall apply :
   i) If after stated number of months corresponding date is available – Due date = Corresponding date + 3 grace days.
   Ex. Bill drawn on 15th Jan., payable after 2 months. Calculate MD.
   ii) If after stated number of months corresponding date is not available – Due date = Last date of the month + 3 grace days.
   Ex. Bill drawn on 31st Jan., payable after 3 months. Calculate MD.

3. If the due date falls on public holiday', the due date shall be the next preceding business day. 'Public Holiday' includes Sundays and any other day declared by the Central Government as public holiday.
Ex.: The instrument drawn on 23rd Dec. payable after 1 month. Calculate MD.

4. In case of emergency or unforeseen or sudden public holiday, the due date shall be the next succeeding or following business day.
Calculate Maturity Date :
   i) Bill drawn on 1-1-18. Accepted on 4-1-18. It is payable 3 months after date.
   ii) Bill drawn on 1-1-18. Accepted on 4-1-18. It is payable 3 months after sight or presentment or acceptance.
   iii) Bill drawn on 15th Jan. 18. It is payable on demand or sight or presentment.

CLASS WORK QUESTIONS

Question 1: (Bill Matured on due date) – Entry in Books of Drawer & Drawee

On 1st January, 2019, A sold goods to B for Rs. 5000. A received Rs. 900 by cheque from B and drew on him a bill for the balance amount payable 3 months after date. The bill was duly accepted by B. A retained the bill till due date. On due date, the bill was paid.

Pass Journal entries in the books of A and B. Also, show necessary accounts in the books of both the parties.

Personal Note:- **Register No. _____** **Page No. _____**

Question 2: (Discounting)

Dinesh received from Shridhar an acceptance for Rs. 3,000 on 1st September, 2018 at 3 months. Dinesh got the acceptance discounted at 9% p.a. from his bank. On the due date, Shridhar paid the required amount.

Give the Journal entries in the books of Dinesh and Shridhar.

Personal Note:- **Register No. _____** **Page No. _____**

Question 3:

A drew a bill of Rs. 1,000 on B for 3 months which was duly accepted by the latter. A endorsed the bill to C in full payment of his own acceptance to C for a like amount. C endorsed the bill to B.

Give the Journal entries in the books of A and B.

Personal Note:- **Register No. _____** **Page No. _____**

Question 4: (Renewal of Bill)

Mohan sold goods to Gupta on 1st September, 2017 for Rs. 1,600. Gupta immediately accepted a three months bill. On due date Gupta requested that the bill be renewed for a fresh period of two months. Mohan agrees provided interest at 9% p.a. was paid immediately in cash. To this Gupta was agreeable. The second bill was met on due date. Give Journal entries in the books of Mohan and Gupta.

[Interest on new bill- 24/-, Value of new bill- 1600/-]

Personal Note:- **Register No. _____** **Page No. _____**

Question 5: (Retiring of Bill - Drawer's Book) **[SM ILL. 5 & PQ. 1]**

On 1st January, 2018, A sells goods for Rs. 10,000 to B and draws a bill at three months for the amount. B accepts it and returns it to A. On 4th March, 2018, B retires his acceptance under rebate of 12% per annum. Record these transactions in the journals of A.

[Rebate on bill - 100/-]

Personal Note:- **Register No. _____** **Page No. _____**

Question 6: (Retiring of Bill – Drawee Books) **[SM ILL. 6]**

On 1st January, 2018, A sells goods for Rs. 10,000 to B and draws a bill at three months for the amount. B accepts it and returns it to A. On 4th March, 2018, B retires his acceptance under rebate of 12% per annum. Record these transactions in the journals of B.

[Rebate on bill - 100/-]

Personal Note:- **Register No. _____** **Page No. _____**

Question 7: (Bill for Collection)

A two months Bill for ₹ 60,000 is drawn by B & Co. and accepted by C & Co., payable at the Bank of India. B & Co. gives the bill to their banker for collection. On due date bill is honoured. Show what entries will be passed in the books of B & Co.

Personal Note:- **Register No. _____** **Page No. _____**

Question 8: (Multiple Bill + Renewal + Discount + Dishonour) [PEQ – JAN. 25, 5 Marks][SM PQ. 2]

A draws upon B three Bills of Exchange of Rs. 3,000, Rs. 2,000 and Rs. 1,000 respectively. A week later his first bill was mutually cancelled, B agreeing to pay 50% of the amount in cash immediately and for the balance plus interest Rs. 100, he accepted a fresh Bill drawn by A. This new bill was endorsed to C who discounted the same with his bankers for Rs. 1,500. The second bill was discounted by A at 5%. This bill on maturity was returned dishonored (noting charge

being Rs. 30). The third bill was retained till maturity when it was duly met.
Give the necessary journal entry recording the above transactions in the books of A.

[Interest on new bill - 100/-, Discount of second bill - 100/-]

Personal Note:- **Register No. _____** **Page No. _____**

Question 9: (Multiple Situaiton) **[PEQ-JUNE.23-5 Marks][SM ILL. 4]**

Journalise the following transaction in K. Katrak's books.

(i) Katrak's acceptance to Basu for Rs. 2,500 discharged by a cash payment of Rs. 1,000 and a new bill for the balance plus Rs.50 for interest.
(ii) G. Gupta's acceptance for Rs. 4,000 which was endorsed by Kartak to M. Mehta was dishonored. Mehta paid Rs. 20 noting charges. Bill withdrawn against cheque.
(iii) D. Dalal retires a bill for Rs. 2,000 drawn on him by Katrak for Rs. 10 discount.
(iv) Katrak's acceptance to P. Patel for Rs. 5,000 discharge by endorsing P. Mody's acceptance to Katrak for a similar amount.

Personal Note:- **Register No. _____** **Page No. _____**

Question 10: (Renewal + Insolvency) **[PEQ-SEP.25-5 Marks][SM ILL.8]**

R owed Rs. 1,000 to S. On 1st October, R accepted a bill drawn by S for the amount at 3 months. S got the bill discounted with his bank for Rs. 900 Before the due date, R approached S for renewal of the bill.S agreed on the conditions that Rs. 500 be paid immediately together with interest on the remaining amount at 12% per annum for 3 months and for the balance, R should accept a new bill at three months. These arrangements were carried out. But afterwards, R became insolvent and 40% of the amount could be recovered from his estate. Pass journal entries (with narration) in the books of S.

[Discount on bill 100/-, Interest on new bill - 15/-]

Personal Note:- **Register No. _____** **Page No. _____**

Question 11: (Multiple Situation) **[SM PQ. 3]**

Journalise the following in the books of Don:

(i) Bob informs Don that Ray's acceptance for Rs. 3,000 has been dishonoured and noting charges are Rs. 40. Bob accepts Rs. 1,000 cash and the balance as bill at three months at interest of 10%. Don accepts from Ray his acceptance at two months interest @ 12% p.a.

(ii) James owes Don Rs. 3,200; he sends Don's own acceptance in favour of Ralph for Rs. 3,160; in full settlement.

(iii) Don meets his acceptance in favour of Singh for Rs. 4,500 by endorsing John's acceptance for Rs. 4,450 in full settlement.

(iv) Ray's acceptance in favour of Don retired one month before due date, interest is taken at the rate of 6% p.a.

[(i) Interest on new bill - 51/- & 60.80/-, (ii) Dis. - 40/-, (iii) Discount - 50/-, (iv) Discount - 15.50/-]

Personal Note:- **Register No. _____** **Page No. _____**

Question 12: **[PEQ-May.25-5 Marks]**

On 1st Jan X, for the temporary and mutual accommodation of himself and Y, draws upon the latter a bill of exchange at 3 months for ₹ 2,000. On 4th Jan. X discounts the bill @ 6% p.a and hands half the proceeds to Y. At maturity X remits the amount due to Y who meets the bill. Pass Journal entries in the books of both the parties.

Personal Note:- **Register No. _____** **Page No. _____**

Question 13: (Multiple Party Transaction) **[SM ILL.9]**

On 1st July 2017 G drew a bill for Rs. 80,000 for 3 months on H for mutual accommodation. H accepted the bill of exchange. G had purchased goods worth Rs. 81,000 from J on the same date. G endorsed H's acceptance to J in full settlement. On 1st September, 2017 J purchased goods worth Rs. 90,000 from H. J endorsed the bill of exchange received from G to H and paid Rs. 9,000 in full settlement of the amount due to H. On 1st October, 2017 H purchased goods worth Rs. 1,00,000 from G. H paid the amount due to G by cheque. Give the necessary Journal Entries in the books of H & G.

[Cheque received from J- 9,000/-, Final amt. paid to G- 20,000/-]

Personal Note:- **Register No. _____** **Page No. _____**

Question 14: (Accomodation Bill) **[PEQ-JAN.26-5M][SM ILL.11]**

For the mutual accommodation of 'X' and 'Y' on 1st April, drew a four months bill on 'Y' for Rs. 4,000. 'Y' retuned the bill after acceptance of the same date. 'X' discounts the bill from his bankers @ 6% per annum and remit 50% of the proceed to 'Y'. On due date 'X' is unable to send the amount due and

therefore 'Y' draws a bill for Rs. 7,000, which is duly accepted by 'X'. 'Y' discounts the bill for Rs. 6,600 and sends Rs. 1,300 to 'X'. Before the bill is due for payment 'X' becomes insolvent. Later 25 paise in a rupee received from his estate.
Record Journal entries in the books of 'X'.

[Dis. on bill - 80/-, Dis. borne by Y - 40/-, Dis. borne by X - 200/-, X deficiency - 2625/-]

Personal Note:- **Register No. _____** **Page No. _____**

HOME WORK QUESTIONS

Question 15: (Multiple Options)

A bill for ₹ 4,500 is drawn by Mohan on Ram Nath and accepted by the latter. Show the Journal entries that would be recorded in the books of both the parties under each of the following circumstances:

(i) Bill is retained till the due date.
(ii) Bill is discounted with his bank, Bank of Baroda, for ₹ 4,380.
(iii) Bill is endorsed to creditor Mehtab in settlement of his debt of ₹ 4,520.
(iv) If Mohan sent the bill to his bank for collection.

Personal Note:- **Register No. _____** **Page No. _____**

Question 16: (Retire + Renewal + Insolvency) **[SM ILL. 7]**

Mr. David draws two bills of exchange on 1.1.2018 for Rs. 6,000 and Rs. 10,000.This bills of exchange for Rs. 6,000 is for two months while the bill of exchange for Rs. 10,000 is for three months. These bills are accepted by Mr. Thomas. On 4.3.2018, Mr. Thomas requests Mr. David to renew the first bill with interest at 18% p.a. for a period of two months. Mr. David agrees to this proposal. On 20.3.2018, Mr. Thomas retires the acceptance for Rs. 10,000, the interest rebate i.e. discount being Rs.100. Before the due date of the renewed bill, Mr. Thomas becomes insolvent and only 50 paise in a rupee could be recovered from his estate.
You are to give the journal entries in the books of Mr. David.

[Interest on bill - 180/-, Discount on bill - 100/-, bad debts – 3,090/-]

Personal Note:- **Register No. _____** **Page No. _____**

Question 17: (Discount + Dishonour)

Rahim owed Ram Rs. 70,000 for which he accepted a bill drawn on him by Ram payable after 3 Months from 1st January.

On the 4th January the bill was discounted by the drawer with his bank for 95% value.

The bill was not met on the due date and the bank, therefore, debited the same to the drawer's account with Rs. 10 incidental charges and Rs. 40 over due interest, on the 10th April.

The drawee settled the bill value together with cost on 11th April.

Required : Pass Journal Entries in the books of Rahim and of Ram for the above transactions.

Personal Note:- **Register No. _____** **Page No. _____**

Question 18: (Multiple Bills)

On 15 Jan. Sudarshan sold goods to Shashi for Rs. 3,000. Shashi paid Rs. 600 in cash and for balance accepted three Bills, No. 1 for Rs. 700 at one month, No. 2 for Rs. 800 at two months, and No. 3, Rs. 900 at three months.

Sudarshan endorsed 1st bill to Nahar his creditor on 16 Jan. in full settlement of Rs. 710; discounted the 2nd bill at his bank for Rs. 792 and retained the third bill till maturity.

The first bill is met at maturity. The second bill is dishonoured and Rs. 10 being paid as noting charges, Sudarshan charges Rs. 15 for interest and draws on Shashi a fourth bill for the amount at three months. At maturity, the third bill was renewed with interest @ 5% p.a. for three months. The fifth bill was duly accepted by Shashi. The fourth and fifth bills were met at maturity.

Required : Give journal entries in the books of Sudarshan.

Personal Note:- **Register No. _____** **Page No. _____**

Question 19: (Renewal)

X owes Y Rs. 3,000 and accepted a three months bill for the amount. Before the due date of the bill :

(a) X, approached us and pays Rs. 1,000 in cash and asks us to draw on him another bill for 5 months for Rs. 2,000 plus interest @ 18% p.a.

(b) X pays us interest @ 18% p.a. and accepts another bill for 5 months.

(c) X pays us Rs. 1,000 plus interest @ 18% p.a. and accepts another bill for 5 months for Rs. 2,000.

(d) X pays us Rs. 1,000 in cash and endorses over to us a bill of his for Rs. 1,000 and accepts a fresh bill for 5 months for the balance plus interest @ 18% p.a.

Required : Pass the necessary journal entries in the books of Y in each of the above alternative cases.

Personal Note:- **Register No. _____** **Page No. _____**

Question 20: (Accomodation Bill) **[Dec. 23, 10 Marks] [SM ILL. 12]**

Anil draws a bill for Rs. 9,000 on Sanjay on 5th April, 2017 for 3 months, which Sanjay returns it to Anil after accepting the same. Anil gets it discounted with the bank for Rs. 8,820 and remits one-third amount to Sanjay. On the due date Anil fails to remit the amount due to Sanjay, but he accepts a bill for Rs. 12,600 for three months, which Sajnay discounts it for Rs. 12,330 and remits Rs. 2,220 to Anil. Before the maturity of the renewed bill Anil becomes insolvent and only 50% was realized from his estate on 15th October, 2017.

Pass necessary Journal entries for the above transaction in the books of Anil.

[Dis. borne by Anil: 1st Bill - 120, 2nd Bill - 180/-, Deficiency of Anil - 4200/-]

Personal Note:- **Register No. _____** **Page No. _____**

Question 21: (Accomodation Bill)

X and Y were friends and in need of funds. On 1st Jan. X drew a bill for Rs. 2,00,000 for 3 months on Y. On 4th Jan. X got the bill discounted at 10% p.a. and remitted half of the proceeds to Y. On 1st April, X could not send the required sum, instead, he accepted Y's bill for Rs. 1,20,000 for two months. On 4th April, the bill was discounted by Y at 12% p.a. Out of this Rs. 7,800 were remitted to X. At maturity of second bill, due to financial crisis, X became insolvent and only 50 paise in a rupee could be recovered from his estate. Pass Journal Entries in the Books of X and Y.

[Dis. Borne by Mr. X: 1st Bill - 2,500, 2nd Bill - 2,200, Deficiency - 55,000]

Personal Note:- **Register No. _____** **Page No. _____**

Question 22: (Accomodation Bill)

(PEQ-NOV.22-15 Marks, MTP JAN. 25, 5 Marks)(Sep. – 24, 10 Marks)(SM ILL. 11)

Shubham draws on Rajendra a bill for Rs. 45,000 on 1st June for 3 months. Rajendra accepts the bill and sends it to Shubham who gets it discounted for Rs. 44,100. Shubham immediately remits Rs. 14,700 to Rajendra. On the due date Shubham, being unable to remit the amount due, accepts a bill for Rs. 63,000 for three months which is discounted by Rajendra for Rs. 61,650. Rajendra sends Rs. 11,100 to Shubham. On the due date Shubham becomes insolvent, his estate paying forty paise in the rupee. Give Journal Entries in the books of Shubham and Rajendra.

[Dis. Borne by Shubham: 1st Bill - 600, 2nd Bill - 900, Deficiency - 25,200]

Personal Note:- **Register No. _____** **Page No. _____**

Question 23: (Retirement + Renewal + Insolvency) **[RTP- May-19 & 20] [10 Marks]**

On 1st January 2018, Akshay draws two bills of exchange for ₹ 16,000 and ₹ 25,000.

The bill of exchange for ₹ 16,000 is for two months while the bill of exchange for ₹ 25,000 is for three months. These bills are accepted by Vishal. On 4th March, 2018, Vishal requests Akshay to renew the first bill with interest at 15% p.a. for a period of two months. Akshay agreed to this proposal. On 25th march, 2018, Vishal retires the acceptance for ₹ 25,000, the interest rebate i.e. discount being ₹ 250. Before the due date of the renewed bill, Vishal becomes insolvent and only 50 paisa in a rupee could be recovered from his estate.

Show the Journal Entries (with narrations) in the books of Akshay.

[B/R No.3 Amt. – 16,400, B/D- 8,200]

Personal Note:- **Register No. _____** **Page No. _____**

Question 24: (Accomodation Bill) **[SM ILL. 11]**

X draws on Y a bill of exchange for ₹ 30,000 on 1st April, 2020 for 3 months. Y accepts the bill and sends it to X who gets it discounted for ₹ 28,800. X immediately remits ₹ 9,600 to Y. On the due date, X, being unable to remit the amount due, accepts a bill for ₹ 42,000 for three months which is discounted by Y for ₹ 40,110. Y sends ₹ 6,740 to X. Before the maturity of the bill X becomes bankrupt, his estate paying fifty paise in the rupee. Give the journal entries in the books of X and Y.

Personal Note:- **Register No. _____** **Page No. _____**

Question 25: (Disconted + Eadorsed) **[SM ILL. 1]**

Ms. Sujata receives two bills from Ms. Aruna dated 1st January 2020 for 2 months. The first bill is for 10,200 and the second bill is for ₹ 15,000. The second bill was endorsed in favour or Mr. Sree on 3rd January 2020. And the First bill is discounted immediately with the bank for ₹ 10,000. Pass the necessary journal entries in the books of Ms. Sujata.

Personal Note:- **Register No. _____** **Page No. _____**

Question 26: (Renewal) **(SM ILL. 2)**

Vijay sold goods to Pritam on 1st September, 2019 for ₹ 1,06,000. Pritam immediately accepted a three months bill. On due date Pritam requested that the bill be renewed for a fresh period of two months. Vijay agrees provided interest at 9% p.a. was paid immediately in cash. To this Pritam was agreeable. The second bill was met on due date. Give Journal entries in the books of Vijay and Pritam.

Personal Note:- **Register No. _____** **Page No. _____**

Question 27: (Retire) **(SM ILL. 3)**

On 1st January, 2020, Ankita sells goods for ₹ 5,00,000 to Bhavika and draws a bill at three months for the amount. Bhavika accepts it and returns it to Ankita. On 1st March, 2020, Bhavika retires her acceptance under rebate of 12% per annum. Record these transactions in the journals of Ankita and Bhavika.

Personal Note:- **Register No. _____** **Page No. _____**

Question : 28 **(RTP Jan. 25)**

On 1st April, 2024, X sells goods to Y for Rs. 25,000 plus IGST @ 18% and draws two bills of exchange on him; the first bill for Rs. 15,000 for 2 months and second bill for the balance for 3 months. Y accepts and returns these bills to X. Both the bills are sent to the bank for collection on 1st April, 2024. In due course, X receives the information from the bank on the due date of the respective bill that the bill for Rs. 15,000 has been duly met and the other bill has been dishonored. Noting charges paid on the dishonour of second bill are Rs. 500. Pass the journal entries along with narrations in the books of X.

Personal Note:- **Register No. _____** **Page No. _____**

SOLUTION OF HOME WORK QUESTIONS

Solution 15:

I. Entries in the books of Mohan

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	Entry in all cases:			
	Bills Receivable A/c …Dr.		4,500	
	To Ram Nath			4,500
	(Being the bill drawn and accepted by Ram Nath)			
	Additional entry in case (i):		4,500	
	Cash or Bank A/c …Dr.			4,500
	To Bills Receivable A/c			
	(Being the bill realized on due date)			
	Additional entry in case (ii):			
	Bank A/c …Dr.		4,380	
	Discounting Charges A/c …Dr.		120	
	To Bills Receivable A/c			4,500
	(Being the bill discounted with Bank of Baroda for ₹ 4,380)			
	Additional entry in case (iii):			
	Mehtab ….Dr.		4,520	
	To Bills Receivable A/c			4,500
	To Discount Received A/c			20
	(Being the bill endorsed in favour of creditor, Mehtab in settlement of his debt)			
	Additonal entries in case(iv):			
	(a) When the bill is sent for collection:			
	Bills Sent for Collection A/c …Dr.		4,500	
	To Bills Rreceivable A/c			4,500
	(Being the bill sent for collection)			
	(b) When bill is collected:			
	Bank A/c …Dr.		4,500	
	To Bills Sent for Collection A/c			4,500
	(Being the bill collected at maturity)			

II. Entries in the books of Ram Nath

	Mohan …Dr.		4,500	
	To Bills Payable A/c			4,500
	(Being the bill accepted)			
	Bills Payable A/c …Dr.		4,500	
	To Cash or Bank A/c			4,500
	(Being the bill duly met on maturity)			

Note: The acceptor, Ram Nath, will not recored any entry in cases (ii), (iii) and (iv). The above transactions are that of Mohan. On the due date, the amount of the bill is payable by him to the bearer of the bill.

Solution 16:

Journal Entries in the books of Mr. David

2016	Particulars		(₹)	(₹)
Jan.1	Bills receivable (No. 1) A/c	Dr.	6,000	
	Bills receivable (No. 2) A/c	Dr.	10,000	
	To Mr. Thomas's A/c			16,000
	(Being drawing of bills receivable No. 1 due for maturity on 4.3.2016 and bills receivable No. 2 due for maturity on 4.4.2016)			
4-Mar	Mr. Thomas's A/c	Dr.	6,000	
	To Bills receivable (No.1) A/c			6,000
	(Being the reversal entry for bill No.1 on agreed renewal)			
4-Mar	Bills receivable (No. 3) A/c	Dr.	6,180	
	To Interest A/c			180
	To Mr. Thomas's A/c			6,000
	(Being the drawing of bill of exchange no. 3 due for maturity on 7.5.2016 together with interest at 18%p.a. in lieu of the original acceptance of Mr. Thomas)			
20-Mar	Bank A/c	Dr.	9,900	
	Discount A/c	Dr.	100	
	To Bills receivable (No. 2) A/c			10,000
	(Being the amount received on retirement of bills No.2 before the due date)			
7-May	Mr. Thomas's A/c	Dr.	6,180	
	To Bills receivable (No. 3) A/c			6,180
	(Being the amount due from Mr. Thomas ondishonour of his acceptance on presentation on the due date)			
7-May	Bank A/c	Dr.	3,090	
	Bad Debts A/c	Dr.	3,090	
	To Mr. Thomas's A/c			6,180
	(Being the amount received from official assignee of Mr. Thomas at 50 paise per rupee against dishonoured bill)			

Solution 17:

JOURNAL OF RAM

Date	Particulars		L.F.	Dr. (Rs.)	Cr. (Rs.)
Jan. 1	Bills Receivable A/c	Dr.		70,000	
	To Rahim A/c				70,000
	(Being bill drawn on Rahim for 3 months and acceptance received)				
Jan. 4	Bank A/c	Dr.		66,500	
	Discounting Charges A/c	Dr.		3,500	
	To Bills Receivable A/c				70,000
	(Being the bill discounted with bank for 95% value)				
Jan. 10	Rahim A/c	Dr.		70,050	
	To Bank A/c				70,050
	(At maturity the discounted bill being dishonoured, Bill Value plus incidental charges & interest debited by Bank)				
Jan. 11	Bank A/c	Dr.		70,050	
	To Rahim A/c				70,050
	(Being the amount received from Rahim in settlement of the dishonoured bill)				

JOURNAL OF RAHIM

Date	Particulars		L.F.	Dr. (Rs.)	Cr. (Rs.)
Jan. 1	Ram A/c	Dr.		70,000	
	To Bills payable A/c				70,000
	(Being acceptance given to Ram)				
Apr. 4	Bills Payable A/c	Dr.		70,000	
	Interest A/c	Dr.		40	
	Incidental Charges A/c	Dr.		10	
	To Ram A/c				70,050
	(Being the acceptance dishonoured at maturity)				
Apr. 11	Ram A/c	Dr.		70,050	
	To Bank A/c				70,050
	(Being the payment made to Ram in settlement of the disonoured Bill inclu.. incidental charges and interest)				

Solution 18:

JOURNAL OF SUDARSHAN

Date	Particulars		L.F.	Dr. (Rs.)	Cr. (Rs.)
Jan. 15	Shashi A/c	Dr.		3,000.00	
	To Sales A/c				3,000.00
	(Being the goods sold to Shashi)				
	Cash A/c	Dr.		600.00	
	Bills Receivable (No. 1) A/c	Dr.		700.00	
	Bills Receivable (No. 2) A/c	Dr.		800.00	
	Bills Receivable (No. 3) A/c	Dr.		900.00	
	To Shashi				3,000.00
	(Being the cash and the acceptance of three bills for 700, II for 800, and III for 900 received from Shashi)				
Jan. 16	Nahar	Dr.		710.00	
	To Bills Receivable (No. 1) A/c				700.00
	To Discount Received A/c				10.00
	(Being the first bill endorsed to Nahar in full settlement)				
	Bank A/c	Dr.		792.00	
	Discount A/c	Dr.		8.00	
	To Bills Receivable (No. 2) A/c				800.00
	(Being the second bill discounted with bank)				
Mar. 18	Shashi	Dr.		810.00	
	To Bank A/c				810.00
	(Being the second bill dishonoured on maturity and noting Charges incurred Rs. 10)				
	Shashi	Dr.		15.00	
	To Interest A/c				15.00
	(Being the interest charges)				
	Bills Receivable (No. 4) A/c	Dr.		825.00	
	To Shashi				825.00
	(Being the acceptance of the fourth bill payable after three Months received from Shashi)				
Apr. 18	Shashi	Dr.		900.00	
	To Bills Receivable A/c				900.00
	(Being the third bill cancelled)				

	Shashi Dr. To Interest A/c (Being the interest on the amount of third bill @ 5% p.a. for three months)		11.25	11.25
	Bills Receivable (No.5) A/c Dr. To Shashi (Being the acceptance of the fifth bill received from Shashi)		911.25	911.25
June 21	Cash A/c Dr. To Bills Receivable (No. 4) A/c (Being the fourth bill met at maturity)		825.00	825.00
July 21	Cash A/c Dr. To Bills Receivable (No. 5) A/c (Being the fifth bill met at maturity)		911.25	911.25

Solution 19:

JOURNAL OF Y

Date	Particulars	L.F.	Dr. (Rs.)	Cr. (Rs.)
(a)	X Dr. To Bills Receivable A/c (Being the original bill cancelled)		3,000	3,000
	Cash A/c Dr. To X (Being cash received from X)		1,000	1,000
	X Dr. To Interest A/c (Being the interest due from X)		150	150
	Bills Receivable A/c Dr. To X (Being acceptance of B/R received)		2,150	2,150
(b)	X Dr. To Bills Receivable A/c (Being the original bill cancelled)		3,000	3,000
	X Dr. To Interest A/c (Being interest due from X)		225	225
	Cash A/c Dr. To X (Being interest received)		225	225
	Bills Receivable A/c Dr. To X (Being the acceptance of B/R received)		3,000	3,000
(c)	X Dr. To Bills Receivable A/c (Being the original bill cancelled)		3,000	3,000
	X Dr. To Interest A/c (Being interest due from X)		150	150
	Cash A/c Dr. To X (Being cash received from X)		1,150	1,150

	Bills Receivable A/c To X (Being B/R drawn upon X)	Dr.		2,000	 2,000
(d)	X To Bills Receivable A/c (Being the original bill cancelled)	Dr.		3,000	 3,000
	Cash A/c Bills Receivable A/c To X (Being cash & B/R received from X)	Dr. Dr.		1,000 1,000	 2,000
	X To Interest A/c (Being interest due from X)	Dr.		75	 75
	Bills Receivable A/c To X (Being acceptance of B/R received)	Dr.		1,075	 1,075

Solution 20:

Journal Entries in the books of Anil

Date 2016	Particulars		Debit Amount ₹	Credit Amount ₹
5-Apr	Bills receivable account To Sanjay's account (Being acceptance received from Sanjay for mutual accommodation)	Dr.	9,000	 9,000
5-Apr	Bank account Discount account To Bills receivable account (Being bill discounted with bank)	Dr. Dr.	8,820 180	 9,000
5-Apr	Sanjay's account To Bank account To Discount account (Being one-third proceeds of the bill sent to Sanjay)	Dr.	3,000	 2,940 60
8-Jul	Sanjay's account To Bills payable account (Being Acceptance given)	Dr.	12,600	 12,600
8-Jul	Bank account Discount account To Sanjay's account (Being proceeds of second bill received from Sanjay)	Dr. Dr.	2,220 180	 2,400
Oct.11	Bills payable account To Sanjay's account (Being bill dishonoured due to insolvency)	Dr.	12,600	 12,600
Oct.15	Sanjay's account (6,000 + 2,400) To Bank account To Deficiency account (Being insolvent, only 50% amount paid to Sanjay)	Dr.	8,400	 4,200 4,200

Calculation of amount of Discount of 2nd bill to be borne by Anil

Total Discount on 2nd Bill = 12,600 -12,330 = 270
Total Amt. Reced. Rs.12,330 Then Dis. = 270
∴ Amt. Kept with Anil = 8,220
= (Old. 6,000 + New 2,220) = $\frac{270}{12,330}$ x 8,220 = 180

Solution 21:

JOURNAL OF X

Date	Particulars		L.F.	Dr. (Rs.)	Cr. (Rs.)
Jan. 1	Bills Receivable A/c	Dr.		2,00,000	
	To Y				2,00,000
	(Being the acceptance of a bill received from Y)				
Jan. 4	Bank A/c	Dr.		1,95,000	
	Discount A/c	Dr.		5,000	
	To Bills Receivable A/c				2,00,000
	(Being the bill discounted @ 10% p.a.)				
Jan. 4	Y	Dr.		1,00,000	
	To Bank A/c				97,500
	To Discount A/c				2,500
	(Being half the proceeds remitted to Y)				
April 1	Y	Dr.		1,20,000	
	To Bills Payable A/c				1,20,000
	(Being the acceptance of a bill given to Y)				
April 4	Bank A/c	Dr.		7,800	
	Discount A/c	Dr.		2,200	
	To Y				10,000
	(Being Rs. 7,800 received from Y and proportionate discount Rs. 2,200 (i.e. Rs. 2,400, Rs. 1,07,800/ Rs. 1,17,600) debited]				
April 7	Bills Payable A/c	Dr.		1,20,000	
	To Y				1,20,000
	(Being the second bill dishonoured on becoming bankrupt)				
	Y	Dr.		1,10,000	
	To Bank A/c				55,000
	To Deficiency A/c				55,000
	(Being a dividend of 50 paise in rupee paid to Y and the unpaid balance transferred to Deficiency A/c)				

JOURNAL OF Y

Date	Particulars		L.F.	Dr. (Rs.)	Cr. (Rs.)
Jan. 1	X	Dr.		2,00,000	
	To Bills Payable A/c				2,00,000
	(Being the acceptance of a bill given to X)				
Jan. 4	Bank A/c	Dr.		97,500	
	Discount A/c	Dr.		2,500	
	To X				1,00,000
	(Being the half the proceeds received from X)				
April 1	Bills Receivable A/c	Dr.		1,20,000	
	To X				1,20,000
	(Being the acceptance of a bill received from X)				

April 4	Bank A/c Dr. Discount A/c Dr. To Bill Receivable A/c (Being the bill discounted @ 12% p.a.)		1,17,600 2,400	 1,20,000
	Bills Payable A/c Dr. To Bank A/c (Being the first bill discharged)		2,00,000	 2,00,000,
April 7	X Dr. To Bank A/c To Discount A/c (Being Rs. 7,800 remitted to X and proportionate discount Rs. 2,200 (i.e. Rs. 2,400 × Rs. 1,07,800/ Rs. 1,17,600 charged)		10,000	 7,800 2,200
	X Dr. To Bank A/c (Being the bill of X dishonoured on X's bankruptcy)		1,20,000	 1,20,000
	Bank A/c Dr. Bad Debts A/c Dr. To X (Being a dividend of 50 paise in rupee received on X's bankruptcy and the balance written off as bad debt)		55,000 55,000	 1,10,000

Calculation of amount of Discount of 2nd bill to be borne by Anil

Total Discount on 2nd Bill = 1,20,000 - 1,17,600 = 2,400

∴ Amount of discount borne by X = 2,400 x 1,07,800/1,17,600 = 2,200

Solution 22:

JOURNAL OF SHUBHAM

Date	Particulars	L.F.	Dr. (Rs.)	Cr. (Rs.)
June	Bills Receivable A/c Dr. To Rajendra (Being acceptance received from Rajendra)		45,000	 45,000
June 4	Bank A/c Dr. Discount A/c Dr. To Bills Receivable A/c (Being bill discounted with bank)		44,100 900	 45,000
June 4	Rajendra Dr. To Bank A/c To Discount A/c (Being 1/3rd proceeds of the discounted bill remitted to Rajendra)		15,000	 14,700 300
Sept. 4	Rajendra Dr. To Bills Payable A/c (Being acceptance given to Rajendra)		63,000	 63,000
Sept. 4	Bank A/c Dr. Discount A/c Dr. To Rajendra (Being amount received from Rajendra		11,100 900	 12,000
Dec. 7	Bills Payable A/c Dr. To Rajendra (Being bill dishonoured due to insolvency)		63,000	 63,000
	Rajendra Dr. To Bank A/c To Deficiency (Being 40% share paid to Rajendra from our estate)		42,000	 16,800 25,200

Working Note : Calculation of discount to be borne by Shubham

A.	Amount due by Shubham but not remitted to Rajendra (Rs. 45,000 – Rs. 15,000)	30,000
B.	Add: Amount received by Shubham from Rajendra	11,100
C.	Total amount due to Rajendra	41,100
D.	Discount to be borne = Rs. 1,350 × 41,110/61,650 = Rs. 900	

JOURNAL OF RAJENDRA

Date	Particulars		L.F.	Dr. (Rs.)	Cr. (Rs.)
June 1	Shubham	Dr.		45,000	
	To Bills Payable A/c				45,000
	(Being the acceptance given to Shubham)				
June 4	Bank A/c	Dr.		14,700	
	Discount A/c			300	
	To Shubham				15,000
	(Being 1/3rd proceeds of discounted bill received from Shubham)				
Sept. 4	Bills Receivable A/c	Dr.		63,000	
	To Shubham				63,000
	(Being acceptance received from Shubham)				
	Bank A/c	Dr.		61,650	
	Discount A/c	Dr.		1,350	
	To Bills Receivable A/c				63,000
	(Being the bill discounted with the bank)				
	Bills Payable A/c	Dr.		45,000	
	To Bank A/c				45,000
	(Being the bill discharged)				
	Shubham	Dr.		12,000	
	To Bank A/c				11,100
	To Discount A/c				900
	(Being the amount paid to Shubham)				
Dec. 7	Shubham	Dr.		63,000	
	To Bank A/c				63,000
	(Being bill dishonoured due to Shubham's insolvency)				
	Bank A/c	Dr.		16,800	
	Bad Debts A/c	Dr.		25,200	
	To Shubham				42,000
	(Being 40% share received from Shubham)				

Solution 23:

Entries in the books of Akshay

2018	Particular		Dr. (₹)	Cr. (₹)
Jan.1	Bills receivable (No.1) A/c	Dr.	16,000	
	Bills receivable (No.2) A/c	Dr.	25,000	
	To Vishal A/c			41,000
	(Being drawing of bills receivable No. 1 due for maturity on 4.3.2018 and bills receivable No. 2 due for maturity on 4.4.2018)			
March 4	Vishal's A/c	Dr.	16,000	
	To Bills receivable (No.1) A/c			16,000
	(Being the reversal entry for bill No.1 on renewal)			

March 4	Bills receivable (No.3) A/c Dr. To Interest A/c To Vishal's A/c (Being the drawing of bill of exchange no.3 due for maturity on 7.5.2018 together with interest at 15% p.a. in lieu of the original acceptance of Vishal)	16,400	 400 16,000
March 25	Bank A/c Dr. Discount A/c Dr. To Bills receivable (No. 2) A/c (Being the amount received on retirement of bills No. 2 before the due date)	24,750 250	 25,000
May 7	Vishal's A/c Dr. To Bills receivable (No. 3) A/c (Being the amount due from Vishal on dishonor of his acceptance on presentation on the due date)	16,400	 16,400
May 7	Bank A/c Dr. Bad Debts A/c Dr. To Vishal's A/c (Being the amount received from official assignee of Vishal at 50 paise per rupee against dishonoured bill)	8,200 8,200	 16,400

Solution : 24

In the Books of X
Journal Entries

Date	Particulars	L.F.	Dr. (in ₹)	Cr. (in ₹)
01/04/2020	Bills receivables A/c Dr. To Y A/c (Being bill of exchange drawn on Mr. Y)		30,000	 30,000
01/04/2020	Bank A/c Dr. Discount charges A/c Dr. To Bills receivable A/c (Being the bills receivable discounted with the bank at a charge of ₹ 1,200)		28,800 1,200	 30,000
01/04/2020	Y A/c Dr. To Bank A/c To Discount charges (Being the amount remitted to Y along with his share of the bank charges)		10,000	 9,600 400
04/07/2020	Y A/c Dr. To Bills payable A/c (Being the bills drawn by Y, due to non-payment of earlier bill)		42,000	 42,000
04/07/2020	Bank A/ c Dr. Discount charges A/c Dr. To Y A/c (Being the amount discounted and sent it by Y to X)		6,740 1,260	 8,000
	Bills payable A/c Dr. To Y's A/c (Being the bill due dishonoured due to bankruptcy)			42,000

	Y A/c Dr. To Bank A/c To Deficiency account (Being the amount due to Y discharged by payment of 50 paise in a rupee)		28,000	 14,000 14,000

In the Books of Y
Journal Entries

Date	Particulars	L.F.	DR. (in ₹)	CR. (in ₹)
01/04/2020	X A/c Dr. To Bills payable A/c (Being bill of exchange accepted and sent to Mr. X)		30,000	 30,000
01/04/2020	Bank A/c Dr. Discount charges A/c Dr. To X A/c (Being the amount received from X on account of the bills receivable)		9,600 400	 10,000
04/07/2020	Bills receivable A/c Dr. To X A/c (Being the bills accepted by X)		42,000	 42,000
04/07/2020	Bank A/c Dr. Discount charges A/c Dr. To Bills receivable A/c (Being X acceptance discounted with bank)		40,110 1,890	 42,000
	Bills payable A/c Dr. To Bank A/c (Being the amount met on the due date)		30,000	 30,000
	X A/c Dr. To Bank A/c To Discount account (Being the amount received and the discount debited to X)		8,000	 6,740 1,260
	X A/c Dr. To Bank A/c (Being X's acceptance which was discounted dishonoured due to X's bankruptcy)		42,000	 42,000
	Bank A/c Dr. Bad debts A/c Dr. To X A/c (The amount received from X and the balance being written off as debt)		14,000 14,000	 28,000

Solution : 25

In the books of Sujata
Journal Entries

Date	Particulars	L.F.	DR. (in ₹)	CR. (in ₹)
01/01/2020	Bills receivables A/c Dr. To Aruna A/c (Being 2 bills receivable from Aruna)		25,200	 25,200
03/01/2020	Sree A/c Dr. To Bills receivables A/c (Being the bill endorsed in favour of Mr. Sree)		15,000	 15,000

01/01/2020	Bank A/c Dr. Discount charges A/c Dr. To Bills receivable A/c (Being the bills receivable discounted with the bank at a charge of ₹ 200)		10,000 200	 10,200

Solution :26

Books of Vijay
Journal

2019	Particulars		₹	₹
Sept. 1	Pritam To Sales Account (Sales of goods to Pritam as per Invoice No...)	Dr.	1,06,000	 1,06,000
	Bills Receivable Account To Pritam (3 months acceptance received from Pritam for the amount due from him)	Dr.	1,06,000	 1,06,000
Dec. 4	Pritam To Bills Receivable Account (Pritam acceptance cancelled because of renewal)	Dr.	1,06,000	 1,06,000
	Pritam To interest (Interest @ 9% on ₹ 1,06,000 due from Pritam for 2 months because of renewal)	Dr.	1,590	 1,590
	Bills Receivable Account Cash Account To Pritam [New acceptance for 2 months for ₹ 106,000 and Cash (for interest) received from Pritam]	Dr. Dr.	1,06,000 1,590	 1,07,590
2020 Feb. 7	Cash Account To Bills Receivable Account (Cash received against Pritam's second acceptance)	Dr.	1,06,000	 1,06,000

Books of Pritam
Journal

2019	Particulars		₹	₹
Sept. 1	Purchase Account To Vijay A/c (Purchase of goods from Vijay as per Invoice No...)	Dr.	1,06,000	 1,06,000
	Vijay A/c To Bills Payables Account (3 months acceptance given to Vijay for the amount)	Dr.	1,06,000	 1,06,000
Dec. 4	Bills Payable Account To Vijay A/c (Cancellation of bill because of renewal)	Dr.	1,06,000	 1,06,000
	Interest Account To Vijay (Interest @ 9% on ₹1,06,000 due to Vijay for 2 months because of renewal)	Dr.	1,590	 1,590
	Vijay Account To Cash Account To Bills Payable Account [New acceptance for 2 months for ₹1,06,000 and Cash (forinterest) paid to Vijay]	Dr.	1,07,590	 1,590 1,06,000

2020 Feb. 7	Bills Payable Account Dr. To Cash Account (Cash paid against second bill)	1,06,000	 1,06,000

Solution : 27

Journal Entries in the books of Ankita

Date 2020	Particulars	₹	₹
Jan. 1	Bhavika's account Dr. To Sales account (Being the goods sold to Bhavika on credit)	5,00,000	 5,00,000
	Bills receivable account Dr. To Bhavika's account (Being the acceptance of bill received)	5,00,000	 5,00,000
Mar.1	Bank account Dr. Rebate on bills account Dr. To Bills receivable account (Being retirement of bill by Bhavika one month before maturity, the rebate being given to her at 12% p.a.)	4,95,000 5,000	 5,00,000

Journal Entries in the books of Bhavika

Date 2020	Particulars	₹	₹
Jan. 1	Purchases account Dr. To Ankita Account (Being the goods purchased from Ankita on credit)	5,00,000	 5,00,000
	Ankita Account Dr. To Bills Payable Account (Being the acceptance of bill)	5,00,000	 5,00,000
Mar .1	Bills Payable Account Dr. To Rebate Income Account To Bank Account (Being retirement of bill one month before maturity, the rebate being received at 12% p.a.)	5,00,000	 5,000 4,95,000

Solution: 28

Date 2024	Particulars	L.F	Dr. Rs.	Cr. Rs.
Apr.1	Y Dr. To Sales A/c To Output IGST A/c (Being the inter-state sale of goods to Y, charged to IGST@ 18%)		29,500	 25,000 4,500
Apr 1	Bills Receivable (No. 1) A/c Dr. Bills Receivable (No. 2) A/c Dr. To Y (Being the two bills acceptance-one for Rs. 15,000 and the other for Rs. 14,500 received)		15,000 14,500	 29,500
Apr.1	Bills sent for collection A/c Dr. To Bills Receivable (No. 1) A/c To Bills Receivable (No.2) A/c (Being the Bills sent to bank for collection)		29,500	 15,000 14,500

July.4	Bank A/c Dr. To Bills sent for collection A/c (Being the amount duly collected by bank on first bill)		15,000	 15,000
Aug.4	Y Dr. To Bills sent for collection A/c To Bank A/c (Being the second bill dishonored and bank paid Rs. 500 as noting charges)		15,000	 14,500 500

TEST YOUR KNOWLEDGE

TRUE OR FALSE (SM)

1. Bills payable account is a nominal account.
2. Promise to pay is included in a bill of exchange.
3. Days of rebate are added to the due date to arrive at the maturity date.
4. There are always 2 parties to the bills of exchange.
5. A bill drawn outside India and payable in India is a foreign bill.
6. Promissory note is different from that of a bill of exchange where the amount is paid by the maker in case of former and by the acceptor in the latter.

Answer:

1. **False:** The bills payable account is a liability account that is disclosed in the balance sheet.
2. **False:** Bill of exchange contains an order to pay the required amount and not a mere promise to pay.
3. **False:** 3 Days of grace are added to the due date to arrive at the maturity date.
4. **False:** There can be more than 2 parties- namely the drawer, acceptor and the payee of the bill.
5. **True:** When a bill is drawn outside the country and is payable in India, it is termed as a foreign bill.
6. **True:** In case of the promissory note, it is generally the maker who makes the payment, but in case of the bill of exchange, the person accepting the bill shall be liable to make the payment to the holder of the bill.

ADDITIONAL TRUE OR FALSE FOR SELF PRACTICE

State with reason whether the following statements are true or false (No Marks shall be awarded without valid reason):

1. A bill given to a creditor is called bills payable.
2. A promissory note can be made payable to the bearer.
3. A has drawn a bill on B. B accepts the same and endorses the bill to C.
4. No cancellation entry is required when a bill is renewed.
5. Cancelling old bill and drawing new bill is called renewal of bill.
6. Discount at the time of retirement of a bill is a gain for the drawee.
7. At the time of Renewal of a bill, Interest account is debited in the books of a drawee.
8. Promissory Note requires acceptence.
9. Refusal by the acceptor to make payment of the bill on the maturity date is called Retirement of the bill.
10. A bill of exchange is a conditional order in writing given by a Debtor to a Creditor.
11. A Promissory Note is a written unconditional order to pay by a Creditor to a Debtor but a Bill of Exchange is a written unconditional undertaking to pay by a Debtor to a Creditor.
12. The term of bill after date commences from the date of acceptance of the bill but the term of Bill after sight commences from the date of drawing a bill.
13. In case of all bills of exchange, three days (days of grace) are added to due date to arrive at date of maturity.

14. In case of Insolvency of Acceptor, the amount which could not be recovered is debited to Deficiency A/c in the books of drawer and the amount which could not be paid is credited to Bad Debts A/c in books of drawee.
15. On discounting of accommodation bills, the proceeds are shared by drawer and drawee equally. The party bears the discount in the proportion in which it shares the proceeds of bill, unless otherwise agreed.
16. In case of a public holiday the due date of the bill falls on the next working day.
17. Bill of Exchange is an unconditional promise to pay in writing.
18. When bill is endorsed or discounted, no entry is passed in the books of drawer.
19. When an endorsed or discounted bill is honoured, no entry is passed in the books of drawee.
20. When the bill is honoured on the due date, the drawee credits Bills Payable A/c in his books.
21. When the bill is discounted or endorsed, no entry for payment of the bill is passed in the books of the drawee.
22. In case of the dishonour of a bill, noting charges are initially paid by the drawee.
23. The bill is treated as dishonoured in case of insolvency of the drawee who pays only 75%.
24. When the bill is dishonoured, in drawee 's books the banker(in case bill has been discounted) and Endorsee (in case bill has been endorsed) will be debited.
25. For drawing an accommodation bill some valuable consideration must pass between the two parties.
26. A Bills Receivable drawn on Ram recorded in B/R Book is posted to the debit of Bills Receivable A/c.
27. All individual entries from Bills Payable Journal are to be posted to the debit of Bills Payable A/c.
28. Drawee and Payee can be the same person in a Bills Receivable.
29. Days of grace are added to date of maturity of bill to arrive at due date.

Answer:

1. **True:** A bill given to a creditor is called Bills Payable because the debtor commits to pay by giving a bill to creditor.
2. **False:** A promissory note cannot be made payable to the bearer. It is payable to or to the order of a certain person.
3. **False:** B cannot endorse the bill to C because he is a drawee. Only A, the drawer can do so.
4. **False:** When the bill is renewed, entries are passed first for cancellation of the old bill and then for recording of the new bill.
5. **True:** When the acceptor of a bill fails to make the payment on the due date, a new bill may be drawn on him after cancellation of the old bill. This is known as renewal of a bill.
6. **True:** Discount at the time of retirement of a bill is a gain for the drawee and loss for the drawer. Gain is basically an interest for the unexpired term of the bill.
7. **True:** At the time of renewal of a bill, interest account is debited in the books of a drawee because it represents an expense for drawee.
8. **False:** Promissory not does not require acceptance because it is already a valuable instrument. Bills receivable requires acceptance.
9. **False:** Refusal by the acceptor to make payment of the bill on the maturity date is called dishonour of the bill.
10. **False:** A bill of exchange is an unconditional order in writing given by a creditor to a debtor.
11. **False:** A Promissory Note is a written unconditional undertaking to pay by a Debtor to a Creditor but a Bill of Exchange is a written unconditional order to pay by a Creditor to a Debtor.
12. **False:** The term of bill after date commences from the date of drawing a bill but the term of Bill after sight commences from the date of acceptance of the bill.
13. **False:** In case of all bills of exchange (other than payable on demand), three days (days of grace) are added to due date to arrive at date of maturity.
14. **False:** In case of Insolvency of Acceptor, the amount which could not be recovered is debited to Bad Debts A/c in the books of drawer and the amount which could not be paid is credited to Deficiency A/c in books of drawee.

15. **False:** On discounting of accommodation bills, the proceeds are shared by drawer and drawee in agreed ratio. The party bears the discount in the proportion in which it shares the proceeds of bill, unless otherwise agreed
16. **False:** In case of a public holiday the due date of the bill falls on the preceding working day.
17. **False:** Bill of Exchange is an unconditional order to pay in writing.
18. **False:** When bill is endorsed or discounted, no entry is passed in the books of drawee.
19. **False:** When an endorsed or discounted bill is honoured, no entry is passed in the books of drawer.
20. **False:** When the bill is honoured on the due date, the drawee debits Bills Payable A/c in his books.
21. **False:** When the bill is discounted or endorsed, no entry for payment of the bill is passed in the books of the drawer.
22. **False:** In case of the dishonour of a bill, noting charges are initially paid by the holder of the bill.
23. **True:** The bill is treated as dishonoured in case of insolvency of the drawee since he fails to pay at the date of maturity.
24. **False:** When the bill is dishonoured, the drawer will be debited in books of drawee whether the bills is retained, endorsed or discounted.
25. **False:** For drawing an accommodation bill consideration need not pass between the two parties
26. **False:** A Bills Receivable drawn on Ram recorded in B/R Book is posted to the credit of Ram's A/c
27. **False:** All individual entries from Bills Payable Journal are to be posted to the debit of drawer's A/c.
28. **False:** Drawer and Payee can be the same person in a Bills Receivable.
29. **False:** Days of grace are added to due date of bill to arrive at date of maturity.

MULTIPLE CHOICE QUESTIONS (SM)

1. On 1.1.2019, A draws a bill on B for ₹ 1,20,000 for 3 months' maturity date of the bill will be:
   (a) 1.4.2019 (b) 3.4.2019 (c) 4.4.2019

2. On 16.6.2020 P draws a bill on Q for ₹ 1,25,000 for 30 days. 19th July is a public holiday, maturity date of the bill will be:
   (a) 19th July (b) 18th July (c) 17th July

3. PQ draws a bill on XY for ₹ 130,000 on 1.1.2020. X accepts the same on 4.1.2020 for period of 3 months after date. What will be the maturity date of the bill:
   (a) 4.4.2020 (b) 3.4.2020 (c) 7.4.2020

4. A draws a bill on B. A endorsed the bill to C. The payee of the bill will be
   (a) A (b) B (c) C

5. A bill of ₹ 120,000 was discounted by Saras with the banker for ₹ 1,18,800. At maturity, the bill returned dishonoured, noting charges ₹ 200. How much amount will the bank deduct from Saras's bank balance at the time of such dishonour?
   (a) ₹ 1,20,000 (b) ₹ 1,18,800 (c) ₹ 1,20,200

6. X draws a bill on Y for ₹ 3,00,000 on 1.1.2020 for 3 months after sight, date of acceptance is 6.1.2020. Maturity date of the bill will be:
   (a) 8.4.2020 (b) 9.4.2020 (c) 10.4.2020

7. X sold goods to Y for ₹ 5,00,000. Y paid cash ₹ 4,30,000. X will grant 2% discount on balance, and Y request X to draw a bill for balance, the amount of bill will be:
   (a) ₹ 98,000 (b) ₹ 68,000 (c) ₹ 68,600

8. On 1.1.2020, X draws a bill on Y for ₹ 5,00,000 for 3 months. X got the bill discounted 4.1.2020 at 12% rate. The amount of discount on bill will be:
(a) ₹ 15,000 (b) ₹ 16,000 (c) ₹ 18,000

9. Mr. Jay draws a bill on Mr. John for ₹ 3,00,000 on 1.1.2020 for 3 months. On 4.2.2020, John got the bill discounted at 12% rate. The amount of discount will be:
(a) ₹ 9,000 (b) ₹ 6,000 (c) ₹ 3,000

10. XZ draws a bill on YZ for ₹ 2,00,000 for 3 months on 1.1.2020. The bill is discounted with banker at a charge of ₹1,000. At maturity the bill return dishonoured. In the books of XZ, for dishonour, the bank account will be credited by:
(a) ₹199,000 (b) ₹ 200,000 (c) ₹ 201,000

11. On 1.1.2020, XA draws a bill on YB for ₹ 1,00,000. At maturity YB request XA to renew the bill for 2 month at 12% p.a. interest. Amount of interest will be:
(a) ₹ 2,000 (b) ₹ 1,500 (c) ₹ 1,800

12. A bill of exchange is drawn by a
(a) Creditor (b) Debtor (c) Debenture holder

13. At the time of drawing a bill, the drawer credits
(a) Bills Receivables A/c (b) Bills Payable A/c (c) Debtor's A/c

14. A promissory note is made by a
(a) Seller (b) Purchaser (c) Endorsee

15. A bill of exchange contains
(a) An unconditional order (b) A promise (c) A request to deliver the goods

16. A promissory note contains
(a) An unconditional order (b) A promise (c) A request to deliver the goods

17. The rebate on the bill shows that
(a) It has been endorsed
(b) It has been paid after the date of maturity
(c) It has been paid before the date of maturity

18. Notary Public may charge his fee from the
(a) Holder of bill of exchange (b) Drawer (c) None

MCQs Answer

1	(c)	2	(b)	3	(a)	4	(c)	5	(c)	6	(b)	7	(c)	8	(a)	9	(b)	10	(b)
11	(a)	12	(a)	13	(c)	14	(b)	15	(a)	16	(b)	17	(c)	18	(a)				

THEORETICAL QUESTIONS

Q1. Write short notes on:
(a) Accommodation bill.
(b) Renewal of bill.
(c) Noting charges.

Ans. (a) Bills of Exchange are usually drawn to facilitate trade transmission, that is, bills are meant to finance actual purchase and sale of goods. But the mechanism of bill can be utilised to raise finance also. When bills are used for such a purpose, they are known as accommodation bills.

(b) When the acceptor of a bill finds himself in financial straits to honour the bill on the due date, then he may request the drawer to cancel the original bill and draw on him a fresh bill for another period. And if the drawer agrees, a new bill in place of the original bill may be accepted by the drawee for another period. This is called the renewal of bill.

(c) The charges paid to Notary public for notify the dishonour are noting charges. Refer para 1.12 for details.

Q2. What is bill of exchange? How does it differ from Promissory Note?

Ans. A bill of exchange has been defined as "an instrument in writing containing an unconditional order signed by the maker directing a certain person to pay a certain sum of money only to or to the order of certain person or to the bearer of the instrument". When such an order is accepted by the drawee, it becomes a valid bill of exchange. A promissory note is an instrument in writing (not being a bank note or a government currency note) containing an unconditional undertaking, signed by the maker, to pay a certain sum of money only to, or to the order of, a certain person, or to the bearer of the instrument.

A promissory note needs no acceptance, as the debtor himself writes the document promising to pay the stated amount. Like bills of exchange, promissory notes are also negotiable instruments, and can be transferred by endorsement. In case of bill of exchange, the drawer and the payee may be the same person but in case of a promissory note, the maker and the payee cannot be the same person

THEORY QUESTION VIDEO QR CODE

TOPIC	QR CODE
Bill of Exchange and Promissory Notes	

Space for Personal Note:-

BONUS SHARE AND RIGHT SHARE

1. Bonus share means additional Equity share issued by company for free of cost to existing shareholders. Bonus share is also called "Capitalization of Profit" because when bonus share are issued, profits are converted into share capital.

2. Bonus Share is expressed as Ratio, for Example, Bonus of 1:3. This ratio means that those shareholders who are holding 3 equity shares will get one share as bonus share.

3. Bonus Share is calculated on issued Capital. It is not calculated on authorised capital.

Example: -

Authorised Capital	1,00,000 Share
Issued Capital	60,000 Share
Bonus	3:5

Here Number of bonus share to be issued will be computed as follows:-

No. of Bonus share to be Issued = Number of Issued Capital × Ratio of Bonus Share
= 60,000 × 3/5 = 36,000 Shares.

4. Journal Entry for Issue of Bonus Share

a) Reserve & surplus A/c Dr.
To Bonus to Shareholder A/c
[Being bonus issue of ……. Share for every …… share held, by utilisation of various reserve]

b) Bonus to Shareholder Dr.
To Equity Share Capital
[Capitalization of Profit]

5. Which Reserve & Surplus Can be Debited in above Entry that is which Reserve & Surplus should be used for bonus share and which should not be used:-

This is the list of Reserve & Surplus which can be used for issue of bonus share. :-

(a) First use "Capital Redemption Reserve" (CRR). CRR is a reserve which can only be used for issue of bonus share. CRR cannot be used for any other purpose. Hence when fully paid up bonus share is issued, we should first use CRR.

(b) Then use "Security Premium Account" (SPA). There are SEBI guidelines for issue of bonus share. SEBI has classified that only SPA realised in cash can be used for issue of bonus share.

(c) General Reserve to be used next.

(d) Profit/Loss A/c to be used last.

6. Which Reserve can't be used for Bonus share:-
Revaluation Reserve can't be used for Bonus share as it is unrealised profit.

7. Conversion of Partly paid up share into fully paid up free of cost:-

Bonus can be of two types:-
a) Issue of fully paid up bonus share;
b) Conversion of partly paid up share into fully paid up free of cost.

Example:- Paid up capital of a company is 5000 Equity share of Rs. 10 each, Rs. 7.50 paid up.

The Company Resolved:-

To Convert Partly paid share into fully paid up free of cost. In this case, the uncalled amount of above 5,000 share @ Rs. 2.50 that is Total Rs. 12,500 will not be called by company but company will Freely/As bonus Convert above partly paid up share into fully paid up.
In this case, Three Journal Entries will be passed:-

i)	Reserve & Surplus	Dr.	12,500	
	To Bonus to Shareholders A/c			12,500
	[For making Provision of Bonus Issue]			
ii)	Share Final Call	Dr.	12,500	
	To Equity share capital			12,500
	[For Final call on 5,000 share @ Rs. 2.50 per share]			
iii)	Bonus to shareholder	Dr.	12,500	
	To Equity share capital			12,500
	[For bonus money applied for final call]			

SOLVING FOLLOWING Q.N.

Question: **[SM Ill. 3]**

Following notes pertain to the Balance Sheet of Solid Ltd. as at 31st March, 2021:

	₹
Authorised capital :	
10,000 12% Preference shares of ₹ 10 each	1,00,000
1,00,000 Equity shares of ₹ 10 each	10,00,000
	11,00,000
Issued and Subscribed capital:	
8,000 12% Preference shares of ₹ 10 each fully paid	80,000
90,000 Equity shares of ₹ 10 each, ₹ 8 paid up	7,20,000
Reserves and Surplus :	
General reserve	1,60,000
Revaluation reserve	35,000
Securities premium (collected in cash)	20,000
Profit and Loss Account	2,05,000
Secured Loan:	
12% Debentures @ ₹ 100 each	5,00,000

On 1st April, 2021 the Company has made final call @ ₹ 2 each on 90,000 equity shares. The call money was received by 20th April, 2021. Thereafter the company decided to capitalise its reserves by way of bonus at the rate of one share for every four shares held. Show necessary entries in the books of the company and prepare the extract of the Balance Sheet immediately after bonus issue assuming that the company has passed necessary resolution at its general body meeting for increasing the authorised capital.

Ans.:

1. First of all, call money has been called on 90,000 Equity share @ Rs. 2 on 1/4/2021. Journal Entry for this will be:-

1/4/2021			
Share Final Call A/c	Dr.	1,80,000	
To Equity Share Capital			1,80,000
[Final call @ Rs. 2 per share on 90,000 Equity Share]			

2. On 20/4/2021, the said call money have been received. For this JE will be:-

Bank A/c	Dr.	1,80,000	
To Share final Call A/c			1,80,000

[Being Final call on 90,000 Equity Share received]

3. Thereafter the company decided to capitalize its Reserve by way of bonus at the Rate of 1 share for every 4 share held.

For this purpose, following calculations/Concepts are relevant:-

a) Calculate No. of Bonus share to be issued by following formula:-

= Number of Issued ESC × Bonus Ratio

= 90,000 × 1/4 = 22,500 share

Note: -It may be noted that Bonus share is given only to Equity shareholder and Not Preference shareholder.

b) Profit needed for bonus share:-

This is computed by following formula:-

= Number of bonus share × face value/share

= 22,500 × Rs. 10
= Rs. 2,25,000

c) Which Profit to be used :-

CRR (Not Given)	NIL
SPA	20,000
GR	1,60,000
Profit/Loss (BF)	45,000
Total Profit	2,25,000

Note:-Revaluation Reserve Can't be used.

4. Now Pass following two JE for Bonus Share:-

a)

SPA	Dr.	20,000	
GR	Dr.	1,60,000	
P/L	Dr.	45,000	
To Bonus to shareholder a/c			2,25,000

[Bonus share issue @ one share for every 4 share held by use of various reserve]

b)

Bonus to shareholder	Dr.	2,25,000	
To Equity Share Capital			2,25,000

[Capitalization of Profit]

5. Question require us to prepare extract of balance sheet.

Balance Sheet (Extract) After Bonus Issue

	Note No.	Amt.
Equity and Liabilities		
1) Shareholder fund:-		
a) Share Capital	1	12,05,000
b) Reserve / Surplus	2	1,95,000
2) Non-Current Liability:-		
a) LTB	3	5,00,000
Total		19,00,000

Notes to B/S

Note No.			Amt.
1)	**Share Capital**		
	A) Authorised Capital		
	10,000, 12% Pref. Share of Rs. 10 each		1,00,000
	1,12,500 Equity Share of Rs. 10 each		11,25,000
			12,25,000
	B) Issued, Subscribed and paid up capital		
	8,000, 12% PSC of Rs. 10 each		80,000
	1,12,500 Equity Share of Rs.10 each fully paid up (out of which 22,500 share have been issued as bonus share)		11,25,000
			12,05,000
2)	**Reserve / Surplus**		
	a) GR	1,60,000	
	(-) Used for Bonus	(1,60,000)	NIL
	b) Revaluation Reserve		35000
	c) SPA	20,000	
	(-) Used for Bonus	(20,000)	NIL
	P/L	2,05,000	
	(-) used for Bonus	(45,000)	1,60,000
			1,95,000
3)	**LTB**		
	12% Debenture		5,00,000

Imp. Note on Authorised Capital:-

1) Authorised Capital Cannot be less than issued capital.

2) When bonus share are issued, issued capital increases. Total capital post bonus is computed as follows:-

Issued capital (Pre. Bonus as per Q.)	90,000
(+) No. of bonus share	22,500
Issued capital Post Bonus	1,12,500

3) Now compare this issued capital with authorized capital.

Issued Capital (Post Bonus)	1,12,500
Authorised Capital (Only ESC)	1,00,000

4) Since Issued Capital is greater than authorized capital; Hence we have to increase authorized capital (A.C.).Increase in Authorized capital is done by passing resolution. It don't involve any journal entry.

These are two methods of computing new authorized capital:-

a) We can increase A.C. by Number of bonus share. In such case, New A.C. can be computed by following formula:-

Old A.C.	√
(+) Number of Bonus Share	√

New A.C	√

In this Q, if this approach is followed:-

Old A.C.	1,00,000 Share
(+) No. of Bonus Share	22,500 Share
New A.C.	1,22,500 Share

b) We can increase A.C. upto extent of New Issued Capital. In such case,

New A.C. = New Issued Capital = 1,12,500 share
In above solution, this approach has been followed.

Additional Concepts:-

1) Whenever bonus share have been issued, then in Inner Column of Note of share capital, Number of bonus share have to be disclosed separately.
2) Whenever any Reserve & Surplus is being used, it has to be disclosed separately in inner column of Reserve/Surplus.

RIGHT ISSUE

1. Right issue are additional share issued by company to existing shareholder for a price called Right issue price.

   The difference between bonus and right share is that bonus share are issued for free of cost whereas right issue is made for a price.

2. Journal Entry for Right Issue

Bank A/C	Dr.	[No. of Right Share × Right Issue Price/Share]
To Equity Share Capital		[No. of Right Share × Face Value/Share]
To Security Premium A/c		[No. of Right Share × SPA/Share]

[Being right issue of …… Share for every …… Share held]

SPA/Share = Right issue Price/Share (-) Face Value per Share.

VALUE OF RIGHT (VOR)

1) Market price of one share which exist before right issue is called CUM-RIGHT PRICE per share.

2) Market price of one share which is "Theoretically" expected After Right issue is called ex-right price.

3) Cum right price will be given in question.
Ex-Right price will have to be computed.

4) Ex-Right price is computed by following formula:-

$$\text{Ex–Right Price} = \frac{[\text{Number of Share Pre. Right} \times \text{Cum Right Price/Share}] + [\text{No. of Right Share} \times \text{Right Issue Price /Share}]}{\text{No. of Share Pre Right} + \text{No. of Right Share}}$$

5) Value of Right (V.O.R.) is computed by following formula:-

VOR = Cum Right Price/Share (-) Ex-Right Price/Share

Example:- A company offers new share of Rs. 10 each at 35% premium to existing shareholders on one for five bases. The cum right market price of share is Rs. 26. Calculate the value of a right. What should be the ex-right market price of a share?

Ans.:-

1) Cum right price/share = Rs. 26
2) One for five bases means 1: 5 that is if existing shareholder hold 5 share, he is offered right of 1 share. Hence
   a) Pre-Right Number of Share = 5
   b) Number of Right Share = 1
3) Right Issue Price/Share = Rs. 10 + 35%
   = Rs. 13.50
4) Ex-Right Price/Share $= \frac{[5 \text{ Share} \times \text{Rs. } 26](+)\ [1 \text{ Share} \times \text{Rs. } 13.50]}{5 \text{ Share}(+)\ 1 \text{ Share}}$
   = Rs. 23.92
5) Value of Right = Rs. 26 (-) Rs. 23.92
   = Rs. 2.08

What is the use of Value of Right?

A Company offers right shares to existing shareholder for a price. If an existing shareholder don't want to apply for right by himself, he can transfer his right to same other person. This is called "Right of Renunciation".

When existing shareholder transfer his right to some other person, the transferor charges some amount from transferee. The amount charged for share [Pre-Right] is called value of Right.

For example, Suppose Mr. X hold 100 share of company. He is offered 20 share as right in above Example. If Mr. X don't want to apply himself and want to transfer his right to Mr. Y, Mr. X will charge from Mr. Y 100 share (i.e. Pre-Right No. of share) × Value of right per share i.e. Rs. 2.08 = as consideration for transfer of his right.

PRACTICALS OF BONUS SHARE AND RIGHT SHARE

CLASS QUESTIONS

Question 1: **[SM Ill. 1]**

Following items appear in the trial balance of Bharat Ltd. (a listed company) as on 31st March, 2021:

	₹
40,000 Equity shares of ₹ 10 each	4,00,000
Capital Redemption Reserve	55,000
Securities Premium (collected in cash)	30,000
General Reserve	1,05,000
Surplus i.e. credit balance of Profit and Loss Account	50,000

The company decided to issue to equity shareholders bonus shares at the rate of 1 share for every 4 shares held and for this purpose, it decided that there should be the minimum reduction in free reserves. Pass necessary journal entries.

Personal Note:- **Register No. _____** **Page No. _____**

Question 2: **[RTP SEP 24][Nov' 19]**

Following is the extract of Balance Sheet of Prem Ltd. as at 31st March, 2018:

	₹
Authorized capital:	
3,00,000 equity shares of ₹ 10 each	30,00,000
25,000,10% preference shares of ₹ 10 each	2,50,000
	32,50,000
Issued and subscribed capital:	
2,70,000 equity shares of ₹ 10 each fully paid up	27,00,000
24,000, 10% preference shares of ₹ 10 each fully paid up	2,40,000
	29,40,000
Reserves and surplus:	
General reserve	3,60,000
Capital redemption reserve	1,20,000
Securities premium (collected in cash)	75,000
Profit and loss account	6,00,000
	11,55,000

On 1st April, 2018, the company decided to capitalize its reserves by way of bonus at the rate of two shares for every five shares held.

Show necessary journal entries in the books of the company and prepare the extract of the balance sheet after bonus issue.

Personal Note:- **Register No. _____** **Page No. _____**

Question 3: **[SM Ill. 2]**

Pass Journal Entries in the following circumstances:

(i) A Limited company with subscribed capital of ₹ 5,00,000 consisting of 50,000 Equity shares of ₹ 10 each; called up capital ₹ 7.50 per share. A bonus of ₹ 1,25,000 declared out of General Reserve to be applied in making the existing shares fully paid up.

(ii) A Limited company having fully paid up capital of ₹ 50,00,000 consisting of Equity shares of ₹ 10 each, had General Reserve of ₹ 9,00,000. It was resolved to capitalize ₹ 5,00,000 out of General Reserve by issuing 50,000 fully paid bonus shares of ₹ 10 each, each shareholder to get one such share for every ten shares held by him in the company.

Personal Note:- **Register No. _____** **Page No. _____**

Question 4: **[MTP JAN. 25, 10 Marks] [MTP SEP 24 – 10 Marks][SM PQ. 2]**

The following notes pertain to Brite Ltd.'s Balance Sheet as at 31st March, 2021:

Notes	**₹ in Lakhs**
(1) Share Capital	
Authorised :	
20 crore shares of ₹10 each	20,000
Issued and Subscribed :	
10 crore Equity Shares of ₹ 10 each	10,000
2 crore 11% Cumulative Preference Shares of ₹ 10 each	2,000
Total	12,000
Called and paid up:	
10 crore Equity Shares of ₹ 10 each, ₹ 8 per share called and paid up	8,000
2 crore 11% Cumulative Preference Shares of ₹ 10 each, fully called and paid up	2,000
Total	10,000
(2) Reserves and Surplus :	
Capital Redemption Reserve	1,485
Securities Premium (collected in cash)	2,000
General Reserve	1,040
Surplus i.e. credit balance of Profit & Loss Account	273
Total	4,798

On 2nd April 2021, the company made the final call on equity shares @ ₹ 2 per share. The entire money was received in the month of April, 2021.

On 1st June 2021, the company decided to issue to equity shareholders bonus shares at the rate of 2 shares for every 5 shares held. Pass journal entries for all the above mentioned transactions. Also prepare the notes on Share Capital and Reserves and Surplus relevant to the Balance Sheet of the company immediately after the issue of bonus shares.

Personal Note:- **Register No. _____** **Page No. _____**

Question 5: **[July' 21]**

Following is the extract of the Balance Sheet of K Ltd (listed company) as at 31st March,2020

Authorized capital:	₹
3,00,000 Equity shares of ₹ 10 each	30,00,000
	30,00,000
Issued and Subscribed capital:	
2,00,000 Equity shares of ₹ 10 each, ₹ 8 paid up	16,00,000
Reserves and surplus:	
General Reserve	3,60,000
Capital Redemption Reserve	1,20,000
Securities premium (not realised in cash)	75,000
Profit and Loss Account	6,00,000

On 1st April, 2020, the Company has made final call @ ₹ 2 each on 2,00,000 equity shares. The call money was received by 25th April, 2020. Thereafter, the company decided to capitalize its reserves by way of bonus at the rate of one share for every four shares held.

Show necessary entries in the books of the company and prepare the extract of the Balance Sheet immediately after bonus issue.

Personal Note:- **Register No. _____** **Page No. _____**

Question 6: **[SM PQ. 5]**

A Ltd. Company having share capital of 25,000 equity shares of ₹ 10 each decides to issue rights share at the ratio of 1 for every 4 shares held at par value. Assuming all the share holders accepted the rights issue and all money was duly received, pass journal entries in the books of the company.

Personal Note:- **Register No. _____** **Page No. _____**

Question 7: **[SM EX. 4]**

A company having 70,000 shares of Rs. 10 each as its issued share capital and having market value of Rs. 21 issues rights shares in the ratio of 1:10 at an issue price of Rs. 10 Pass journal entry for issue of right shares.

Personal Note:- **Register No. _____** **Page No. _____**

Question 8: **[SM PQ. 6]**

Following notes pertain to the Balance Sheet of Mars Company Limited as at 31st March 2021:

	₹
Authorised capital:	
50,000 12% Preference shares of ₹10 each	5,00,000
5,00,000 Equity shares of ₹10 each	50,00,000
	55,00,000
Issued and Subscribed capital:	
50,000 12% Preference shares of ₹10 each fully paid	5,00,000
4,00,000 Equity shares of ₹10 each, ₹8 paid up	32,00,000
Reserves and surplus:	
General Reserve	1,60,000
Capital Redemption Reserve	2,40,000
Securities premium (collected in cash)	2,75,000
Revaluation Reserve	1,00,000
Profit and Loss Account	16,00,000

On 1st April, 2021, the Company has made final call @ ₹ 2 each on 4,00,000 equity shares. The call money was received by 25th April, 2021. Thereafter, on 1st May 2021 the company decided to capitalise its reserves by way of bonus at the rate of one share for every four shares held, it decided that there should be minimum reduction in free reserves.

On 1st June 2021, the Company issued Rights shares at the rate of two shares for every five shares held on that date at issue price of ₹ 12 per share. All the rights shares were accepted by the existing shareholders and the money was duly received by 20th June 2021.

Show necessary journal entries in the books of the company for bonus issue and rights issue.

Personal Note:- **Register No. _____** **Page No. _____**

Question 9: **[SM Ill. 5]**

A company offers new shares of ₹ 100 each at 25% premium to existing shareholders on one for four bases. The cum-right market price of a share is ₹ 150. Calculate the value of a right. What should be the ex-right market price of a share?

Personal Note:- **Register No. _____** **Page No. _____**

Question 10: **[RTP May' 21]**

(a) Beta Ltd. having share capital of 20,000 equity shares of ₹ 10 each decides to issue rights share at the ratio of 1 for every 8 shares held at par value. Assuming all the share holders accepted the rights issue and all money was duly received, pass journal entry in the books of the company.

(b) Omega Ltd. offers new shares of ₹ 100 each at 25% premium to existing shareholders on the basis one for five shares. The cum-right market price of a share is ₹ 200.

Youare required to calculate the (i) Ex-right value of a share; (ii) Value of a right share?

Personal Note:- **Register No. _____** **Page No. _____**

HOMEWORK QUESTIONS

Question 11: **[SM PQ. 1]**

Following items appear in the Trial Balance of Saral Ltd. as on 31st March, 2021:

Particulars	Amount
4,500 Equity Shares of ₹ 100 each	4,50,000
Securities Premium (collected in cash)	40,000
Capital Redemption Reserve	70,000
General Reserve	1,05,000
Profit and Loss Account (Cr. Balance)	65,000

The company decided to issue to equity shareholders bonus shares at the rate of 1 share for every 3 shares held. Company decided that there should be the minimum reduction in free reserves. Pass necessary Journal Entries in the books Saral Ltd.

Personal Note:- **Register No. _____** **Page No. _____**

Question 12: **[RTP Nov' 2022]**

Pass Journal Entries in the following circumstances:

(i) Rise Limited with subscribed capital of ₹ 7,50,000 consisting of 75,000 Equity shares of ₹ 10 each; called up capital ₹ 7.50 per share. A bonus of ₹ 1,87,500 declared out of General Reserve to be applied in making the existing shares fully paid up.

(ii) A Limited company having fully paid up capital of ₹ 75,00,000 consisting of Equity shares of ₹ 10 each, had General Reserve of ₹ 13,50,000. It was resolved to capitalize ₹ 7,50,000 out of General Reserve by issuing 75,000 fully paid bonus shares of ₹ 10 each, each shareholder to get one such share for every ten shares held by him in the company.

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Question 13: **[SM Ill. 4]**

Following notes pertain to the Balance Sheet of Preet Ltd. as at 31st March, 2021

Authorised capital:	**₹**
15,000 12% Preference shares of ₹ 10 each	1,50,000
1,50,000 Equity shares of ₹ 10 each	15,00,000
	16,50,000
Issued and Subscribed capital:	
12,000 12% Preference shares of ₹ 10 each fully paid	1,20,000
1,35,000 Equity shares of ₹ 10 each, ₹ 8 paid up	10,80,000
Reserves and surplus:	
General Reserve	1,80,000
Capital Redemption Reserve	60,000
Securities premium (collected in cash)	37,500
Profit and Loss Account	3,00,000

On 1st April, 2021, the Company has made final call @ ₹ 2 each on 1,35,000 equity shares. The call money was received by 20th April, 2021. Thereafter, the company decided to capitalise its reserves by way of bonus at the rate of one share for every four shares held.

Show necessary journal entries in the books of the company and prepare the extract of the balance sheet as on 30th April, 2021 after bonus issue.

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Question 14: **[SM Ill. 3]**

Following notes pertain to the Balance Sheet of Manoj Ltd. as at 31st March, 2021

Authorised Capital:	**₹**
30,000 12% Preference shares of ₹ 10 each	3,00,000
3,00,000 Equity shares of ₹10 each	30,00,000
	33,00,000
Issued and Subscribed capital:	
24,000 12% Preference shares of ₹10 each fully paid	2,40,000
2,70,000 Equity shares of ₹ 10 each, ₹ 8 paid up	21,60,000
Reserves and surplus:	
General Reserve	3,60,000
Capital Redemption Reserve	1,20,000
Securities premium (collected in cash)	75,000
Profit and Loss Account	6,00,000

On 1st April, 2021, the Company has made final call @ ₹ 2 each on 2,70,000 equity shares. The call money was received by 20th April, 2021. Thereafter, the company decided to capitalise its reserves by way of bonus at the rate of one share for every four shares held.

Show necessary journal entries in the books of the company and prepare the extract of the balance sheet as on 30th April, 2021 after bonus issue.

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Question 15: **[SM Ex. 5]**

A company having 1,00,000 shares of Rs. 10 each as its issued share capital, and having a market value of Rs. 46 issue rights in the ratio of 1:10 at an issue price of Rs. 31. Pass journal entry for issue of right shares.

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Question 16: **[PEQ-MAY.25-10 Marks][May' 2022]**

Following is the extract of the Balance Sheet of Sujata Foods Limited as at 31st March, 2021:

Particulars	**Rs.**
Authorised Capital	
1,00,000 12% preference share of Rs.10 each	10,00,000
5,00,000 Equity shares of Rs. 10 each	50,00,000
	60,00,000
Issued and Subscribed capital	
8,000 12% Preference shares of Rs.10 each fully paid	80,000
90,000 Equity shares of Rs.10 each, Rs. 8 paid up	7,20,000
Reserve and Surplus	
General reserve	1,20,000
Capital Redemption reserve	75,000
Securities premium (Collected in cash)	25,000
Profit and Loss Account	2,00,000
Revaluation reserve	80,000

On 1st April 2021, the company has made final call @ Rs. 2 each on 90,000 equity shares. The call money was received by 15th April 2021, Thereafter, the company decided to capitalize its reserves by way of bonus at the rate of one share for every four shares held, it also decided that there should be minimum reduction in free reserves.

On 1st june 2021, the Company issued Rights shares at the rate of two shares for every five shares held on that date at issue price of Rs. 12 per share. All the rights shares were accepted by the existing shareholders and the money was duly received by 20th June, 2021.

You are required to pass necessary entries in the books of the Sujata Foods Limited for bonus issue and rights issue.

Personal Note:- **Register No. _____** **Page No. _____**

Question 17: **[SM PQ. 4]**

A company has decided to increase its existing share capital by making rights issue to its existing shareholders. The company is offering one new share for every two shares held by the shareholder. The market value of the share is Rs. 240 and the company is offering one share of Rs. 120 each. Calculate the value of a right. What should be the ex-right market price of a share?

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Question 18: **[PEQ-JUNE.24-10 Marks]**

The following is the abstract of Balance Sheet Happy Ltd. as on 31st March, 2024:

	₹
Issued and paid up capital	
90,000 Equity shares of ₹ 10 each fully paid-up 9,00,000	
Less: Calls–in–arrear (10,000 Equity shares of ₹ 2 each) 20,000	8,80,000
40,000 Equity shares of ₹ 10 each,₹ 4 cash paid up	1,60,000
Reserves and Surplus:	
Capital Reserve (realized in cash)	60,000
Capital Redemption Reserve	1,60,000
Securities Premium	1,00,000
General Reserve	1,20,000
Profit and Loss Account	7,00,000

On 1stApril, 2024. The company makes final call @ 6 each on 40000 equity shares. The call money is duly received by 30th April,2024.

On 1st May,2024 the Board of Directors of the company decided:

(i) To forfeit the share on which final call of ₹ 2 each is due:

(ii) To re- issue the forfeited share @₹ 11 each as fully paid up:

(iii) To issue fully paid bonus shares in the ratio of one fully paid bonus share for every two fully paid shares held; and

(iv) To use minimum balance of Profit and Loss Account.

Pass necessary journal entries in the books of the company on the basis of the above decisions.

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YOUTUBE REVISION VIDEO QR CODE

TOPIC	QR CODE
ISSUE OF BONUS SHARE AND RIGHT SHARE	

Space for Personal Note:-

BONUS SHARE AND RIGHT SHARE

① Number of Bonus share = Issued No. of Eq. share x Ratio of Bonus
[Don't take Authorised No.]

② Profit Needed for Bonus = Number of Bonus x face value Per Eq. sh.

③ Profit to be used :- Use CRR First.
Then SPA (But Don't use if Not Realised in Cash)
Then GR.
B.F. P/L
⇒ Don't use Revaluation Reserve.

④ JE :- CRR/SPA/GR/P/L Dr
To Bonus to sh. Holder.
Bonus to sh. holder Dr
To ESC

⑤ Balance Sheet Extract:
(A) Authorised Capital : [Should not be Less than Issued Capital.
If > Issued, Take जो दी गई है।
If < Issued, Take Issued.
(B) Issued Cap: [Given in Q + No. of Bonus sh] (Show No. of Bonus sh. seperately in inner colymn.]
(C) Reserve & Surplus: (As given in Question minus used for Bonus)

⑥ Conversion of Partly paid share into fully paid as Bonus share :-
Three JE a) GR Dr
To Bonus to sh. holder
b) Share final call Dr
To ESC
c) Bonus to sh. holder Dr
To Share final call
Amt of Above JE = No. of Eq sh x unpaid amt per share.

⑦ Ex Right Price Per Share
$$= \frac{\text{Pre Right No.} \times \text{Cum Right Price} \; (+) \; \text{No. of Right} \times \text{Right Issue Price}}{\text{Pre Right No.} \; (+) \; \text{No. of Right}}$$
1 for 4 Base दिखाया हो तो 1 = No. of Right
4 = Pre Right No.

⑧ Value of Right = Cum Right MKt Price (–) Ex Right MKt Price.

⑨ JE for Right Issue:

Bank Dr (No. of Right Sh. x Right Issue Price)
To ESC (No. of Right Sh. x Face value/share)
To SPA (No. of Right Sh. x SPA Per Sh)

⇒ SPA/share = Right Issue Price (–) Face value Per Sh.

In Q.N.⑧: Both Bonus and Right Issue given. Here bonus Issued first, Right second. Hence No. of Right share will be computed by foll. formula:-

No. of Right Sh. = (No. of Sh. Given in Q. (+) No. of Bonus Share) x Right Ratio

REDEMPTION OF PREFERENCE SHARES [SECTION 55]

1. Preference share are issued with a fixed maturity and such maturity can't exceed 20 years. On maturity, company have to refund money of preference shareholder which is called "redemption of preference share". (RPS).

2. Section 55 contains provision for RPS. Main provisions are:-

a) Preference share can be redeemed only when they are fully paid up. They can't be redeemed if they are partly paid up.

b) No preference share can be redeemed except out of profit available for distribution as dividend or out of proceeds of fresh issue of share made for purpose of redemption.

Where preference share have been redeemed out of profit available for distribution as dividend, an amount equal to nominal value of preference share so redeemed shall be transferred from profit available for distribution as dividend to capital redemption reserve (C.R.R.).

Amount to be transferred to C.R.R. can be computed by following formula:-

Nominal value of preference share redeemed	√
(−) proceeds of New Equity share or New preference share issued for Redemption purpose	(√)
Amt to be transferred to C.R.R.	√

c) In the case of companies whose financial statement comply with Accounting standard U/S 133, premium on R.P.S. shall be adjusted against profit available for distribution as dividend. On the other hand, if financial statement of company do not comply with Accounting standard u/s 133, premium on R.P.S. can be adjusted against profit available for distribution as dividend or out of SECURITY PREMIUM ACCOUNT.

A note has been given in page 11.156 of study material as follows:-

" All the question in this chapter has been solved on the assumption that company referred to in question is governed by section 133 of Companies Act 2013, and hence **security premium account has not been utilized for writing off premium on R.P.S".**

3. Journal entries:-

a) For issue of new share:-

Bank Dr.
To ESC/PSC
To SPA
(Being issue of _____ share of Rs. _____ each at a premium of _____)

b) For amount due on redemption:-

Redeemable pref. share cap – Dr. [Nominal value]
Premium on RPS - Dr. [Premium payable]
To preference share holder [Total]

c) For payment made:-

Preference share holder Dr.
To Bank

d) For writing off premium on RPS:-

GR/ P/L A/c Dr.

To Premium on RPS

e) For transfer to CRR:-

GR/PL Dr.

To CRR A/C

VARIOUS CASES

CASE – 1

2500, 8% RPS of Rs. 100 each are to be redeemed at par. These P.S. will be redeemed by issue of sufficient number of Equity share of Rs.10 each at par. Calculate No. of Equity share to be issued.

Ans. of Case 1:- The basis of solving question lie in formula of transfer to CRR.

Nominal value of P.S.R. (2,500 x 100) (-) Nominal value of EQ. share issued	2,50,000 ?
Transfer to CRR	NIL

Since we are not given any reserve available for transfer to CRR, it means we assume Transfer to CRR will be NIL.

It means nominal value of equity share issued will be equal to Rs. 2,50,000 that is equal to nominal value of preference share redeemed.

The concept is that when transfer to CRR is NIL, N.V. of new equity share to be issued = N.V. of P.S.R.

No. of EQ. share to be Issued $= \frac{\text{R. } 2{,}50{,}000}{\text{R. } 10} = 25{,}000 \text{ EQ. share}$

CASE - II

1000, 8% preference share of Rs. 100 each to be redeemed by issue of sufficient number of equity share of Rs.10 each issued at a premium of Rs. 2 each. Compute No. of equity share to be issued.

Ans. of Case - II:-

For computing No. of equity share, we have to issue NOMINAL VALUE of equity share equal to nominal value of preference share redeemed. Hence even if new equity share have been issued at a premium, but in order to calculate number of equity share to be issued, we will divide by face value per equity share and not issue price per equity share.

$$\text{No. of EQ. share to be issued} = \frac{\text{Nominal value of preference share redeemed (Note)}}{\text{Face value per equity share}}$$

$$= \frac{\text{Rs. } 1{,}00{,}000}{\text{Rs. } 10} = 10000 \text{ Equity share}$$

Note: - Nominal value of P.S.R. has been taken here as nominal value of Equity share issued will be equal to that only.

CONCEPT NOTE

Sometimes in question, we are given Reserve & Surplus and we have to compute number of Equity share to be issued to ensure that provision of section 55 is not violated. In such case, following approach is adopted:-

(1) Compute Reserve and Surplus which are available for transfer to Capital Redemption Reserve (CRR). For this purpose, following points are worth noting:-

- Security Premium A/c is not available for transfer to CRR.
- If any investment is sold, calculate Profit/Loss on sale of investment, adjust this Profit/Loss to Profit/Loss Account balance given in Question, balance of P/L A/c after this adjustment will be available for CRR.
- Capital Reserve is not available for Transfer to CRR.
- General Reserve and P/L A/c are available for Transfer to CRR.
- Normally, Reserve Created under Income Tax Act that is Investment Allowance reserve, Development Allowance Reserve, Development Rebate Reserve [IAR/DAR/DRR] are not available for transfer to CRR. But if question specifically mention that out of total IAR/DAR/DRR given in Question, so much is not FREE, then balance will be deemed to be free and available for transfer to CRR.

Example: - IAR Rs. 24,000 (out of which Rs. 7,500 is not free for Distribution as Dividend).

Here 24,000 – 7,500 = 16,500 is available for Transfer to CRR.

- CRR itself is not available for transfer to CRR. In other words, if CRR is given in Question, the same is not free reserve.

(2) After Calculating Total Reserve/Surplus available for transfer to CRR, make following two adjustments:-

(a) Deduct "Premium on Redemption of Preference share".
(b) If Question require to maintain a "minimum Reserve", then deduct that much amount from that Reserve and only balance of that Reserve shall be free for CRR.

For Example: - GR given in Question Rs. 46,000. Question says that Rs. 20,000 is to be retained in General reserve.

It means GR of 26,000 (46,000 – 20,000) is free for CRR.

(3) After computing final Reserve & Surplus available for CRR, apply following formula:-

Nominal Value of Pref. share Redeemed	(A)
(-) Nominal Value of Equity share to be Issued	(B)
Transfer to CRR	(C)

In above chart we know:-

(A) that is nominal value of Pref. share to be redeemed as it will be given in Question.

(C) that is R&S finally available for Transfer to CRR.

Now Balancing figure that is A – C that is:-

Nominal Value of Pref. share Redeemed	√
(-) R&S Available for Transfer to CRR	(√)
Nominal Value of New Equity share to be Issued.	√

After computing Nominal value of New Equity share to be issued, number of Equity share to be issued can be computed by following formula :-

$$\text{No. of EQ Share to be Issued} = \frac{\text{Nominal Value of Equity share to be Issued}}{\text{Face value per EQ Share}}$$

(4) After computing No. of EQ share as above, we may have to make two more adjustments:-
   (a) If above Number of EQ share are in fraction, round them off to HIGHER NUMBER.
   (b) If question says that, Number of Equity share to be issued shall be in multiple of 50 or 100, then round off to higher multiple of 50 or 100 as the question specify.

Case III

- Nominal value of Pref. share to be redeemed = Rs. 35,00,000
- Par value of Equity share to be issued = Rs. 9
- Maximum amount of Divisible Profit available for Dividend Rs. 21,00,000.

Calculate:

1) No. of Equity share to be issued so that provision of section 55 is not violated.
2) Also calculate No. of Equity share to be issued if share are to be issued in multiple of 100.

Ans. of Case III

N.V. of P.S. to be Redeemed	35,00,000
(-) Amt. of R&S available for Trf. to CRR	(21,00,000)
N.V. of EQ sh. to be Issued	14,00,000
N.V. per EQ share	Rs. 9
No. of EQ sh. to be issued = 1400000/9 =	1,55,555.56 share
Rounded off to Next higher No.	1,55,556 share
If in multiple of 100	1,55,600 share

Case IV

- N.V. of P.S. to be redeemed = Rs. 10,00,000
- P.S. to be Redeemed at a premium of = 10%
- Reserve and Surplus Given:-

General Reserve	8,00,000
P/L A/c	2,00,000
IAR [Not free for Dividend 50,000]	1,00,000
SPA	20,000

- BOD have decided to issue sufficient Number of Equity share at par after utilizing undistributed reserve subject to the condition that a sum of Rs. 2,00,000 shall be retained in GR and that shall not be utilized.

Soln. of Case IV

Step 1 - Compute R&S available for transfer to CRR:-

GR (8,00,000 – 2,00,000)	6,00,000
P/L	2,00,000
IAR (1,00,000 – 50,000)	50,000
[SPA Can't be used]	
Total R&S Available	8,50,000
(-) R&S to be used to write off Premium on Redemption of Pref share (10,00,000 x 10%)	(1,00,000)
R&S Available for Trf to CRR	7,50,000

Step 2 –

NV of PSR	10,00,000
(-) R&S Available for CRR	7,50,000
NV of Equity share Issued	Rs. 2,50,000
Face value Per EQ sh.	Rs. 10
No. of EQ share to be Issued	25,000

CONCEPT NOTE

Sometime Question says "Board of Directors have decided to redeemed the preference share by UTILISATION OF RESERVE." The meaning of the above line is that No new Equity share shall be issued and whole nominal value of Preference share redeemed shall be transferred to CRR.

Case V- 10,000, 12% Pref. share of Rs. 100 each = 10,00,000. Reserve & Surplus given in Q. are :-

Capital Reserve	5,00,000
SPA	5,00,000
GR	7,50,000
P/L	3,50,000

BOD have decided to Redeemed Pref. share at par by utilization of Reserve.

Ans. of Case V: - It means No new Equity share shall be issued for Redemption of Pref. share.

N.V. of P.S.R.	10,00,000
(-) N.V. of New EQ sh. Issued	NIL
Transfer to CRR	10,00,000

Which Reserve to be used for Trf to CRR?

GR	7,50,000
P/L (BF)	2,50,000
	10,00,000

Note: Capital Reserve and SPA can't be used for Transfer to CRR.

CONCEPT NOTE

Sometime Number of Equity share to be issued relates to Bank Balance Position and Not Related to Reserve & Surplus position. This situation arises when following lines are given in Question:-

"To finance part of Redemption from company funds subject to leaving a Bank Balance of ------ (Here an amount will be given)."

Case VI

- Nominal value of Pref. share to be redeemed Rs. 65,000
- P/L A/c 48,000
- Redemption at 10% Premium.
- Cost of investment 18,500
- Investment shall be sold at 15,000
- To finance Part of redemption from company funds, subject to leaving a Bank balance of 12,000.
- Bank Balance as given in B/S 31,000
- To issue minimum Equity share of Rs. 50 each to raise balance of fund required.

Soln. of Case VI

Here we have to prepare Bank A/c and balancing figure of Bank A/c will be Amt. to be raised by issue of Equity share

Bank A/c			
To O/B B/F	31,000	By Pref. sh.	71,500
To Investment	15,000	[65000 + 10%]	
To ESC (BF)	37,500	By C/B	12,000
	83,500		83,500

$$\text{No. of EQ share to be Issued} = \frac{\text{Rs. } 37,500}{\text{Rs. } 50} = 750 \text{ share}$$

Suppose in above Example, New Equity share of Rs. 50 is issued at a premium of Rs. 10. Calculate Number of EQ share to be issued.

Difference between case II and This case:- In case II, Amount of Equity share to be issued was obtained through Equation of CRR whereas in this question, Amount of Equity share to be issued has been obtained through Cash/Bank Account.

When Amt. of Equity share to be issued is obtained through Equation of CRR, then amount of Equity share is NOMINAL value of Equity share to be issued. Hence we divide it by **par value** per Equity share and Not by issue price to get number of Equity share to be issued. In case II, due to this reason, although Issue price was Rs. 12, but we divided by Rs. 10 to get No. of Equity share to be issued.

On the other hand, when Equity share to be issued are obtained through Bank A/c balancing figure, this will be the issue Price including premium of Equity share to be issued. Hence in order to get No. of Equity share to be issued, we will divide by **Issue Price** per Equity share and not by face value per Equity share.
Hence in this case :-

$$\text{No. of EQ sh. to be issued} = \frac{\text{Rs. } 37,500}{\text{Rs. } 60} = 625 \text{ share}$$

REDEMPTION OF PREFERENCE SHARE

Question 1: **[SM Ill. 1]**

Hinduja Company Ltd. had 5,000, 8% Redeemable Preference Shares of Rs. 100 each, fully paid up. The company decided to redeem these preference shares at par by the issue of sufficient number of equity shares of Rs. 10 each fully paid up at par. You are required to pass necessary Journal Entries including cash transactions in the books of the company.

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Question 2: **[SM Ill. 2]**

C Ltd. had 10,000, 10% Redeemable Preference Shares of Rs. 100 each, fully paid up. The company decided to redeem these preference shares at par, by issue of sufficient number of equity shares of Rs. 10 each at a premium of Rs. 2 per share as fully paid up. You are required to pass necessary Journal Entries including cash transactions in the books of the company.

Personal Note:- **Register No. _____** **Page No. _____**

Question 3 **[SM Ill. 3]**

G India Ltd. had 9,000 10% redeemable Preference Shares of Rs. 10 each, fully paid up. The company decided to redeem these preference shares at par by the issue of sufficient number of equity shares of Rs. 9 each fully paid up.

You are required to pass necessary Journal Entries including cash transactions in the books of the company.

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Question 4: **[SM Ill. 4]**

The Board of Directors of a Company decided to issue minimum number of equity shares of Rs. 9 to redeem Rs. 5,00,000 preference shares. The maximum amount of divisible profits available for redemption is Rs. 3,00,000. Calculate the number of shares to be issued by the company to ensure that the provisions of Section 55 are not violated. Also determine the number of shares if the company decides to issue shares in multiples of Rs. 50 only.

Personal Note:- **Register No. _____** **Page No. _____**

Question 5: **[SM Ill. 6]**

The following are the extracts from the Balance Sheet of ABC Ltd. as on 31stDecember, 2021.
Share capital: 40,000 Equity shares of Rs. 10 each fully paid – Rs. 4,00,000; 1,000 10% Redeemable preference shares of Rs. 100 each fully paid – Rs. 1,00,000.

Reserve & Surplus: Capital reserve – Rs. 50,000; Securities premium – Rs. 50,000; General reserve –Rs. 75,000; Profit and Loss Account – Rs. 35,000

On 1st January 2022, the Board of Directors decided to redeem the preference shares at par by utilisation of reserve.
You are required to pass necessary Journal Entries including cash transactions in thebooks of the company.

Personal Note:- **Register No. _____** **Page No. _____**

Question 6: **[RTP May 18]**

The following are the extracts from the Balance Sheet of ABC Ltd. as on 31st December, 2021:
Share capital: 50,000 Equity shares of Rs. 10 each fully paid – Rs. 5,00,000; 1,500 10% Redeemable preference shares of Rs.100 each fully paid – Rs. 1,50,000.
Reserve & Surplus: Capital reserve – Rs. 1,00,000; General reserve – Rs. 1,00,000; Profit and Loss Account – Rs. 75,000.
On 1st January 2022, the Board of Directors decided to redeem the preference shares at premium of 10% by utilization of reserves.

You are required to prepare necessary Journal Entries including cash transactions in the books of the company.

Personal Note:- **Register No. _____** **Page No. _____**

Question 7: **[SM Ill. 7]**

C Limited had 3,000, 12% Redeemable Preference Shares of Rs. 100 each, fully paid up. The company had to redeem these shares at a premium of 10%.

It was decided by the company to issue the following:
(i) 25,000 Equity Shares of Rs.10 each at par,
(ii) 1,000 14% Debentures of Rs.100 each.

The issue was fully subscribed and all amounts were received in full. The payment was duly made. The company had sufficient profits. Show Journal Entries in the booksof the company.

Personal Note:- **Register No. _____** **Page No. _____**

Question 8: **[May' 18]**

Dheeraj Limited had 5,000, 10% Redeemable Preference Shares of Rs. 100 each, fully paid up. The company had to redeem these shares at a premium of 10%. It was decided by the company to issue the following:

(i) 40,000 Equity Shares of Rs. 10 each at par

(ii) 2,000 12% Debentures of Rs. 100 each.

The issue was fully subscribed and all accounts were received in full. The payment was duly made. The company had sufficient profits. Show journal entries in the books of the company.

Personal Note:- **Register No. _____** **Page No. _____**

Question 9: **[SM Ill. 8]**

The capital structure of a company consists of 20,000 Equity Shares of Rs. 10 each fully paid up and 1,000 8% Redeemable Preference Shares of Rs. 100 each fully paid up (issued on 1.4.2021).

Undistributed reserve and surplus stood as: General Reserve Rs. 80,000; Profit and Loss Account Rs. 20,000; Investment Allowance Reserve (out of which Rs. 5,000 not free for distribution as dividend) Rs. 10,000; Securities Premium Rs. 2,000, Cash at bank amounted to Rs. 98,000. Preference shares are to be redeemed at a Premium of 10% and for the purpose of redemption, the directors are empowered to make fresh issue of Equity Shares at par after utilising the undistributed reserve and surplus, subject to the conditions that a sum of Rs. 20,000 shall be retained in general reserve and which should not be utilised.

Pass Journal Entries to give effect to the above arrangements.

Personal Note:- **Register No. _____** **Page No. _____**

Question 10: **[SM Ill. 5]**

X Ltd. gives you the following information as at 31st March, 2023:

	Particulars	Rs.
	EQUITY AND LIABILITIES	
1.	**Shareholders' funds**	
	a) Share capital	2,90,000
	b) Reserves and Surplus	48,000
2.	**Current liabilities**	
	Trade Payables	56,500
	ASSETS	
1.	**Property, Plant and Equipment**	3,45,000
2.	**Non-current investments**	18,500
3.	**Current Assets**	
	Cash and cash equivalents (bank)	31,000

The share capital of the company consists of Rs. 50 each equity shares of Rs. 2,25,000 and Rs. 100 each Preference shares of Rs.65,000(issued on 1.4.2021). Reserves and Surplus comprises Profit and Loss Account only.

In order to facilitate the redemption of preference shares at a premium of 10%, the Company decided:

(a) to sell all the investments for Rs. 15,000.
(b) to finance part of redemption from company funds, subject to leaving a bankbalance of Rs. 12,000.
(c) to issue minimum equity share of Rs. 50 each share to raise the balance of funds required.

You are required to pass:

The necessary Journal Entries to record the above transactions.

Personal Note:- **Register No. _____** **Page No. _____**

Question 11: **[May 19]**

The Summarized Balance Sheet of Clean Ltd. as on 31st March, 2019 is as follows:

Particulars	**(Rs.)**
EQUITY AND LIABILITIES	
1. Shareholder's funds:	
(a) Share Capital	5,80,000
(b) Reserves and Surplus	96,000
2. Current Liabilities:	
Trade Payables	1,13,000
Total	7,89,000
ASSETS:	
1. Non-Current Assets	
(a) Property, Plant and Equipment Tangible Assets	6,90,000
(b) Non-current investments	37,000
2. Current Assets	
Cash and cash equivalents (Bank)	62,000
Total	7,89,000

The Share Capital of the company consists of Rs. 50 each Equity shares of Rs. 4,50,000 and Rs. 100 each 8% Redeemable Preference Shares of Rs. 1,30,000 (issued on 1.4.2017).

Reserves and Surplus comprises statement of profit and loss only.
In order to facilitate the redemption of preference shares at a premium of 10%, the Company decided:
(a) to sell all the investments for Rs. 30,000.
(b) to finance part of redemption from company funds, subject to, leaving a Bank balance of Rs. 24,000.
(c) to issue minimum equity share of Rs. 50 each at a premium of Rs. 10 per share to raise the balance of funds required.

You are required to Pass Journal Entries to record the above transactions.

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Question 12: **[PEQ-JAN.26] [SM Ill. 9]**

The Balance Sheet of XYZ Ltd. as at 31st December, 2021 inter alia includes the following information:

	Rs.
50,000, 8% Preference Shares of Rs.100 each, Rs.70 paid up	35,00,000
1,00,000 Equity Shares of Rs.100 each fully paid up	1,00,00,000
Securities Premium	5,00,000
Capital Redemption Reserve	20,00,000
General Reserve	50,00,000
Bank	15,00,000

Under the terms of their issue, the preference shares are redeemable on 31st March, 2022 at 5% premium. In order to finance the redemption, the company makes a rights issue of 50,000 equity shares of Rs. 100 each at Rs. 110 per share, Rs. 20 being payable on application, Rs. 35 (including premium) on allotment and the balance on 1st January, 2023. The issue was fully subscribed and allotment made on 1st March, 2022. The money due on allotment were duly received by 31st March, 2022. The preference shares were redeemed after fulfilling the necessary conditions of Section 55 of the Companies Act, 2013.

You are asked to pass the necessary Journal Entries.

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Question 13: **[SM Ill. 10]**

With the help of the details in Question 12 above and further assuming that the Preference Shareholders holding 2,000 shares fail to make the payment for the Final Call made under Section 55, you are asked to pass the necessary Journal Entries.

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Question 14: **[PEQ-JUNE-24-15 Marks] [Nov' 20]**

The Book of Arpit Ltd. Shows the following Balance as on 31st December, 2019:

	Amount (Rs.)
6,00,000 Equity shares of Rs. 10 each fully paid up	60,00,000
30,000, 10% Preference shares of Rs. 100 each, Rs. 80 paid up	24,00,000
Securities Premium	6,00,000
Capital Redemption Reserve	18,00,000
General Reserve	35,00,000

Under the terms of issue, the Preference Shares are redeemable on 31st March, 2020 at a premium of 10%. In order to finance the redemption, the board of Directors decided to make a fresh issue of 1,50,000 Equity Shares of Rs. 10 each at a premium of 20%, Rs. 2 being payable on application, Rs. 7 (including premium) on allotment and the balance on 1st January, 2021. The issue was fully subscribed and allotment made on 1st March, 2020. The money due on allotment was received by 20th march, 2020.

The preference shares were redeemed after fulfilling the necessary condition of Section 55 of the Companies Act. 2013.

You are required to pass the necessary journal Entries

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Question 15: **[MTP JAN. 25, 10 Marks][SM PQ. 1]**

The books of B Ltd. showed the following balance on 31st December, 2023:

30,000 Equity Shares of Rs.10 each fully paid;

18,000 12% Redeemable Preference Shares of Rs.10 each fully paid;

4,000 10% Redeemable Preference Shares of Rs. 10 each, Rs.8 paid up (all shares issued on 1st April, 2022).

Undistributed Reserve and Surplus stood as: Profit and Loss Account Rs. 80,000;
General Reserve Rs. 1,20,000; Securities Premium Account Rs. 15,000 and Capital Reserve Rs.21,000.

For redemption, 3,000 equity shares of Rs.10 each are issued at 10% premium. At the same time, Preference shares are redeemed on 1st January, 2024 at a premium of Rs.2 per share. The whereabouts of the holders of 100 shares of Rs.10 each fully paid are not known.

A bonus issue of equity share was made at par, two shares being issued for every five held on that date out of the Capital Redemption Reserve Account. However, equity shares, issued for redemption are not eligible for bonus.

Show the necessary Journal Entries to record the transactions.

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Question 16: **(MTP SEP. 24, 5 Marks)**

Given below are the extracts of Balance Sheet of Shell Chemicals Limited as on 31st March, 2024:

Particulars	Amount in ₹
9% Redeemable Preference Share Capital	10,00,000
Calls in arears (Redeemable Preference Shares)	20,000
General Reserve	7,00,000
Securities Premium	80,000

It is provided that:

- Preference Shares are of 100 each fully-called, due for immediate redemption.
- Calls-in-arrears are on account of final call on 1000 Preference shares held by four members whose whereabouts are not known.
- Balance of General Reserve to be fully utilised for the purposes of redemption and the shortfall to be made good by issue of equity shares of Rs. 10 each at par.
- The redemption of preference shares was duly carried out.

You are required to pass the necessary journal entries to give effect to the above redemption.

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Question 17: **(RTP Jan. 25)**

The following is the summarized Balance Sheet of Trinity Ltd. as at 31.3. 2023:

Liabilities	Rs.	Assets		Rs.
Share Capital		Fixed Assets	3,00,000	
Authorised		Less: Dep.	1,00,000	2,00,000
10,000 10% Redeemable Preference Shares of Rs. 10 each	1,00,000	Investments		1,00,000
90,000 Equity Shares of Rs. 10 each	9,00,000			
	10,00,000			
Issued, Subscribed and Paid-up Capital		Current Assets and Loans and Advances		
10,000 10% Redeemable Preference Shares of Rs. 10 each	1,00,000	Inventory		45,000
10,000 Equity Shares of Rs. 10 each	1,00,000	Trade receivables		25,000
(A)	2,00,000	Cash and Bank Balances		50,000
Reserves and Surplus				
General Reserve	1,20,000			
Securities Premium	70,000			
Profit and Loss A/c	18,500			
(B)	2,08,500			
Current Liabilities and Provisions (C)	11,500			
Total (A + B + C)	4,20,000	Total		4,20,000

For the year ended 31.3. 2024, the company made a net profit of Rs. 35,000 after providing Rs. 20,000 depreciation.

The following additional information is available with regard to company's operation:

1. The preference dividend for the year ended 31.3. 2024 was paid.
2. Except cash and bank balances other current assets and current liabilities as on 31.3. 2024, was the same as on 31.3.2023.
3. The company redeemed the preference shares at a premium of 10%.
4. The company issued bonus shares in the ratio of two share for every equity share held as on 31.3.2024.
5. To meet the cash requirements of redemption, the company sold investments.
6. Investments were sold at 90% of cost on 31.3.2024.

You are required to prepare necessary journal entries to record redemption and issue of bonus shares.

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Question 18: **(PEQ SEP.25-10 Marks)**

Alpha Limited has an authorized Equity Share Capital of ₹ 20 lakhs divided into equity shares of ₹ 100 each and 10% Redeemable Cumulative Preference Shares of ₹ 5.00 lakhs divided into ₹ 100/- per share. The paid-up equity capital is of ₹ 13,50,000/- and 10% Redeemable Cumulative Preference Shares of 100 each of ₹ 3,00,000/-, Balances in other accounts are: Securities Premium ₹ 35,000/-, Profit & Loss Account ₹ 80,000/- and General Reserve
₹ 4,00,000/-. The Company has investments of the face value of ₹ 40,000/- being carried in the books at a cost of ₹ 45,000/-.

The Company has decided to redeem the Cumulative Preference Shares at 10% premium, partly by making an issue of equity shares of the face value of ₹ 1,50,000/- at a premium of 10%. Investments are sold at 110% of their face value. All preference shareholders have been paid off except 2 holders holding 500 shares.

You are required to pass the necessary Journal Entries for effecting the above transactions. Working should form part of your answer.

YOUTUBE REVISION VIDEO QR CODE

TOPIC	QR CODE	
REDEMPTION OF PREFERENCE SHARE	PART - I	
	PART - II	

Space for Personal Note:-

REDEMPTION OF PREFERENCE SHARE

① JE for RPS :

ⓐ PSC	Dr	(Nominal value)	} Due
Premium on RPS	Dr	(Premium payable)	
To PSH		(Total)	
ⓑ PSH	Dr		} Payment
To Bank			
ⓒ Profit/Loss a/c	Dr		} Premium on RPS write off
To Premium on RPS			
ⓓ GR/P/L	Dr		} For Amt trf. to CRR.
To CRR			

② Don't use SPA for Entry (c) and (d)

③ Don't use Capital Reserve for both Entry (c) and (d).

④ Don't use Investment Allowance Reserve wic is Not free for (d).

⑤ Amt trf. to CRR = Nominal value of Pref. sh. Reedmed ✓
(-) Nominal " " New EQ. sh. Issued (✓)
✓

⑥ JE for Issue of New EQ. Share :-

Bank	Dr	(NOS. X Issue Price)
To ESC		(NOS. X face value)
To SPA (of New sh. Issued at Prem.)		(NOS. X Prem./sh.)

QUESTION WISE CONCEPT NOTE

QN ① Sufficient NO. of EQ. sh. shall be issued for RPS. Here NO. amt will be trfd. to CRR. Hence Entry (d) Not needed. Nominal value of EQ sh. issued will be Equal to Nominal value of PSR. Since not reedmed at premium, Hence Entry (c) also Not Needed. First Pass Entry for Issue of EQ sh., Then RPS.

QN ② Here New EQ sh. have been issued at Premium, but for computing NO. of EQ share to be issued, we will apply formula :-

$$= \frac{\text{Nominal value of Pref sh. Reedmed}}{\text{face value Per EQ sh. (Don't take Issue Price)}}$$

QN③ → similar concept as QN①.

QN④ We are given Divisible profit available for redemption. We will calculate No of EQ. Sh. to be issued by formula:-

= Nominal value of P.S.R. (-) Divisible Pft Available
face value of one EQ. Sh.

If No of EQ Sh. Above in fraction, Round off to Higher No.
If in multiple of 50, Round off to Higher 50.

QN⑤ It is given in Q that "BOD decide to reedem P.S. by use of Reserve".

It means No New EQ Sh. issue. Here Amt trf to CRR = Nominal value of P.S. Reedmed. First use GR, Then P/L BF. Don't use SPA and C.R.

QN⑥: same concept as QN⑤.

QN⑦ Here Amt of EQ Sh. issued as well as Amt of Debt issued given. First Pass JE of EQ Sh. Issue, Then Debt issued. Then 4 Entry of PSR. "The company has sufficient Pft". Here we assume Pft in P/L a/c. Since Amt of EQ share issued given, Hence Amt to be trfd. to CRR = N.V. of PSR (-) NV of ES Issued. Don't Deduct Debt issued in CRR formula above.

QN⑧: same concept as QN⑦.

QN⑨: "Directors will issue sufficient number of EQ. share after using Reserve." This Line indicate that we will first calculate Profit available for Trf. to CRR, we will then calculate Amt of EQ Sh. to be issued by formula ⇒ N.V. of P.S.R. (-) Reserve available for Trf to CRR.

Profit Available for Trf. to CRR shall be computed by following formula:-

a) GR as per Q. ✓ (-) Minimum GR to be Maintted (✓)	✓
(b) Investment Allowance Reserve only free portion	✓
(c) P/L a/c (-) Premium on RPS w/off	✓
Pft Avl. for Trf to CRR	✓

Ignore SPA and Cash at Bank

Q IV 10 "To finance part of redemption from company Fund, subject to leaving Bank Bal. of 12000". This line indicate that Amt of EQ Share to be issued will be computed by preparing Bank A/c. Balancing figure of Bank a/c will be Amt of EQ Share issued.

Bank A/c

To O/B (Given)	✓	By PSH [N.V. of PSR (+) Premium on Red.]	✓
To Investment (Sale value)	✓		
To ESC (BF)	✓	By C/B	✓
	✓		✓

The Question says that EQ Sh. have been issued at Par. Don't forget to deduct above Amt of ESC in CRR formula.

Q IV 11 This question is similar to Q ⑩ but in The Q N ⑩, New EQ Sh. had been issued at par but in Q IV ⑪ New EQ Share have been issued at Premium. Here two points are Imp.:-

a) No. of EQ Sh. Issued = $\frac{\text{Balancing figure of Bank A/c}}{\text{Issue price / share (Not face value)}}$

b) Deduction in CRR formula = No. of EQ Sh. Issued × Face Value per Sh. (Not Issue price)

Q IV 12 ⓐ Pref. Share given in Question are Partly Paid up. Section 55 does not permit redemption of Partly paid up PSC. Hence assume that they have been called and amt. Recd. First pass following two JE (even though question is silent):-

① Pref. Share final call a/c Dr
To Pref share capital a/c
(No. of Pref share × unpaid amt per share)

② Bank a/c Dr
To Pref Sh. final call a/c
(Being final call money received)

(b) JE for Application money recd. on EQ Sh Issued:

Bank Dr
To EQ Sh Application

EQ Sh Application Dr
To EQ Sh Capital

(c) JE for Allottment Money Due and Recd:-

EQ Sh Allottment Dr (NOS. X Allott. Money)
To EQ Sh. Cap. (NOS. X Par Portion)
To SPA (NOS. X Premium Portion)

Bank Dr
To EQ Sh. Allottment A/C

(d) NO Entry of Bal. amt of New EQ Sh. issued as Bal. amt is Due After Redemption.

(e) In CRR formula, Don't deduct Nominal value of EQ share issued. Deduct Amt credited to ESC a/c in above Point (b) and (c).

(f) If P/L Not given, write off prem. on RPS agt. GR.

Ans 13 (a) This question is continuation of QN (12). There are 50000 Pref share of ₹100 each, ₹80 paid up which are to be reedemed. In QN (12) we called ₹20 per share on 50000 Pref share and received full amt. on 50000 Pref share. Hence we reedmed all Pref share.

But QN (13) says that Call money on 2000 Pref. share is Not received. In such case, pass :-

Pref Sh final Call Dr } Call money Due on 50000 Sh @ ₹20
To PSC }

But: Bank Dr with call money recd. on 48000
To Pref Sh. final call Sh @ 20/=.

(b) Now since 2000 Pref share are still partly paid up, Hence you can't reedem Those 2000 Sh. Hence Entry for Due, Payment, Prem. on RPS w/off and Trf to CRR will be made with 48000 Pref share.

Q N14:- This Q is similar to Q N12.

Q N15 (a) In This Q, two different category of Pref. Sh. have been given:-

18000 PSC of ₹10 each fully paid up
4000 PSC of ₹10 each ₹8 paid up.

Here we will reedem only 18000 fully paid up share. We will not reedem 4000 partly paid up share. We will not make call on 4000 share as we did in Q N (12) because यहाँ को 18000 Sh. Reedem करने का Jugad है।

इस और New concept है कि 100 share of ₹10 fully paid up का Address नहीं मिल रहा। तो हम Due की Entry पुरे 18000 की मारेंगें but payment की Entry 17900 की मारेंगें। Prem. on RPS write off and trf to CRR 18000 के Base पर करेंगें।

REDEMPTION OF DEBENTURE

1. When debenture are issued, journal entry is :-

Bank	DR	
To Debenture		

2. Debenture is a loan taken by company on which company pay interest.
3. Debenture normally have a maturity period after which they are redeemed.
4. Redemption of debenture means Repayment of Debenture in cash on Maturity.

5. <u>Repayment in cash on maturity:-</u>

A company, on 01-04-2016, issued 10,000, Rs.100, 12% debenture's redeemable at a premium of 3% on 31-03-2022. The journal entry on repayment will be as follows:-

(a)	12% debenture	DR	10,00,000	
	Premium on redemption of Debenture	DR	30,000	
	To Debenture holder			10,30,000
(b)	Debenture holder	DR	10,30,000	
	To cash			10,30,000
(c)	Profit /loss	DR	30,000	
	To premium on redemption of debenture			30,000

(d) There is no law of transfer to CRR in case of redemption of debenture.

(e) As per section 52 SPA can be used to write off premium on redemption of debenture. There is no restriction on that.

<u>CONCEPT OF DRR AND DRRI</u>

1. DRR = Debenture redemption reserve
2. DRRI = Debenture redemption reserve investment
3.

Unlisted Company	Listed Company
1. Every unlisted Company has to create DRR equal to 10% of nominal value of outstanding debenture.	1. Listed company **Need not create DRR**
2. Every unlisted company has to make DRR1 equal to 15% of nominal value of outstanding debenture.	2. Every listed company also has to make DRR1 equal to 15% of nominal value of outstanding debenture.

CASH REDEMPTION OF DEBENTURE

Question 1: **[SM Ill. 1]**

The following balances appeared in the books of a company (unlisted company other than AIFI, Banking company, NBFC and HFC) as on December 31, 2021:

6% Mortgage 10,000 debentures of Rs. 100 each;

Debenture Redemption Reserve (for redemption of debentures) Rs. 50,000;

Investments in deposits with a scheduled bank, free from any charge or lien Rs. 1,50,000 at interest 4% p.a. receivable on 31st December every year.

Bank balance with the company is Rs. 9,00,000.

The Interest on debentures had been paid up to December 31, 2021.

On February 28, 2022, the investments were realised at par and the debentures were paid off at 101, together with accrued interest.

Write up the concerned ledger accounts (including bank transactions). Ignore taxation.

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Question 2: **[SM Ill. 2]**

The following balances appeared in the books of Paradise Ltd (unlisted company other than AIFI, Banking company, NBFC and HFC) as on 1-4-2021:

(i) 12 % Debentures Rs. 7,50,000
(ii) Balance of DRR Rs. 25,000
(iii) DRR Investment Rs. 1,12,500 represented by 10% Rs. 1,125 Secured Bonds of the Government of India of Rs. 100 each.

Annual contribution to the DRR was made on 31st March every year. On 31-3-2022, balance at bank was Rs. 7,50,000 before receipt of interest. The investment were realised at par for redemption of debentures at a premium of 10% on the above date.

You are required to prepare the following accounts for the year ended 31st March, 2022:

(1) Debentures Account
(2) DRR Account
(3) DRR Investment Account
(4) Bank Account
(5) Debenture Holders Account.

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Question 3:

The following balances appeared in the books of Omega Ltd. as on 1-4-2020:

(i) 10 % Debentures Rs. 75,00,000
(ii) Balance of DRR Rs. 2,50,000
(iii) DRR Investment Rs. 11,25,000 represented by 10% Rs. 11,250 Secured Bonds of the Government of India of Rs. 100 each.

Annual contribution to the DRR was made as per the requirement. On 31-3-2021, balance at bank was Rs. 80,00,000 before receipt of interest. Interest on Debentures had already been paid. The investments were realized at par for redemption of debentures at a premium of 10% on the above date.

Omega Ltd. is an unlisted company (other than AIFI, Banking company, NBFC and HFC). You are required to prepare Debenture Redemption Reserve Account, Debenture Redemption Reserve Investment Account and Bank Account in the books of Omega Ltd. for the year ended 31st March, 2021.

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NO. OF SHARE TO BE ISSUED ON CONVERSION OF DEBENTURE

Question 4: **[SM PQ. 1]**

A company had issued 20,000, 13% debentures of Rs. 100 each on 1st April, 2021. The debentures are due for redemption on 1st July, 2022. The terms of issue of debentures provided that they were redeemable at a premium of 5% and also conferred option to the debenture holders to convert 20% of their holding into equity shares (Nominal value Rs. 10) at a price of Rs. 15 per share. Debenture holders holding 2,500 debentures did not exercise the option. Calculate the number of equity shares to be allotted to the debenture holders exercising the option to the maximum.

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Question 5: **[SM Ill. 3]**

XYZ Ltd. has issued 1,000, 12% convertible debentures of Rs. 100 each redeemable after a period of five years. According to the terms & conditions of the issue, these debentures were redeemable at a premium of 5%. The debenture holders also had the option at the time of redemption to convert 20% of their holdings into equity shares of Rs. 10 each at a price of Rs. 20 per share and balance in cash. Debenture holders amounting Rs. 20,000 opted to get their debentures converted into equity shares as per terms of the issue. You are required to calculate the number of shares issued and cash paid for redemption of Rs. 20,000 debenture holders.

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Question 6: **[RTP SEP 24][CA inter Dec' 21]**

A Company had issued 25,000, 12% Debentures of Rs. 100 each on 1st April, 2018. The Debentures were due for redemption on 1st July, 2020. The terms of issue of Debentures provided that they will be redeemable at a premium of 5% and also conferred option to convert 20% of their holding into equity Shares (Nominal value Rs. 10 each) at a price of Rs. 20 per share.

Debenture holders holding 5,000 Debentures did not exercise the option. Calculate the number of Equity shares to be allotted to the debenture holders exercising the option to the maximum.

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Question 7: **(SM Ill. 4)**

The Balance Sheet of BEE Co. Ltd. (unlisted company other than AIFI, Banking Company, NBFC and HFC) as at 31st March, 2021 is as under:

Particulars		**Note No**	Rs.
I.	**Equity and liabilities**		
(1)	**Shareholder's Funds**		
(a)	Share Capital	1	2,00,000
(b)	Reserves and Surplus	2	1,20,000
(2)	**Non-current liabilities**		
(a)	Long term borrowings	3	1,20,000
(3)	**Current Liabilities**		
(a)	Trade payables		1,15,000
	Total		5,55,000
II.	**Assets**		
(1)	**Non-current assets**		
(a)	Property, Plant and Equipment	4	1,15,000
(2)	**Current assets**		
(a)	Inventories		1,35,000
(b)	Trade receivables		75,000
(c)	Cash and bank balances	5	2,30,000
	Total		5,55,000

Notes to Accounts

			Rs.
1.	**Share Capital**		
	Authorised share capital		
	30,000 shares of Rs. 10 each fully paid		3,00,000
	Issued and subscribed share capital		
	20,000 shares of Rs. 10 each fully paid		2,00,000
2.	**Reserve and Surplus**		
	Profit & Loss Account		1,20,000
3.	**Long term borrowings**		
	12% Debentures		1,20,000
4.	**Property, Plant and Equipment**		
	Freehold property		1,15,000
5.	**Cash and bank balances**		
	Cash at bank	2,00,000	
	Cash in hand	30,000	2,30,000

At the Annual General Meeting, it was resolved:
(a) To give existing shareholders the option to purchase one Rs. 10 share at Rs. 15 for every four shares (held prior to the bonus distribution). This option was taken up by all the shareholders.
(b) To issue one bonus share for every five shares held.
(c) To repay the debentures at a premium of 3%.

Give the necessary journal entries.

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Question 8: **[MTP SEP. 24, 10 Marks](SM PQ. 3)**

Case Ltd. (unlisted company other than AIFI, Banking Company, NBFC and HFC) provides the following information as at 31st March, 2021:

Particulars	Rs.
Shareholder's Funds	
(a) Share Capital	
Authorized share capital:	
45,000 equity shares of Rs. 10 each fully paid	4,50,000
Issued and subscribed share capital:	
30,000 equity shares of Rs. 10 each fully paid	3,00,000
(b) Reserves and Surplus	
Profit & Loss Account	1,62,000
Debenture Redemption Reserve	18,000
Non-current liabilities	
(a) Long term borrowings	
12% Debentures	1,80,000
	8,32,500
Current Liabilities	
(a) Trade payables	1,72,500
Non-current assets	
(a) Property, Plant and Equipment (Freehold property)	1,72,500
(b) Non-current Investment: DRR Investment	27,000
Current assets	
(a) Inventories	2,02,500
(b) Trade receivables	1,12,500
(c) Cash and bank balances:	
Cash at bank	2,73,000
Cash in hand	45,000
	8,32,500

At the Annual General Meeting on 1.4.2021, it was resolved:
(a) To give existing shareholders the option to purchase one Rs. 10 share at Rs. 15 for every four shares (held prior to the bonus distribution). This option was taken up by all the shareholders.
(b) To issue one bonus share for every five shares held.

(c) To repay the debentures at a premium of 3%.
Give the necessary journal entries.

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(F) PARTLY CONVERTBLE DEBENTURE

Question 9: **[CA Inter Jan' 2021]**

During the year 2019-2020, A Limited (a listed company) make public issue in respect of which the following information is available

(i) No. of partly convertible debentures issued – 1,00,000, face value and issue price Rs. 100 per debentures. (Whole issue was underwritten by X Ltd.)
(ii) Convertible portion per debentures 60% date of conversion – on expiry of 6 month from the closing of issue.
(iii) Date of closure of subscription lists 1st May 2019, date of allotment – 1st June 2019, rate of interest on debenture - 15% p.a. payable from the date of allotment, value of equity share for the purpose of conversion – Rs. 60 (face value Rs. 10)
(iv) Underwriting Commission – 2%
(v) No. of debenture applied for by public – 80,000
(vi) Interest is payable on debentures half yearly on 30th September and 31st March each year.

Pass relevant journal entries for all tractions arising out of the above during the year ended 31st March, 2020 (including cash and bank entries)

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Question 10: **[CA Inter July 2021][10 Marks]**

AB Limited (a listed company) recently made a public issue in respect of which the following information is available:

(i) No. of partly convertible 8% debentures issued 3,00,000; face value and issue price Rs. 100 per debenture.
(ii) Convertible portion per debenture- 60%, date of conversion- on expiry of 7 months from the date of closing of issue.
(iii) Date of closure of subscription lists 1-5-2020, date of allotment 1-6-2020, rate of interest on debenture 8% payable from the date of allotment, market value of equity share as on date of conversion Rs. 60 (Face Value Rs. 10).
(iv) Underwriting Commission 1%
(v) No. of debentures applied for 2,50,000.
(vi) Interest payable on debentures half-yearly on 30th September and 31st March.

Write relevant journal entries for all transactions arising out of the above during the year ended 31st March, 2021 (including cash and bank entries).

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Question 11: **[SM PQ. 2]**

Libra Limited (a listed company) recently made a public issue in respect of which the following information is available:

(a) No. of partly convertible debentures issued- 2,00,000; face value and issue price- Rs. 100 per debenture.
(b) Convertible portion per debenture- 60%, date of conversion- on expiry of 6 months from the date of closing of issue.
(c) Date of closure of subscription lists- 1.5.2021, date of allotment- 1.6.2021, rate of interest on debenture- 15% payable from the date of allotment, value of equity share for the purpose of conversion- Rs. 60 (Face Value Rs. 10).
(d) Underwriting Commission- 2%.
(e) No. of debentures applied for- 1,50,000.
(f) Interest payable on debentures half-yearly on 30th September and 31st March.

Write relevant journal entries for all transactions arising out of the above during the year ended 31st March, 2022 (including cash and bank entries).

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Question 12: **(MTP SEP. 24, 10 Marks)**

XYZ Ltd. an unlisted company issued 6000, 12% debentures of ₹ 100 each at a discount of 5% on 01.04.2021. Interest is payable annually on 31st March every year. The debentures are redeemable at premium of 10% in 3 equal annual installments beginning from 31.03.2022. The company invested in specified securities for the redemption of debentures. Entire loss on issue to be booked in the 1st year. You are required to pass journal entries for all the 3 years.

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Question 13: **(PEQ – JAN. 25, 5 Marks)**

A company had issued 20,000, 8% partly convertible debentures of Rs. 100 each on April 1, 2023. The debentures are due for redemption on June 1, 2024. The terms of issue of debentures provided that 30% of the debentures will be converted into equity shares (Nominal Value Rs. 10) at a price of 20 per share and remaining will be redeemable at a premium of 5%.

(i) Calculate the number of equity shares to be allotted to the debenture holders at the time of conversion.
(ii) Give the necessary journal entries related to the conversion and redemption of debentures assuming that the company has created the Debenture Redemption Reserve and also invested required amount for redemption of debentures at the time of issue. Debenture Redemption Reserve Investment are sold at par value.

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Space for Personal Note:-

REDEMPTION OF DEBENTURE

Q N(4)(6): How to solve.

We need to calculate NO·OF EQ Sh·to be issued. Prepare following formate in Exam:-

Total NO·OF Debt Given in Q ✓

(-) NO·OF Debt who are NOT Exercising (✓)
Conversion option

NO·OF Debt Exercising conversion option ✓ (A)

NO·OF Debt to be Converted [A X % conversion] ✓ (B)

Redemption Value of Above [B X Red. Value Per] ✓ (C)

NO·OF EQ Sh·= C/Issue Price/Share (Par + Prem.) ✓ (D)

Q N(5) In This Q, (A) above ie NO·OF Debt Exercising Conversion option already given. Hence Prepare above table but starting point will be (A), Then same (B)(C)(d).

Moreover, a New requirment is How much cash will be Paid to DH exercising conv. option. The formula for cash to be paid :-

=[(A)(-)(B)] x Redemption Value Per Debt.

A(7)+(8) Three events are given : (a) Right Issue (b) Bonus issue (c) Redemption of Debt in cash.

JE of Right Issue:

Bank Dr (NO·OF Right Sh·X Issue Price/Share)
To ESC (" " X face value/share)
To SPA (" " X Premium/share)

NO·OF Right Sh·= NO·OF Sh·Given x Ratio of Right

JE OF Bonus Issue:-

(a) Calculate NO·OF Bonus share on Post Right share capital ie (NO·of Sh·as per Q (+) NO·OF Right Sh·) x Ratio of Bonus. Multipy NO·OF Bonus share with FV/Share to get Pft needed for Bonus. Pass JE OF Bonus:-

(i) SPA Dr [When Right Issue was made, SPA was created. Debit that SPA Here]
P/L Dr (BF)
To Bonus to sh. holder

(ii) Bonus to sh. holder Dr
To ESC

JE for Redemption of Debentue:-

Since This is unlisted Co., Hence :

- Creat DRR @10% of Debt [120000 X 10%] → P/L Dr To DRR
- Then Make DRRI @15% of Debt (120000 X 15%) → DRRI Dr 18000 To Bank 18000
- Then sale DRRI → Bank Dr 18000 To DRRI 18000
- Then Trf. DRR to GR → DRR Dr To GR
- Then JE OF
  - Due
  - Payment
  - Premium on Red. write off [NO CRR HERE]
  - (a) Debt Dr, Prem on Red Dr To D.H.
  - (b) DH Dr To Bank
  - (c) P/L Dr To Prem. on Red.

Ans 9/10/11 Convertible Debt Partly:-

(a) JE on close of subscription List:

Bank Dr [No. of Debt applied by Public X face value/Debt]
To Debt Application a/c
[Being application money Recd]

(b) 4 JE on Allotment

- For Allotment to Public and underwriter
- For underwriting Commission
- For settlement of underwriter Dues
- For Making DRRI

(i) For Allottment of Debt to Public and underwriter :-

Debt Application a/c Dr [No. Applied by Public x FV Per]

Underwriter Dr [(Total NOS. - Nos. applied by Public) x FV Per]

To Partly convertible debt (PCD) a/c [Total NOD. x FV Per]

(ii) For underwriting Commission :-

Underwriting Comm. Dr

To underwriter

(Total Nos. x FV Per x Rate of Commission)

(iii) For Net Amt Received from underwriter :-

Bank Dr

To underwriter

(Amt of This Entry = Debit to U/writer in (i) (-) Credit to U/W in (ii))

(iv) Since Listed Co., Hence DRR not needed. Only DRRI Needed. Amt of DRRI = Total NOS. x FV Per x % of Non convertible portion ie 100% (-) Convertible portion.

DRRI Dr

To Bank

(c) JE for Intt to be paid on 30/9 :-

Debt Intt Dr

To Bank

$$\left[\text{NOS. x FV Per x } \frac{\text{Rate of Intt}}{100} \text{ x } \frac{\text{No. of month}}{12}\right]$$

* Here No. of Month from Date of Allottment to 30/9

(d) JE of conversion of Debt into EQ. share :-

Date of conversion = Date of close of subscription List (+) No. of Month as given in Q.

No. of EQ. share to be Issued on conversion :-

$$= \frac{\text{No. of Debt x FV Per Debt x \% conversion}}{\text{Issue Price Per EQ share}}$$

JE : PCD Dr (TNOS · X FV/per X Convertible Portion %)
To ESC (NO·of EQ Sh issued X FV per)
To SPA (NO·of EQ Sh issued X SPA per ie Issue Price (–) FV)

(e) JE of Debt Gntt on 31/3

Debt Gntt	Dr	
To Bank		

Amt of This Entry :-

A) Gntt on Non Convertible Portion :- (Total Nos. X FV Per X Non Convertible Portion % X Rate/100 X 6/12)	✓	
B) Gntt on Convertible portion :- [Total Nos. X FV Per X Convertible Portion X Rate/100 X No·of Month from 30/9 till Date of conversion/12]	✓	
		✓

(Ans·1/Pg1) Given in Q : a) Unlisted Co. b) On 31/12/21, Bal·of Debt, DRR Bal, DRRI Bal with Gntt Rate, Bank Bal. c) DRRI sold on 28/2/22 and Debt reedmed @ 101 with Gntt.

Q Want to prepare "Ledger a/cs".

Soln Total 8 ledger a/c :

FIRST 4 ARE:

a) Debenture a/c

28/2/22 To DH	✓	1/1/22 By O/B	✓
	=		=

b) Deb·Gntt a/c

28/2/22 To Bank	✓	By P/L	✓
[Amt of Gntt] = * Amt of Debt X Rate/100 X 2/12			=

c) Premium on Red·of Debt

28/2/22 To DH [Amt of Debt X 1%] =	✓	By P/L	✓
			=

d) Debt Holder a/c

28/2 To Bank		28/2 By Debt	✓
		By Premium R	✓
	=		=

The above 4 a/c are based upon following :

a) Debt a/c O/B is credit bal.

b) On 28/2, Debt Intt for 2 month ie 31/12 to 28/2 will be paid whose JE : Debt Intt Dr
To Bank

c) On 28/2, Debt will be Due for payment at 1% Premium ie @ ₹101 ie FV 100 + 1% Prem. JE:

Debt Dr
Premium on Red Dr
To Debt Holder

Debt Holder Dr
To Bank

d) Debt Intt and Prem. on Red. will be closed by Trf to P/L a/c.

Next 3 Ledger a/c

a) DRR a/c

28/2/22 To GR	✓	1/1/22 By O/B B/F	✓
		1/1/22 By P/L [Shortfall]	✓

- DRR O/B is credit as it is Reserve
- DRR shortfall will be computed as follows:-

10% of Debenture	✓
(-) O/B of DRR	(✓)
Shortfall	✓

JE: P/L Dr } with amt of shortfall
To DRR

- On Redemption of Debt, DRR is trfd. to GR.

DRR Dr
To GR

DRRI a/c

1/1/22 To O/B	✓	28/2/22 By Bank	✓

- O/B of DRRI is Dr. as it is Investment.
- There is No shortfall in DRRI as it is equal to 15% of Debt
- On 28/2/22, DRRI will be sold. JE: Bank Dr
  To DRRI

Intt on DRRI

28/2/22 To P/L	✓	28/2/22 By Bank	✓
		[Amt of DRRI x Rate/100 x 2/12]	

On 28/2/22, Intt income on DRRI will be recd. JE:
Bank Dr
To Intt on DRRI

It will Then be trfd. to P/L.

Bank a/c

To O/B	✓	By Debt Intt (Intt Paid)	
To DRRI	(Inv. sold)	By D. Holder (Redemption including Prem.)	
To Intt on DRRI	(Intt Recd)	By C/Bal.	

Ans ②/③ Given: Amt of Debt, DRR, DRRI. Bank Bal "before Receipt of Intt". Then Invest. sold and Debt Reedmed.
Only 5 Ledger a/c asked.

Soln. a) **Debt a/c**

To DH	✓	By O/B	✓

b) **Debt Holder a/c**

To Bank	✓	By Debt	✓	Same JE as Q N ①
		By Prem. on Red of Debt	✓	

c) **DRR a/c**

To GR	✓	By O/B	✓	Same shortfall Calculation and Trf to GR as Q N ①
		By P/L	✓	

d) DRRI

To O/B	✓	By Bank	✓

e) Bank a/c

To O/B	✓	By Debt Holder (Red.)	✓
To DRRI (sale of Inv.)		By C/B	✓
To 9ntt on DRRI (9ntt Recd)			

* In Q.N① only 2 Months 9ntt Recd but in Q.N② ③, one yeal 9ntt will be Recd.

* Debt 9ntt Payment will Not be shown in Bank a/c in Q.N ② and ③ as the word "Before Receipt of 9ntt" indicate "After Payment of 9ntt".

FINANCIAL STATEMENTS OF NOT-FOR-PROFIT-ORGANISATIONS

Question 1 **(RPA)** **(SM Ill. 1)**

The receipts and payments for the Swaraj Club for the year ended March 31, 2016 were: Entrance fees Rs. 300; Membership Fees Rs. 3,000; Donation for Club Pavilion Rs. 10,000, Foodstuff sales Rs. 1,200; Salaries and Wages Rs. 1,200 Purchase of Foodstuff Rs. 800; Construction of Club Pavilion Rs. 11,000; General Expenses Rs. 600; Rent and Taxes Rs. 400; Bank Charges Rs. 160.

Cash in hand–April. 1st Rs. 200, March. 31st Rs. 350 Cash in Bank–April.1st Rs. 400; March 31st Rs. 590.

You are required to prepare Receipts and Payment Account.

Personal Note:- **Register No. _____** **Page No. _____**

Question 2 **(SM PQ. 3)**

Summary of receipts and payments of Bombay Medical Aid society for the year ended 31.12.2016 are as follows:

Opening cash balance in hand Rs. 8,000, subscription Rs. 50,000, donation Rs. 15,000 (raised for meeting revenue expenditure), interest on investments @ 9% p.a. Rs. 9000, payments for medicine supply Rs. 30,000 Honorarium to doctor Rs. 10,000, salaries Rs. 28,000, sundry expenses Rs. 1,000, equipment purchase Rs. 15,000, charity show expenses Rs. 1,500, charity show collections Rs. 12,500.

Additional information:

	1.1.2016	31.12.2016
Subscription due	1,500	2,200
Subscription received in advance	1,200	700
Stock of medicine	10,000	15,000
Amount due for medicine supply	9,000	13,000
Value of equipment	21,000	30,000
Value of building	50,000	48,000

You are required to prepare receipts and payments account and income and expenditure account for the year ended 31.12.2016 and balance sheet as on 31.12.2016.

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Question 3 : (I & E A/c, B/S, Specific Fund)

[MTP JAN. 25, 10 Marks][PEQ-JUNE.23][Similar to July-21 (10 Marks)]

Summary of Receipts and Payments of Medical Aid Society for the year ended 31st March, 2018 is given below:

Dr. RECEIPTS AND PAYMENTS ACCOUNT for the year ended 31st March, 2018 Cr.

Receipts	Rs.	Payments	Rs.
To Balance b/d (Cash in Hand)	20,000	By Medicines	2,50,000
To Balance b/d (Cash at Bank)	50,000	By Medicines (Polio)	50,000
To Subscriptions	5,00,000	By Honorarium to Doctors	1,00,000
To Donations (General)	45,000	By Salaries	2,75,000
To Donations (Medical Camps)	1,00,000	By Sundry Expenses	5,000
To Interest on Investments @ 7% p.a.	70,000	By Equipments	1,50,000
To Charity Show Proceeds	30,000	By Charity Show Expenses	10,000
To Government Grant (Polio Eradication)	70,000	By Balance c/d (Cash in Hand)	15,000
		By Balance c/d (Cash at Bank)	30,000
	8,85,000		**8,85,000**

Additional Information:

	1st April, 2017 (Rs.)	31st March 2018 (Rs.)		1st April, 2017 (Rs.)	31st March, 2018 (Rs.)
Subscriptions Due	5,000	10,000	Amount Due to Medicine Suppliers	80,000	1,20,000
Subscriptions Received in Advance	10,000	5,000	Equipments	2,10,000	3,00,000
Stock of Medicines	1,00,000	1,50,000	Building	4,00,000	3,80,000

Prepare Income and Expenditure Account for the year ended 31st March, 2018 and Balance Sheet as at that date.

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Question 4: **(SM Ill. 9)(PEQ-JUNE.24-12 Marks)**

The Sportswriters Club gives the following Receipts and Payments Account for the year ended March 31, 2016:

Receipts and Payments Account

Receipts		₹	Payments		₹
To	Balance b/d	4,820	By	Salaries	12,000
To	Subscriptions	28,600	By	Rent and electricity	7,220
To	Miscellaneous income	700	By	Library books	1,000
To	Interest on Fixed deposit	2,000	By	Magazines and newspapers	2,172
			By	Sundry expenses	10,278
			By	Sports equipments	1,000
			By	Balance c/d	2,450
		36,120			**36,120**

Figures of other assets and liabilities are furnished as follows:

	As at March 31	
	2015	2016
	Rs.	Rs.
Salaries outstanding	710	170
Outstanding rent & electricity	864	973
Outstanding for magazines and newspapers	226	340
Fixed Deposit (10%) with bank	20,000	20,000
Interest accrued thereon	500	500
Subscription receivable	1,263	1,575
Prepaid expenses	417	620
Furniture	9,600	
Sports equipments	7,200	
Library books	5,000	

The closing values of furniture and sports equipments are to be determined after charging depreciation at 10% and 20% p.a. respectively inclusive of the additions, if any, during the year. The Club's library books are revalued at the end of every year and the value at the end of March 31, 2016 was Rs. 5,250.

Required

From the above information you are required to prepare:

(a) The Club's Balance Sheet as at March 31, 2015;

(b) The Club's Income and Expenditure Account for the year ended March 31, 2016.

(c) The Club's Closing Balance Sheet as at March 31, 2016.

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Question: 5 **[MTP JAN. 25, 8 Marks][SM Ill. 11]**

Smith Library Society showed the following position on 31st March, 2021:

Balance Sheet as on 31st March, 2021

Liabilities	₹	Assets	₹
Capital fund	7,93,000	Electrical fittings	1,50,000
Expenses payable	7,000	Furniture	50,000
		Books	4,00,000
		Investment in securities	1,50,000
		Cash at bank	25,000
		Cash in hand	25,000
	8,00,000		8,00,000

The receipts and payment account for the year ended on 31st March, 2022 is given below:

		₹		₹
To Balance b/d			By Electric charges	7,200
Cash at bank	25,000		By Postage and stationary	5,000
Cash in hand	25,000	50,000	By Telephone charges	5,000
To Entrance fee		30,000	By Books purchased	60,000
To Membership subscription		2,00,000	By Outstanding expenses paid	7,000
To Sale proceeds of old papers		1,500	By Rent	88,000
To Hire of lecture hall		20,000	By Investment in securities	40,000
To Interest on securities.		8,000	By Salaries	66,000
			By Balance c/d	
			Cash at bank	20,000
			Cash in hand	11,300
		3,09,500		3,09,500

You are required to prepare income and expenditure account for the year ended 31st March, 2022 and a balance sheet as at 31st, March, 2022 after making the following adjustments:

Membership subscription included ₹ 10,000 received in advance and 75% of the entrance fees is to be capitalized.

Rent for ₹ 4,000 and salaries for ₹ 3,000 are outstanding.

Books are to be depreciated @ 10% including additions. Electrical fittings and furniture are also to be depreciated at the same rate.

Interest on securities is to be calculated @ 5% p. a. including purchases made on 1.10.2021 for ₹ 40,000.

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Question 6: **(SM Ill. 4)**

Following is the Receipts and Payments Account of New bird Forty Club for the year ended 31st March, 2020:

Receipts and payments A/c for the year ended on 31st March 2020

Dr. **Cr.**

Receipts	Amount (Rs.)	Payments	Amount (Rs.)
To balance b/d	2,50,000	By Salaries and wages	1,65,000
To Subscription-		By Office expenses	35,000
2018-2019	65,000	By Sports equipment	3,42,000
2019-2020	3,55,000	By Telephone Charges	28,000
To Donations	55,000	By Electricity charges	32,000
To Entrance fees	85,000	By Travelling and conveyance	65,000
		By balance c/d	1,43,000
	8,10,000		8,10,000

Additional information:

(a) Outstanding subscriptions for the year ended 31st March, 2020 – Rs. 55,000.
(b) Outstanding salaries and wages – Rs. 40,000 for the year ended on 31st March 2020.
(c) Depreciate sports equipment by 25% for the year ended **o**n 31st March 2020.
(d) Capitalize 50% of the entrance fees.

Prepare Income and Expenditure Account of the club from the above particulars for the year ended on 31st March 2020.

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Question 7: **(RPA, I & E A/c, Investment, Furniture)** **[May-2019 (10 Marks)]**

From the following information supplied by M.B.S. Club, prepare Receipts and Payments account and Income and Expenditure Account for the year ended 31st March 2019.

	01.04.2018 Rs.	31.03.2019 Rs.
Outstanding subscription	**1,40,000**	**2,00,000**
Advance subscription	**25,000**	**30,000**
Outstanding salaries	**15,000**	**18,000**
Cash in Hand and at Bank	**1,10,000**	**?**
10% Investment	**1,40,000**	**70,000**
Furniture	**28,000**	**14,000**
Machinery	**10,000**	**20,000**
Sports goods	**15,000**	**25,000**

Subscription for the year amount to Rs. 3,00,000/-. Salaries paid Rs. 60,000. Face value of the Investment was Rs. 1,75,000, 50% of the Investment was sold at 80% of Face Value. Interest on investments was received Rs. 14,000. Furniture was sold for Rs. 8000 at the beginning of the year. Machinery and Sports Goods purchased and put to use at the last date of the year. Charge depreciation @ 15% p.a. on Machinery and Sports goods and @ 10% p.a. on Furniture.

Following Expenses were made during the year:

Sports Expenses: **Rs. 50,000**
Rent: **Rs. 24,000 out of which Rs. 2,000 outstanding**
Misc. Expenses: **Rs. 5,000**

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Question 8: **(SM Ill. 8)[May 25, May 22(10 Marks)]**

The following was the Receipts and Payments Account of Exe Club for the year ended March. 31, 2016

All the figures in thousands

Receipts	₹	Payments	₹
Cash in hand	100	Groundsman's Fee	750
Balance at Bank as per Pass Book:		Moving Machine	1,500
Deposit Account	2,230	Rent of Ground	250
Current Account	600	Cost of Teas	250
Bank Interest	30	Fares	400
Donations and Subscriptions	2,600	Printing & Office Expenses	280
Receipts from teas	300	Repairs to Equipment	500
Contribution to fares	100	Honorarium to Secretary and	
Sale of Equipment	80	Treasurer of 2015	400
Net proceeds of Variety		Balance at Bank as per Pass Book:	
Entertainment	780	Deposit Account	3,090
Donation for forth coming		Current Account	150
Tournament	1,000	Cash in hand	250
	7,820		7,820

You are given the following additional information:

	April, 1, 2015 Rs.	March, 31, 2016 Rs.
Subscription due	150	100
Amount due for printing etc.	100	80
Cheques unpresented being payment for repairs	300	260
Estimated value of machinery and equipment	800	1,750
Interest not yet entered in the Pass book		20
Bonus to Groundsman Outstanding		300

For the year ended March. 31, 2016, the honorarium to the Secretary and Treasurer are to be increased by a total of Rs. 200.

Required

Prepare the Income and Expenditure Account for period ending 31-03-2016 and the relevant Balance Sheet.

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Question 9: **(SM PQ. 1)**

The following is the Receipts and Payments Account of Lion Club for the year ended 31st March, 2016.

Receipts	Rs.	Payments	Rs.
Opening balance:		**Salaries**	**1,20,000**
Cash	**10,000**	**Creditors**	**15,20,000**
Bank	**3,850**	**Printing and stationary**	**70,000**
Subscription received	**2,02,750**	**Postage**	**40,000**
Entrance donation	**1,00,000**	**Telephones and telex**	**52,000**
Interest received	**58,000**	**Repairs and maintenance**	**48,000**
Sale of assets	**8,000**	**Glass and table linen**	**12,000**
Miscellaneous income	**9,000**	**Crockery and cutlery**	**14,000**
Receipts at :		**Garden upkeep**	**8,000**
Coffee room	**10,70,000**	**Membership fees**	**4,000**
Soft drinks	**5,10,000**	**Insurance**	**5,000**
Swimming pool	**80,000**	**Electricity**	**28,000**
Tennis court	**1,02,000**	**Closing balance:**	
		Cash	**8,000**
		Bank	**2,24,600**
	21,53,600		**21,53,600**

The assets and liabilities as on 1.4.2015 were as follows:

	Rs.
Fixed assets (net)	**5,00,000**
Stock	**3,80,000**
Investment in 12% Government securities	**5,00,000**
Outstanding subscription	**12,000**
Prepaid insurance	**1,000**
Sundry creditors	**1,12,000**
Subscription received in advance	**15,000**
Entrance donation received pending membership	**1,00,000**
Gratuity fund	**1,50,000**

The assets and liabilities as on 1.4.2015 were as follows:

The following adjustments are to be made while drawing up the accounts:

(i) Subscription received in advance as on 31st March, 2016 was Rs. 18,000.

(ii) Outstanding subscription as on 31st March, 2016 was Rs. 7,000.

(iii) Outstanding expenses are salaries Rs. 8,000 and electricity Rs. 15,000.

(iv) 50% of the entrance donation was to be capitalized. There was no pending membership as on 31st March, 2016.

(v) The cost of assets sold net as on 1.4.2015 was Rs. 10,000.

(vi) Depreciation is to be provided at the rate of 10% on assets.

(vii) A sum of Rs. 20,000 received in October 2015 as entrance donation from an applicant was to be refunded as he has not fulfilled the requisite membership qualifications. The refund was made on 3.6.2016.

(viii) Purchases made during the year amounted Rs. 15,00,000.

(ix) The value of closing stock was Rs. 2,10,000.

(x) The club as a matter of policy, charges off to income and expenditure account all purchases made on account of crockery, cutlery, glass and linen in the year of purchase.

You are required to prepare an Income and Expenditure Account for the year ended 31st March, 2016 and the Balance Sheet as on 31st March, 2016 along with necessary workings.

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Question 10: RPA, B/S) **[PEQ – JAN. 25, 10 Marks][Jan-21, 5 Marks)]**

From the following Income and Expenditure Account and additional information of A TK Club, prepare Receipts and Payments Accounts and Balance Sheet of the club as on 31st March, 2020.

Income and Expenditure Account for the year ending 31st March, 2020

Expenditure	Rs.	Income	Rs.
To Salaries	4,80,000	By Subscription	6,80,000
To Printing and Stationery	24,000	By Entrance Fees	16,000
To Postage	2,000	By Misc. Income	1,44,000
To Telephone	6,000		
To Office expenses	48,000		
To Bank Interest	22,000		
To Audit Fees	10,000		
To Annual General Meeting Exp.	1,00,000		
To Depreciation (Sports Equipment)	28,000		
To Surplus	1,20,000		
	8,40,000		8,40,000

Additional Information:

Particulars	As on 31st March, 2019	As on 31st March, 2020
Subscription Outstanding	64,000	72,000
Subscription Received in advance	52,000	33,600
Salaries Outstanding	24,000	32,000
Audit Fees Payable	8,000	10,000
Bank Loan	1,20,000	1,20,000
Value of Sports Equipment	2,08,000	2,52,000
Value of Club Premises	7,60,000	7,60,000
Cash in Hand	?	1,14,000

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Question 11: (RPA & B/S) **(PEQ-JAN.26) (SM Ill. 10)(PEQ-NOV.22-10 Marks)**

The Income and Expenditure Account of the Youth Club for the Year 2016 is as follows:

Expenditure	Rs.	Income	Rs.
To Salaries	4,750	By Subscription	7,500
To General Expenses	500	By Entrance Fees	250
To Audit Fee	250	By Contribution for	
To Secretary's Honorarium	1,000	annual dinner	1,000
To Stationery & Printing	450	By Annual Sport meet	
To Annual Dinner Expenses	1,500	receipts	750
To Interest & Bank Charges	150		
To Depreciation	300		
To Surplus	600		
	9,500		**9,500**

This account had been prepared after the following adjustments:

	Rs.
Subscription outstanding at the end of 2015	600
Subscription received in Advance on 31st December, 2015	450
Subscription received in advance on 31st December, 2016	270
Subscription outstanding on 31st December, 2016	750

Salaries Outstanding at the beginning and the end of 2016 were respectively Rs. 400 and Rs. 450. General Expenses include insurance prepaid to the extent of Rs. 60. Audit fee for 2016 is as yet unpaid. During 2016 audit fee for 2015 was paid amounting to Rs. 200.

The Club owned a freehold lease of ground valued at Rs. 10,000. The club had sports equipment on 1st January, 2016valued at Rs. 2,600. At the end of the year, after depreciation, this equipment amounted to Rs. 2,700. In 2015, the Club has raised a bank loan of Rs. 2,000. This was outstanding throughout 2016. On 31st December, 2016 cash in hand amounted to Rs. 1,600.
Prepare the Receipts and Payments Account for 2016 and Balance Sheet as at the end of the year.

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Question 12: RPA, B/S) **[Dec-21 (10 Marks)]**

The Income and Expenditure Account of the Women Club for the Year ended on December 31, 2021 is as follows.

Expenditure	Rs.	Income	Rs.
To Salaries	47,500	By Subscription	75,000
To General Expenses	5,000	By Entrance Fees	2,500
To Audit Fee	2,500	By Contribution for Annual Dinner	10,000
To Secretary's honorarium	10,000	By Annual Sports Meet Receipts	7,500
To Stationary and Printing	4,500		
To Annual Dinner Expenses	15,000		
To Interest and bank charges	1,500		
To Depreciation	3,000		
To Surplus	6,000		
	95,000		95,000

This account had been prepared after the following adjustments:

	Rs.
Subscription outstanding at the end of 2020	6,000
Subscription received in advance on 31st December,2020	4,500
Subscription received in advance on 31st December, 2021	2,700
Subscription outstanding on 31st December,2021	7,500

Salaries outstanding at the beginning and end of the year 2021 were respectively Rs. 4,000 and Rs. 4,500. General Expenses include insurance prepaid to the extent of Rs. 600. Audit fee for the year 2021 is as yet unpaid. During the year 2021 audit fee for the year 2020 was paid amounting to Rs. 2,000

The Club owned a freehold lease of ground valued at Rs. 1,00,000. The club had sports equipment on 1st January, 2021 valued at Rs. 26,000. At the end of the year 2021, after depreciation, this equipment amounted to Rs. 27,000. In the year 2020, the Club had raised a bank loan of Rs. 20,000.This was outstanding throughout the year 2021.On 31st December, 2021 in hand was Rs. 16,000.

You are required to:
Prepare the Receipts and Payments Account for the year ended on December 31, 2021 and the Balance Sheet as on that date.

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Question 13: **(SM Ill. 13)[Nov.20 (10 Marks)]**

From the following balances and particulars of Republic College, prepare Income & Expenditure Account for the year ended March, 2016 and a Balance Sheet as on the date:

	Rs.	Rs.
Seminars & Conference Receipts		4,80,000
Consultancy Receipts		1,28,000
Security Deposit - Students		1,50,000
Capital Fund		16,06,000
Research Fund		8,00,000
Building Fund		25,00,000
Provident Fund		5,10,000
Tuition Fee Received		8,00,000
Government Grants		5,00,000
Donations		50,000
Interest & Dividends on Investments		1,85,000
Hostel Room Rent		1,75,000
Mess Receipts (Net)		2,00,000
College Stores-Sales		7,50,000
Outstanding expenses		2,25,000
Stock of-stores and Supplies (opening)	3,00,000	
Purchases - Stores & Supplies	8,00,000	
Salaries - Teaching	8,50,000	
Salaries - Research	1,20,000	
Scholarships	80,000	
Students Welfare expenses	38,000	
Repairs & Maintenance	1,12,000	
Games & Sports Expenses	50,000	
Misc. Expenses	65,000	
Research Fund Investments	8,00,000	
Other Investments	18,50,000	
Provident Fund Investment	5,10,000	
Seminar & Conference Expenses	4,50,000	
Consultancy Expenses	28,000	
Land	1,00,000	
Building	16,00,000	
Plant and Machinery	8,50,000	
Furniture and Fittings	6,00,000	
Motor Vehicle	1,80,000	

Provision for Depreciation:		
Building		**4,80,000**
Plant & Equipment		**5,10,000**
Furniture & Fittings		**3,36,000**
Cash at Bank	**6,42,000**	
Library	**3,60,000**	
	1,03,85,000	**1,03,85,000**

Adjustments:

		Rs.
(1)	**Materials & Supplies consumed: (From college stores)**	
	Teaching	**50,000**
	Research	**1,50,000**
	Students Welfare	**75,000**
	Games or Sports	**25,000**
(2)	**Tuition fee receivable from Government for backward class Scholars**	**80,000**
(3)	**Stores selling prices are fixed to give a net profit of 10% on selling price**	
(4)	**Depreciation is provided on straight line basis at the following rates:**	
	(1) Building	**5%**
	(2) Plant & Equipment	**10%**
	(3) Furniture & Fixtures	**10%**
	(4) Motor Vehicle	**20%**

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Question 14 **(Subscription, Material Consumed)** **[MTP SEP. 24, 8 Marks][RTP SEP 24, Nov. 18 & 20]**

The following information of M/s. TT Club are related for the year ended 31st March, 2020:

(1)

Balances	**As on 01-04-2019 (Rs.)**	**As on 31-3-2020 (Rs.)**
Stock of Sports Material	75,000	1,12,500
Amount due for Sports Material	67,500	97,500
Subscription due	11,250	16,500
Subscription received in advance	9,000	5,250

(2) Subscription received during the year Rs. 3,75,000

(3) Payments for Sports Material during the year Rs. 2,25,000

You are required to:

(A) Calculate the amount of Subscription and Sports Material that will appear in Income & Expenditure Account for the year ended 31.03.2020 and

(B) Also show how these items would appear in the Balance Sheet as on 31.03.2020.

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Question 15 **(SM Ill. 2)**

During 2016, subscription received in cash is Rs. 42,000. It includes Rs. 1,600 for 2015 and Rs. 600 for 2017. Also Rs. 3,000 has still to be received for 2016.

Required

Calculate the amount to be credited to Income and Expenditure Account in respect of subscription.

Also prepare subscription account, subscription outstanding (receivable) account and subscription received in advance account.

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Question 16 **(SM Ill. 6)**

During the year ended 31st March, 2020, the subscriptions received by the Jaipur Literary Society were Rs.4,50,000. These subscriptions include Rs. 20,000 received for the year ended 31st March, 2019. On 31st March, 2020, subscriptions due but not received were Rs. 15,000. Advance subscription received for the year ending 31st March 2020 but pertaining to year 2021 amounted to Rs. 26,000. The Subscriptions received in advance for the year ending 31st March, 2019 includes Rs. 18,000 pertaining to year 2019-20. What amount should be credited to Income and Expenditure Account for the year ended 31st March, 2020 as income from subscriptions. Show the subscription account in book of the society?

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Question 17 **(SM PQ. 2)**

During the year ended 31st March, 2016, Sachin Cricket Club received subscriptions as follows:

	Rs.
For year ending 31st March, 2015	**12,000**
For year ending 31st March, 2016	**6,15,000**
For year ending 31st March, 2017	**18,000**
Total	**6,45,000**

There are 500 members and annual subscription is Rs. 1,500 per member.

On 31st March, 2016, a sum of Rs. 15,000 was still in arrears for subscriptions for the year ended 31st March, 2015.

Ascertain the amount of subscriptions that will appear on the credit side of Income and Expenditure Account for the year ended 31st March, 2016. Also show how the items would appear in the Balance Sheet as on 31st March, 2015 and the Balance Sheet as on 31st March, 2016.

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Question 18 **(SM Ill. 7)**

From the following information, calculate amount of subscriptions outstanding for the year ended 31st March, 2020.

A club has 350 members each paying an annual subscription of Rs. 1,050. The Receipts and Payments Account for the year showed a sum of Rs. 4,10,000 received as subscriptions. The following additional information is provided:

Subscriptions Outstanding on 31st March, 2019 – Rs. 45,000
Subscriptions Received in Advance on 31st March, 2020 – Rs. 62,000
Subscriptions Received in Advance on 31st March, 2019 – Rs. 30,000

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Question 19 **(SM Ill. 3)**

Suppose salaries paid during 2015-16 were Rs.23,000. The following further information is available:

	₹
Salaries unpaid on 31st March, 2015	1,400
" pre-paid on " " 2015	400
" un-paid on " " 2016	1,800
" pre-paid " " 2016	600

Required

Calculate the amount to be debited to Income and expenditure account in respect of salaries and also show necessary ledger accounts.

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Question 20 **(SM Ill. 5)**

From the following information of a club show the amounts of match expenses and match fund in the appropriate Financial Statements of the club for the year ended on 31st March, 2020:

Details	Amount (Rs.)
Match expenses paid during the year ended 31st March 2020	1,10,000
Match fund as on 01.04.2019	30,000
Donations for Match fund (received during the year)	55,000
Proceeds from the sale of the match tickets (during the year)	20,000

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Question 21 **(MTP SEP. 24, 15 Marks)**

The Receipts and Payments account of Gold Smith Club prepared on 31st March, 2024 is as follows:

Receipts and Payments Account

Receipts	₹	Amount (₹)	Payments	Amount (₹)
To Balance b/d		9,000	By Expenses (including Payment for sports material 54,000)	1,26,000
To Annual Income from Subscription	91,800		By Loss on Sale of Furniture (Cost price 9,000)	3,600
Add: Outstanding of last year received this year	3,600		By Balance c/d	18,09,000
	95,400			
Less: Prepaid of last year	1,800	93,600		
To Other fees		36,000		
To Donation for Building		18,00,000		
		19,38,600		19,38,600

Additional information:

Gold Smith Club had balances as on 1.4.2023:
Furniture ₹ 36,000; Investment at 5% ₹ 5,40,000;
Sports material ₹ 1,33,200;
Balance as on 31.3.2024: Subscription Receivable ₹ 5,400;
Subscription received in advance ₹ 1,800;
Stock of sports material ₹ 36,000.

Do you agree with above Receipts and Payments account? If not, prepare correct Receipts and Payments account and Income and Expenditure account for the year ended 31st March, 2024 and Balance Sheet on that date.

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Question 22: (I & E, B/S) **[SEP. 24, 10 Marks][RTP-MAY 22]**

From the following receipts and payments account of Pune Club, prepare income and expenditure account for the year ended 31.03.2021 and its balance sheet as on that date:

Receipts	Rs.	Payments	Rs.
Cash in hand	4,000	Salary	2,000
Cash at bank	10,000	Repair expenses	500
Donations	5,000	Purchase of furniture	6,000
Subscriptions	12,000	Misc. expenses	500

Entrance fees	1,000	Purchase of investments	6,000
Interest received from bank	500	Insurance premium	200
Sale of old newspaper	150	Snooker table	8,000
Sale of drama tickets	1,050	Stationary	150
		Drama expenses	500
		Cash in hand (closing)	2,650
		Cash at bank (closing)	7,200
	33,700		**33,700**

The following adjustments are to be made while drawing up the accounts:
1. Subscriptions in arrear for year 2020-21 Rs.900 and subscriptions in advance for 2021-22 Rs.350.
2. Insurance premium outstanding Rs. 40 and Misc. expenses prepaid Rs.90.
3. 50% of donation is to be capitalized.
4. Entrance fees are to be treated as revenue income.
5. 8% interest has accrued on investment for five months.
6. Snooker table costing Rs. 30,000 was purchased on 31st March, 2020 and Rs. 22,000 were paid for it.

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Question: 23 **(RTP. Jan. 25)**

The following is the Receipts and payments account of Masters Club for the year ended on 31st March, 2024

Receipts and payments A/c for the year ended on 31st march 2024

Receipts	Amount (Rs.)	Payments	Amount (Rs.)
To balance b/d	8,450	By Salaries and wages	12,250
To Subscription	23,000	By Supply of refreshment	18,250
To Sale of refreshments	22,000	By Sports equipment	27,500
To Entrance fees	26,000	By Telephone Charges	2,800
To interest on investments @ 7%	4,550	By Electricity charges	15,600
		By Honorarium charges	6,500
		By balance c/d	1,100
	84,000		84,000

Additional information:
1. Following are the assets and liabilities on 31st March, 2023:
   Assets - Sports equipment - Rs. 32,000; Subscription in arrears – Rs. 7,600; furniture – Rs. 12,480
   Liabilities - Outstanding Electricity charges – Rs. 5,400; Subscription in advance – Rs. 6,250.
2. Following are the assets and liabilities on 31st March, 2024 -
   Assets - Sports equipment – Rs. 50,500; Subscription in arrears – Rs. 5,200; furniture – Rs. 11,180.
   Liabilities - Outstanding Electricity charges – Rs. 3,800; Subscription in advance – Rs. 4,850.
3. 50% of the entrance fees to be capitalized.
4. Interest on the investments is being received in full, and the investments have been made on 1.4.2022

You are required to prepare Income and Expenditure account and the Closing balance sheet as of 31st March 2024 in the books of Masters Club.

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Question: 24 **(SM ILL-12)**

From the following Income and Expenditure Account and the Balance Sheet of a club, prepare its Receipts and Payments Account and Subscription Account for the year ended 31st March, 2022:

Income & Expenditure Account for the year 2021-22

	₹		₹
To Upkeep of Ground	10,000	By Subscriptions	17,320
To Printing	1,000	By Sale of Newspapers (Old)	260
To Salaries	11,000	By Lectures	1,500
To Depreciation on Furniture	1,000	By Entrance Fee	1,300
To Rent	600	By Miscellaneous Income	400
		By Deficit	2,820
	23,600		23,600

Balance Sheet as at 31st March, 2022

Liabilities		₹	Assets	₹
Subscription in Advance (2022-23)		100	Furniture	9,000
			Ground and Building	47,000
Prize Fund :			Prize Fund Investment	20,000
Opening Balance	25,000		Cash in Hand	2,300
Add : Interest	1,000		Subscription	700
	26,000			
Less : Prizes	(2,000)	24,000		
General Fund :				
Opening Balance	56,420			
Less : Deficit	(2,820)			
	53,600			
Add : Entrance Fee	1,300	54,900		
		79,000		79,000

The following adjustments have been made in the above accounts:

(1) Upkeep of ground ₹ 600 and Printing ₹ 240 relating to 2020-2021 were paid in 2021-22.
(2) One-half of entrance fee has been capitalised by transfer to General Fund.
(3) Subscription outstanding in 2020-21 was ₹ 800 and for 2021-22 ₹ 700.
(4) Subscription received in advance in 2020-21 was ₹ 200 and in 2021-22 for 2022-23 ₹ 100.

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Question: 25 **[PEQ-SEP.25-8 Marks]**

Following is the Receipts and Payments Account of Smart Club for the year ended on 31st March, 2025:

Receipts and Payments Account for the year ended on
31st March, 2025

Receipts	Amount (₹)	Payments	Amount (₹)
To Balance b/d	2,50,000	By Salaries and Wages	1,65,000
To Subscription	4,20,000	By Office Expenses	35,000
To Donation for Match Fund	55,000	By Telephone Charges	28,000
To Sale of Match tickets	20,000	By Match Expenses	1,10,000
To Entrance Fees	85,000	By Electricity Charges	32,000
		By Sports Equipment	2,50,000
		By	65,000
		By Balance c/d	1,45,000
	8,30,000		8,30,000

Additional Information:

(i) The subscriptions include ₹ 40,000/- received for the year ended on 31st March, 2024. On 31st March, 2025 subscriptions due but not received were ₹ 25,000/-. Advance subscription received for the year ending on 31st March, 2025 but pertaining to year 2025-2026 amounted to ₹35,000/. The subscriptions received in advance for the year ended 31st March, 2024 includes ₹14,000/- pertaining to the year 2024-25.

(ii) Opening Balance of Match Fund on 1st April, 2024 is ₹ 30,000/-.

(iii) Outstanding Salaries and Wages are ₹ 40,000/- for the year ended on 31st March, 2025.

(iv) Depreciate Sports Equipment by 25% for the year ended on 31st March, 2025.

(v) Capitalize 50% of the Entrance Fees.

Prepare Income and Expenditure Account of the Club from the above particulars for the year ended on 31st March, 2025 and Balance Sheet as on that date.

Question: 26 **[PEQ-DEC.23-12 Marks]**

ABC sports club had the following income and expenditure account for the year ended 31st Dec 2022.

Income and Expenditure Account for the year ended 31 December, 2022

Particulars	Amount₹	Particulars	Amount₹
To Salaries	2,35,000	By Subscriptions	2,50,000
To Stationary Expenses	30,000	By Interest	90,000
To Rent and Taxes	5,000	By Donations	40,000
To Insurance	2,000	By Misc. Receipts	3,000
To Office Expenses	8,000		
To Depreciation			
Building	37,500		
Furniture	1,200		
Sports Equipment	1,000		
To Excess of Income over Expenses	63,300		
	3,83,000		3,83,000

Additional information:

	31-12-2021 ₹	31-12-2022 ₹
Govt. Securities	18,00,000	18,00,000
Subscription outstanding	70,000	1,00,000
Subscription received in advance	2,000	6,000
Salaries unpaid	10,000	15,000
Furniture	20,000	19,800
Land and Building	20,00,000	19,62,500
Sports Equipment	35,000	39,000
Stock of stationary	3,000	5,500

Cash in hand and Cash at bank as on 31-12-2021 is ₹ 1,08,000.
You are required to prepare Receipts and Payments Account for the period ending 31.12.2022 and Balance Sheet as on 31.12.2022.

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TOPIC		QR CODE
NPO		
	PART - I	
	PART - II	
	PART - III	
	PART - IV	
	PART - V	

Space for Personal Note:-

NON PROFIT ORGANISATION

① NPO final A/cs consist of a) Receipt and Payment Account (RPA)
b) Income and Expenditure Account (IEA)
c) Balance sheet.

② RPA is cash/Bank A/c combined whose formate is:-

Receipt	Amt	Payment	Amt
op. cash/Bank	✓	All payments (Both Cap and Rev. Pay.)	✓
All Receipts (Both Cap. and Rev. Receipt)	✓	closing cash/Bank	✓

3) IEA is like Pft/Loss A/c of NPO. Its formate is:-

Expenditure	Amt	Income	Amt
All Revenue Exp	✓	All Rev. Income	✓
Excess of Income over Exps trfd. to Cap. Fund (Net Surplus)	✓	Excess of Exps over Income trfd. to CF (Net Deficit)	✓

4) Difference between RPA and IEA:

RPA	IEA
a) Actual amt Received shown	a) Actual Income Earned shown
b) Actual " Paid "	b) " Exps Incurred shown.
c) Both Capital and Rev. Receipt shown	c) only Revenue Income shown
d) Both Capital and Rev. Exps shown	d) only Rev. Exps shown.

5) How to identify whether any payment appearing in RPA is Capital Exps. or Rev. Exps:-

When o/B, Depreciation Rate, c/B of any item given, That item is fixed asset. If purchase of that item is given in RPA, it is capital Exps. Purchase of that item will not be shown in IEA. Equipment, Library books, Sports equipment are example.

All other item appearing in payment side are Rev. Exps.

Another Method to Decide if any Exps is Rev. Exps is: If Prepaid o/std given: it is Rev. Exp/ If Stock o/s c/s given it is Rev. Exp/ If Amt Due to Creditor for any item given, it is Rev. Exps.

6) How to Prepare IEA When RPA Given in Q :-

(A) RPA Receipt side : Divide in 3 Parts

- Opening cash/ Bank Bal. → Don't show in ~~RPA~~ IEA
- Capital Receipt → Like
  - Sale of Asset
  - Donation for Special purpose
  - Entrance fee Treated as capital Receipt
  → Don't show in IEA
- Revenue Receipt → Like
  - Subscription
  - Interest on Invest.
  - Entrance fee Treated as Rev. Receipt
  - Donation for General purpose
  - other unidentified Receipt
  → show in IEA

(B) RPA Payment side : Divide in 3 Parts

- Closing cash/Bank Bal. → Not in IEA
- Capital Nature Payment
  - Purchase of Equipment
  - " " Sports Equipment
  - " " Library books etc
  → Don't show in IEA
- Revenue Nature Payment
  - Medicine Payment
  - salary
  - Sundry Exp
  - Honorarium to Doctor etc
  - Rent/Electricity
  - Magazine/Newspr.
  - Office Exps.
  - Telephone Charges
  - Travelling Exps.
  - Groundman fee
  - Fair Exps.
  - Printing/Stats.
  - Repair/Maintt.
  - Insurance etc
  → show in IEA

7) Subscription : Income for NPO. Annual fee Paid by Member to club.

Subscription to be shown in IEA :-

Subscription Received (As per RPA)	✓
(+) Closing outstanding/Due/Arrear/Receivable	✓
(-) opening Accrued " " "	(✓)
(+) opening subscription in Advance	✓
(-) Closing " "	(✓)
Subs. in IEA	✓

8) Any other Income :- Same Rule as above for subscription

IEA ⇒ Recd. + closing o/s - opening o/s + op. Adv - Cl. Adv.

9) Intt on Investment/Income on security : (Hidden Adjustment)

Intt Earned shall be computed :-

opening investment x Rate of Intt/100	✓
(+) Purchase of Invest. in C.Y. (RPA payment side में Reflect होगा) x Rate/100 x No. of month* / 12	✓
* From Date of Purch. to end of FY	
Total Earned to be shown in IEA	✓
(-) Intt Received (RPA Receipt side)	✓
closing outstd Intt Income	✓

10) Entrance fee :- one time payment made by member to club.

There are Three possibilities about Entrance fees :-

- If Q silent → Treat it as Capital Receipt → Don't show in IEA → Add to Capital fund
- If Q Require it to treat as Revenue Receipt → Show in IEA Income
- If Q ask a part to be treated as Capital Receipt and a part Rev. Receipt → Ex: 25% Entrance fee to be capitalized
  - Add 25% to Capital Fund
  - Credit 75% in IEA

11) Donation :- NPO Receives Donation. There are two possibilities about Donation :-

Show in IEA

When Donation for meeting Revenue Exps of NPO, They are shown in IEA

- Donation for Medical Camp
- Donation for Polio Eradication
- Grant for medical camp

Show in Liability

When Donation for special purpose Like Match fund Donation, or Donation for "forthcoming" Tournament.

12) Revenue Expenses Like salary etc:

⇒ When Prepaid, outstd not Given: show in IEA same amt as RPA

⇒ When Prepaid, outstd given, Then:

Payment as per RPA ✓
+ closing outstd ✓
- opening outstd ✓
+ opening Prepaid ✓
- closing Prepaid ✓
Exps to be shown in IEA ✓.

13) Hidden opening outstd :-

Secy Honorarium paid for Last year given in current year RPA indicate that it was outstd Last year. show This in opening Bls but Not in C.Y. IEA.

The amt by wic C.Y. Secy Honorarium increased is also given. Show This increased amt in CY IEA and Cl. Bls.

14) Payment, stock, Amt Due Given: When Payment for any item is given in RPA [Like Payment for Medicine Purchase, Payment for Printing & Stn.], and opening stock / closing stock and Amt Due to creditor for that item is also given, Then in IEA A/c, "Consumption" of that item is shown. This is computed as follows:-

Payment for that item (As per RPA)	✓
(+) Closing Amt Due for That item	✓
(−) opening " " "	✓
Purchase of That item	✓
(+) opening ~~creditors~~ stock	✓
(−) closing stock	✓
That item consumed	✓

If opening stock and closing stock not given but Payment, op. Amt Due and Cl. Amt Due given, Then calculate upto purchase as above and assuming o/s c/s NIL, Purchase will be consumed. Show Purchase itself in IEA.

15) Computation of Depreciation :- (When Dep. Rate Not given)
Sometimes NPO makes valuation of FA at end of each year. We will be given opening and closing values of Building, Equipment, Library books etc. We may also be given Purchase of the asset in RPA Payment side. We may be given sale of Asset also but cost of Asset sold may not be given. If above information is available, Depreciation will be computed as follows:-

opening value	✓
(+) Purchase	✓
(−) Sale	✓
(−) Closing value	✓
Depreciation	✓

If Purchase/sale not given, Difference between O/B and C/B itself is Depreciation.

16) Computation of Depreciation When Depr. Rate Given:

Depreciation when Depr. Rate given will be computed on opening balance and current year purchase of FA. For confirming whether any FA is purchased in C.Y., Look at Payment side of RPA. If Payment for any Fixed asset given, it is Purchase of That asset.

Depreciation = Rate x [Op. Bal. (+) Purchase]

If Purchase not given, Then:

Depreciation = Rate x Op. Bal.

If any Fixed Asset is sold in current year and cost of That asset sold given, Then Depreciation will be:

Depreciation = Rate x [op. Balance (-) cost of Asset sold].

In such case, we will also calculate Profit/Loss on sale of such asset which will be:

Sale value of The Asset (RPA Receipt side)	✓
(-) cost of That asset sold	(✓)
Pft/Loss to be shown in IEA	✓

17) Special Event: When any item both Receipt as well as Payment is given in RPA, Then in IEA we show Net Amt ie Receipt (-) Payment of That item. If Receipt > Payment, show Net Amt in Income side. If Payment > Receipt, show Net Amt in Expense side.

Example: a) Charity show collection and charity show Exps.
b) cost of Tea and collection from Tea
c) cost of fair and " " fair.

18) Hidden opening Investment: When Intt on investment received and Rate of Intt given but NO New Purchase of investment appear in RPA, we calculate Amt of opening investment by foll. formula:-

$$\text{opening investment} = \frac{\text{Amt of Intt}}{\text{Rate of Intt}} \times 100$$

Show This in opening as well as closing Bls.

SINGLE ENTRY SYSTEM

☞ **Basic Rule of Passing JE**

Asset	If Asset created / Increases	: Debit that Asset
	If Asset Decreases	: Credit that Asset
Liability	If Liability created / Increased	: Credit that Liability
	If Liability decreases	: Debit that Liability
Expenses	If Expenses incur	: Debit that Expenses
	If Expenses incurred previously decreases [like Bad debt recovered, purchase return]	: Credit that expenses

Income	If Income earned	: Credit that Income
	If Income earned Previously decreases	: Debit that Income

☞ **Journal Entry Relating to Purchase and Sale:-**

(1)	Cash Purchase	Purchase - Dr. To Cash	
(2)	Credit Purchase	Purchase - Dr. To Creditor	
(3)	Cash Paid to Creditor	Creditor Dr. To Cash	
(4)	Paid to creditor by cheque	Creditor Dr. To Bank	
(5)	Purchase Return	Creditor Dr. To Purchase return	
(6)	Discount Received from creditor	Creditor Dr. To Discount Received	
(7)	Bills Accepted [It means bills payable Accepted]	Creditor Dr. To Bill payable	
(8)	Bills met on maturity [It means bills payable paid on maturity]	Bill payable Dr. To Bank	
(9)	Cash sale	Cash Dr. To Sales	
(10)	Credit Sales	Debtor Dr. To sales	
(11)	Cash collected from debtor	Cash Dr. To Debtor	
(12)	Cheque Collected from Debtor	Bank Dr. To Debtor	
(13)	Cheque collected from debtor dishonored	Debtor Dr. To Bank	
(14)	Sales Return	Sales Return Dr. To Debtor	
(15)	Discount Allowed To Debtor /Customer	Discount Allowed Dr. To Debtor	
(16)	Bad debt	Bad debt Dr. To Debtor	

(17)	Provision for Doubtful debt (PFDD)	Profit and loss A/c To PFDD	Dr.
(18)	Bad debt Recovered (BDR)	Cash To BDR	Dr.
(19)	Bill Receivable Drawn or Bills Drawn	B/R To Debtor	Dr.
(20)	B/R Matured	Cash To B/R	Dr.
(21)	B/R Endorsed	Creditor To B/R	Dr.
(22)	B/R Discounted	Bank Discount To B/R	Dr. Dr.
(23)	B/R Dishonoured	Debtor To B/R	Dr.
(24)	Endorsed B/R Dishonoured	Debtor To Creditor	Dr.
(25)	Discounted B/R Dishonoured	Debtor To Bank	Dr.
(26)	Endorsed B/R Matured	No Entry	
(27)	Discounted B/R Matured	No Entry	

Asset A/c	O/B Debit side
	C/B Credit sides
Liability A/c	O/B Credit sides
	C/B Debit side

Pro forma of Debtor A/c

Particular	Amt.	Particular	Amt.
To Opening balance To Credit sales To Bank [Cheque Returned] To B/R [B/R Dishonoured] To Bank [Discounted B/R Dishonoured] To Creditor [Endorsed B/R Dishonoured]		By Sale return By Cash [Cash Collected from Debtor] By Bank [Cheque Collected from Debtor] By Discount Allowed By Bad debt By B/R [Bill Drawn] By Closing Balance	

Notes:- bad debt recovered, provision for D/ful Debt, B/R Endorsed, B/R Discounted, Endorsed B/R Mature, Discounted B/R matured don't affect debtor A/c and hence don't appear in debtor A/c.

Proforma of Creditor A/c

Particular	Amt.	Particular	Amt.
To Cash [Cash Paid to Creditor] To Bank [Cheque given to Creditor] To Discount Received To Bill Payable [Bill Accepted] To Purchase Return To Bill Receivable [B/R Endorsed] To Closing balance		By O/B By Credit purchase By Debtor [Endorsed B/R Dishonoured]	

Proforma of Bill Receivable A/c

Particular	Amt.	Particular	Amt.
To Opening balance To Debtor [Bill Drawn]		By Cash [B/R Matured] By Creditor [B/R Endorsed By Bank [B/R Discounted] By Discount [Discount on B/R] By Debtor [B/R Dishonoured] By C/Balance	

Proforma of Bill payable A/c

Particular	Amt.	Particular	Amt.
To Cash [Bill Met on maturity] To C/Balance		By O/Bal. By Creditor [bill Accepted]	

ACCOUNTS FROM INCOMPLETE RECORDS

Question 1: **[SM Ill. 1]**

Raju does not maintain proper records of his business. However, he provides the following information:

	₹
Opening capital	10,000
Closing capital	12,500
Drawings during the year	3,000
Capital added during the year	3,750

You are required to calculate the profit or loss for the year.

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Question 2: **[SM Ill. 2]**

Rakesh started his business on 1st of April 2021. He invested a capital of Rs. 1,00,000. On 31st March 2022, he has the following information available as per the Single-entry system maintained by him.

	₹
Cash balance (counted)	3,200
Inventory (physically verified)	34,800
Receivable from Ajay against credit sales	31,000
Machine	85,000
Payable to Vinod towards credit purchase	12,000
Loan taken from Bank	10,000
Drawings made during the year	24,000

You are required to calculate the profit or loss earned by Rakesh for the year ended 31st March 2022.

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Question 3: **[PEQ – JAN. 25, 5 Marks] [SM Ill. 3]**

Assets and Liabilities of Mr. X as on 31-03-2021 and 31-03-2022 are as follows:

	31-03-2021	31-03-2022
	₹	₹
Assets		
Building	1,00,000	?
Furniture	50,000	?
Inventory	1,20,000	2,70,000
Sundry debtors	40,000	90,000
Cash at bank	70,000	85,000
Cash in hand	1,200	3,200
Liabilities		
Loans	1,00,000	80,000
Sundry creditors	40,000	70,000

Decided to depreciate building by 2.5% p.a. and furniture by 10% p.a. One Life Insurance Policy of the Proprietor was matured during the period and the amount ₹ 40,000 is retained in the business. Proprietor took @ ₹ 2,000 p.m. for meeting family expenses.

Prepare Statement of Affairs as on 31-03-2021 and 31-03-2022 and calculate Profit & Loss for the year ended 31/3/2022.

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Question 4: **[MTP SEP. 24, 5 Marks][SM Ill. 5]**

The Income Tax Officer, on assessing the income of Shri Moti for the financial years 2020- 2021 and 2021-2022 feels that Shri Moti has not disclosed the full income. He gives you the following particulars of assets and liabilities of Shri Moti as on 1st April, 2020 and 1st April, 2022.

				₹
1-4-2020	Assets	:	Cash in hand	25,500
			Inventory	56,000
			Sundry debtors	41,500
			Land and Building	1,90,000
			Wife's Jewellery	75,000
	Liabilities	:	Owing to Moti's Brother	40,000

			Sundry creditors	35,000
1-4-2022	Assets	:	Cash in hand	16,000
			Inventory	91,500
			Sundry debtors	52,500
			Land and Building	1,90,000
			Motor Car	1,25,000
			Wife's Jewellery	1,25,000
			Loan to Moti's Brother	20,000
	Liabilities	:	Sundry creditors	55,000

During the two years the domestic expenditure was ₹ 4,000 p.m. The declared incomes of the financial years were ₹ 1,05,000 for 2020-2021 and ₹ 1,23,000 for 2021-2022 respectively.
State whether the Income-tax Officer's contention is correct. Explain by giving your workings.

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Question 5: **[PEQ-JAN.26-5M] [SEP. 24, 5 Marks][SM Ill. 6]**

Calculate the bad debts from the below information:

Opening balance of Debtors	₹ 5,00,000
Closing balance of Debtors	₹ 7,00,000
Amount received in Cash	₹ 6,00,000
Discount allowed	₹ 10,000
Credit Sales	₹ 11,40,000
Bills Receivable	₹ 3,00,000
Bad Debts	???

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Question 6: **[SM Ill. 7]**

Calculate the credit purchases from the below information:

Opening balance of creditors	₹ 4,00,000
Closing balance of creditors	₹ 5,00,000
Payments made in Cash	₹ 8,50,000
Discount received	₹ 20,000

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Question 7: **[SM Ill. 8]**

A. Adamjee keeps his books on single entry basis. The analysis of the cash book for the year ended on 31st March, 2022 is given below:

Receipts	**₹**	**Payments**	**₹**
Bank Balance as on 1st April, 2021	2,800	Payments to Sundry creditors	35,000
Received from Sundry Debtors	48,000	Salaries	6,500
Cash Sales	11,000	General expenses	2,500
Capital brought during the year	6,000	Rent and Taxes	1,500
Interest on Investments	200	Drawings	3,600
		Cash purchases	12,000
		Balance at Bank on 31st March,	
		2022	6,400
		Cash in hand on 31st March, 2022	500
	68,000		68,000

Particulars of other assets and liabilities are as follows:

	1st April, 2021	**31st March, 2022**
Sundry debtors	14,500	17,600
Sundry creditors	5,800	7,900
Machinery	7,500	7,500
Furniture	1,200	1,200
Inventory	3,900	5,700
Investments	5,000	5,000

Prepare final accounts for the year ending 31st March, 2022 after providing depreciation at 10 per cent on machinery and furniture and ₹ 800 against doubtful debts.

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Question 8:

Mr. Prakash furnishes following information for his readymade garments business:

(i) Receipts and Payments during 2019-20:

Receipts	**Amount (₹)**	**Payments**	**Amount (₹)**
Bank Balance as on		Payment to Sundry	
1-4-2019	16,250	Creditors	3,43,000
Received from Sundry		Salaries	75,000
Debtors	4,81,000		
		General Expenses	22,500
Cash sales	1,70,800	Rent and Taxes	11,800
Capital brought in the		Drawings	96,000
Business during the year	50,000		
		Cash Purchases	1,22,750

Interest on Investment		Balance at Bank on	
Received	9,750	31-03-2020	36,600
		Cash in hand on	
		31-03-2020	20,150
	7,27,800		7,27,800

(ii) Particulars of other Assets and Liabilities are as follows:

	1st April, 2019	**31st March, 2020**
	(₹)	(₹)
Machinery	85,000	85,000
Furniture	24,500	24,500
Trade Debtors	1,55,000	?
Trade Creditors	60,200	?
Stock	38,600	55,700
12% Investment	85,000	85,000
Outstanding Salaries	12,000	14,000

(iii) Additional information:

(1) 20% of Total sales and 20% of total purchases are in cash.

(2) Of the Debtors, a sum of ₹ 7,200 should be written off as Bad debt and further a provision for doubtful debts is to be provided @ 2%.

(3) Provide depreciation @10% p.a. on Machinery and Furniture.

You are required to prepare Trading and Profit & Loss account for the year ended 31st March, 2020, and Balance Sheet as on that date.

[MTP JAN. 25, 10 Marks][RTP JAN. 25][MTP SEP 24 – 10 Marks][CA. Inter Jan. 2021]

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Question 9: **[SM Ill. 9]**

From the following data furnished by Mr. Manoj, you are required to prepare a Trading and Profit and Loss Account for the year ended 31st March, 2022 and Balance Sheet as at that date. All workings should form part of your answer.

Assets and Liabilities	**As on 1st April 2021**	**As on 31st March 2022**
	₹	₹
Creditors	15,770	12,400
Sundry expenses outstanding	600	330
Sundry Assets	11,610	12,040
Inventory in trade	8,040	11,120
Cash in hand and at bank	6,960	8,080
Trade debtors	?	17,870
Details relating to transactions in the year:		
Cash and discount credited to debtors		64,000
Sales return		1,450

Bad debts		420
Sales (cash and credit)		71,810
Discount allowed by trade creditors		700
Purchase returns		400
Additional capital-paid into Bank		8,500
Realisations from debtors-paid into Bank		62,500
Cash purchases		1,030
Cash expenses		9,570
Paid by cheque for machinery purchased		430
Household expenses drawn from Bank		3,180
Cash paid into Bank		5,000
Cash drawn from Bank		9,240
Cash in hand on 31-3-2022		1,200
Cheques issued to trade creditors		60,270

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Question 10: **[IPCC Nov' 18]**

From the following information, prepare Trading and Profit & Loss Account for the year ended 31.03.2022 and the Balance Sheet as at 31.03.2022 of M/s Prasad & Co.,a proprietorship firm.

Assets & Liabilities	As on 01.04.2021	As on 31.03.2022
Creditors	20,000	15,000
Outstanding Expenses	600	800
Fixed Assets	12,000	13,000
Stock	10,000	12,000
Cash in hand & at bank	10,000	12,000
Debtors	?	18,000

Details of the year's transactions are as follows:

(1)	Discounts allowed to Debtor	4,000
(2)	Returns from debtors	1,450
(3)	Bad debts	500
(4)	Total sales (Cash and Credit)	72,000
(5)	Discount allowed by creditors	700
(6)	Returns to creditors	400
(7)	Receipts from debtors paid into Bank	76,000
(8)	Cash purchases	1,000
(9)	Expenses paid by cash	9,000
(10)	Drawings by cheque	500
(11)	Purchase of Fixed Assets by cheque	4,000
(12)	Cash deposited into bank	5,000
(13)	Cash withdrawn from bank	9,000
(14)	Cash in hand at 31.03.2022	2,000
(15)	Payments to creditors by cheque	60,000

No assets were sold during the year.

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Question 11: **[SM Ill. 10]**

Mr. Anup runs a wholesale business where in all purchases and sales are made on credit. He furnishes the following closing balances:

	31st March 2021	31st March 2022
Sundry debtors	70,000	92,000
Bills receivable	15,000	6,000
Bills payable	12,000	14,000
Sundry creditors	40,000	56,000
Inventory	1,10,000	1,90,000
Bank	90,000	87,000
Cash	5,200	5,300

Summary of cash transactions during the year 2021- 2022:

(i) Deposited to bank after payment of shop expenses @ ₹ 600 p.m., salary @ ₹ 9,200 p.m. and personal expenses @ ₹ 1,400 p.m. ₹ 7,62,750.
(ii) Cash Withdrawn from bank ₹ 1,21,000.
(iii) Cash payment to suppliers ₹ 77,200 for supplies and ₹ 25,000 for furniture.
(iv) Cheques collected from customers but dishonoured ₹ 5,700.
(v) Bills accepted by customers ₹ 40,000.
(vi) Bills endorsed ₹ 10,000.
(vii) Bills discounted ₹ 20,000, discount ₹ 750.
(viii) Bills matured and duly collected ₹ 16,000.
(ix) Bills accepted ₹ 24,000.
(x) Paid suppliers by cheque ₹ 3,20,000.
(xi) Received ₹ 20,000 on maturity of one LIC policy of the proprietor by cheque.
(xii) Rent received ₹ 14,000 by cheque for the premises owned by proprietor.
(xiii) A building was purchased on 30-11-2021 for opening a branch for ₹ 3,50,000 and some expenses were incurred on this building, details of which are not maintained.
(xiv) Electricity and telephone bills paid by cash ₹ 18,700, due ₹ 2,200.

Other transactions:

(i) Claim against the firm for damage ₹ 1,55,000 is under legal dispute. Legal expenses ₹ 17,000. The firm anticipates defeat in the suit.
(ii) Goods returned to suppliers ₹ 4,200.
(iii) Goods returned by customers ₹ 1,200.
(iv) Discount offered by suppliers ₹ 2,700.
(v) Discount offered to the customers ₹ 2,400.
(vi) The business is carried on at the rented premises for an annual rent of ₹ 20,000 which is outstanding at the year end.

Prepare Trading and Profit & Loss Account of Mr. Anup for the year ended 31st March 2022 and Balance Sheet as on that date.

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Question 12: **[SM PQ. 1]**

A Firm sold 20% of the goods on cash basis and the balance on credit basis. Debtors are allowed 1½ month's credit and their balance as on 31.03.2021 is ₹ 1,25,000. Assume that the sale is uniform throughout the year. Calculate the credit sales and total sales of the company for the year ended 31.03.2022.

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Question 13: **[CA. Inter Dec' 21]**

A company sold 20% of the Goods on Cash Basis and the balance on Credit basis. Debtors are allowed 1.5 month's credit and their balance as on 31st March, 2021 is ₹ 1,50,000. Assume that sale is evenly spread throughout the year. Purchases during the year ₹ 9,50,000.

Closing stock is ₹ 10,000 less than the Opening Stock. Average stock maintained during the year ₹ 60,000.

Direct Expenses amounted to ₹ 35,000.

Calculate Credit sales, Total sales and Gross profit for the year ended 31st March, 2021.

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Question 14: **[SM PQ. 2]**

Mr. A runs a business of readymade garments. He closes the books of accounts on 31st March. The Balance Sheet as on 31st March, 2021 was as follows:

Liabilities	₹	**Assets**	₹
A's capital a/c	4,04,000	Furniture	40,000
Creditors	82,000	Stock	2,80,000
		Debtors	1,00,000
		Cash in hand	28,000
		Cash at bank	38,000
	4,86,000		4,86,000

You are furnished with the following information:

(1) His sales, for the year ended 31st March, 2022 were 20% higher than the sales of previous year, out of which 20% sales was cash sales.
Total sales during the year 2020-21 were ₹ 5,00,000.
(2) Payments for all the purchases were made by cheques only.
(3) Goods were sold for cash and credit both. Credit customers pay be cheques only.
(4) Deprecation on furniture is to be charged 10% p.a.
(5) Mr. A sent to the bank the collection of the month at the last date of the each month after paying salary of ₹ 2,000 to the clerk, office expenses ₹ 1,200 and personal expenses ₹ 500.

Analysis of bank pass book for the year ending 31st March 2022 disclosed the following:

	₹
Payment to creditors	3,00,000
Payment of rent up to 31st March, 2022	16,000
Cash deposited into the bank during the year	80,000

The following are the balances on 31st March, 2022:

	₹
Stock	1,60,000
Debtors	1,20,000
Creditors for goods	1,46,000

On the evening of 31st March 2022, the cashier absconded with the available cash in the cash book.
You are required to prepare Trading and Profit and Loss A/c for the year ended 31st March, 2022 and Balance Sheet as on that date. All the workings should form partof the answer.

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Question 15: **[CA. Inter July' 2021]**

Mr. Arun runs a business of readymade garments. He closes the books of accounts on 31st March. The Balance Sheet as on 31st March, 2020 was as follows:

Liabilities	₹	Assets	₹
Capital A/c	5,05,000	Furniture	50,000
Creditors	1,02,500	Closing Stock	3,50,000
		Debtors	1,25,000
		Cash in Hand	35,000
		Cash at Bank	47,500
	6,07,500		6,07,500

You are furnished with following information:

(1) His sales, for the year ended 31st March, 2021 were 20% higher than the sales of previous year, out of which 20% sales was cash sales.
Total Sales during the year 2019-20 were ₹ 6,25,000
(2) Payments for all the purchases were made by cheques only.
(3) Goods were sold for cash and credit both. Credit customers pay by cheques only.

(4) Deprecation on furniture is to be charged 10% p.a.

Mr. Arun sent to the bank the collection of the month at the last date of each month after paying salary of ₹ 2,500 to the clerk, office expenses ₹ 1,500 and personal expenses ₹ 625.
Analysis of bank pass book for the year ending 31st March, 2021 disclosed the following:

	₹
Payment to creditors	3,75,000
Payment to rent up to 31st March, 2021	20,000
Cash deposited into bank during the year	1,00,000

The following are the balances on 31st March, 2021:

	₹
Stock	2,00,000
Debtors	1,50,000
Creditors for goods	1,82,500

On the evening of 31st March, 2021, the cashier absconded with the available cash in the cash book.
You are required to prepare Trading and Profit and Loss A/c for the year ended 31st March, 2021 and Balance Sheet as on that date. All the working should form part of the answer.

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Question 16: **[SM PQ. 3]**

Ram carried on business as retail merchant. He has not maintained regular account books. However, he always maintained ₹ 10,000 in cash and deposited the balance into the bank account. He informs you that he has sold goods at profit of 25% on sales.

Following information is given to you:

Assets and Liabilities	**As on 1.4.2021**	**As on 31.3.2022**
Cash in Hand	10,000	10,000
Sundry Creditors	40,000	90,000
Cash at Bank	50,000 (Cr.)	80,000 (Dr.)
Sundry Debtors	1,00,000	3,50,000
Stock in Trade	2,80,000	?
Ram's capital	3,00,000	?

Analysis of his bank pass book reveals the following information:

(a) Payment to creditors ₹ 7,00,000
(b) Payment for business expenses ₹ 1,20,000
(c) Receipts from debtors ₹ 7,50,000
(d) Loan ₹ 1,00,000 taken on 1.10.2021 at 10% per annum
(e) Cash deposited in the bank ₹ 1,00,000

He informs you that he paid creditors for goods ₹ 20,000 in cash and salaries ₹ 40,000 in cash. He has drawn ₹ 80,000 in cash for personal expenses. During the year Ram had not introduced any additional capital. Surplus cash if any, to be taken as cash sales. All purchases are on credit basis.

You are required to prepare Trading and Profit and Loss Account for the year ended 31.3.2022 and Balance Sheet as at 31st March, 2022.

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Question 17: **(PEQ-JUNE.24) (RTP SEP. 24)**

Shivam Enterprises maintain their books of accounts under single entry system. The Balance-Sheet as on 31st March, 2023 was as follows:

Liabilities	Amount (Rs.)	Assets	Amount (Rs.)
Capital A/c	6,75,000	Furniture & fixtures	1,50,000
Trade creditors	7,57,500	Stock	9,15,000
Outstanding expenses	67,500	Trade debtors	3,12,000
		Prepaid insurance	3,000
		Cash in hand & at bank	1,20,000
	15,00,000		15,00,000

The following was the summary of cash and bank book for the year ended 31st March, 2024:

Receipts	Amount (₹)	Payments	Amount (₹)
Cash in hand & at Bank on 1st April, 2023	1,20,000	Payment to trade creditors	1,24,83,000
Cash sales	1,10,70,000	Sundry expenses paid	9,31,050
Receipts from trade debtors	27,75,000	Drawings	3,60,000
		Cash in hand & at Bank on 31st March, 2024	1,90,950
	1,39,65,000		1,39,65,000

Additional Information:

(i) Discount allowed to trade debtors and received from trade creditors amounted to ₹ 54,000 and ₹ 42,500 respectively (for the year ended 31st March, 2024).

(ii) Annual fire insurance premium of ₹ 9,000 was paid every year on 1st August for the renewal of the policy.

(iii) Furniture & fixtures were subject to depreciation @ 15% p.a. on diminishing balance method.

(iv) The following are the balances as on 31st March, 2024:

Stock	₹ 9,75,000
Trade debtors	₹ 3,43,000
Outstanding expenses	₹ 55,200

(v) Gross profit is to be maintained at 10% on total sales.

You are required to prepare Trading and Profit & Loss account for the year ended 31st March, 2024, and Balance Sheet as on that date.

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Question 18: **(MTP JAN. 25. 5 Marks)**

Varun does not maintain proper books of accounts. However, he maintains a record of his bank transactions and also is able to give the following information from which you are requested to prepare trading and profit and loss account for the year 2024:

	1.1.2024	31.12.2024
	Rs.	Rs.
Stock	50,000	62,500
Fixed Assets	7,500	9,000

Details of his bank transactions were as follows:

	Rs.
Sale of fixed assets (book value Rs. 2,500)	1,750
Expenses paid	49,250
Purchase of fixed assets	5,000

No cash transactions took place during the year. Goods are sold at cost plus 25%. Cost of goods sold was Rs. 2,60,000.

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Space for Personal Note:-

Accounts from Incomplete Record

Q N ① ② ③ ④ In these 4 Q, Profit will be derived by Capital Comparsion method (CCM). Following formula of Closing Cap:

OC + Profit + Addl. Cap − Drawing = Closing Capital

Redraft above Equation for Pft:-

Profit = CC + Drawing − OC − AC

Statement of Pft by CCM

Closing Capital	(CC)	✓
+ Drawing	(D)	✓
(−) opening Capital	(OC)	(✓)
(−) Addl. Capital	(AC)	(✓)
Profit	(P)	✓

⇒ When opening capital Not given, Prepare opening Bls and find B.F. as O.C.

⇒ When closing capital not given, Prepare closing Bls and find BF as C.C. Don't show OC, D, AC in closing Bls.

⇒ In Q N ④ OC on 1/4/20 and CC on 1/4/22 is taken. Hence 2 year Pft to be computed. Take Drawing for 2 year.

⇒ In Q N ④ Prepare following stat. to find undisclosed Income:-

C.C.	✓
+ Drawing for 2 yr	✓
− OC	✓
Pft for 2 yr (Actual)	✓
− Profit Declared in Income Tax	(✓)
undisclosed Income	✓

(Q N5) Detail OF Debtor O/B, C/B Given and other transaction Like Cash Recd. from Drs, Credit Sale etc Given. We need to Derive Bad debt.

Prepare Debtor a/c and its BF will be Bad debt.

Debtor a/c

जो जो लेना है वो Debit ↓		जो मिल गया + नहीं मिलेगा वो Credit	
TO O/B [लेना है]	✓	By Cash (मिला)	✓
TO Credit Sale (लेना है)	✓	By Bank (मिला)	✓
		By B/R [मिला]	✓
		By Bad debt (नहीं मिलेगा)	✓
		By Disc. Allowed (नहीं मिलेगा)	✓
		By Sale Return (नहीं मिलेगा)	✓
		By C/B	✓

BF of Above a/c will be Bad debt in Q N(3).

(Q N6) Detail of Creditor Given. Credit Purch. to be Derived.

Creditor a/c

(जो दे दिया (+) नहीं देना पड़ेगा)		जो जो देना है ↓	
		By O/B (देना है)	✓
TO Cash (दे दिया)	✓	By Credit Pur (देना है)	✓
To Bank (दे दिया)	✓		
To Bill Payable (दे दिया)	✓		
To Discount Recd. (नहीं देना पड़ेगा)	✓		
To Purch. Return (नहीं देना पड़ेगा)	✓		
To C/Bal.			

(A7) Analysis of Cash Book given in Q

To O/B ✓	By Paid Crs. ✓
To Recd. from Drs ✓	By Salary ✓
To Cash Sale ✓	By G Exp ✓
To Capital introd. ✓	By Rent ✓
To Gn ft on Inv. ✓	By Drawing ✓
	By Cash Pur ✓
	By C/B: Cash ✓
	Bank ✓

Opening and C/B of certain Asset/Liab given:

	O/B	C/B
Debtor	✓	✓
Creditor	✓	✓
Machine	✓	✓ [Same Amt given]
Furniture	✓	✓ " "
Stock	✓	✓
Invest.	✓	✓ (same Amt)

Dep @ 10% on Mach/Furn. PFDD 800/-.

Final a/c to be Prepared?

How to solve?

1) Prepare Trading a/c and P/L A/c. Show O/s and C/s. Don't show Cash sale, credit sale, cash Pur, credit Pur at This stage. Show Them while taking Double effect. C/F GP (without amt) to P/L. Open P/L so that Income/Exp can be accomodated.
2) Prepare closing B/s.
3) In WN, open Debtor and Creditor a/c.
4) BF of Debtor and Creditor a/c will be Credit sale and Credit Pur. as it is Not given in Q.
5) Prepare opening B/s in WN to find opening Cap. as BF. Put This OC in Closing B/s inner Column.
6) Show Double effect of item appearing in Cash a/c Receipt side as follows:-

Received from Drs → show in Cr side of Drs a/c
Cash sale → " " Trading a/c Cr side
Capital Introduced → Add to OC to find CC
Gain on Inv. → P/L Cr side

7) Show Double Effect of item appearing in Cash A/c Payment side as follows:-
Paid Crs → Debit side of Crs
Salary, G·Exp, Rent → Debit of P/L
Drawing → Deduct from capital in closing Bls
Cash Pur → Trading a/c

8) Show Depr. in P/L and Deduct from Machine/furn. in closing Bls.

9) PFDD 800 : Show in P/L Debit and Deduct from Drs in closing Bls. Don't show in Debtor a/c.

Trading & P/L

To OIs	✓	By sale	
To Pur		Cash	✓
Cash	✓	Credit	✓
Credit	✓	By Cl stock	✓
To G/P C/o	✓		
To Salary/GExp/Rent	✓	By G/P B/F	✓
To Depr.	✓	By Intton Inv.	✓
To PFDD	✓		
To N/P trf to Cap.	✓		

Debtor a/c

To O/B	✓	By Cash	✓
To Credit Sale (BF)	✓	By C/B	✓

Creditor a/c

To Cash	✓	By O/B	✓
To C/B	✓	By Pur (credit) (BA)	✓

OP B/s

Creditor		OP. Cash	
Capital B/F		Drs.	
		Machine	
		furn.	
		Inv.	
		Stock	

Cl. B/s

Capital		Cl. Cash/Bank	
OC	✓	Debtor	✓
+ Addl.	✓	(-) PFDD	✓ ✓
+ N/P	✓	Machine	✓
(-) Draw. (✓)	✓	(-) Dep (✓)	✓
Creditor	✓	Furn.	✓
		(-) Dep (✓)	✓
		Invest.	✓
		Stock	✓

(A8) The question is similar to Q N (7) but following 4 Points are Newly inserted :-

(a) Salary outstd O/B, C/B Given. In cash a/c : Salary paid Given.

In P/L

To Salary
Paid ✓
+ closing o/s ✓
(-) opening o/s (✓) ✓

(b) Intt Recd. on investment Given in cash a/c : 9750
12% Invest Given 85000.
Calculate Intt Earned ie 85000 X 12% = 10200. Show Earned in Profit/Loss credit side. Don't show Recd. 9750 in Cr-side.
Calculate Earned but Not Recd. or closing Receivable as Earned - Received = 10200 - 9750 = 450. Show in closing B/S Asset side.

(c) Cash sale and Cash Pur amt Given in Cash a/c.
Given that 20% of Total sale is Cash sale.
20% " " Pur " Cash Purch.

Calculate Cr. Sale = $\frac{\text{Cash sale Amt}}{\text{\% of Cash sale}} \times (100 - \text{\% of Cash sale})$

Cr. Pur = $\frac{\text{Cash Pur Amt}}{\text{\% of Cash Pur}} \times (100 - \text{\% of Cash Pur})$

Closing Debtor, closing Creditor not Given. They will be BF of Debtor and Creditor a/c.

(d) Bad debt to be w/off 7200 and PFDD 2%. (Given)
⇒ Bad debt को P/L में Dr करो, Debtor a/c में Cr. करो।
⇒ Debtor का C/B निकालो X 2% = PFDD.
⇒ PFDD को P/L में Dr करो, B/S में Debtor के C/B में से (-) करो।

Q No 10

Given in Q.

	OP	CL.
Crs	✓	✓
O/S Exp	✓	✓
S. Asset	✓	✓
Stock	✓	✓
Cash/Bank	✓	✓
Debtor	?	✓

CY 16 Transaction given

1) Cash and Disc. credited to Debtor
2) Sales Return
3) Bad debt
4) Sale (Cash + credit)
5) Discount Allowed by creditor
6) Purch. Return
7) Addl-Cap: Paid into Bank
8) Realisation from Drs: Paid into Bank
9) Cash Purch
10) Cash Exps.
11) Paid by cheque for Machine Purch
12) Cash paid into Bank
13) Household Exp Drawn from Bank
14) Cash closing Bal.
15) Cheque issued to Crs.
16) Cash withdrawn from Bank.

How to Proceed ?

(1) Prepare Cash/Bank a/c combined. Ignore Pt (14) ie closing cash bal.

(2) Cash and credit sale combined given.
First Find BF of Cash/Bank a/c. It will be "Cash sale".
Then Total sale (-) cash sale as find above = credit sale.
Post credit sale in Debtor a/c whose BF will be opening Drs.
Then Prepare opening Bls and find opening capital.

(3) Refer Pt (1) and (8). Calculate Disc. Allowed to Debtor by foll. formula :-

Cash and Disc. credited to Drs ✓
(-) Cash ie Realisation from Drs (✓)
Discount Allowed to Drs ✓

(4) Now Think JE of Each transaction given in Q and make Appropriate posting, take appropriate Effect.

JE of various transaction ie Pt (1) - 16 and Effect.

	JE	Effect
(1) & (8)	Cash/Bank Dr	→ Dr in Cash/Bank
	Disc. Allowed Dr	→ Dr in P/L a/c
	To Debtor	→ Cr. both above in Drs a/c.
(2)	Sales Return Dr	→ Deduct from sale in Trading.
	To Debtor	→ Post in Debtor a/c
(3)	Bad debt Dr	→ P/L Debit
	To Debtor	→ Debtor credit
(4)	Cash/Bank Dr [Cash sale]	→ Derived as BF of Cash/Bank
	Debtor Dr [Credit sale]	→ Post in Drs a/c
	To Sale [Total].	→ Show in Trading a/c Cash and Credit sale seperately,
(5)	Creditor Dr	→ Creditor a/c Dr side Post
	To Disc. Recd.	→ P/L Income side

	JE	Impact
(6)	Creditor Dr	→ Dr side Crs a/c
	To Pur. Return	→ Deduct from Purch in Trading a/c
(7)	Cash/Bank Dr	→ Dr side Cash a/c
	To Capital a/c	→ Add to Capital in Cl. BLs
(8)	Already Done with (1)	
(9)	Purchase Dr	— Trading : Dr : Cash Pur
	To Cash/Bank	— Cash a/c cr side
(10)	Sundry Exp Dr	→ In P/L, Show Paid + Cl. OLs (−) Op. OLs.
	To Cash/Bank	→ Cash a/c cr side
(11)	Sundry Asset Dr	→ Post in S. Asset Dr.
	To Cash/Bank	→ Cash cr. side.
(12)	Bank Dr	} This is Contra Entry. Show in both side of Cash/Bank a/c.
	To Cash	
(13)	Drawing Dr	→ Deduct from Cap. in BLs
	To Bank	→ Show in Bank cr.
(14)	useless Point	
(15)	Creditor Dr	— Creditor Debit side
	To Bank	— Bank cr. side
(16)	Bash Dr	} This is Contra Entry. Show in Both side.
	To Bank	

Accounts from Incomplete Record

ANSWER 11

JE AND Impact

Pt (i) to (xiv) (+) Pt (i) to (vi)

S/N	JE			Impact (Where to Post)
(i)	a) Shop Exp	Dr	7200	→ Dr P/L
	Salary	Dr	110400	→ Dr P/L
	Drawing	Dr	16800	→ Deduct from capital
	To Cash		134400	→ Cash a/c credit side
	b) Bank	Dr	762750	→ Dr Bank
	To Cash		762750	→ Cr Cash
(ii)	Cash	Dr	121000	→ Dr Cash
	To Bank		121000	→ Cr Bank
(iii)	a) creditor	Dr	77200	→ Dr creditor
	To cash		77200	→ Cr Cash
	b) Payment for furniture means Purchase of furn.			
	Furniture	Dr	25000	→ Show in closing B/s
	To Cash		25000	→ Cr Cash
(iv)	a) Bank	Dr	5700	→ Dr Bank
	To Debtor		5700	→ Cr Debtor
	b) Debtor	Dr	5700	→ Dr Debtor
	To Bank		5700	→ Cr Bank
(v)	Bills Accepted by customer means B/R Drawn upon Debtor and Accepted by Them :-			
	B/R	Dr	40000	→ Dr B/R
	To Debtor		40000	→ Cr Debtor
(vi)	Bills endorsed means B/R endorsed in favour of creditors :- Creditor	Dr	10000	→ Dr creditor
	To B/R		10000	→ Cr B/R

SN	JE			Impact/posting
(vii)	Bank Dr (20000-750)=19250			Dr Bank
	Disc. on B/R Dr	750		Dr P/L a/c
	To B/R		20000	Cr B/R
(viii)	Bills Matured and Duly collected means B/R Matured. Assumed "Thru Bank"			
	Bank Dr	16000		Dr Bank
	To B/R		16000	Cr B/R
(ix)	Bills Accepted means Bill Payable Drawn by Creditor upon us and Accepted by us:			
	Creditor Dr	24000		Dr Cr's
	To Bill Payable		24000	Cr. B/P
(x)	Creditor Dr			Dr. Cr's.
	To Bank			Cr. Bank
(xi)	Since LIC policy of owner matue, it is Addl. Capital introduced:-			
	Bank Dr	20000		Dr Bank
	To Capital a/c		20000	Add to Capital in Cl. B/s.
(xii)	Since premises owned by owner, Hence Rent belongs to owner. Hence This amt recd. by business also Addl. Cap. introduced:			
	Bank Dr	14000		Dr Bank
	To Capital a/c		14000	Add to Capital in Cl. B/s.
(xiii)				

SN	JE			Impact / Posting
(xiii)	a) Building	Dr	350000	→ Cl. Bls
	To Bank		350000	→ Cr. Bank
	(Assumed paid Thru Bank)			
	b) Exps incurred on Asset at time of Purchase of Asset are capitalized ie added to cost of Asset. Balancing figure of Bank a/c will be such exps.			
	Building Dr } BF of Bank a/c			→ Add to 350000 ie cost of Building
	To Bank			→ Cr. Bank
(xiv)	Electricity Exp Dr		18700	→ Dr P/L 18700 + 2200
	To Cash		18700.	→ Cr Cash
	Electricity Exps Dr		2200	→
	To O/std. E. Exps		2200	→ Show in Bls Liab.
	Other inform.			
(i)	a) Legal Exp	Dr	17000	→ Dr P/L
	To Legal Exp payable		17000	→ Bls Liab. side
	b) P/L	Dr	155000	→ Dr P/L
	To Provision for Compensation in Law suit		155000	→ Bls Liab.
(ii)	Creditor	Dr	4200	→ Dr Crs
	To Purch. Return		4200	→ Deduct from Pur in Trading
(iii)	Sales Return	Dr	1200	→ Deduct from sale
	To Debtor		1200	→ Cr Drs
(iv)	Creditor	Dr	2700	→ Dr Crs.
	To Disc. Recd.		2700	→ Credit in P/L Income
(v)	Disc. Allowed	Dr	2400	→ Debit P/L Exps.
	To Debtor		2400	→ Cr Debtor
(vi)	Rent	Dr	20000	→ Dr P/L a/c
	To O/std Rent		20000	→ Bls Liab.

Balancing figure of various A/c in sequence:

⇒ First : B/P A/c BF "Paid B/P by Bank".

⇒ Second: B/R A/c BF "B/R Dishonoured"

⇒ 3rd : Bank A/c BF "Exps on Building"

⇒ 4th : Cash a/c BF: "Collection from Drs"

⇒ 5th : Debtor A/c BF: "credit sale"

⇒ 6th : Creditor a/c BF: "credit Pur"

JE and Impact of Missing figure

Seq.	JE	Impact/Post
1st	B/P Dr	— Dr B/P
	To Bank	— Cr Bank
2nd	Debtor Dr	— Dr Debtor
	To B/R	— Cr B/R
3rd	Building Dr	— Add to cost of Building
	To Bank	— Cr Bank
4th	Cash Dr	— Dr Cash
	To Debtor	— Cr Debtor
5th	Debtor Dr	— Dr Debtor
	To Sale	— Show in Trading a/c as Cr. Sale
6th	~~Cred~~ Purchase Dr	— ~~Dr Pur~~ Dr Trading a/c as credit pur
	To Crs	— Creditor Cr.

(Ans-12) Credit sale = $\frac{\text{Amt of Debtor}}{\text{Credit period}} \times 12$

Total sale = $\frac{\text{Credit sale}}{\%\text{ of cr sale}} \times 100$

(Ans13) Trading a/c (To find GP)

To O/S	✓	By sale (Total sale as computed by above formula)	
To Pur	Given		
To D.Exp	Given	By C/stock	✓
To G/P	BF		

Av. stock = $\frac{O/S + C/S}{2}$

Let O/S = x C/S = x − 10000

Put Av stock, O/S, C/S in x term. calculate x as BF.

This is O/stock. Show in above Trading a/c. C/S is O/S − 10000.

ANS-14/15: similar :-

Pointwise Analysis/JE/Remark of Q. No (14)

Pt No.	JE	Impact/Remark
(1)	Cash Dr (Cash sale)	LY sale ✓
	Debtor Dr (Credit sale)	+ % Increase ✓
	To sale Total sale	CY sale ✓
		Cash sale % given x above
		Credit " % " "
(2)	–	It means No cash purchase
(3)	–	Credit customer pay by cheque only. It means collection from Drs. Thru Bank
(4)	Depreciation Dr 6000	Dr P/L
	To Furniture 4000	Deduct from furn.
(5)	Salary Dr 2000 X 12 = 24000	Dr P/L
	Office Exp Dr 1200 X 12 = 14400	Dr P/L
	Drawing Dr 500 X 12 = 6000	Deduct from Cap.
	To Cash	Cr Cash a/c

	JE		Remark
–	a) Creditor Dr	300000	
	To Bank	300000	"Analysis of Bank Pass book" word indicate These 3 Transaction Entry Bank
P/L Dr ←	b) Rent Dr	16000	
	To Bank	16000	
	c) Bank Dr	80000	
	To Cash	80000	
–	–		C/Stock Given: show in Trading a/c
			C/Debtor Given: " " Debtor a/c
			C/Crs. Given: show in Crs a/c

Missing figures

Name of A/c	Missing figure	Impact
a) Debtor a/c	Collection from Debtor	Bank Dr To Debtor
b) Creditor a/c	Credit Purchase	Purchase Dr To creditor
c) Bank a/c	Closing Bank Bal.	–
d) Cash a/c	Cash Defalcation by cashier. C/B of Cash NIL.	Cash Defalcation Dr To Cash [show Cash Defalcation in Dr side of P/L a/c]

ANS. 16

Pt	JE	Impact/Remark/Posting
a)	Creditor Dr 700000	"Notice the word "Bank
	To Bank 700000	Pass Book" above Pt (a) to (e)
b)	Business Exp Dr 120000	→ Dr P/L
	To Bank 120000	
c)	Bank Dr 750000	
	To Debtor 750000	
d)	Bank Dr 100000	
	To Loan Taken 100000	→ show in closing Bls Liab.
	Intt Dr 5000 → P/L Dr	Loan taken on 1/10/21 @ 10%
	To Intt O/s 5000 → Bls Liab.	PA. FY closes on 31/3/22.
		6 month Intt Accrued @
		10% on 100000 ie 5000.
(e)	Bank Dr 100000	
	To Cash 100000	
	"Last 3 Line"	
-	Cr's. Dr 20000	
	To Cash 20000	
	Salary Dr 40000	→ P/L Dr
	To Cash 40000	
	Drawing Dr 80000	→ Deduct from Capital
	To Cash 80000	

Missing figures:

Account Name	Missing figure	Impact/JE
ⓐ Debtor a/c	Credit sale	Debtor Dr To Sale
ⓑ Creditor a/c	Credit Purchase	Purchase Dr To creditor
ⓒ Cash a/c	Cash sale	Cash Dr To Sale
ⓓ Bank a/c	No Missing figure	O/B Cr Means Bank O/D. Show in OP BLS Liab side. Both O/B and C/B will appear on credit side of Bank a/c.
ⓔ Trading a/c	GPR of 25% on Sale Given. Find GP = Total sale x 25%. BF will be closing stock	

CHAPTER 4 :- INVENTORIES

1. Definition :-

Inventories are assets -

(a) held **for sale** in the ordinary course of business; or

(b) in the **process of production**for such sale; or

(c) in the form of materials or supplies **to be consumed** in the production process or in the rendering of services.

Type of Inventory

Manufacturing Concern	Trading Concern
- Raw Material	Finished Goods
- Work in Progress	
- Finished Goods	

2. Presentation of Inventory in Financial statement :

i) Trading Account – Credit side

ii) Balance Sheet – Asset Side as a Current Assets

3. Significance of Inventory valuation :-

(i) **Determination of income**– since inventory is shown in Trading account, therefore, if inventory is not valued properly, our GP & NP will also not be proper.

(ii) **Ascertainment of financial position** – Since inventory is shown as current assets in balance sheet, therefore, if it is not valued properly our balance sheet (i.e. financial position) will also be incorrect.

(iii) **Liquidity analysis** – **Working Capital** = Current Assets – Current Liability. Since inventory is shown as current assets so it affects working capital i.e. liquidity of company.

(iv) **Statutory compliance** – As per **Schedule III**of the Companies Act, Details of quantities of each class of goods alongwith method of valuation of raw material, WIP and finished goods should also be disclosed in the financial statement. Further as per the requirements of **Accounting Standards**, the financial statement should disclose –

a) the accounting policies adopted in measuring inventory including cost formula used

b) the total carrying amount of inventory and its appropriate classification (i.e. Raw Material, Work in Progress, Finished Goods, Stores and Spares etc.)

4. Effect of under valuation or over valuation of Inventory :

i) **If closing inventory is overstated** – Current Year's Net income (NP) and Current Assets will also be overstated. Current Year's Cost of goods sold will be understated. But next years NP will be understated.

ii) **If closing inventory is understated** – Current Year's Net income (NP) and Current Assets will also be understated. Current Year's Cost of goods sold will be overstated. But next years NP will be overstated.

iii) **If opening inventory is understated** – Current Year's Net income (NP) will be overstated.

iv) **If opening inventory is overstated** – Current Year's Net income (NP) will be understated.

5. Inventory Valuation :-

At cost or Net Realizable value **whichever is lower**

Estimated Selling Price (-) Estimated cost necessary to make sale (eg. brokerage)
(-) Estimated cost of completion (applicable for WIP goods only).

Cost = The amount of expenditure incurred on acquisition of goods.

Cost of Purchase :-
Purchase Price (Invoice price less trade discount, duty drawback etc.)
Add : All Taxes & Duties on purchase (eg. Excise duty, Custom duty, GST etc. Other than those subsequently recoverable by the enterprises from the tax authorities.)

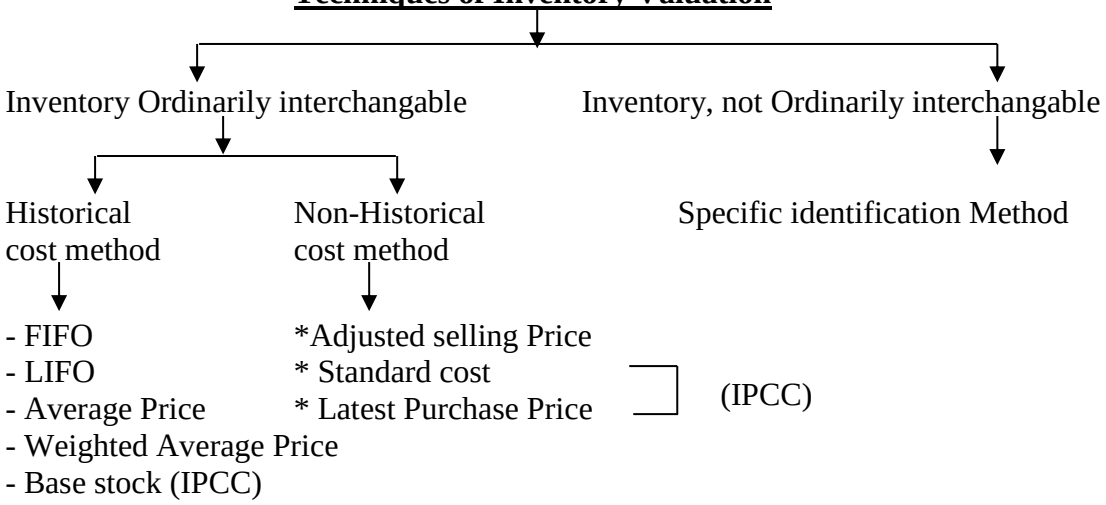
Add : All expenses required to obtain the inventory in its present condition and location (eg. Freigh inward, transit insurance, wages etc.)

But following costs will **not be included** in cost –

- Abnormal loss
- Storage cost unless it is necessary in the production process prior to further production stage.
- Administrative exp.
- Selling & Distribution exp.
- Interest and other borrowing cost.

Note : Damaged inventory is valued at NRV (since its NRV is less than cost)

6. **Techniques of Inventory Valuation**



Note :

1. As per **Accounting Standard-2**, FIFO, Weighted average price, Adjusted selling price, Specific identification method can be used for inventory valuation.
2. As per **Income Tax Act**, only FIFO method should be used for inventory valuation.

Methods of Inventory Valuation :

i) **FIFO** :- It is assumed that items purchased first have been issued first. It means closing stock shall be out of Latest Purchase.

ii) **LIFO** :- It is assumed that inventory purchased last are issued first. This method is not logical.

iii) **Average Price Method** :- Under this method all the different price are added together and then divided by the number of Prices.

iv) **Weighted Avg. Price Method** :- (more logical)

$$\text{Weighted Avg. Price Unit} = \frac{\text{Total Cost of goods available for sale}}{\text{Total Qty.of goods available for sale}}$$

Value of C/S = Qty. of C/S x Weighted Avg. Price per Unit.

v) **Adjusted Selling Price Method** :- (**Retail Inventory Method**) - It is used in Retail business or in business where the cost of individual Inventory item can't be ascertainable readily.
Cost is calculated by Reducing from Sale Value of closing stock, the amount of G.P. on closing stock.

vi) **Specific identification method** : In this method businessman keeps separate lots of goods purchased. Then closing stock of each lot is separately calculated and valued. This method is best where the goods are manufactured and segregated for specified consumers.

7. **Inventory Record System** :- There are following 2 system :- **[Sep. – 24, 5 Marks]**

A. **Periodic Inventory System (or Physical Inventory System)** :- In this system all the Inventory items on hand at a particular date is physically counted (or measured or weighted) and valued accordingly.

Note :

i) In this system inventory control on day to day basis is not possible.

ii) In this system cost of goods sold is taken as the balancing figure. (COGS = O/S + Purchase – C/S). It means COGS may include loss of goods.

iii) At the time of physical counting, we have to close our normal business operation.

B. **Perpetual Inventory System** :-

- It is a system of recording balance after each receipt and issue. Therefore, In this system we can know our stock on daily basis.
- In order to ensure accuracy of perpetual Inventory records, physical stocks should checked and compared with recorded balance.
- Under this system cost of goods issued is directly determined and closing stock is taken as balancing figure.
  C/S = O/S (Known) + Pur (Known) – COGS (Known)

8. **Stock Taking** :- Some times it is not possible to take stock on 31/3. In that case stock may be take either some days before 31/3, or some days after 31/3 (i.e. in next F.Y.)

(A) If stock in taken on a Later date (i.e. after 31/3)

	Value of stock on that later date	XXXX
(+)	Sales (at cost between 2 dates)	XXXX
(+)	P/R during the said period	XXXX
(+)	Any under casting in stock sheet	XXXX
(+)	Cost of Goods lying with others on our behalf - GSC (unsold) - Goods Sent on Approval - Goods Sent to Branch - Goods Sent on Hire Purchase	XXXX
(-)	S/R (at Cost)	XXXX
(-)	Any over casting in stock sheet	XXXX
(-)	Any goods held on consignment basis	XXXX
(-)	Any goods included in stock but title of such has been transferred to the buyer.	XXXX
(-)	Cost of Goods lying with us on behalf of others - Cost of Goods received on Consignment - Cost of Goods received on Approval - Cost of Goods received on Hire purchase	XXXX
(+/-)	Rectification of Errors	XXXX
	Stock as on 31/3	XXXX

(B) If the stocks are taken on an earlier date (i.e. before 31/3)
In this case, the following adjustments are necessary to arrive at the stocks as on the closing date :

Value of goods on that earlier date		XXXX
Add:	Purchase between the two dates.	XXXX
Add:	Sales returns (at cost price) between the two dates.	XXXX
Less:	Sales (at cost) between the two dates.	XXXX
Less:	Purchases returns during the two dates.	XXXX
Add:	Goods lying with consignee (at cost)	XXXX
Add:	Goods on approval with customers (at cost).	XXXX
(+/-)	Rectification of Errors	XXXX
	Stock as on 31/3	XXXX

Some Important formulas :

COGS = O/S + Purchase + Direct Expenses – C/S – Abnormal Stock (if any)
COGS = Sales – GP
C/S = O/S + Purchase + Direct Expenses – COGS – Abnormal stock
Gross profit rate = GP / SALES X 100

CLASS WORK QUESTIONS

Question 1: (Methods) **[SM ILL. 2 & 4]**

A manufacturer has the following record of purchases of a condenser, which he uses while manufacturing radio sets:

Date	Quantity (Units)	Price per unit
Dec. 4	900	50
Dec. 10	400	55
Dec. 11	300	55
Dec. 19	200	60
Dec. 28	800	47
	2,600	

1,600 units were issued during the month of December. Apply All methods.

[Ans.: FIFO- 49,600, LIFO- 50,500, Avg.- 53,400 Wt. Avg.-51,190]

Personal Note:- **Register No. _____** **Page No. _____**

Question 2: (Methods) **[SM ILL. 3 & 5]**

In the previous example assume that following issues were made during the month of December: Record of issues.

Date	Quantity (units)
Dec. 5	500
Dec.20	600
Dec. 29	500
Total	1,600

On the basis of the data given in above, calculate the weighted average price and also the value of closing inventory by FIFO, LIFO and weighted average price method.

[Ans.: FIFO- 49,600, LIFO- 50,600, Wt. Avg. 50,377]

Personal Note:- **Register No. _____** **Page No. _____**

Question 3: (Adj. SP Method) **[SM ILL. 6]**

M/s X, Y and Z are in retail business, following information are obtained from their records for the year ended 31st March :

Goods received from suppliers (subject to trade discount and taxes)	**Rs. 15,75,500**
Trade discount 3% and GST 11%	
Packaging and transportation charges	**Rs. 87,500**
Sales during the year	**Rs. 22,45,500**
Sales price of closing inventories	**Rs. 2,35,000**

Find out the historical cost of inventories using adjusted selling price method.

[Ans.: GPR- 28.09%, Rs.- 1,68,988]

Personal Note:- **Register No. _____** **Page No. _____**

Question 4: **(Ab. Goods)** **[Sep. 25, Dec. 23, 4 Marks][SM ILL. 8] [Jan. 21, May-22 (5 Marks)]**

From the following information ascertain the value of stock as on 31st March, 2016 and also the profit for the year:

	Rs.
Stock as on 1.4.2015	**1,42,500**
Purchases	**7,62,500**
Manufacturing expenses	**1,50,000**
Selling expenses	**60,500**
Administrative expenses	**30,000**
Financial charges	**21,500**
Sales	**12,45,000**

At the time of valuing stock as on 31st March, 2015, a sum of Rs. 17,500 was written off on a particular item, which was originally purchased for Rs. 50,000 and was sold during the year at Rs. 45,000. Barring the transaction relating to this item, the gross profit earned during the year was 20% on sales.

[Ans. C/S 62,500, NP Rs. 1,40,500]

Personal Note:- **Register No. _____** **Page No. _____**

Question 5: **(Ab. Goods)**

Following information is available for the year 2018.

	Rs.
Stock on 1/1/2018	7,960
Purchases during the year	26,200
Sales during the year	31,610

At the time of valuation of stock on 31.12.2017 a portion of the stock costing Rs. 1800 was valued at Rs. 1,560. One third of this stock was sold during the year 2018 for Rs. 610. Find out stock at cost as on 31.12.2018 assuming that the firm makes 25% profit on cost.

[Ans.- 8,840/-]

Personal Note:- **Register No. _____** **Page No. _____**

Question 6: (Ab. Goods) **[Jan-21(5 Marks)]**

Mr. James submits you the following information for the year ended 31.3.2019:

	₹
Stock as on 1.4.2018	1,50,500
Purchases	4,37,000
Manufacturing Expenses	85,000
Expenses on Sales	33,000
Expenses on Administration	18,000
Financial Charges	6,000
Sales	6,25,000

During the year damaged goods costing ₹ 12,000 were sold for ₹ 5,000.
Barring the above transaction the Gross Profit has been @ 20% on Sales.
Compute the Closing Inventory and Net Profit of Mr. James for the year ended 31.3.2019

Personal Note:- **Register No. _____** **Page No. _____**

Question 7: (Value of Stock) **[SM ILL. 10] [RTP-Nov-19, May-18, 21]**

Inventory taking for the year ended 31st March, 2016 was completed by 10th April 2016, the valuation of which showed a inventory figure of Rs. 16,75,000 at cost as on the completion date. After the end of the accounting year and till the date of completion of inventory taking, sales for the next year were made for Rs. 68,750, profit margin being 33.33 percent on cost. Purchases for the next year included in the inventory amounted to Rs. 90,000 at cost less trade discount 10 percent. During this period, goods were added to inventory at the mark up price of Rs. 3,000 in respect of sales returns. After inventory taking it was found that there were certain very old slow moving items costing Rs. 11,250, which should be taken at Rs. 5,250 to ensure disposal to an interested customer. Due to heavy flood, certain goods costing Rs. 15,500 were received from the supplier beyond the delivery date of customer. As a result, the customer refused to take delivery and net realizable value of the goods was estimated to be Rs. 12,500 on 31st March. Compute the value of inventory for inclusion in the final accounts for the year ended 31st March, 2016.

[Ans. Rs. 16,34,310]

Personal Note:- **Register No. _____** **Page No. _____**

Question 8: (Value of Physical Stock) **[SM PQ.1]**

X who was closing his books on 31.3.2016 failed to take the actual stock which he did only on 9th April, 2016, when it was ascertained by him to be worth Rs. 2,50,000.

It was found that sales are entered in the sales book on the same day of dispatch and return inwards in the returns book as and when the goods are received back. Purchases are entered in the purchases day book once the invoices are received.

It was found that sales between 31.3.2016 and 9.4.2016 as per the sales day book are Rs. 17,200. Purchases between 31.3.2016 and 9.4.2016 as per purchases day book are Rs. 1,200, out of these goods amounting to Rs. 500 were not received until after the stock was taken.

Goods invoiced during the month of March, 2016 but goods received only on 4th April, 2016 amounted to Rs. 1,000. Rate of gross profit is 33-1/3% on cost.
Ascertain the value of physical stock as on 31.3.2016.

[Ans. Rs. 2,61,200]

Personal Note:- **Register No. _____** **Page No. _____**

Question 9: **(Value of Stock and Adj. NP) [PEQ-JUNE.23, MTP SEP 24 – 10 Marks][SM PQ. 3]**
The Profit and loss account of Hanuman showed a net profit of Rs. 6,00,000, after considering the closing stock of Rs. 3,75,000 on 31st March, 2016. Subsequently the following information was obtained from scrutiny of the books:

(i) Purchases for the year included Rs. 15,000 paid for new electric fittings for the shop.
(ii) Hanuman gave away goods valued at Rs. 40,000 as free samples for which no entry was made in the books of accounts.
(iii) Invoices for goods amounting to Rs. 2,50,000 have been entered on 27th March, 2016, but the goods were not included in stock.
(iv) In March, 2016 goods of Rs. 2,00,000 sold and delivered were taken in the sales for April, 2016.
(v) Goods costing Rs. 75,000 were sent on sale or return in March, 2016 at a margin of profit of 33-1/3% on cost. Though approval was given in April, 2016 these were taken as sales for March, 2016.

Calculate the value of stock on 31st March, 2016 and the adjusted net profit for the year ended on that date.

[Adj. NP = 10,40,000/-, C/S= Rs. 7,00,000]

Personal Note:- **Register No. _____** **Page No. _____**

Question 10: **(Value of Stock) [Sep. – 24, 5 Marks][SM PQ. 4] [Nov.20 (10 Marks)]**
Physical verification of stock in a business was done on 23rd June, 2016. The value of the stock was Rs. 48,00,000. The following transactions took place between 23rd June to 30th June, 2016:

(i) Out of the goods sent on consignment, goods at cost worth Rs. 2,40,000 were unsold.
(ii) Purchases of Rs. 4,00,000 were made out of which goods worth Rs. 1,60,000 were delivered on 5th July, 2016.
(iii) Sales were Rs. 13,60,000, which include goods worth Rs. 3,20,000 sent on approval. Half of these goods were returned before 30th June, 2016, but no information is available regarding the remaining goods.
(iv) Goods are sold at cost plus 25%. However goods costing Rs. 2,40,000 had been sold for Rs. 1,20,000.

Determine the value of stock on 30th June, 2016.

[Ans. Rs. 44,64,000/-]

Personal Note:- **Register No. _____** **Page No. _____**

Question 11: (Value of Book Stock) **[May-19 (5 Marks)]**

Mr. Vijay's financial year ends on 30th June, but actual stock is not taken until the following 8th July, when it is ascertained at Rs. 7,425.

You find that:

1. **Sales are entered in the Sale Book on the same day as dispatched and returns inward is the Return Inward Book the day the goods are received back.**
2. **Purchases are entered in the purchases Day Book as the invoices are received.**
3. **Sales between 30th June and 8th July as per the Sales Day Book and Cash Book are Rs. 8,600.**
4. **Purchases between 30th June and 8th July as per the Purchases Day Book are Rs. 660 but of these goods amounting to Rs. 60 are not received until after the stock was taken.**
5. **Goods invoiced during June (before 30th June), but not received until after 30th June, amounted to Rs. 500 of which Rs. 350 worth are received between 30th June, and 8th July.**
6. **Rate of gross profit is $33\frac{1}{3}$ % on cost.**
   Calculate value of stock as on 30 June.

[Ans. Rs. 13,425]

Personal Note:- **Register No. _____** **Page No. _____**

Question 12: (Stock Taking) **[SM ILL. 9]**

A trader prepared his accounts on 31st March, each year. Due to some unavoidable reasons, no stock taking could be possible till 15th April on which date the total cost of goods in his godown came to Rs. 5,00,000. The following facts were established between 31st March and 15th April, 2013.

(i) Sales Rs. 4,10,000 (including cash sales Rs. 1,00,000)
(ii) Purchases Rs. 50,340 (including cash purchases Rs. 19,900)
(iii) Sales Return Rs. 10,000.

Goods are sold by the trader at a profit of 20% on sales.

You are required to ascertain the value of Inventory as on 31st March, 2013.

[Ans. 7,69,660]

Personal Note:- **Register No. _____** **Page No. _____**

Question 13: (Stock Taking) (June 24, May 25, 5 Marks)(SM Illu. 9) [RTP May19 & 22, Nov-20]

A trader prepared his accounts on 31st March, each year. Due to some unavoidable reasons, no stock taking could be possible till 15th April, 2022 on which date total cost of goods in his godown came to ₹ 50,000. The following facts were established between 31st March and 15th April, 2022.

(i) Sales ₹ 41,000 (including cash sales ₹ 10,000).
(ii) Purchases ₹ 5,034 (including cash purchases ₹ 1,990).
(iii) Sales return ₹ 1,000.
(iv) On 15th March, goods of the sale value of ₹ 10,000 were sent on sale or return basis to a customer, the period of approval being four weeks. He returned 40% of the goods on 10th April, approving the rest; the customer was billed on 16th April.
(v) The trader had also received goods costing ₹ 8,000 in March, for sale on consignment basis.

20% of the goods had been sold by 31st March, and another 50% by the 15th April. These sales are not included in above sales.

Goods are sold by the trader at a profit of 20% on sales.

You are required to ascertain the value of inventory as on 31st March, 2022.

[Ans. 79,366]

Personal Note:-	**Register No. _____**	**Page No. _____**

Question 14: **(Stock Taking)** **[MTP JAN. 25, 10 Marks][RTP Nov. 18, May 20][RTP-NOV.21]**

Submarine Ltd. keeps no stock records but a physical inventory of stock is made half yearly and the valuation is taken at cost. The company's year ends on 31st March, 2021 and their accounts have been prepared to that date. The stock valuation taken on 31st March, 2021 was however, misleading and you have been advised to value the closing stocks as on 31st March, 2021 with the stock figure as on 30th September, 2020 and some other information is available to you:

(i) The cost of stock on 30th September, 2020 as shown by the inventory sheet was Rs. 2,40,000.

(ii) On 30th September, stock sheet showed the following discrepancies:
- **(a) A page total of Rs. 15,000 had been carried to summary sheet as Rs. 16,000.**
- **(b) The total of a page had been undercast by Rs. 600.**

(iii) Invoice of purchases entered in the Purchase Book during the quarter from October, 2020 to March, 2021 totaled Rs. 2,10,000. Out of this Rs. 9,000 related to goods received prior to 30th September, 2020. Invoices entered in April, 2021 relating to goods received in March, 2021 totaled Rs. 12,000.

(iv) Sales invoiced to customers totaled Rs. 2,70,000 from September, 2020 to March, 2021. Of this Rs. 15,000 related to goods dispatched before 30th September, 2020. Goods dispatched to customers before 31st March, 2021 but invoiced in April, 2021 totaled Rs. 12,000.

(v) During the final quarter, credit notes at invoiced value of Rs. 3,000 had been issued to customers in respect of goods returned during that period. The gross margin earned by the company is 25% of cost.

You are required to prepare a statement showing the amount of stock at cost as on 31st March, 2021.

[Ans. 2,41,400]

Personal Note:-	**Register No. _____**	**Page No. _____**

HOME WORK QUESTIONS

Question 15: (FIFO, LIFO, Wt. Avg.)

The following are the details of a spare part of Sriram mills:

1-1-2016	Opening stock	Nil
1-1-2016	Purchases	100 units @ Rs.30 per unit
15-1-2016	Issued for consumption	50 units
1-2-2016	Purchases	200 units @ Rs.40 per unit
15-2-2016	Issued for consumption	100 units
20-2-2016	Issued for consumption	100 units

Find out the value of stock as on 31-3-2016 if the company follows (i) First in first out basis (ii) Last in first out basis (iii) Weighted Average Mehtod.

[MTP JAN. 25, 4 Marks] [RTP JAN. 25][SM. ILL. 11 & 12][Dec-21(4 Marks)]

Personal Note:- **Register No. _____** **Page No. _____**

Question 16: (FIFO)

The following is a summary of the receipts and issues of materials in a factory during a month :

1st Opening Balance 500 units at Rs. 25 per unit
3rd Issue 70 units
4th Issue 100 units
8th Issue 80 units
13th Received from supplier 200 units at Rs. 24.50 per unit
14th Returned to Store 15 units at Rs. 24 per unit
16th Issue 180 units
20th Received from supplier 240 units at Rs. 24.75 per unit
24th Issue 304 units
25th Received from supplier 320 units at Rs. 24 per unit
26th Issue 112 units
27th Returned to store 12 units at Rs. 24.50 per unit
28th Received from supplier 100 units at Rs. 25 per unit

Work out on the basis of 'First in first out'. This revealed that on 15th there was a shortage of 5 units and another on 27th of 8 units.

[Ans. C/S Qty – 528, Value – Rs. 12,850]

Personal Note:- **Register No. _____** **Page No. _____**

Question 17: (Adjusted SP Method) **[RTP JAN. 25][SM ILL. 7][July-21(5 Marks)]**

From the following information, calculate the historical cost of inventories adjusted selling price method:

	Rs.
Sales during the year	2,00,000
Cost of purchases	2,00,000
Opening stock	Nil
Closing stock at selling price	50,000

Personal Note:- **Register No. _____** **Page No. _____**

Question 18: (Abnormal Goods) **[SM PQ. 2]**

From the following information, ascertain the value of stock as on 31.3.2017:

	Rs.
Value of stock on 1.4.2016	7,00,000
Purchases during the period from 1.4.2016 to 31.3.2017	34,60,000
Manufacturing expenses during the above period	7,00,000
Sales during the same period	52,20,000

At the time of valuing stock on 31.3.2016 a sum of Rs. 60,000 was written off a particular item which was originally purchased for Rs. 2,00,000 and was sold for Rs. 1,60,000. But for the above transaction the gross profit earned during the year was 25% on cost.

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Question 19: (LIFO, Wt. Avg.)

Oil India is a bulk distributor of high petrol. A periodic inventory of petrol on hand is taken when the books are closed at the end of each month. The following summary of information is available for the month of June 2019:

Sales	₹ 9,45,000
General Administration Cost	₹ 25,000
Opening Stock: 100,000 litres @ ₹ 3 per litre	3,00,000

Purchase (Including freight):

1st June 200,000 litres @ ₹ 2.85 per litre

30th June 100,000 litres @ ₹ 3.03 per litre

Closing Stock 30th June 130,000 litres

Compute the following date by the first in first out, weighted average and last in first out methods of inventory costing.

(a) Value of inventory on 30th June.

(b) Amount of the cost of goods sold for June.

(c) Profit or Loss for June.

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Question 20: (Value of Stock)

Mr. A, a dealer of construction material, due to unavoidable reasons took stock on 11th April. The cost of stock was ₹ 4,20,000 (including goods received on consignment). The dealer received goods costing ₹ 1,00,000 in March for sale on consignment basis. 20% of the goods had been sold before 31st March and 60% between 1st April & 10th April. What was the cost of stock as at 31st March?

[Ans. Rs. 4,00,000]

Personal Note:- **Register No. _____** **Page No. _____**

Question 21: Value of Stock (Goods destroyed)

Sterling limited revealed the following information as on 31st March 2019:

Stock as on April 01, 2018	₹ 1,60,000
Purchases during the year	₹ 3,20,000
Sales during the year	₹ 4,00,000

The goods worth ₹ 60,000 were destroyed due to floods. Against the claim the insurance company accepted a claim of ₹ 40,000. The company's gross profit on sales has remained constant at 25%, calculate the value of closing stock as on 31st March.

[Ans.- Rs. 1,20,000/-]

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Question 22: (Stock Taking)

Kanika traders close their books of accounts on 31st March every year. As stores manager was on leave inventory taking was done on 7th April, 2014. On this date, cost of goods in godown was ₹ 44,500. During 1st April, 2014 to 7th April, 2014 sales were ₹ 1,76,000, Purchases ₹ 1,12,000. Purchase returns ₹ 8,630. Sales return ₹ 4,200. Gross Profit earned during the year was 25% on cost.

Calculate the value of inventory as on 31st March, 2014.

[Ans. 78,570]

Personal Note:- **Register No. _____** **Page No. _____**

Question 23: (Stock Taking)

Determine the value of stock as per books of BT Ltd. as at 31st March 2018 from the following information.

(a) The Cost of Stock as per physical verification as on 7th April amounted to ₹ 2,00,000

(b) Purchases as per Purchases Book for the period from 1st April to 7th April amounted to ₹ 2,00,000 and included the following:
   (i) Rs. 10,000 for goods received till 31st March.
   (ii) Rs. 20,000 for goods received on 8th April.

(c) Sales as per Sales Book for the period from 1st April to 7th April amounted to ₹ 2,00,000 and included the following:
   (i) Rs. 10,000 for goods delivered on 31st March.
   (ii) Rs. 20,000 for goods delivered on 8th April

(d) Goods are sold by the trader at a profit of 25% on cost.

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Question : 24 **(SM ILL. 1)**

Surekha Ltd deals in 3 products P, Q & R, which are neither similar nor interchangeable. At the end of a financial year, the Historical Cost and NRV of items of Closing Stock are given below. Determine the value of Closing Stock.

Items	Historical Cost (in ₹ Lakhs)	Net Realisable Value (in ₹ Lakhs)
P	38	42
Q	29	29
R	17	14

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Question : 25 **(MTP JAN. 25, 10 Marks)**

Sunshine Ltd. keeps no stock records but a physical inventory of stock is made at the end of each quarter and the valuation is taken at cost. The company's year ends on 31st March, 2024 and their accounts have been prepared to that date. The stock valuation taken on 31st March, 2024 was however, misleading and you have been advised to value the closing stocks as on 31st March, 2024 with the stock figure as on 31st December, 2023 and some other information is available to you:

(i) The cost of stock on 31st December, 2023 as shown by the inventory sheet was Rs. 80,000.

(ii) On 31st December, stock sheet showed the following discrepancies:
   (a) A page total of Rs. 5,000 had been carried to summary sheet as Rs. 6,000.
   (b) The total of a page had been undercast by Rs. 200.

(iii) Invoice of purchases entered in the Purchase Book during the quarter from January to March, 2024 totalled Rs. 70,000. Out of this Rs. 3,000 related to goods received prior to 31st December,

2023. Invoices entered in April 2024 relating to goods received in March, 2024 totalled Rs. 4,000.

(iv) Sales invoiced to customers totalled Rs. 90,000 from January to March, 2024. Of this Rs. 5,000 related to goods dispatched before 31st December, 2023. Goods dispatched to customers before 31st March, 2024 but invoiced in April, 2024 totalled Rs. 4,000.

(v) During the final quarter, credit notes at invoiced value of Rs. 1,000 had been issued to customers in respect of goods returned during that period. The gross margin earned by the company is 25% of cost.

You are required to prepare a statement showing the amount of stock at cost as on 31st March, 2024.

Personal Note:- **Register No. _____** **Page No. _____**

Question: 26 **(PEQ. Jan. 25, 5 Marks)**

The following details are available of raw material of a manufacturing unit:

1-5-2024	Opening Inventory	100 units @ Rs. 15 per unit
2-5-2024	Purchases	300 units @ Rs. 18 per unit
5-5-2024	Issued for consumption	250 units
16-5-2024	Purchases	500 units @ Rs. 21 per unit
21-5-2024	Issued for consumption	100 units
25-5-2024	Issued for consumption	450 units

The manufacturer also incurred the following expenses:

- Freight of Rs. 300 and unloading charges of Rs. 150 at the time of every purchase respectively.
- Warehouse rent of Rs. 2,000 per month.
- Administrative Expenses of Rs. 1,500 per month.

You are required to find out the value of inventory as on May 31, 2024 if the company follows:

(a) Weighted Average method for inventory valuation.

(b) First in First Out method for inventory valuation.

Personal Note:- **Register No. _____** **Page No. _____**

Question: 27 **(PEQ.JUNE. 24, 5 Marks)**

Manish closed his books of account on 31stMarch, each year. Inventory taking for the year ended 31st March, 2024 was completed by 10th April, 2024 on which date value of the stock available in godown was of ₹4,50,000 at cost.

Following are the details of transactions that took place between 31st March, 2024 and 10th April, 2024:

(i) Goods sold to customers ₹1,10,000.

(ii) Sales return ₹ 10,000.

(iii) Purchases ₹ 85,000 (Including Cash Purchases ₹ 10,000).

(iv) Purchases return amounted to ₹ 2,500.

(v) Goods costing 15,000 received in March, for sale on consignment basis, out of which 60% of goods had been sold by 10th April. These sales are not included in above sales.

(vi) After the stock was taken, it was found that there was certain very old slow- moving items costing ₹ 14,850, which should be taken at ₹ 9,500 to ensure disposal to an interested customer.

Goods are sold at a profit margin of 25% on cost. Ascertain the value of inventory for inclusion in the final accounts for the year ended 31st March, 2024.

SOLUTION OF HOMEWORK QUESTIONS

Solution 15 :

(i) First-in-First out basis [FIFO]

Sriram Mills

Calculation of the value of Inventory as on 31-3-2016

Recceipts				Issues			Balance		
Date	**Units**	**Rate**	**Amount**	**Units**	**Rate**	**Amount**	**Units**	**Rate**	**Amount**
		Rs.	Rs.		Rs.	Rs.		Rs.	
1-1-2016	Balance							Nil	
1-1-2016	100	30	3,000				100	30	3,000
15-1-2016				50	30	1,500	50	30	1,500
1-2-2016	200	40	8,000				50	30	1,500
							200	40	8,000
15-2-2016				50	30	1,500	200	40	8,000
				50	40	2,000	150	40	6,000
20-2-2016				100	40	4,000	50	40	2,000

Therefore, the value of Inventory as on 31-3-2016: 50 units @ Rs. 40 = Rs. 2,000

Sol. of Method required.

(ii) Last In First Out [LIFO]

Sriram Mills

Calculation of the value of Inventory as on 31-3-2016

Recceipts				Issues			Balance		
Date	**Units**	**Rate**	**Amount**	**Units**	**Rate**	**Amount**	**Units**	**Rate**	**Amount**
		Rs.	Rs.		Rs.	Rs.		Rs.	
1-1-16	Balance							Nil	
1-1-16	100	30	3,000				100	30	3,000
15-1-16				50	30	1,500	50	30	1,500
1-2-16	200	40	8,000				50	30	1,500
							200	40	8,000
15-2-2016				100	40	400	50	30	1,500
							100	40	4,000
20-2-2016				100	40	4,000	50	30	1,500

(iii) Weighted Average basis

Sriram Mills

Calculation of the value of Inventory as on 31-3-2016

Date	**Receipts Unites**	**Rate**	**Amount**	**Issues Units**	**Rate**	**Amount**	**Balance Units**	**Rate**	**Amount**
		Rs.	Rs.		Rs.	Rs.		Rs.	Rs.
1-1-2016	Balance							Nil	
1-1-2016	100	30	3,000				100	30	3,000

15-1-2016				50	30	1,500	50	30	1,500
1-2-2016	200	40	8,000				250	38	9,500
15-2-2016				100	38	3,800	150	38	5,700
20-2-2016				100	38	3,800	50	38	1,900

Therefore, the value of Inventory as on 31-3-2016 = 50 units @ Rs. 38 = Rs. 1,900

Solution 16:

Stores Ledger Account

FIFO Method

Date	Receipts			Issues			Balance		
	Qty	Rate	Amount (Rs.)	Qty	Rate	Amount (Rs.)	Qty	Rate	Amount (Rs.)
1st	--	--	--	--	--	--	500	25.00	12,500
3rd	--	--	--	70	25.00	1,750	430	25.00	10,750
4th	--	--	--	100	25.00	2,500	330	25.00	8,250
8th	--	--	--	80	25.00	2,000	250	25.00	6,250
13th	200	24.50	4,900	--	--	--	250	25.00	6,250
							200	24.50	4,900
14th							250	25.00	6,250
	15	24.00	360	--	--	--	200	24.50	4,900
							15	24.00	360
15th							245	25.00	6,125
	--	--	--	5	25.00	125	200	24.50	4,900
							15	24.00	360
16th							65	25.00	1,625
	--	--	--	180	25.00	4,500	200	24.50	4,900
							15	24.00	360
20th				--	--	--	65	25.00	1,625
	240	24.75	5,940				200	24.50	4,900
							15	24.00	360
							240	24.75	5,940
24th	--	--	--	65	25.00	1,625			
				304 200	24.50	4,900	216	24.75	5,346
				15	24.00	360			
				24	24.75	594			
25th	320	24.00	7,680	--	--	--	216	24.75	5,346
							320	24.00	7,680
26th	--	--	--	112	24.75	2,772	104	24.75	2,574
							320	24.00	7,680
27th	12	24.50	294	--	--	--	104	24.75	2,574
							320	24.00	7,680
							12	24.50	294
27th	--	--	--	8	24.75	198	96	24.75	2,376
							320	24.00	7,680
							12	24.50	294
28th	100	25.00	2,500	--	--	--	96	24.75	2,376
							320	24.00	7,680
							12	24.50	294
							100	25.00	2,500

Closing stock 528 units = Rs. 12,850

Solution 17:

Calculation of gross margin of profit:	Rs.
Sales	2,00,000
Add: Closing inventory (at selling price)	50,000
Selling price of goods available for sale:	2,50,000
Less: Cost of goods available for sale	2,00,000
Gross margin	50,000

Rate of gross margin = $\frac{50,000}{2,50,000} \times 100$ = 20%

Cost of closing inventory = 50,000 less 20% of Rs. 50,000 = Rs. 40,000

Solution 18:

Valuation of Stock as on 31/3/17

Value of Stock as on 1/4/16		7,00,000	
(-)	Value of Abnormal Stock (2,00,000 - 60,000)	(1,40,000)	5,60,000
Add:	Purchases during the period		34,60,000
Add:	Manufacturing Expenses during the period		7,00,000
			47,20,000
Less:	COGS		
	Sales	52,20,000	
(-)	Sale of Abnormal Goods	(1,60,000)	
		50,60,000	
(-)	Gross Profit 1/5 as Sale	(10,12,000)	(40,48,000)
	Value of Stock as on 31/3/17		6,72,000

Solution 19:

FIFO METHOD

Closing Stock = Stock out of purchase on 1st June + Stock out of purchase on 30th June.
= 30,000 x 2.85 + 1,00,000 x 3.03
= 85,500 + 3,03,000
= 3,88,500

COGS = Opening Stock + Purchase – Closing Stock
= 3,00,000 + 8,73,000 – 3,88,500
= 3,00,000 + 4,84,500
= 7,84,500

Profit = Sales – COGS – General & Administration Expense
= 9,45,000 - 7,84,500 – 25,000
= 1,35,500

Weighted Average Price Method

Quantity	Rate	Cost
1,00,000	3.00	3,00,000
2,00,000	2.85	5,70,000
1,00,000	3.03	3,03,000
4,00,000		11,73,000

Weighted Average Cost $= \frac{\text{Total Cost}}{\text{Total Quantity}}$

$= \frac{11,73,000}{4,00,000} = 2.9325$

Closing Stock = 1,30,000 x 2.9325
= 3,81,225

COGS = O/s + Purchase – Closing Stock
= 3,00,000 + 8,73,000 – 3,81,225
= 7,91,775

Profit = Sales – COGS – General & Administration Expense
= 9,45,000 – 7,91,775 - 25000
= 1,28,225

LIFO METHOD

Closing Stock = O/S 1,00,000 x 3 = 3,00,000
= 1/6 30,000 x 2.85 = 85,500
3,85,500

COGS = Opening Stock + Purchase – Closing Stock
= 3,00,000 + 8,73,000 – 3,85,500
= 7,87,500

Profit = Sales – COGS – General & Administration Expense
= 9,45,000 - 7,87,500 – 25,000
= 1,32,500

Solution 20:

Valuation of stock as on 31/3

	₹
Inventory as on 11/4	4,20,000
Less: Consignor's stock wrongly included (1,00,000 x 20 %)	20,000
Inventory as on 31/3	4,00,000

Solution 21:

Statement of Valuation of Stock on 31st March, 2019

	₹	₹
Stock as on 1/4/18		1,60,000
Add: Purchase	3,20,000	
(-) Goods Destroyed	**(60,000)**	**2,60,000**
Less: COGS		
Sale	4,00,000	
(-) GP @ 25%	(1,00,000)	(3,00,000)
Inv. as on 31/3/19		1,20,000

Solution 22:

Value of Inventory as on 31st March

Stock as on 7/4			44,500
Trans. during 31/3 and 7/4 :-			
Add: COGS			
Net sales = (1,76,00 - 4,200)		1,71,800	
(-) GP 1/5 on sale		(34,360)	1,37,440
Less: Receipts			
Pur. (-) P/R	i.e. 1,12,000 – 8,630		(1,03,370)
			78,570

Solution 23:

Particulars	₹
A. Stock as per physical verification as at 7th April	2,00,000
B. Less: Cost of goods received in respect of purchases Between 1st April and 7th April [₹ 2,00,000 - ₹ 20,000]	(1,80,000)
C. Add: Cost of goods delivered in respect of sales Between 1st April and 7th April [80% of (₹ 2,00,000 - ₹ 20,000]	1,44,000
D. Stock as per books as at 31st March [A – B + C]	1,64,000

Solution 24:

Items	Historical Cost	Net Realisable Value	Valuation
P	✓	✓	38
Q	✓	✓	29
R	✓	✓	14
			81

Solution 25:

Valuation of Physical Stock as at March 31, 2024

			Rs.
Stock at cost on 31st December,2023			80,000
Add: (1) Undercasting of a page total		200	
(2) Goods purchased and delivered during January – March, 2024 Rs. (70,000 – 3,000 + 4,000)		71,000	
(3) Cost of sales return Rs. (1,000 – 200)		800	72,000
			1,52,000
Less: (1) Overcasting of a page total Rs. (6,000 – 5,000)		1,000	
(2) Goods sold and dispatched during January – March, 2024 Rs. (90,000 – 5,000 + 4,000)	89,000		
Less: Profit margin $\left(89{,}000 \times \frac{25}{125}\right)$	17,800	71,200	72,200
Value of stock as on 31st March, 2024			79,800

Note: In the above solution, transfer of ownership is assumed to take place at the time of delivery of goods. If it is assumed that transfer of ownership takes place on the date of invoice, therefore Rs. 4,000 goods delivered in March 2024 for which invoice was received in April, 2024, would be treated as purchases of the accounting year 2024-2025 and thus excluded. Similarly, goods dispatched in March, 2024 but invoiced in April, 2024 would be excluded and treated as sale of the year 2024-2025.

Solution: 26

(a) Weighted Average basis
Calculation of the value of Inventory as on 31-5-2024

	Receipts			Issues			Balance		
Date	Units	Rate	Amount (Rs.)	Units	Rate	Amount	Units	Rate	Amount (Rs.)
1-5-24	Balance						100	15	1,500
2-5-24	300	19.5	5,850				400	18.375	7,350
5-5-24				250	18.375	4593.75	150	18.375	2756.25
16-5-24	500	21.9	10,950				650	21.09	13,708.5
21-5-24				100	21.09	2,109	550	21.09	11,599.5
25-5-24				450	21.09	9,490.5	100	21.09	2,109

Therefore, the value of Inventory is as follows:
Value as per Weighted Method as on 31-5-2024: 100 units @ Rs. 21.09 = Rs. 2,109

(b) First-in-First out basis
Calculation of the value of Inventory as on 31-5-2024

	Receipts			Issues			Balance		
Date	Units	Rate	Amount (Rs.)	Units	Rate	Amount	Units	Rate	Amount (Rs.)
1-5-24	Balance						100	15	1,500
2-5-24	300	19.5	5,850				100	15	1,500
							300	19.5	5,850
5-5-24				100	15	,500			
				150	19.5	2,925	150	19.5	2,925
16-5-24	500	21.9	10,950				150	19.5	2,925
							500	21.9	10,950
21-5-24				100	19.5	1,950	50	19.5	975
							500	21.9	10,950
25-5-24				50	19.5	975			
				400	21.9	8,760	100	21.9	2,190

Therefore, the value of Inventory as on 31-5-2024 will be as follows: Value of Inventory as per FIFO Method: 100 units @ Rs. 21.9 = Rs. 2,190

Working Note:

(i) Per unit cost of raw material purchased on May 2,2024
$= \frac{300 \times 18 + 300 + 150}{300} = \text{Rs. } 19.5$

(ii) Per unit cost of raw material purchased on May 16,2024
$= \frac{500 \times 21 + 300 + 150}{500} = \text{Rs. } 21.9$

Note:

(a) Freight and unloading charges are directly attributable cost and are necessary to bring the inventory into present location and condition hence are included in the cost of inventory.
(b) Warehouse rent are indirectly attributable expenses and are not considered as cost of inventory.
(c) Administrative expenses are indirectly attributable expenses and do not usually add any specific value to inventories and hence excluded from the cost of inventory.

Solution: 27

Statement of Valuation of Inventory as on 31st March, 2024

Particulars	Amount (₹)	Amount (₹)
Value of stock as on 10th April, 2024		4,50,000
Add: Cost of sales during the period from 31st March, 2024 to 10th April, 2024: Sales (₹ 1,10,000-₹ 10,000)	1,00,000	
Less: Gross profit (25% on cost i.e. 20% on sales)	(20,000)	80,000
		5,30,000
Less: Purchases during the period from 31st March, 2024 to 10th April, 2024 (85,000- 2,500)	82,500	93,850
Unsold stock out of goods received on consignment basis (40% of ₹ 15,000)	6,000	
Loss on revaluation of slow-moving inventories (14,850-9,500)	5,350	
		4,36,150

TEST YOUR KNOWLEDGE

State with reasons, whether the following statements are True or False: (SM)

1. Inventories are stocks of goods and materials that are maintained for mainly the purpose of revenue generation.
2. A building is considered inventory in a construction business.
3. Inventory is valued as carrying cost less percentage decreases.
4. Management has daily information about the quantity and valuation of closing stock under Physical Inventory System.
5. Periodic Inventory System is more suitable for small enterprises.
6. When closing inventory is overstated, net income for the accounting period will be understated.
7. Closing inventory = Opening inventory + Purchases + Direct expenses + Cost of goods sold.
8. Cost of inventories should comprise all cost of purchase.
9. Costs of conversion of inventories include costs directly related to the units of production. They include allocation of fixed overheads only.
10. Abnormal amounts of wasted materials, labour or other production overheads expenses are included in the costs of inventories.
11. Perpetual system requires closure of business for counting of inventory.
12. Periodic inventory system is a method of ascertaining inventory by taking an actual physical count.
13. The value of ending inventory under simple average price method is realistic as compare to LIFO.
14. The value of stock is shown on the assets side of the balance-sheet as fixed assets.
15. Under inflationary conditions, FIFO will not show lowest value of cost of goods sold.
16. Under LIFO, valuation of inventory is based on the assumption that costs are charged against revenue in the order in which they occur.
17. Valuation of inventory, at cost or net realisable value, whichever less, is based on the principle of Conservatism.
18. Finished goods are normally valued at cost or market price whichever is higher.

ANSWERS:

True and False

1. **True:** Inventories refers to stocks of goods and materials that are maintained in business for revenue generation.
2. **True:** For a construction business a building under construction will be inventory. The building is being built in the normal course of business and will eventually be sold as well as inventory.
3. **False:** Inventory is valued at lower of cost or net realizable value.
4. **False:** Under Perpetual Inventory System management have daily information of closing stock.

5. **True:** A periodic inventory system is suitable to small and micro enterprises, where physical counting of inventory is not a tedious process.
6. **False:** When closing inventory is overstated, net income for the accounting period will be overstated.
7. **False:** Closing stock = (Opening inventory + Purchases + Direct expenses) - COGS.
8. **False:** Cost of inventories should comprise all cost of purchase, costs of conversion and other costs incurred in bringing the inventories to their present location and condition.
9. **False:** Costs of conversion of inventories include costs directly related to the units of production. They also include a systematic allocation of fixed and variable overheads.
10. **False:** Abnormal amounts of wasted materials, labour or other production overheads expenses are generally not included in the costs of inventories.
11. **False:** Periodic system requires closure of business for counting of inventory.
12. **True:** Under Periodic inventory system actual physical count of inventory is taken of all the inventory on hand at a particular date.
13. **True:** Value of Closing stock as per average method is more realistic then LIFO.
14. **False:** The value of stock is shown on the assets side of the balance-sheet as current assets.. As it is realisable within 12 months.
15. **False:** Under inflationary conditions, LIFO and weighted average will not show lowest value of cost of goods sold.
16. **False:** Under FIFO, valuation of inventory is based on the assumption that costs are charged against revenue in the order in which they occur.
17. **True:** The conservatism concept states that one shall not account for anticipated profits but shall provide all prospective losses. Valuing inventory at cost or net realisable value whichever is less, therefore is based on principle of Conservatism.
18. **False:** Finished goods are normally valued at cost or market price whichever is lower.

ADDITIONAL TRUE OR FALSE FOR SELF PRACTICE

State with reason whether the following statements are true or false (No Marks shall be awarded without valid reason):

1. Finished goods are normally valued at cost or market price which ever is higher.
2. The inventory under AS-2 is valued on the basis of cost price or current replacement cost, which ever is less.
3. Damaged inventory should be valued at cost or market price, which ever is lower.
4. Inventory of by-products, should be valued at net realisable value where cost of by-products can be separately determined.
5. Periodic Inventory System is a method of recording inventory balances after each issue and receipt.
6. Inventories include Stock of Materials, Work-in-Progress and Finished Goods, Maintenance Supplies, Consumables, Loose Tools and Machinery Spares.
7. Cost of Conversion consists of Direct Labour, Direct Expenses, Sub-Contracted Work and Production Overheads as per Marginal Costing Method.
8. The Cost of Inventories includes:
   (i) Abnormal amounts of wasted material labour or other production cost.
   (ii) Storage Cost.
   (iii) Administrative Overheads.
   (iv) Selling and Distribution Cost.
9. As per AS-2 'Valuation of Inventories', the historical cost of inventories should normally be determined by FIFO (First In First Out),LIFO and Weighted Average Cost Formula.
10. As per AS-2, the historical cost of manufactured Inventories should be arrived at by Marginal costing.
11. As per AS-2, the historical cost may be compared with Net Realizable Value (NRV) by item by item method only.

12. As per AS-2, the Inventory of Raw Materials is valued at Cost or NRV whichever is lower.
13. As per AS-2, the inventory of Materials and other Supplies is valued at Cost or NRV whichever is lower even if Finished Products are expected to be sold at or above cost.
14. If Closing Stock is understated, the Cost of Goods sold will increase but Profit and Current ' Assets will decrease.
15. Under inflationary conditions, LIFO method will show Lower Cost of Goods Sold, higher income and Higher value of Closing Stock.
16. Cost of Unsold Goods lying with others on our behalf (e.g. Cost of Goods Sent on Approval Basis/ Consignment Basis/ Joint Venture Basis) should not form part of our Closing Stock at Balance Sheet Date.
17. In Balance Sheet Stock as per physical verification as on date of balance sheet appears.

Answer:

1. **False:** Finished goods are normally valued at cost or net realisable value which ever is lower.
2. **False:** According to AS-2 on Valuation of Inventories, inventory is valued at the lower of historical cost and net realisable value.
3. **False:** Damaged inventory should be valued at net realisable value.
4. **False:** Inventory of by-products, should be valued at net realisable value where cost of by-products cannot be separately determined.
5. **False:** Perpetual Inventory System is a method of recording inventory balances after each issue and receipt.
6. **False:** Inventories include Stock of Materials, Work-in-Progress and Finished Goods, Maintenance Supplies, Consumables and Loose Tools but does not include Machinery Spares.
7. **False:** Cost of Conversion consists of Direct Labour, Direct Expenses, Sub-Contracted Work and Production Overheads as per Absorption Costing Method.
8. **False:** The Cost of Inventories excludes:
   (i) Abnormal amounts of wasted material labour or other production cost, (ii) Storage Cost. (iii) Administrative Overheads, (iv) Selling and Distribution Cost.
9. **False:** As per AS-2 'Valuation of Inventories', the historical cost of inventories should normally be determined by FIFO (First In First Out) and Weighted Average Cost Formula.
10. **False:** As per AS-2, the historical cost of manufactured Inventories should be arrived at by absorption costing.
11. **False:** As per AS-2, the historical cost may be compared with Net Realizable Value (NRV) by item by item method or group of items method.
12. **False:** As per AS-2, the Inventory of Finished Goods is valued at Cost or NRV whichever is lower.
13. **False:** As per AS-2, the inventory of Materials and other Supplies is not written down below Cost if Finished Products are expected to be sold at or above cost.
14. **False:** If Closing Stock is understated, the Cost of Goods sold will decrease but Profit and Current Assets will increase.
15. **False:** Under inflationary conditions, FIFO method will show Lower Cost of Goods Sold, higher income and Higher value of Closing Stock.
16. **False:** Cost of Unsold Goods lying with others on our behalf (e.g. Cost of Goods Sent on Approval Basis/Consignment Basis/Joint Venture Basis) should form part of our Closing Stock at Balance Sheet Date.
17. **False:** In Balance Sheet Stock as per books appears and not Stock as per physical verification.

MULTIPLE CHOICE QUESTIONS (SM)

1. The amount of purchase if
   Cost of goods sold is ₹ 80,700
   Opening Inventory ₹ 5,800
   Closing Inventory ₹ 6,000
   (a) ₹ 80,500 (b) ₹ 74,900 (c) ₹ 80,900.

2. Average Inventory = ₹ 12,000. Closing Inventory is ₹ 3,000 more than opening Inventory. The value of closing Inventory = _____.
(a) ₹ 12,000 (b) ₹ 24,000 (c) ₹ 13,500

3. While finalizing the current year's profit, the company realized that there was an error in the valuation of closing Inventory of the previous year. In the previous year, closing Inventory was valued more by ₹ 50,000. As a result
(a) Previous year's profit is overstated and current year's profit is also overstated
(b) Previous year's profit is overstated and current year's profit is understated
(c) Previous year's profit is understated and current year's profit is also understated

4. Consider the following for Q Co. for the year 2019-20:

Cost of goods available for sale	₹ 1,00,000
Total sales	₹ 80,000
Opening inventory of goods	₹ 20,000
Gross profit margin on sales	25%

Closing inventory of goods for the year 2019-20 as
(a) ₹ 80,000 (b) ₹ 60,000 (c) ₹ 40,000

5. If the profit is 25% of the cost price then it is
(a) 25% of the sales price (b) 33% of the sales price (c) 20% of the sales price

6. Goods purchased ₹ 1,00,000. Sales ₹ 90,000. Margin 20% on cost. Closing Inventory = ?
(a) ₹ 20,000 (b) ₹ 10,000 (c) ₹ 25,000

7. A company is following weighted average cost method for valuing its inventory. The details of its purchase and issue of raw-materials during the week are as follows:
1.12.2020 opening Inventory 50 units value ₹ 2,200.
2.12.2020 purchased 100 units @ ₹ 47.
4.12.2020 issued 50 units.
5.12.2020 purchased 200 units @ ₹ 48.
The value of inventory at the end of the week and the unit weighted average costs is
(a) ₹ 14,200 – ₹ 47.33 (b) ₹ 14,300 – ₹ 47.67 (c) ₹ 14,000 – ₹ 46.66

8. The cost of sales is equal to
(a) Opening stock plus purchases (b) Purchases minus Closing stock
(c) Opening stock plus purchases minus closing stock

9. Inventory is disclosed in financial statements under:
(a) Fixed Assets (b) Current Assets (c) Current Liabilities

10. Accounting Standards do not permit following method of inventory valuation
(a) FIFO (b) Average cost (c) LIFO

11. Which inventory costing formula calculates value of closing inventory considering that inventory most recently purchased has not been sold?
(a) FIFO (b) LIFO (c) Weighted average cost

12. Valuing inventory at cost or net releasable value which is lower is based on which principle
(a) Consistency (b) Conservatism (c) Going concern

13. Under inflationary trend, which of the methods will show highest value of inventory?
(a) FIFO (b) Weighted average (c) LIFO

14. Which of the following methods does not consider historical cost of inventory?
(a) Weighted average (b) FIFO (c) Retail price method

MCQs Answer:

1.	**C**	**2.**	**C**	**3.**	**B**	**4**	**C**	**5**	**C**	**6**	**C**	**7**	**A**	**8**	**C**	**9**	**B**	**10**	**C**
11.	**A**	**12.**	**B**	**13**	**A**	**14.**	**C**												

THEORETICAL QUESTIONS

1. Write short notes on:
(i) Adjusted Selling Price method of determining cost of stock.
(ii) Principal methods of ascertainment of cost of inventory.

Ans. (i) Adjusted selling method is also called retails inventory method. It is used widely in retail business or in business where the inventory comprises of items, the individual costs of which are not readily ascertainable. The historical cost of inventory is estimated by calculating it in the first instance at selling price and then deducting an amount equal to the estimated gross margin of profit on such stocks.

(ii) The specific identification method, First-In–First-Out (FIFO) and weighted average cost formulae are the principal methods of ascertaining the cost of inventory. The cost of inventories of items that are not ordinarily interchangeable and goods or services produced and segregated for specific projects should be assigned by specific identification of their individual costs under the specific identification method.

2. Distinguish between:
(i) LIFO and FIFO basis of costing of stock.
(ii) FIFO and weighted average price method of stock costing.

Ans. (i) Under FIFO method of inventory valuation, inventories purchased first are issued first. The closing inventories are valued at latest purchase prices and inventory issues are valued at corresponding old purchase prices. In other words, under FIFO method, costs are assigned to the units issued in the same order as the costs entered in the inventory. During periods of rising prices, cost of goods sold are valued at older and lower prices if FIFO is followed and consequently reported profits rise due to lower cost of goods sold.
On the other hand, under LIFO method of inventory valuation, units of inventories issued should be valued at the prices paid for the latest purchases and closing inventories should be valued at the prices paid for earlier purchases. In other words, closing inventories are valued at old purchase prices and issues are valued at corresponding latest purchase prices.

(ii) Under the First-In-First-Out (FIFO) method of valuation of stock, the actual issue of goods is usually the earliest lot on hand. Hence, the stock in hand will therefore consist of the latest consignments. The closing stock is valued at the price paid for such consignments.
The weighted average price method is not a simple average price method.
Under this method of valuation of stock, a stock ledger is maintained, recording receipts and issues on daily basis. A new average would be calculated on receiving fresh consignment. The average price thus calculated after considering arrival of new consignment with the previous value of stock and dividing the preceding stock value and the cost of new arrival with the total units of preceding and new arrival will give the weighted average price.

3. Define inventory. Explain the importance of proper valuation of inventory in the preparation of statements of the business entity.

Ans. Inventory can be defined as assets held

- for sale in the ordinary course of business, or
- in the process of production for such sale, or
- for consumption in the production of goods or services for sale, including maintenance supplies and consumables other than machinery spares.

The significance of inventory valuation arises due to the following reasons:

(i) Determination of Income
(ii) Ascertainment of Financial Position
(iii) Liquidity Analysis
(iv) Statutory Compliance

HOME WORK DISCUSSION VIDEO QR CODE

TOPIC	QUESTION NO.	QR CODE
Inventories	HW – Q. 23 → Q. 19 Q. 27 → Q. 23	
	CW – Q.10 → Q. 11 Q.28 → Q. 14	

YOUTUBE REVISION VIDEO QR CODE

TOPIC	QR CODE
Inventories	

THEORY QUESTION VIDEO QR CODE

TOPIC	QR CODE
Inventories	

Space for Personal Notes:-